ANNUAL REPORT

GRUPO BIMBO, S.A.B. DE C.V.

Annual Report filed pursuant to the general provisions applicable to Securities Issuers and Other Participants in the Securities' Market (*Disposiciones de Carácter General Aplicables a las Emisoras de Valores y a Otros Participantes del Mercado de Valores*) for the fiscal year ended on December 31, 2022.

Name of the issuer: Grupo Bimbo, S.A.B. de C.V.

Headquarters: Prolongación Paseo de la Reforma No. 1000, Colonia Peña Blanca Santa Fe, C.P. 01210, Mexico City. The address of Grupo Bimbo, S.A.B. de C.V.'s Internet website is www.grupobimbo.com, provided, however, that the information contained therein is not part of this Annual Report.

Outstanding shares: the authorized capital stock of Grupo Bimbo, S.A.B. de C.V. consists of ordinary nominative, Series "A" common shares, ordinary, nominative, with no par value, registered under the Securities Section of the National Securities Registry ("RNV") and listed on the Mexican Stock Exchange (Bolsa Mexicana de Valores, S.A.B. de C.V.). Also, Grupo Bimbo, S.A.B. de C.V. has outstanding notes registered in the RNV, which are described below.

Ticker symbol: "BIMBO".

The registration with in the RNV does not constitute a certification as to the investment quality of the securities, the solvency of the issuer, or the accuracy or veracity of the information contained in this Annual Report, nor does it validate the acts, if any, that were carried out in violation of the laws.

Mexico City, April 27, 2023

KEY INFORMATION WITH RESPECT TO THE NOTES (*CERTIFICADOS BURSATILES*) ISSUED BY GRUPO BIMBO, S.A.B. DE C.V.

AS OF DECEMBER 31, 2022

Ticker Symbol	BIMBO 16	BIMBO 17
Amount	$8,000,000,000	$10,000,000,000
Number of series in which the issuance is divided	N.A.	
Issuance date	September 14, 2016	October 6, 2017
Maturity date	September 2, 2026	September 24, 2027
Issuance period	3,640 days, approximately 10 years	3,640 days, approximately 10 years
Interest rate	Fixed interest rate of 7.56%	Fixed interest rate of 8.18%
Periodicity in payment of interest	Every 182 days beginning on March 15, 2017	Every 182 days beginning on April 6, 2018
Place and manner of payment of principal and interests	The principal and interests due will be paid on their maturity date, by electronic funds transfer, at the registered office of S.D. Indeval Institución para el Depósito de Valores, S.A. de C.V., or at the registered office of the Issuer.	
Subordination	Lien limitations / Pari Passu status	
Maturity and acceleration	A single payment on the relevant maturity date. The Company shall have the right to prepay all (but not less) than all of the Certificados Bursátiles on any date before the Maturity Date.	
Guarantee	The *Certificados Bursátiles* will be unsecured and will be guaranteed (*avalados*) by Bimbo, S.A. de C.V., Barcel, S.A. de C.V. and Bimbo Bakeries USA, Inc.	
Trustee	N.A.	
Rating	Fitch México, S.A. de C.V. "AA+(mex)" Standard & Poor's, S.A. de C.V. "mxAA+"	Fitch México, S.A. de C.V. "AA+(mex)" S&P Global Ratings, S.A. de C.V. "mxAA+"
Common Representative	Monex Casa de Bolsa, S.A. de C.V., Monex Grupo Financiero	
Depositary	S.D. Indeval Institución para el Depósito de Valores S.A. de C.V.	
Tax treatment	The withholding rate of the income tax applicable, as of the date of the Supplement, to the interest paid in accordance with the *Certificados Bursátiles* is subject to: (i) for individuals and entities considered as residents of Mexico for tax purposes, to the provisions of articles 54, 134, 135 and other applicable provisions of the Income Tax Law (*Ley del Impuesto Sobre la Renta*) in effect; and (ii) for individuals and entities considered as non-Mexican residents for tax purposes, to the provisions of articles 153, 166, 175 and other applicable provisions of the Income Tax Law in effect. Potential investors shall consult their tax advisors with respect to the tax consequences of their investment in the *Certificados Bursátiles*, including the application of specific rules applicable to their particular situation. The current fiscal regime may be amended during the term of the Program and while the Issuance is in effect.	

Change of control: In accordance with the terms of the Notes, in the event of a "change of control", which means a change of control resulting in the decrease of the rating of the Notes, Grupo Bimbo will be obliged to make an offer in order to repurchase all of the Notes at a purchase price equal to 100% of the par value of such Notes plus the unpaid accrued ordinary interest on the principal of the Notes outstanding on the date of the repurchase.

Corporate Restructuring: In case of a corporate restructuring, Grupo Bimbo will distribute to the investors the applicable disclosure document and other information required under applicable laws. In accordance with the terms of the Notes, Grupo Bimbo shall not merge or sell its "material assets" (as such term is defined in the Notes), except under certain circumstances.

Essential Assets: In accordance with the terms of the Notes, Grupo Bimbo shall not create liens on its assets, except for "permitted liens" (as such term is defined in the Notes). In case Grupo Bimbo decides to create a lien on its essential assets in order to carry out its operations, Grupo Bimbo shall obtain the necessary corporate consents and, if so required by the applicable law, will disclose such event to investors.

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No underwriter, person appointed as an attorney-in-fact to carry out operations with the public, or any other person, has been authorized to disclose any information or make any representation that is not contained in this Annual Report. As a consequence of the above, any information or representation that is not contained in this Annual Report must be understood as not authorized by Grupo Bimbo, S.A.B. de C.V.

In addition, unless otherwise indicated, the Company's information contained in this Annual Report is shown as of December 31, 2022.

1) GENERAL INFORMATION

a) Summary of Terms and Definitions

Unless otherwise indicated by the context, for the purposes of this Annual Report, the following terms shall have the meaning specifed below, which shall apply equally to the singular and plural forms of the terms defined:

Terms	Definitions
"Adghal"	Groupe Adghal.
"Adjusted EBITDA"	Operating income plus depreciation, amortization, impairments and provision of multiemployer pension plans and other non-cash items. The Group's administration uses this measure as an indicator of its operating results and of its financial condition; however you should consider it in isolation, as an alternative to net income, as an indicator of the operating performance or as a substitute for the analysis of results reported in accordance with IFRS, because, among others: (i) it does not reflect cash expenditures, or future requirements for capital expenditures or contractual commitments, (ii) it does not reflect changes in, or cash requirements for working capital needs, (iii) it does not reflect interest expenses, and (iv) it does not reflect any cash income tax to be paid by the Group. Due to the foregoing, the Group's Adjusted EBITDA shall not be considered as a discretionary measure of cash available to invest in the Group's growth or as a measure of cash that will be available in order for the Group to fulfill its obligations. Adjusted EBITDA is not a financial measure recognized in accordance with IFRS and may not be compared with similar official measures presented by other companies in the industry, since not all companies use the same definition. Consequently, the focus shall mainly be on results in accordance with IFRS, and Adjusted EBITDA only as a supplementary measure.
"ADR's"	American Depositary Receipts
"Annual Report"	This Issuer's Annual Report, prepared in accordance with the General Provisions Applicable to Securities Issuers and Other Securities Market Participants Issued by CNBV.
"Audited Financial Statements"	The Company's audited consolidated financial statements, audited as of and for the years ended December 31, 2022, 2021 and 2020, which were prepared in accordance with the IFRS, as well as the respective notes, which are attached to this Annual Report.
"Barcel"	Barcel, S.A. de C.V.
"BIMBO", "Company", "Issuer", "Group", "Grupo Bimbo" or "Entity"	Grupo Bimbo, S.A.B. de C.V., and, whenever the context requires so, together jointly with its consolidated subsidiaries.
"Bimbo"	Bimbo, S.A. de C.V.
"Bimbo Bakeries USA"	Bimbo Bakeries USA, Inc., an operating subsidiary of BBU.
"Bimbo Iberia"	Bimbo, S.A.U.
"BIMBO XXI"	Project for the implementation of a system to streamline ERP (Enterprise Resource Planning) resources, database and support systems.

Terms	Definitions
"BMV"	Mexican Stock Exchange (*Bolsa Mexicana de Valores, S.A.B. de C.V.*).
"Board of Directors" or "Board"	Board of Directors of BIMBO.
"BBU"	Bimbo Bakeries, Inc.
"BCG"	Boston Consulting Group
"Cakes"	Cakes sold individually.
"Canada Bread"	Canada Bread Company, Limited.
"CDOR"	Canadian Dealer Offered Rate.
"CDP"	Carbon Disclosure Project
"China"	People's Republic of China.
"CNBV"	National Banking and Securities Commission.
"Corporate Bylaws"	Corporate Bylaws of BIMBO as amended from time to time.
"Dollars" or "dollars"	Currency of legal tender in the USA.
"EAA"	Europe, Asia and Africa
"Earthgrains"	Earthgrains Bakery Group, Inc.
"East Balt" o "Bimbo QSR"	East Balt Bakeries
"El Globo"	Tradición en Pastelerías, S.A. de C.V.
"Equivalent Units"	Measurement of the volume sold by Grupo Bimbo that complements the metrics of kilograms, units, and money. Its objective is to establish an equivalence between each product of the Group and a 680-gram sliced bread package.
"ERP"	Enterprise Resource Planning.
"Europe"	United Kingdom and countries of the European Union where BIMBO carries out operations.
"Fast Food"	Food ready to be eaten.
"FDA"	Food and Drug Administration, a USA governmental agency.
"George Weston"	George Weston Bakeries, Inc., Entenmann's Products Inc., Entenmann's, Inc. and Entenmann's Sales Company, Inc. (TSX: WN)
"Gruma"	Gruma, S.A.B. de C.V., Mexican Company engaged in the production of corn flour, tortillas, wheat flour and similar products.
"IASB"	International Accounting Standards Board.
"IEPS"	Special tax over production and services.
"IFBA"	International Food and Beverage Alliance
"IETU"	Business Flat Tax (*Impuesto Empresarial a Tasa Única*).
"IFRS"	International Financial Reporting Standards issued by the IASB.
"Indeval"	S.D. Indeval Institución para el Depósito de Valores, S.A. de C.V.

Terms	Definitions
"INPC"	National Consumer Price Index (*Índice Nacional de Precios al Consumidor).*
"IRI"	Information Resources Inc.
"ISO"	International Organization for Standardization.
"ISR"	Income Tax (*Impuesto sobre la Renta*).
"IVA"	Value Added Tax (*Impuesto al Valor Agregado*).
"Latin America"	Central and South America; comprises the countries of this geographical area where BIMBO carries out transactions.
"LIBOR"	London Interbank Offered Rate.
"LMV"	Securities Market Law (*Ley del Mercado de Valores*).
"Mexico"	United Mexican States.
"MEPPs"	Multiemployer Pension Plans.
"Nielsen"	The Nielsen Company.
"NOM"	Mexican Official Standard (*Norma Oficial Mexicana*).
"Notes"	Negotiable instruments issued by the Company in accordance with the Securities Market Law, under the Notes Program (*Programa de Certificados Bursátiles*) and which are outstanding.
"Packaged Bread"	Sliced and packaged bread.
"Panrico"	Panrico S.A.U.
"Pesos", "pesos" or "$"	Currency of legal tender in Mexico.
"PTU"	Employee Profit Sharing (*Participación de los Trabajadores en las Utilidades).*
"Ready Roti"	Ready Roti India Private Limited
"Revolving Credit Facility"	Committed and multicurrency revolving credit facility for an amount of USD$1,750 million dollars that has been contracted with a syndicate of banks. On March 15, 2023, the credit facility was extended to USD$1,931 millions.
"RNV"	National Securities Registry (*Registro Nacional de Valores*).
"SEC"	U.S. Securities and Exchange Commission.
"Stonemill Bakehouse"	Stonemill Bakehouse Ltd.
"Supan"	Supan, S.A.
"TIIE"	Interbanking Equilibrium Interest Rate (*Tasa de Interés Interbancaria de Equilibrio)*.
"USA"	United States of America.
"WFI"	Weston Foods, Inc., baking business in the USA that was owned by George Weston Limited and which BIMBO acquired on January 21, 2009.
"WHO"	World Health Organization.

Unless otherwise specified, the financial information contained in this document is expressed in millions of Mexican pesos and was prepared in accordance with IFRS.

b) EXECUTIVE SUMMARY

This chapter contains a brief summary of the information provided in this Annual Report. Since it is a summary, it is not intended to contain all substantial information included in the Annual Report.

a) The Company

The global headquarters of the Company are located at Prolongación Paseo de la Reforma No. 1000, Colonia Peña Blanca Santa Fe, Álvaro Obregón, Mexico City, 01210, Mexico, and its telephone number is (55) 5268-6600. The Company was established under the laws of Mexico on June 15, 1966. The number of its commercial registry *(folio mercantil)* with the Public Registry of Property and Commerce of Mexico City (*Registro Público de la Propiedad y de Comercio de la Ciudad de México*), or the Mexican Registry, is 9,506 and its taxpayer identification number is GBI 810615 RI8.

Grupo Bimbo is a global food company, the leader in the global baking industry and a relevant participant in the snack industry, according to information from IBISWorld. Grupo Bimbo operates in 34 countries, including Mexico, the United States, Canada, most of Latin America, Spain, Portugal, France, Italy, the United Kingdom, Turkey, Switzerland, Ukraine, Kazakhstan, China, South Korea, Russia, India, Morocco, Rumania and South Africa. The Company has a balanced and diversified portfolio of over 9,000 products covering different categories sold under iconic, strategic or renowned brands. By means of its wide range of bakery and snack products, the Company serves from premium and value categories to all consumption occasions.

The Group produces, distributes and commercializes baking products in each of its categories: sliced bread, buns & rolls, pastries, cakes, cookies, toasted bread, English muffins, bagels, tortillas & flat breads and salty snacks and other food products. The brand portfolio of the Company includes iconic brands with a value of over a billion dollars in retail sales, such as Bimbo®, Marinela®, Oroweat®, Barcel®, Thomas'®,Sara Lee®, Entenmann's® and Takis®.

Grupo Bimbo has achieved leadership in the baking industry in most of the countries in which it operates, through development of iconic brands that have been in the minds of consumers for generations, strategic brands with deep regional relevance and high consumer recognition, and continuous innovation in its portfolio.

In the tenth edition of Brand Footprint Ranking, conducted by the consulting firm Kantar and published in 2022, the "Bimbo" brand was recognized within the 10 brands with the highest penetration in Mexican households, occupying the first position. Moreover, the brand "Bimbo", held the first position as the most chosen brand by consumers in the food category in Mexico and Latin America. In addition, BBU was recognized by IRI (Information Resources, Inc.) as the fourth fastest growing consumer packaged goods (CPG's) company in 2022 and as the fastest growing food company.

Since its foundation in 1945, Grupo Bimbo has built a reliable and integrated commercial platform of significant scale through a combination of organic growth and strategic acquisitions. Organic growth has been driven by continuos market penetration supported by an extensive distribution network, the development of lasting and emblematic brands with the opportunity of being replicated in new markets and/or categories, the quality and innovation of its products and its efficient operations. In the past 10 years, it has successfully integrated 32 companies into its portfolio, through which it has expanded its footprint into new markets, product categories and sales channels. The Group became the largest packaged bread market participant in the United States following the acquisitions of Weston Foods Inc., in 2009, and Earthgrains, Sara Lee Corporation's North American fresh baking business, in 2011, according to information from IRI. Also in 2011, it accessed the European market with the acquisition of Sara'Lee's baking

business in Europe. In 2014, it entered the Canadian and United Kingdom markets with the acquisition of Canada Bread, producer of Dempster's®, the leading bread brand in Canada. In 2017, it entered in new countries with the acquisition of Adghal in Morocco, Ready Roti in India and East Balt Bakeries in eleven countries of Europe and Asia. In 2018, Grupo Bimbo completed the acquisition of Mankattan, a major player in the Chinese baking industry. In 2020, it expanded its operations to Kazakhstan through a strategic alliance in the QSR business, expanding its global leadership to 33 countries. These and other acquisitions, together with its organic growth in Mexico and Latin America, have consolidated Grupo Bimbo as the world's largest and leading baking company. As of 2012 and until December 31, 2022, its Adjusted EBITDA increased from $14,076 million to $53,446 million. Moreover, during said period, its Net Sales grew at a CAGR of 8.7%, driven by a CAGR of 10.0% in North America, 5.2% in Mexico and 5.4% in Latin America.

As of the end of this report, it operates 204 bakeries and other plants located in 33 countries with an extensive distribution network, which is believed to comprise one of the largest sales' fleets in the Americas. As of December 31, 2022, its direct-distribution network consisted of more than 55,000 distribution routes, spread on more than 1,600 sales centers and reaching more than 3.3 million points of sale to ensure the freshness of its products and meet the needs of the consumer.

The following table shows certain financial information of Grupo Bimbo as of the closing of each of the years indicated:

	For the years ended December 31,		
	2022	2021 Reformulated	2020 Reformulated
Net Sales	398,706	338,792	322,943
Operating Profit	53,696	32,580	24,065
Adjusted EBITDA	53,446	47,372	43,625
Net Majority Income	46,910	15,916	9,111

Note: figures in millions of Mexican pesos

b) Financial Information

In accordance with the General Provisions Applicable to Securities Issuers and to Other Participants in the Securities Market as of January 1, 2012, the Mexican corporations with securities listed in the BMV, including the Company, shall prepare and submit their financial information in accordance with IFRS. Therefore, consolidated financial statements were prepared under IFRS. Unless otherwise indicated, all information contained in the audited financial statements included in this Annual Report has been expressed in millions of pesos.

The Mexican peso is the functional currency of the Company's Mexican operations and is used to report the Company's consolidated financial statements. Figures corresponding to 2022, 2021 and 2020 are shown in pesos in nominal terms as of the date on which they were registered.

Company's consolidated financial statements were prepared with an historic base cost, except for certain financial instruments (assets and liabilities), which are measured at its fair value at the closing of each period, and for non-monetary assets of subsidiaries in hyperinflationary economies, which are adjusted for inflation, as explained in accounting policies.

Consolidated Income Statement			
For the years ended December 31:	2022	2021 Reformulated	2020 Reformulated
Continuing operations			
Net sales [(1)]	**398,706**	**338,792**	**322,943**

Costs of sales	193,325	157,703	148,004
Gross profit	**205,381**	**181,089**	**174,939**
General expenes:			
Distribution and selling	140,455	124,422	121,482
Administrative	26,172	23,147	22,228
Integration costs	367	724	1,968
Other (Income) Expenses net	(15,309)	216	5,196
Operating profit	**53,696**	**32,580**	**24,065**
Interest expense	8,049	7,823	9,357
Interest income	(740)	(363)	(352)
Foreign exchange (gain)/loss, net	995	538	(82)
Loss from monetary position	(34)	(25)	(70)
Comprehensive Financial Result	**8,270**	**7,973**	**8,853**
Share of profit of associates	452	247	194
Profit before income tax of Continuing Operations	**45,878**	**24,854**	**15,406**
Current Income Tax	9,929	7,846	4,904
Deferred Income Tax	3,891	593	843
Income Tax[(2)]	14,381	8,726	5,943
Net income after taxes from discontinued operation[(3)]	**16,988**	1,254	1,088
Consolidated net profit	**$48,485**	**$17,382**	**$10,551**
Controlling interest	$46,910	$15,916	$9,111
Non-controlling interest	$1,575	$1,466	$1,440
Basic earnings per ordinary share	$10.54	$3.55	$2.00
Dividend per share	0.65	1.00	0.50
Adjusted EBITDA	**53,446**	**47,372**	**43,625**

Notes to the Consolidated Income Statements:

(1) During 2022, 2021 and 2020, net sales of the subsidiaries located in the Mexico segment represented approximately 29.4%, 29.1% and 27.5%, respectively, of the Company's consolidated net sales. During the same periods, the net sales of the North America segment represented approximately 51.5%, 51.7% and 54.3%, respectively, of the Company's consolidated net sales.

(2) For more information on the income or tax, see note 16 of the audited consolidated financial statements including the ISR of uncertain positions and a review of foreign withholding taxes reserved in prior years.

(3) For further information regarding discontinued operations, please refer to notes 3e) and 24 of the consolidated financial statements.

Consolidated Statement of Financial Position

As of December 31:	2022	2021	2020
Cash and cash equivalents	12,313	8,748	9,268
Trade receivables and other account receivable, net	32,185	27,170	27,487
Inventories	16,989	13,710	10,893
Prepaid expenses	928	2,296	1,944
Derivative financial instruments	38	1,293	871

Guarantee deposits for derivative financial instruments	879	-	-
Assets held for sale	138	194	140
Total Current Assets	63,470	53,411	50,603
Property, plant and equipment, net	113,505	103,891	91,248
Right-of-use asset, net	28,477	30,754	29,163
Investments in associates	5,144	4,452	3,143
Derivative financial instruments	2,005	1,962	267
Deferred income tax	3,962	7,861	8,733
Intangible assets, net	59,062	56,965	55,007
Goodwill	68,085	74,565	66,904
Other sssets net	4,054	3,779	2,583
Total Assets	**$347,764**	**337,640**	**307,651**
Current portion of non current debt	6,435	10,625	600
Trade accounts payables	44,058	35,752	26,679
Other Accounts Payable and accrued liabilities	24,198	24,102	24,901
Current lease liabilities	5,930	5,793	5,153
Accounts payable to related parties	1,240	1,527	1,334
Current Income Tax	4,604	708	-
Statutory employee profit sharing	1,811	1,692	1,017
Derivative Financial Instruments	1,458	169	1,183
Other current liabilities	-	392	398
Total current liabilities	89,734	80,760	61,265
Long-Term Debt (1)	77,619	82,230	84,629
Long-term lease liabilities	23,255	25,356	23,936
Derivative financial instruments	590	67	214
Employee benefits	9,382	30,712	33,832
Deferred income tax (2)	7,575	7,087	6,766
Other long-term liabilities	12,007	9,822	8,998
Total Liabilities	**220,162**	**236,034**	**219,640**
Controlling interest	124,111	97,100	83,713
Non-controlling interests	3,491	4,506	4,298
Total Equity	**127,602**	**101,606**	**88,011**

Consolidated Statement of Financial Position Notes:

(1) Some financial liabilities provide certain restrictions and obligations to the Company's financial structure (see Note 13 of the Audited Financial Statements).
(2) See Note 16 of the Audited Financial Statements.

Additional Financial Information

As of December 31:	2022	2021 Reformulated	2020 Reformulated
Depreciation and amortization	18,282	16,375	16,251
Net cash flows from operating activities	38,851	45,776	43,877

Net cash flows used in investing activities	(9,122)	(32,459)	(16,688)
Net cash flows used in financing activities	(25,692)	(14,116)	(24,163)
Cash and cash equivalents at end of year	12,313	8,748	9,268
Operating Margin	13.5%	9.6%	7.5%
Adjusted EBITDA Margin	13.4%	14.0%	13.5%
Net Majority Income Margin	11.8%	4.7%	2.8%
Return on Assets	9.5%	4.5%	2.8%
Return on Equity	15.1%	15.6%	10.9%
Adjusted EBITDA	53,446	47,372	43,625
Total Debt / Adjusted EBITDA (1)	1.7	2.1	2.1
Net Debt / Adjusted EBITDA (1)	1.5	2.0	1.9

Notes to the Additional Financial information:

(1) For the calculation of the financial ratio, Adjusted EBITDA does not consider the effect of the implementation of IFRS 16 or the effect of IFRS 16 in general.

3) Capital Markets

The authorized capital stock of Grupo Bimbo consists of Series “A” common shares, nominative, with no par value, registered in the RNV.

These shares are publicly traded in Mexico, listed on the BMV under the ticker symbol "BIMBO" and registered in the RNV. As of December 31, 2022, its market capitalization was approximately Ps.365,157 billion.

BIMBO shares started to trade on the BMV on February 1980, when the Company carried out its initial public offering. Since February 1, 1999 BIMBO is part of the Price and Quotation Index (*Índice de Precios y Cotizaciones*) of the BMV.

The trading of BIMBO shares has not been suspended in the past four years.

As of the date of this Annual Report, the BIMBO share is classified as high trading volume, in accordance with the Trading Activity Index published by the BMV.

Since 2011, BIMBO is included in the Sustainable IPC Index of the BMV. This index allows investors to follow companies’ performance on environmental, social responsibility and corporate governance matters.

On the date of the present annual report, the Company does not have a market maker agreement.

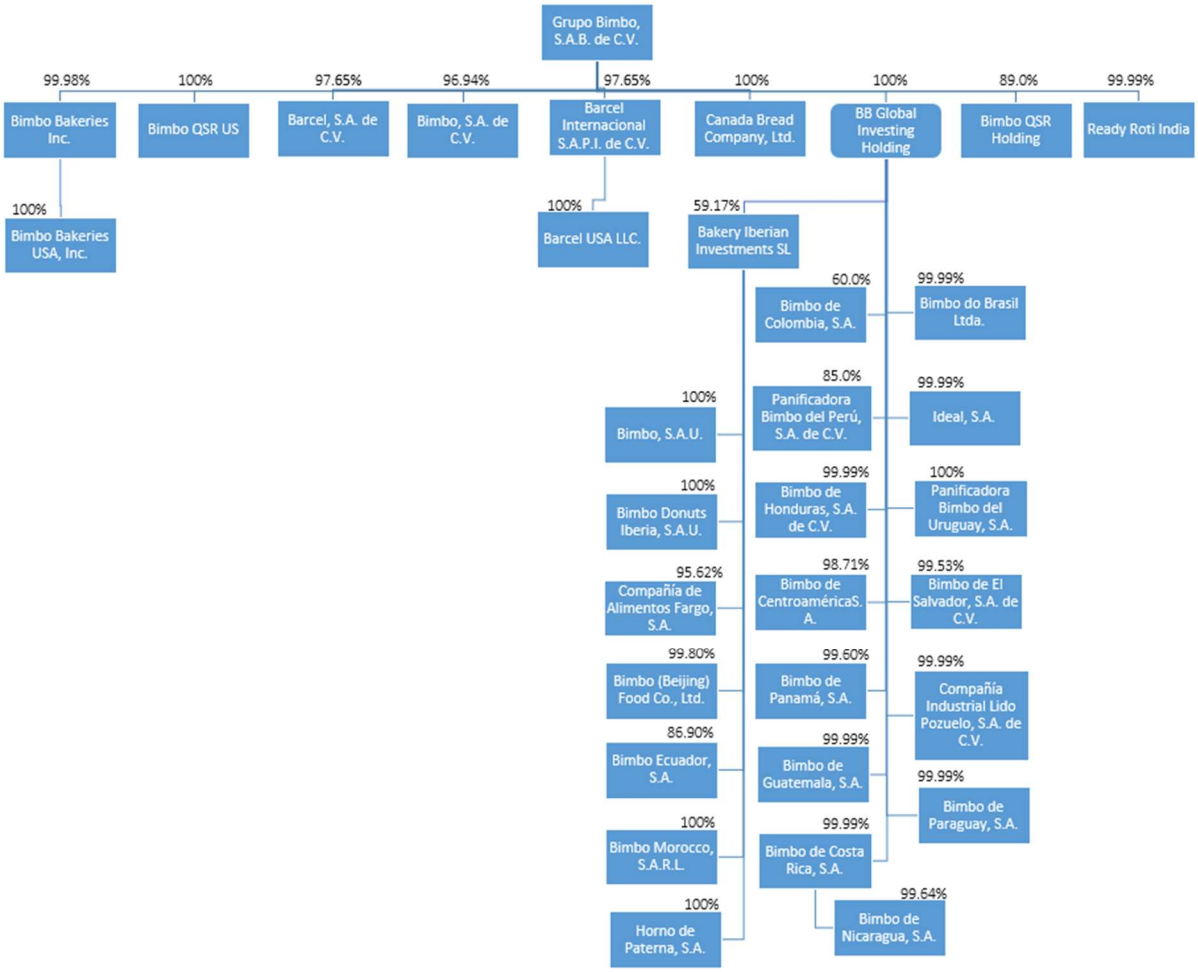
The following table shows the maximum, minimum and closing adjusted quoted prices in nominal pesos as well as the transaction volume of BIMBO Series “A” shares in the BMV, during the indicated periods.

Year ended December 31	Mexican Pesos per Share “A”			Shares “A” Transaction Volume
	Maximum	Minimum	Closing	
2011	28.47	28.47	28.47	577,729,900
2012	33.47	28.44	33.47	557,993,449

2013	45.80	31.72	40.20	597,627,669
2014	43.17	32.53	40.70	521,029,420
2015	49.04	37.81	45.95	481,273,569
2016	59.86	44.43	47.01	621,595,607
2017	48.51	42.19	43.51	532,853,721
2018	46.46	35.07	39.15	592,951,520
2019	43.04	32.83	34.43	635,679,042
2020	45.09	26.95	43.24	768,815,635
2021	63.40	37.10	62.97	689,926,743
2022	87.56	53.20	82.36	707,648,123

4. Corporate Structure

The following table shows the main subsidiaries comprised in the Group's corporate structure as of December 31, 2022:



c) RISK FACTORS

The following risks factors described may adversely affect the Company's development, financial status and/or operating results, as well as affect the price of any securities of the Company.

Risks Related to the Business, Industry and Supply

Increases in prices and shortages of raw materials, fuels and utilities could cause costs to increase

Grupo Bimbo purchases large quantities of raw materials, including wheat flour, edible oils and fats, sugar, eggs and plastic to package its products, the prices of which are volatile. The Group is also exposed to changes in oil prices, which impact both its packaging and transportation costs. Prices for commodities, other supplies and energy fluctuate due to conditions that are difficult to predict, including global competition for resources, currency fluctuations, severe weather conditions (including the effects of global climate change), consumer, industrial or commodity investment demand, changes in governmental regulation and trade, alternative energy sources and government-sponsored agricultural programs. The prices of the Group's raw materials normally fluctuate due to market conditions and currency fluctuations. Grupo Bimbo cannot assure that these fluctuations will not have an adverse effect on its financial performance or that it will be able to pass along the effect of increased costs to consumers.

The Group also relies on fuels and utilities to operate its business. For example, its bakeries and other facilities use natural gas, liquefied petroleum gas and electricity to operate. In addition, its distribution operations use gasoline and diesel fuel and electricity to deliver the products. These fuels and utilities are subject to price volatility. For these reasons, substantial future increases in prices for, or shortages of, these fuels or electricity could adversely affect Grupo Bimbo. Rising raw materials, energy and other input costs could materially and adversely affect the Group's cost of operations, including the production, transportation, and distribution of its products, which could adversely and materially affect its business, financial condition, results of operations and prospects.

To ensure the supply, Grupo Bimbo enters into wheat, natural gas and other hedging arrangements to mitigate its exposure against price volatility. These contracts could cause the Group to pay higher prices for raw materials than those available in the spot markets, materially and adversely affecting it.

The Group may not achieve its targeted cost savings and efficiencies from cost reduction initiatives

The Group's success depends in part on its ability to be a low-cost producer in a highly competitive industry. Grupo Bimbo periodically makes investments in its operations to improve its production facilities and reduce operating costs. The Group may experience operational issues when carrying out major production, procurement, or logistic changes and these, as well as any failure to achieve its planned cost savings and efficiencies, could have a material adverse effect on the business, financial condition, results of operations and prospects.

Competition could adversely affect the Group's business, financial condition, results of operations and prospects

The baking industry is highly competitive and increased competition could reduce the Group's market share or force it to reduce prices or increase promotional spending in response to competitive pressures, all of which would adversely affect its business, financial condition, results of operations and prospects. Competitive pressures may also restrict the Group's ability to increase prices, including in response to commodity and other cost increases. Competition is based on product quality, price, customer service, brand recognition and loyalty, effective promotional activities, access to retail outlets and sufficient shelf space and the ability to identify and satisfy consumer preferences.

Any reduction in sales revenue as a result of competitive pressures would negatively affect the profit margins and, if the Group's sales volumes fail to offset any reduction in margins, it will be materially and adversely affected.

Grupo Bimbo competes with large national and transnational companies, local traditional bakeries, smaller regional operators, small family-owned bakeries, supermarket chains with their own bakeries and brands, grocery stores with their own in-store baking departments or private label products and diversified food companies. To varying degrees, the Group's competitors may have strengths in particular product lines and regions as well as greater financial resources. Grupo Bimbo expects that it will continue to face strong competition in all of the markets and anticipate that existing or new competitors may broaden their product lines and extend their geographic scope. Grupo Bimbo may not be able to successfully compete with these companies.

Grupo Bimbo competes with large national and transnational companies, local traditional consumer foods producers, smaller regional operators, small family-owned businesses, supermarket chains with their own products and brands, grocery stores with their own in-store bakery departments or private label products and diversified food companies. In particular, competition against private label products could negatively impact the Group's business. In most of its product categories, the Group faces branded and price-based competition. Its products must provide higher value and/or quality to its consumers than alternatives, particularly during periods of economic uncertainty. Consumers may not buy its products if relative differences in value and/or quality between its products and private label products change in favor of the Group's competitors' products or if consumers perceive such a change. If consumer preferences shift to private label products, then the Group could lose market share, experience lower sales volumes, or need to shift its product mix to lower margin offerings, which could have a material effect on its business, financial condition, results of operations and prospects.

To varying degrees, its competitors may have strengths in particular product lines and regions as well as greater financial resources. The Group expect that it will continue to face strong competition in all of its markets and anticipate that existing or new competitors may broaden their product lines and extend their geographic scope. The Group may not be able to successfully compete with these companies.

In particular, from time to time, the Group experiences price pressure in certain of its markets as a result of its competitors' promotional pricing practices, which could be exacerbated by excess industry capacity. As a result, the Group may need to reduce the prices for some of its products to respond to competitive and customer pressures and to maintain market share. Such pressures also may restrict its ability to increase prices in response to raw material and other cost increases. The Group's competitors may also improve its competitive position by introducing competing or new products, improving production processes or expanding the capacity of production facilities. If Grupo Bimbo is unable to maintain its pricing structure and keep pace with its competitors' initiatives, its business, financial condition, results of operations and prospects could be materially adversely affected.

The reputation of the Group's brands and its intellectual property rights are key to its business

Most of Grupo Bimbo net sales derive from sales of products offered under brands that the Group owns. Its brand names and other intellectual property rights are key assets of its business. Maintaining the reputation of its brands is essential to the Group's ability to attract and retain retailers, consumers and associates and is critical to the Group's future success. Failure to maintain the reputation of its brands could materially and adversely affect its business, financial condition, results of operations and prospects. These issues include, but are not limited to, appropriately dealing with potential conflicts of interest, non-compliance with legal and regulatory requirements, safety conditions in the Group's operations, ethical issues, money-laundering, antitrust and other governmental investigations affectinf the Group or its business partners, privacy, record-keeping, sales and trading practices and the proper identification of the legal, reputational, credit, liquidity and market risks inherent in its business.

Grupo Bimbo main trademarks are registered in the countries in which the Group uses such trademarks. While Grupo Bimbo intends to enforce its trademark rights against infringement by third parties,

its actions to establish and protect its trademark rights may not be adequate to prevent imitation of its products by others or to prevent others from seeking to block sales of the Group's products on grounds that its products violate their trademarks and proprietary rights. In addition, the authorities in certain jurisdictions in which the Group operates may not timely and efficiently recognize and enforce Group's rights in time (which could result in the reputation of its brands being affected). If a competitor were to infringe on the Group's trademarks, enforcing its rights would likely be costly and would divert resources that would otherwise be used to operate and develop the business. Although Grupo Bimbo intends to actively defend its brands and trademark rights, it may not be successful in enforcing its intellectual property rights, which could materially and adversely affect the Group's business, financial condition, results of operations and prospects. The Group's failure to obtain or adequately protect its intellectual property rights, or any change in law or other changes that serve to lessen or remove the current legal protections of its intellectual property, may diminish the Group's competitiveness and could materially harm its business, financial condition, results of operations and prospects.

See Section "2. The Company – b) Business Description – vi) Patents, Trademarks, Licenses and other Contracts".

Grupo Bimbo must leverage its brand value to compete against lower-priced alternative brands

In nearly all of its product categories, the Group competes with lower-priced alternative products. The Group's products must provide higher value and/or quality to its consumers than alternative brands, particularly during periods of economic uncertainty. Consumers may not purchase the Group's products if the difference in value or quality between the Group's products and the products of other brands changes in favor of the Group's competitors, or if consumers perceive this type of change. If consumers choose the lower-priced brands, then the Group may lose market share or sales volumes, which could materially and adversely affect its product sales, financial condition, and operating results.

Inability to anticipate changes in consumer preferences or enhance the Group's product portfolio may result in decreased demand for its products

Consumer preferences change over time and Grupo Bimbo success depends on its ability to maintain consumer demand for its products by identifying and satisfying the evolving needs, tastes, trends and health habits of consumers in order to respond in a timely manner and offer products that appeal to these needs, tastes, trends and habits. Changes in consumer preferences combined with the Group's failure to anticipate, identify or react to these changes could result in reduced demand for its products, which could in turn adversely affect its business, financial condition, results of operations and prospects. In particular, demand for the Group's products could be impacted by the popularity of trends such as low carbohydrate diets and by concerns regarding the health effects of trans fats, sugar content and processed wheat. Furthermore, Grupo Bimbo may not be able to quickly introduce substitute products, as a means to satisfy consumer demands. Consumer preferences may shift in the future due to several factors that are difficult to predict such as changes in demographic trends, governmental regulations (including current or future regulations related to labeling requirements), weather conditions, concerns over nutritional or food safety aspects or changes in economic conditions. Even though the Group's experience has given it a solid understanding of the markets in which it operates, the Group cannot predict the preferences and needs of its current or potential consumers with absolute certainty. The Group commercializes its products in several different countries and the consumers in each country have their own tastes and preferences (which the Group may be unable to rapidly identify).

The Group's success depends in part on its ability to enhance its product portfolio by adding innovative new products in fast growing, profitable categories as well as increasing market share in its existing product categories. Introduction of new products and product extensions requires significant research and development as well as marketing initiatives. If the Group's new products fail to meet consumers' preferences, the return on its investment in such new product will be less than the anticipated and the Group's strategy to grow net sales and profits may not be successful, which could in turn materially and adversely affect the Group's business, financial condition, results of operations and prospects.

A decrease in consumer confidence and changes in consumer habits may adversely affect the Group's business, financial condition, results of operations and prospects

Grupo Bimbo is exposed to certain political, economic and social factors in Mexico and in the other countries where it operates that are beyond its control and could adversely impact the confidence and habits of consumers. Changes in employment and salary levels, interest rates and other economic indicators, as well as the effect of the COVID-19 pandemic, among other factors, have a direct impact on consumers' income and their purchasing power and an indirect impact on their confidence and consumption habits, which could have an adverse effect on the Group's business, financial condition, results of operations and prospects.

Grupo Bimbo may be unable to drive revenue growth in its key products or add new products that are faster-growing and more profitable

The Group's future results will depend, in part, on its ability to drive revenue growth in its key products. Because a significant portion of the Group's operations are concentrated in North America, where growth in the sweet baked goods industry has been moderate in recent years, the Group's success also depends in part on its ability to enhance its portfolio by adding innovative new products rapidly responding to new consumer demands. There can be no assurance that new products will find widespread acceptance among consumers. The Group's failure to drive revenue growth in its key products or develop innovative new products could materially and adversely affect its profitability, financial condition and operating results.

Grupo Bimbo relies on a limited number of customers for sales through certain of its distribution channels

The Group's Sales under certain distribution channels, in particular those made under traditional and quick service restaurants channels, rely on a limited number of customers with whom the Group does not have written contracts in place, instead, purchases and sales are made on a purchase order basis. Usually the Group has long-standing relationships with its customers, however, such customers may stop purchasing the Group's products at any time. The loss of key customers could materially and adversely affect the Group's business, financial condition or operating results.

Grupo Bimbo would be adversely affected by any significant or prolonged disruption to its bakeries and production facilities

Any prolonged and/or significant disruption to the Group's production facilities, whether due to repair, maintenance or servicing, industrial accidents, mechanical equipment failure, human error, authority supervision, natural disaster or other, would disrupt and adversely affect the Group's operations. In particular, any major disruption to its production facilities may have an adverse impact on its ability to comply with its obligations under its contracts with its customers, which could result in sanctions or penalties under such contracts, including early termination by the Group's customers. Under such circumstances, the Group cannot assure that it will be able to negotiate an amendment to the respective contracts or the termination thereof, which could materially or adversely affect the Group's business, financial situation, results of operations and prospects.

Grupo Bimbo is a holding company that does not generate profits directly, rather it depends on dividends and, to a lesser extent, royalties, lease payments and other financial resources from its subsidiaries to fund its operations and pay dividends, if the Group determine to do so

Grupo Bimbo is a holding company and conducts all of its operations through its subsidiaries. Grupo Bimbo has no independent operations or material assets other than the shares of its subsidiaries and certain intellectual property. Consequently, the Group's ability to fund its operations, pay interest on its debt and, to the extent that the Group decides to do so, pay dividends, primarily depends on its subsidiaries' ability to generate revenue and pay dividends and, to a lesser extent, pay certain royalties and make certain lease payments to the Group. The Group's subsidiaries are separate and distinct legal entities. Any dividend payment, distribution, credit or advance from its subsidiaries is limited by the general provisions of Mexican legislation regarding the distribution of corporate earnings, including those regarding legally required

employee profit sharing payments and, in certain circumstances, contractual restrictions, such as those derived from financing contracts of its subsidiaries, which could limit the Group's capacity to obtain dividends from its subsidiaries. In addition, under Mexican law, the Group's Mexican subsidiaries may only pay dividends (i) out of retained earnings included in financial statements that have been approved by their respective shareholders' meetings, (ii) after all losses from prior fiscal years have been satisfied and (iii) if the corresponding subsidiary has allocated 5.0% of its net profit for such fiscal year to its legal reserve, which allocation must be made on an annual basis until its legal reserve represents at least 20.0% of such entity's capital stock. If a shareholder initiates legal action against Grupo Bimbo, the enforcement of any judgment would be limited to the Group's subsidiaries' available assets. The payment of dividends by the Group's subsidiaries also depends on their earnings and business considerations. In addition, the Group's right to receive any assets from any subsidiary upon its reorganization or liquidation, in its capacity as a shareholder of such subsidiary, will be effectively subordinated to the rights of such subsidiary's creditors, including trade creditors. Any adverse change in the financial situation or in the result of operations of the Group's subsidiaries could affect its business, financial condition, results of operations and prospects.

Health and product liability risks related to the food industry could adversely affect the Group's business, financial condition, results of operations and prospects

The Group is exposed to risks generally affecting the food industry, including risks posed by contamination or food spoilage, evolving nutritional and health related concerns, consumer product liability claims, product tampering, the cost and availability of insurance against civil liability and the possible interruption of the business, potential costs and damages for the collection of defective products. The Group may also become involved in lawsuits and legal proceedings if it is alleged that the consumption of any of its products causes injury, illness or death. A product recall or an adverse resolution against the Group in any of said legal procedures could adversely affect its business, financial situation, results of operations and prospects.

The Group is subject to risks affecting the food industry generally, including risks posed by contamination or food spoilage, evolving nutritional and health-related concerns, consumer product liability claims, product tampering, the availability and expense of liability insurance and the potential cost and disruption of product recalls. The Group may also become involved in lawsuits and legal proceedings if it is alleged that the consumption of any of its products causes injury, illness, or death. A product recall or an adverse result in any such litigation could adversely affect its business, financial condition, results of operations and prospects. In addition, food safety events involving the Group or its QSR customers could negatively impact its business.

The use of social media to post complaints against companies engaged in the food industry, including the Group, as well as the use of mobile devices to capture any deviation from their processes, products or facilities, could adversely affect the Group's business. As a global consumer food company, the Group depends on consumer confidence in the quality and safety of the Group's products. Any illness or death related to its products, or any deviation or perceived deviation in the Group's processes, products, or faciities, could substantially damage its operations. The spread of food-borne illnesses is often beyond the Group's control and the Group cannot assure that new illnesses will not develop in the future.

Any actual or perceived health risks associated with the Group's products, including any adverse publicity concerning these risks, could cause consumers and customers (including the Group's customers in the foodservice industry) to lose confidence in the safety and quality of its products. In recent years, governments in many jurisdictions have negatively referred to products in the industries in which Grupo Bimbo participates and have threatened or imposed taxes that may negatively impact demand for its products. Even if the Group's own products are not affected by contamination, its industry may face adverse publicity if the products of other producers become contaminated, which could result in reduced consumer demand for the Group's products in the affected category. In addition, adverse publicity about the safety and quality of certain food products, such as the publicity about foods containing genetically modified ingredients, whether or not true, may discourage consumers from buying the Group's products or cause production and delivery disruptions.

Grupo Bimbo maintains systems and internal policies designed to monitor food safety risks throughout all stages of the production process. However, the Group's systems and internal policies may not be fully effective in mitigating risks related to food safety. Any product contamination could have a material adverse impact on the business, financial condition, results of operations and prospects of the Group. Furthermore, the Group's customers in the foodservice industry may have claims against it if any of the foregoing events materializes, and if the Group is found liable with respect to any such claim, its business, financial condition, results of operations and prospects may be materially and adversely affected.

The Group's operations are subject to extensive food quality and safety regulations

The Group's operations, including its manufacturing facilities and other assets and products, are subject to extensive regional and national laws, rules, regulations and standards of hygiene and quality regulation in the food safety area and oversight by authorities in each of the countries where the Group operates regarding the processing, packaging, labeling, storage, distribution and advertising of its products. These authorities enact and enforce regulations with respect to the Group's operations by, among other things, licensing its plants, enforcing federal and state standards for selected food products, grading food products, inspecting plants and warehouses. Consequently, Grupo Bimbo is required to maintain various registries, licenses and permits in order to operate its business.

The Group's operations in Mexico are subject to extensive laws, rules, regulations and standards of hygiene and quality regulation and oversight by designated authorities such as the Mexican Ministry of Health (*Secretaría de Salud*), the Ministry of Agriculture, Farming, Rural Growth, Fish and Food (*Secretaría de Agricultura, Ganadería, Desarrollo Rural, Pesca y Alimentación*), the Federal Commission for Protection from Sanitary Risks (*Comisión Federal para la Protección contra Riesgos Sanitarios*) and the Ministry of Economy (*Secretaría de Economía*) and other authorities regarding the processing, packaging, labeling, storage, distribution and advertising of the Group's products.

The Group's U.S. products and packaging materials are regulated by the U.S. Food and Drug Administration, or FDA. This agency enacts and enforces regulations relating to the production, distribution and labeling of food products in the United States. In addition, various states regulate the Group's U.S. operations by licensing plants, enforcing federal and state standards for selected food products, grading food products, inspecting plants and warehouses, regulating trade practices related to the sale of food products and imposing their own labeling requirements on food products.

The Group's operations in Europe are subject to extensive food safety regulations and are subject to governmental food processing controls in each of the European countries in which Grupo Bimbo conducts its business. Regulation EC/178/2002, as amended, provides the framework for a unified approach to food safety in the European Union and all member states have implemented the requirements into law. Among the other major requirements of Regulation EC/178/2002 Article 17, which imposes on food business operators a general obligation to ensure that the operations under their control satisfy the relevant food law requirements and an obligation to verify that such requirements are met, and Article 18, which imposes a mandatory traceability requirement along the food chain. In addition to the general requirements of Regulation EC/178/2002, Grupo Bimbo is subject to specific food hygiene legislation. Further, the Group is regularly inspected by various national and local regulatory authorities. In addition, Grupo Bimbo is subject to extensive consumer-protection and product liability regulations.

Grupo Bimbo is subject to comparable health, hygiene and quality-related local laws and regulations in other countries where it operates. Government policies and regulations in the United States, Mexico and its other markets may adversely affect the supply demand and prices of its products, restrict its ability to do business in existing and target local and export markets and could adversely affect its business, financial condition, results of operations and prospects.

The laws and regulations to which the Group is subject, as well as their interpretations, may change, sometimes dramatically, as a result of a multiplicity of factors beyond the Group's control, including political, economic, regulatory or social.

In addition, if the Group is required to comply with future material changes in food safety or health-related regulations, it could be subject to material increases in operating costs and also be required to implement regulatory changes on schedules that cannot be met without interruptions in its operations. Increased governmental regulation of the food industry, such as proposed requirements designed to enhance food safety, impose health-related requirements or to regulate imported ingredients, could increase the Group's costs and adversely affect its business, financial condition, results of operations and prospects.

If the Group is found to be out of compliance with applicable laws and regulations, the Group may be subject to civil remedies, including fines, injunctions, termination of necessary licenses or permits, or recalls, as well as potential criminal sanctions, any of which could have an adverse and material effect on the Group's business. Even if a regulatory review of the Group's operations does not result in such outomes, it could potentially create negative publicity or a negative perception of the Group which could damage its business or reputation and might adversely affect the results of the Group's operations.

The regulations on health and labelling

The Group's operations are subject to various laws, regulations, guidelines, and Mexican Official Standards that include specific provisions on hygiene and quality, which implies being under the scope of surveillance of various authorities in relation to the production, packaging, distribution, information, and advertising of the Group's products.

Government policies and regulations in the countries where the Group operates could negatively affect the supply, demand, and prices of its products, as well as limit the Group's ability to operate. Furthermore, if there were significant changes in health regulations, the Group could suffer significant increases in its operating costs and be forced to implement measures that could generate interruptions in its operations.

An increase in regulation in the bakery or food industry, including proposals to improve food safety, impose health-related requirements, or regulate certain ingredients, could increase the Group's costs.The legislation of some countries in which the Group operates, including the United States, requires the Group's products to include labels with certain warnings and nutritional information.

In Mexico, since 2013, there have been prohibitions on the sale, distribution, and promotion of high-calorie food to minors in basic education school facilities. While this federal regulation must be complied with by the states, their regulatory frameworks have been aligning over the years to include the same provisions. On the other hand, in 2020, Oaxaca approved the absolute prohibition of the sale, distribution, and promotion of high-calorie food to minors in any type of establishment. Although some state and federal initiatives have tried to replicate this local regulation of Oaxaca, sometimes even promoted by the Federal Ministry of Health, none of them have prospered to date. Additionally, the Federal Ministry of Health has requested to the Congress of the Union to legislate on adequate nutrition, in order to regulate the sale and advertising of high-calorie food to minors outside school facilities as part of an effort to address the problems caused by the global pandemic and high rates of obesity and chronic diseases such as diabetes. Finally, the new labelling rules established in 2020 continue to be implemented in accordance with the staggered system established in the corresponding regulations, these rules establish that food products may not include within their labels pictures of characters, drawings, celebrities, gifts, offers, toys or contests that aim to promote their consumption, which could affect sales, financial situation and results of operations of the Group. Moreover, the Mexican Supreme Court of Justice has taken various judicial proceedings where is questioned the constitutionality of the new labeling rules, which are expected to be resolved by mid-2023.

The Group relies on third parties to sell its products to its consumers, and if they perform poorly or give preference to competing products, Grupo Bimbo could be negatively affected

Grupo Bimbo derives a portion of its operating revenues from sales to retailers. Grupo Bimbo sells its products to non-traditional retailers and quick service restaurants, such as supermarkets, hypermarkets and hard discounters, and to traditional retailers, such as small convenience stores and small family-owned stores. These third parties, in turn, sell the Group's products to final consumers. A portion of its revenues comes from the foodservice distribution channel which includes operators such as restaurants and the on-

the-go channel including vending machines. Any significant deterioration in the business performance of the Group's customers could adversely affect the performance of its products. In addition, shelf and retail space for sweet baked goods is limited and subject to a competitive environment and other industry pressures. Therefore, traditional and non-traditional retailers also carry products that directly compete with the Group's products for consumer purchases, retail space and marketing efforts. There is a risk that such retailers may give preference to products of, or form alliances with, the Group's competitors or give preference to their own private label products, different from the products that Grupo Bimbo produces for such private labels. Private label products represent an alternative for value-conscious consumers. These products allow retailers to increase their sales and margins, which incentivizes retailers to take advantage of their platform to give preference to such private label products at the expense of branded products. There can be no assurance that retailers will provide the Group sufficient shelf space for its products to enable Grupo Bimbo to meet its growth objectives. If retailers put pressure on Grupo Bimbo's margins, fail to purchase the Company's products or fail to provide the Company's products with adequate marketing efforts, the Group's business, financial condition, results of operations and prospects could be adversely affected.

Additionally, alternative retail channels, such as internet-based retailers, mobile applications, subscription services, discount stores and club stores, have become more prevalent in recent years. This trend, away from retail grocery, and towards such channels, is expected to continue in the future. If the Group is not successful in expanding its channel sales in alternative retailer channels, its business or financial resuts could be affected adversely. In addition, these alternative retail channels may create price deflation to the customer, which could affect retail customer relationships and present additional challenges to its ability to increase prices in response to the increase of product costs. Moreover, if these alternative retail channels had a significant market share away from traditional retailers, it may impact the Group's business and financial results.

The Group relies on retailers to sell its products.

A significant portion of the Group's product sales occur through retailers, including non-traditional retailers such as supermarkets and hypermarkets. These retailers sell the Group's products to consumers, as well as products from the Group's competitors and their own branded products. A significant deterioration in the businesses of these retailers could impact the Group's product sales. Additionally, it is possible that these retailers may prioritize the products of the Group's competitors.

Further consolidation in the supermarke and retail food industries and growth of hard discounters may adversely impact the Group

The growth of and consolidation in the supermarket industry has changed the grocery retail landscape in recent years. Originally, supermarkets stood out by selling numerous types of goods under one roof, largely replacing small grocery stores and other retailers that only sold one particular type of product. In order to increase efficiency and maintain competitiveness, supermarket chains have begun consolidating, a trend that has led to a reduction in the number of retailers. In addition, the accelerated growth of hard discount grocers in Europe and the United States is creating a new competitive landscape for traditional supermarkets and large retailers. As a result, the Group and other producers are becoming increasingly dependent on a small number of customers for sales volume and the channels to make its products available to consumers are becoming more limited. As the retail grocery trade continues to grow and consolidate and retailers become larger, the Group's large retail customers have sought, and may continue to seek in the future, to use their position to improve their profitability through improved efficiency, lower pricing, increased promotional programs funded by their suppliers and more favorable terms. Sales to the Group's larger customers on less favorable terms could adversely affect the Group's business, financial condition, results of operations and prospects. In addition, to the extent that hard discounters continue to expand, price-based competition is likely to put additional pressure on the Group's margins. If the Group is unable to use its scale, marketing expertise, product innovation and category leadership positions to respond, its profitability or volume growth could be negatively affected.

In addition, consolidation among the Group's competitors in the baked goods and retail food industry may cause its competitors to gain in size and competitive strength, adversely affecting its business, financial condition, results of operations and prospects.

Disruption of the Group's supply chain and distribution network could adversely affect its business, financial condition, results of operations and prospects

The Group's operations depend on the continuous operation of its supply chain and distribution network. Damage or disruption to the Group's production or distribution capabilities due to weather, natural disaster, fire, electricity shortages, terrorism, pandemics, strikes, disputes with, or the financial and/or operational instability of, key suppliers, distributors, warehousing and transportation providers, changes in the transport regulations, or other reasons could impair the Group's ability to manufacture or distribute the Group's products or to timely comply with its commitments.

To the extent that Grupo Bimbo is unable, or if it is not financially feasible for the Company, to mitigate interruptions in its supply chain or its potential consequences, whether through contracts, insurance arrangements or otherwise, there could be an adverse effect on its business, financial condition, results of operations and prospects, and additional resources could be required to restore the Group's supply chain.

Natural disasters and other events could adversely affect the Group's operations

Natural disasters, such as storms, hurricanes, earthquakes, and floods (including those events resulting from climate change and extreme weather) could disrupt operations, damage infrastructure or adversely affect the Group's production plants and distribution processes. Any of these events could increase its expenses or investments, result in a *force majeure* event under certain contracts and/or impact the economies of the markets affected by such disasters or events and consequently affect the business, financial condition, results of operations and prospects of the Group.

The COVID-19 pandemic has had, and will likely continue to have, certain negative impact on the Group's business, revenues, expenses, costs and overall results of operations and financial condition.

The COVID-19 pandemic has had, and will continue to have, certain negative impact on the Group's business, revenues, expenses, costs and overall results of operation and financial condition. Furthermore, the spread of COVID-19 and the resulting regulatory measures implemented by the governments of the countries in which the Group operates has caused the Group to modify its business activities, including changes in distribution and manufacturing procedures, limiting travel, temporarily closing offices and facilities and implementing remote work capabilities. In addition, the impact of COVID-19 in the financial markets has adversely affected the cost of borrowing, hedging activities and access to capital in general which could limit the Group's ability to obtain financing in favorable terms or at all.

The COVID-19 pandemic may not be fully contained for the foreseeable future and certain regions may be subject to an increase in the number of infected people and deaths. Therefore, a prolonged health crisis could continue to reduce economic activity in Mexico and the other countries in which the Group operates, resulting in a further decline in employment, as well as in confidence among businesses and consumers. For some sectors uncertainty still prevails and the strong increase in unemployment rates will affect the expected recovery of consumption. Furthermore, it is unclear how the macroeconomic business environment or social norms may be impacted after the pandemic. The post-COVID-19 environment may undergo unexpected developments or changes in financial markets, fiscal, tax, labor and regulatory environments and customer and consumer behavior. These developments and changes could have an adverse impact on the Group's results of operations and financial condition. Ongoing business and regulatory uncertainties and changes may make the Group's longer-term business, balance sheet and budget planning more difficult or costly. To the extent that the Group is not able to adapt to the new business environment, it could experience business loss and its results of operations and financial condition could materially suffer.

The extent to which COVID-19 may impact the Group's operations, liquidity, financial condition, and results of operations will depend on future developments, including, but not limited to, the duration and spread of the pandemic, its severity, the actions to contain the disease or treat its impact, and the duration, timing and severity of the impact on financial markets and the financial condition of its customers and consumers and the availability of a vaccine, all of which are highly uncertain and cannot be predicted. The Group will continue to closely monitor and evaluate the nature and extent of the impact of COVID-19 on its operations, liquidity, financial condition, results of operations and prospects. The Group may also take further actions that alter its business operations, as may be required by federal, state or local authorities, of the countries in which the Group operates, or that it determines are in the best interests of its associates, suppliers, customers and consumers.

The operations of the Quick Service Restaurant of the Group are subject to high operating standards, which may require the Group to make significant capital investments.

The operations of the QSR channel are subject to extremely high operational quality standards by the Group's customers, which include standards related to cleanliness, product consistency, delivery times, practice of manufacturing recognized worldwide, compliance with food regulations, health and control, at the local level (e.g., a systematic method of product safety that emphasizes prevention within the production plant through analysis, inspection and monitoring). In addition, the approval processes for customers and potential customers in the Group's QSR branch are thorough and lengthy in order to ensure compliance with their high quality standards. The Group may be required to make significant investments to achieve compliance with those standards; however, there is no certainty that the Group will ever become a supplier to such customers, that will develop close relationships with such customers and that will refrain from acquiring competing products.

Grupo Bimbo operations could be adversely affected if its suppliers fail to perform in a satisfactory manner

The Group's production depends on the availability of raw materials such as wheat flour, edible oils and fats, sugar and eggs, which the Group obtains from several third party suppliers in different countries. Although Grupo Bimbo believes any of its suppliers could be replaced, if for any reason any of its major suppliers is unable or unwilling to continue providing the Group with raw materials due to production delays, increased competition for their products, failure to meet its quality or hygienic standards or any other reason, the Group may face delays in obtaining alternate suppliers, and such suppliers may be unwilling to supply its raw material needs on terms as favorable, or by satisfying the same quality, as those provided by the Group's current suppliers. In addition, in the event of severe shortages, the Group's suppliers may be directed by government agencies to supply certain consumers directly, with preference over Grupo Bimbo. Any such event could result in delays in the Group's operations, deterioration of its brands (and, as a result, reduced demand for its products) and diminished financial results.

Grupo Bimbo may be subject to unknown or contingent liabilities related to its recent and future acquisitions

The Group's recent and future acquisitions of assets and entities may be subject to unknown or contingent liabilities (including violations of antitrust, anticorruption, anti-bribery and anti-money laundering laws, and tax and labor disputes) or breaches of representations and warranties for which the Group may have no recourse, or only limited recourse, against the former owners. In some of the Group's acquisitions the former owners agreed, or may agree, to indemnify the Group for certain of these matters. However, such indemnification obligations are often subject to materiality thresholds and guaranty limits, and such obligations are generally time limited. For certain acquisitions, Grupo Bimbo may not be able to successfully negotiate for such indemnification obligations. As a result, the Group may not recover any amounts with respect to losses due to unknown or contingent liabilities or breaches by the sellers of their representations and warranties. In addition, the total amount of costs and expenses that may be incurred with respect to liabilities associated with the acquired assets and entities may exceed the Group's expectations, and the Group may experience other unanticipated adverse effects, all of which may adversely affect its business, financial condition, results of operations and prospects.

The Group's growth opportunities through acquisitions, mergers or joint ventures may be limited by antitrust laws, access to capital resources and other claims related to the integration of significant acquisitions.

The Group may pursue further acquisitions in the future. The Group does not know if it will be able to successfully complete such acquisitions or whether it will be able to successfully integrate any acquired business into its business or retain key associates, suppliers or distributors. Furthermore, there is no guarantee that no claim will be made regarding antitrust provisions, in connection with its existing operations or any acquisition that the Group may pursue in the future. If any such claim arises, the Group may be required to sell or divest itself of significant assets, or be unable to consummate any acquisition.

The Group's ability to successfully grow through acquisitions depends upon its ability to identify, negotiate, complete and integrate suitable acquisitions and to obtain the required financing on terms acceptable to Grupo Bimbo. These efforts could be expensive and time consuming, disrupt its ongoing business and distract management. If Grupo Bimbo is unable to integrate any acquired businesses effectively, its business, financial condition, results of operations and prospects could be materially affected.

The Group may be unable to successfully expand its operations into new markets

If the opportunity arises, The Group may expand its operations into new markets. Each of the risks applicable to the Group's ability to successfully operate in its current markets is also applicable to its ability to successfully operate in new markets. In addition to these risks, the Group may not possess the same level of familiarity with the dynamics and market conditions of any new markets that it may enter, which could adversely affect its ability to expand into or operate in those markets. Grupo Bimbo may be unable to create similar demand for its products in these new markets, which could adversely affect its profitability. If Grupo Bimbo is unsuccessful in expanding its operations into new markets, its business, financial condition, results of operations and prospects could be materially and adversely affected.

Currency fluctuations may adversely affect the Group

Grupo Bimbo generates revenues and incur operating expenses and indebtedness in local currencies in the countries where it operates. The amount of its revenues denominated in a particular currency in a specific country typically varies from the amount of expenses or indebtedness incurred by its operations in that country given that certain costs may be incurred in a currency different from the local currency of that country, such as the U.S. dollar. This situation exposes the Group to potential losses and reductions in its margins resulting from currency fluctuations, which may materially and adversely affect its business, financial condition, results of operations and prospects.

As of December 31, 2022, 77% of its consolidated debt and a significant portion of its income, operating costs and taxes were denominated in U.S. dollars. However, other significant portions of the Group's income, operating costs and taxes were denominated in Mexican pesos and certain other currencies. As a result, the appreciation or depreciation of the Mexican peso and other currencies against the U.S. dollar affects the Group's results of operations and financial condition. Significant fluctuations of the Mexican peso and other currencies relative to the U.S. dollar have occurred in the past, negatively affecting the Group's results. For example, according to the Mexican Central Bank, the Mexican peso depreciated by 3.2% in 2021, and 5.9% in 2020, while it was appreciated by 5.7% in 2022, 4.3% in 2019, 0.5% in 2018, and 4.6% in 2017**,** all in nominal terms. The Mexican Central Bank may from time to time participate in the foreign exchange market to minimize volatility and support an orderly market. The Mexican Central Bank and the Mexican government have also promoted market-based mechanisms for stabilizing foreign exchange rates and providing liquidity to the exchange market. However, the peso is currently subject to significant fluctuations against the U.S. dollar and may be subject to such fluctuations in the future.

Currency fluctuations could also affect the Group's ability to import raw materials and finished products denominated in dollars to businesses outside the United States. If such fluctuations were significant without the possibility of implementing economic strategies and effective financial measures,

including local manufacturing measures, the Group could be forced to radically change its business model or to suspend or cease its operations in the affected countries.

The Group selectively hedges its exposure to the U.S. dollar with respect to the Mexican peso and other currencies, its U.S. dollar-denominated debt obligations and the purchase of certain U.S. dollar-denominated raw materials. A severe depreciation of the Mexican peso or any currency of the countries where the Group operates may result in a disruption of the international foreign exchange markets and may limit its ability to transfer or to convert Mexican pesos or such other currencies into U.S. dollars for the purpose of making timely payments of interest and principal on its U.S. dollar-denominated indebtedness or obligations in other currencies. While the Mexican government does not currently restrict, and since 1982 has not restricted, the right or ability of Mexican or foreign persons or entities to convert Mexican pesos into U.S. dollars or to transfer other currencies out of Mexico, the Mexican government could establish restrictive exchange rate policies in the future. Any change in the monetary policy, policies related to the transferability of funds, the exchange rate regime or in the exchange rate itself, as a result of market conditions over which the Group has no control, could have an adverse effect on its business, financial condition, results of operations and prospects. Restrictions on the Group's right to convert pesos into U.S. dollars or make payments outside of Mexico could affect its ability to make timely payment of its obligations due to be paid outside Mexico or in a currency other than Mexican pesos. Furthermore, there can be no guarantee that any hedging transactions Grupo Bimbo enters into will sufficiently protect it against any such impacts.

The Group's business operations could be disrupted due to interruptions or failures in its information technology systems

Grupo Bimbo relies on sophisticated information technology systems and infrastructure to support its business, including process control technology. For example, its production, distribution and inventory management of the Group uses technologies of the information to increase efficiency and optimize costs. These systems are also fundamental for the management and reporting of the results of its operations. In addition, an important part of the communications between, and storrage of personal data of, its associates, customers and suppliers depend on information technology.

The information and operational technology systems of the Group, and the systems of the parties it communicate and collaborate with, may be vulnerable to a variety of interruptions, as a result of updating its enterprise platform or due to events beyond its or their control, including, but not limited to, power, network, software or hardware failures, malicious or disruptive software, unintentional or malicious actions of associates or contractors, cyberattacks by hackers, criminal groups or nation-state organizations or social-activist (hacktivist) organizations, geopolitical events, commercial restrictions, fiscal policy changes, natural or man-made disasters, failures or impairments of telecommunications networks, pandemics (such as de COVID-19 pandemic) or other catastrophic events.

On the other hand, the Group's computer systems have been subject to, and possibly will continue, subject of attacks by viruses, malware, ransomware and other malicious code, social engineering attacks, unauthorized access attempts, theft of passwords, money and information, security system failures, internal errors, attacks and cybernetic crimes of known and unknown natures. Cyber threats are constantly evolving, are becoming more sophisticated and are being made by organizations, groups and/or individuals with a wide range of expertise and motives, which increases the difficulty of detecting and successfully minimizing the impact of these events and/or defending against them. These events have and may continue to compromise the Group's confidential information, impede or interrupt its business operations, and may result in other negative consequences, including remediation costs, loss of revenue or market share, litigation and reputational damage. Furthermore, if a breach or other breakdown results in disclosure of confidential or personal information, the Group may suffer reputational, competitive and/or business harm.

Grupo Bimbo currently utilizes third party e-commerce providers and request that they have the appropriate cybersecurity controls and meet regulatory requirements. However, the cybersecurity and compliance controls the Group or its third party providers implement might not be effective. In particular, continuity of business applications and services may be disrupted by errors in systems' maintenance, migration of applications to the cloud, power outages, hardware or software failures, viruses or malware,

denial of service and other cyber security attacks, telecommunication failures, natural disasters, terrorist attacks and other catastrophic events.

Should any of these risks materialize, the need to coordinate with various third party service providers might complicate the Group's efforts to resolve the related issues. If the Group's controls, disaster recovery and business continuity plans do not effectively resolve the issues in a timely manner, its business, financial condition, results of operations and prospects may be materially and adversely affected.

In addition, the Group must comply with increasingly complex and rigorous regulatory standards issued for the purpose of protecting personal or business information in the European Union, the United States, and other jurisdictions regarding privacy, protection of personal data and data security, including those related to the collection, storage, handling, use, disclosure, transfer and securing of personal data. There may be significant uncertainty regarding compliance with these laws and regulations, including those relating to the General Data Protection Regulations of the European Union ("GDPR") (which impose additional obligations to companies regarding the handling of personal data and grant rights of personal privacy to the persons whose data is stored), thus they evolve constantly and can be interpreted and applied differently in each country, situation that may result in inconsistent and contradictory requirements. In addition, the Group's efforts to comply with these laws, including the GDPR, may result in significant costs and challenges that are likely to increase over time.

In addition, should confidential information belonging to the Group or its associates, customers, consumers, partners, suppliers, or governmental or regulatory authorities be misused or breached, the Group may suffer financial losses relating to remediation, damage to its reputation or brands, loss of intellectual property, or penalties or litigation related to violation of data privacy laws and regulations.

The Group enters into significant transactions with affiliates and related parties, whether individuals or legal entities, and this may create potential conflicts of interest and result in less favorable terms for the Group

The Group participates in transactions with individuals and companies affiliated or related to the Group. Even when its Audit and Corporate Practices Committee is in charge of analyzing these operations, operations with related parties could create potential conflicts of interest that could result in less favorable terms for the Group than those obtained from an unaffiliated third party.

See Section "4. GOVERNANCE - b) Operations with Related Parties and Conflicts of Interest ".

The Group depends on the expertise and capability of its senior management and associates, and its business may be disrupted if it loses their services

The Group's senior management team possesses extensive operating experience and industry knowledge. Grupo Bimbo depends on its senior management to set its strategic direction and manage its business and believes that their involvement in it is crucial for its success. Furthermore, its continued success also depends upon its ability to attract, hire or retain experienced and talented professionals. The loss of the services of its senior management or its inability to recruit, train or retain a sufficient number of experienced and talented associates could have an adverse effect on the Group's business, financial condition, results of operations and prospects. Grupo Bimbo does not maintain any key person insurance on any of its senior management or associates for these purposes. Its ability to retain senior management as well as experienced and talented associates will in part depend on the Group having in place appropriate staff remuneration and incentive schemes. The remuneration and incentive schemes Grupo Bimbo has in place may not be sufficient in retaining the services of its experienced and talented associates.

Environmental regulations

Environmental standards have become increasingly strict, and this trend could continue with the intention of guaranteeing the preservation of the environment, including promoting the creation of state environmental taxes focused on plastic packaging for food and drink, as an additional source of income for states given the budgetary pressures.

Similarly, in Baja California, Coahuila and Nuevo León (entities where the Group has operations), and other states, "environmental taxes" have been published, through which certain tax rates are established for the generation and disposal of waste, emissions of pollutants to the atmosphere, soil, and bodies of water, as well as the generation of greenhouse gases. These taxes may have some impact -which is not estimated to be material- on the Group's profitability.

On the other hand, between 2016 and 2021, at the federal and state levels in Mexico, various legislative initiatives were presented to restrict and even ban the use of single-use plastics, varying the definition of these in each state, as well as regulating their composition to include percentages of recycled material, establishing mandatory management plans and collection targets staggered to 2025 and 2030, and including additives that make them biodegradable. To date, all states have some type of restriction focused on reducing waste generated by single-use plastics, mainly focusing on the prohibition of sale or gift of plastic bags for carrying, polystyrene foam (UNICEL) containers or packaging, and disposable plastic items such as straws, cups, plates, and cutlery.

On November 17, 2021, the Senate of the Republic approved the report for the issuance of the General Law of Circular Economy (the "LGEC"), which regulates what is provided in articles 4, 25, and 73 of the Political Constitution of the United Mexican States on environmental protection, sustainable development, preservation, and restoration of ecological balance. This law was approved by the Plenary of the Congress of Mexico City on February 14, 2023, and entered into force on March 1, 2023. The LGEC is of general observance throughout the national territory and has among its main objectives to promote efficiency in the use of products, services, materials, raw and secondary materials, by-products through reuse, recycling, and redesign. Likewise, the LGEC establishes progressive targets for the inclusion of recycled material content in plastic packaging of (i) 20% by 2025, and 30% by 2030. On the other hand, on November 18, 2021, the same Senate of the Republic approved the comprehensive reform report to the General Law for the Prevention and Integral Management of Waste ("LGPGIR"), which contains various modifications to federal legislation focused primarily on regulating the disposal, management, and comprehensive management of plastic waste. Although this project continues in its legislative process before the Chamber of Deputies, as the reviewing chamber, and its final approval and publication in the DOF is also anticipated as probable by mid-2023, the minute contains important changes that provide legal certainty, mainly: (i) homogenizing at the federal and state levels the definition of "single-use plastics" to be understood as "those plastics, including containers and packaging that are designed to be used only once, that are not subject to a mandatory management plan and that are not reusable, recyclable, compostable, or susceptible to valorization or use"; (ii) allowing the possibility of having a management plan included in the concept of extended responsibility, avoiding a more aggressive definition (e.g., reverse logistics); (iii) prohibiting single-use plastics, according to the definition above, by 2023 or 2024; (iv) including progressive targets for recycled material content in packaging of 20% by 2025 and 30% by 2030, and (v) including progressive targets for national collection of PET of 60% by 2025 and 80% by 2030.

Government environmental regulations and, in general, trends in public policies in the countries where the Group operates, could negatively affect the supply, demand, and prices of its products, as well as limit its ability to operate.

If any of the jurisdictions where the Group operates were to implement significant changes in environmental regulations or if their enforcement becomes stricter, the Group could suffer significant increases in its operating costs and be forced to implement measures that could generate interruptions in its operations. This could have an adverse effect on the Company's financial results or position.

We are subject to federal, state, and local laws and administrative regulations related to environmental protection in each of the countries where the Group operates. There is no certainty that the Group will be able to comply with future environmental regulations, and the Group cannot assure that, in the event of having to adapt or implement actions aimed at compliance with environmental regulation, it will not incur significant responsibilties, liabilities or costs. Even though the Group may continue to invest significant amounts in relation to compliance with environmental regulation, the nature of its products and

operations exposes them to risks of claims and sanctions resulting from violations of environmental regulation that could imply additional costs or the suspension, temporary or permanent, of certain operations.

In 2012, the General Law on Climate Change was published in Mexico. This law establishes provisions to address the adverse effects of climate change and, among other things, provides for (i) the creation of a registry of emissions generated by fixed sources, both direct (i.e., generated by the industry itself) and indirect (e.g., those generated by energy consumption, vehicle fleet, etc.); (ii) companies to report their emissions, if required, and (iii) the imposition of fines on companies that do not report their emissions or that report false information. Likewise, in 2014, Mexico published the Regulation of that law regarding the National Emissions Registry, which aims to regulate the General Law on Climate Change by identifying the sectors and sub-sectors in which the establishments subject to reporting are grouped. In accordance with this regulation, we must calculate and report our greenhouse gas emissions, direct or indirect, annually for each of our plants in Mexico. One of the most important purposes of this regulation is the application of policies and actions that mitigate greenhouse gas and compound emissions. Obligations to reduce greenhouse gas emissions could require us to incur additional expenses or investments that could adversely affect our business.

In line with the above, the General Law on Climate Change and its Regulations provide for the entry into force of an emissions trading system, which will operate under the scheme of allocations and sale of emission rights, known as cap and trade. The food industry is among those required to participate in this system, which is currently in its pilot phase but will become mandatory starting in 2023.

It is anticipated that Bimbo's participation in this emissions trading system will have direct economic effects on the company's final profits, as it will be necessary to invest in more efficient equipment that reduces emissions, increase the consumption of energy from renewable sources, and, if necessary, purchase emission rights if the allocated limit for the industry group is exceeded.

In 2013, the Federal Law on Environmental Responsibility was published in Mexico, which aims to regulate environmental responsibility arising from damages caused to the environment, as well as the repair and compensation of such damages when enforceable through federal judicial processes, alternative dispute resolution mechanisms, administrative procedures, and those corresponding to the commission of environmental crimes. In the event that the group's operations fall within the scope of environmental damage caused by illegal activities established in the law, the group may be subject to environmental responsibility and therefore to potentially significant sanctions.

Finally, on March 11, 2022, the Official Mexican Standard NOM-001-SEMARNAT-2021 was published in the Official Gazette of the Federation, which establishes permissible limits for pollutants in wastewater discharges into national bodies of water. This standard replaces the NOM-001-SEMARNAT-1996 and establishes stricter criteria for the presence of pollutants in wastewater discharges, which will generate the need to invest in pollutant abatement equipment in the Group's production processes. Non-compliance with this new standard may result in fines and other administrative sanctions, such as the suspension of the activities that generate discharges that do not comply with the established parameters.

Compliance with environmental and other governmental laws and regulations could result in added expenditures or liabilities

The Group’s operations are subject to federal, state and municipal laws, rules, regulations and official standards, relating to the protection of the environment and natural resources in all the markets in which it operates. In general, environmental laws impose liability and clean-up responsibility for releases of hazardous substances into the environment and set out the requirements to obtain and maintain environmental permits for the Group’s facilities.

In the United States, Grupo Bimbo is subject to federal, state and local laws and regulations relating to the protection of the environment. These laws and regulations include the Clean Air Act, the Clean Water

Act, the Resource Conservation and Recovery Act and the Comprehensive Environmental Response, Compensation, and Liability Act (CERCLA or Superfund).

In Mexico, the Group is subject to various Mexican federal, state and municipal environmental laws and regulations that govern discharges into the environment, as well as the handling and disposal of hazardous substances and wastes. Grupo Bimbo is subject to strict regulation in Mexico by, among other agencies, the Environmental and National Resources Ministry (*Secretaría de Medio Ambiente y Recursos Naturales*), the Labor and Social Security Ministry (*Secretaría del Trabajo y Previsión Social*), the Federal Environmental Protection Bureau (*Procuraduría Federal de Protección al Ambiente*) and the National Water Commission (*Comisión Nacional del Agua*). These agencies may initiate administrative proceedings for violations of environmental and safety ordinances and impose economic penalties on violators.

Although the Group has specific programs across its business units designed to meet applicable environmental compliance requirements, modifications of existing environmental laws and regulations or the adoption of more stringent environmental laws and regulations in the jurisdictions in which the Group operates may result in the need for investments that are not currently provided for in its capital expenditures program and may otherwise result in a material adverse effect on the Group's business, financial condition, results of operations and prospects.

The Group is subject to anti-trust, anti-corruption and anti-money laundering laws in different countries where it has operations. Failure to comply with these laws could result in penalties, which could harm the Group's reputation and have an adverse effect on its business

The Group operates in multiple jurisdictions and is subject to complex regulatory frameworks with increased enforcement activities worldwide. Grupo Bimbo is subject to anti-trust, anti-corruption and anti-money laundering laws. Although the Group maintains policies and processes intended to comply with these laws, including a review of its internal control over financial reporting, the Group cannot ensure that these compliance policies and processes will prevent intentional, reckless or negligent acts committed by its officers or associates. If the Group's officers or associates fail to comply with any applicable anti-trust, anti-corruption, anti-bribery or anti-money laundering laws, they may be subject to criminal, administrative or civil penalties and other remedial measures, which could have material adverse effects on the business, financial condition, results of operations and prospects of the Group. Furthermore, the entities or businesses the Group acquires may not comply with the same control standards and procedures as Grupo Bimbo. Any investigation of potential violations of anti-trust, anti-corruption, anti-bribery or anti-money laundering laws by governmental authorities in any jurisdiction where the Group operates could materially and adversely affect its business, financial condition, results of operations and prospects. This could also adversely impact the Group's reputation and ability to, when applicable, obtain contracts, assignments, permits and other government authorizations.

In 2017 Canada's Competition Bureau commenced an investigation over allegations relating to an industry collusion among several bread suppliers (including Canada Bread, which the Group acquired in 2014), in relation to price-fixing that occurred from 2001. As of the date of this report investigations by Canada's Competition Bureau are ongoing and certain parties involved have admitted to inappropriate conduct. Neither the Group nor its subsidiaries have been charged with any offenses. Both the Group and Canada Bread are fully cooperating with Canada's Competition Bureau as it conducts its inquiry. In addition, the Group was notified of two class actions (resulting from the consolidation of 12 previously filed lawsuits) by groups of consumers and/or consumer associations against all the parties allegedly involved in Canada's Competition Bureau investigation. The Group cannot guarantee that the result of this investigation or the class action will not have an adverse effect on its business, financial situation, results of operations and prospects.

In addition, Grupo Bimbo is subject to economic sanctions regulations that restrict its dealings with certain sanctioned countries, individuals and entities. There can be no assurance that the Group's internal policies and procedures will be sufficient to prevent or detect all inappropriate practices, fraud or violations of law by its affiliates, associates, directors, officers, partners, agents and service providers or that any such persons will not take actions in violation of Group's policies and procedures. Any violations by Grupo Bimbo

of anti-bribery and anti-corruption laws or sanctions regulations could have a material adverse effect on its reputation, business, financial condition, results of operations and prospects.

An impairment in the recoverable value of goodwill or intangibles could affect the Group's consolidated operating results and net worth

The carrying value of goodwill represents the fair value of acquired businesses in excess of identifiable assets and assumed liabilities as of the acquisition date. The carrying value of the intangibles represents the fair value of trademarks, trade names, and the acquired intangibles as of the acquisition date. Goodwill and acquired intangibles that are expected to contribute indefinitely to the Group's cash flows are not amortized, but must be evaluated by management at least annually for impairment. If carrying value exceeds current recoverable value, the goodwill and indefinite-lived intangible assets are considered impaired and is reduced to recoverable value via a charge to earnings. Events and conditions which could result in an impairment include changes in the industries in which Grupo Bimbo operates, including competition and advances in technology; a significant product liability or intellectual property claim; or other factors leading to reduction in expected sales or profitability. Should the value of one or more of the acquired intangibles become impaired, the Group's consolidated operating results and net worth may be materially and adversely affected.

Financing to meet the Group's future capital needs may not be available or sufficient on terms acceptable to it and/or at all

Grupo Bimbo may need additional financing to build new facilities, expand existing ones, undertake mergers and acquisitions, refinance its debt or for other purposes. Some of the financing agreements entered by the Group and by its subsidiaries contain financial ratios and other customary covenants for transactions of this type which may limit its ability to incur in additional debt.

The global market and economic conditions are unpredictable and may continue to be so in the future. Debt capital markets have been affected in the past by significant losses in the international financial services industry and economic events in certain countries, among other factors. In the future, the cost of fundraising in debt capital markets may increase significantly, while funds available from these markets may materially decrease. The Group's growth strategy may require financing by public or commercial banks and loans from other public or private financial institutions. If the Group incurrs in variable rate debt, the Group will be exposed to fluctuations in interest rates that could result in an increase in its funding costs. In case that there are no funds available from public or private banks, or if such funds are provided on less favorable terms, the Group may not be able to meet its capital needs, or these needs may be limited or hampered, and the Group may not be able to (i) take advantage of certain business opportunities, (ii) respond to competitive pressures, (iii) fund needed capital expenditures or working capital or (iv) fund required debt payments, margin calls or margin deposits in connection with hedging transactions, which may adversely affect its business, financial condition, results of operations and prospects.

Grupo Bimbo may incur additional indebtedness in the future that could adversely affect its financial condition and its ability to satisfy its total outstanding debt obligations from its cash flow

In the future, the Group could incur in additional debt, situation which could have the following effects:

- limit its ability to pay its debt;
- limit its ability to pay dividends;
- increase its vulnerability to adverse general economic and industry conditions;

- require the Group to dedicate a portion of its cash flow from operations to servicing and repaying its indebtedness, which may place the Group at a competitive disadvantage with respect to its competitors with less debt;

- limit its flexibility in planning for or reacting to changes in its business and the industry in which it operates;

- limit, along with the financial and other restrictive covenants of its indebtedness, its ability to borrow additional funds; and

- increase the cost of additional financing.

The Group's ability to generate sufficient cash to satisfy its outstanding and future debt obligations will depend on its future operating performance, which will be affected by prevailing economic conditions and financial, business and other factors, many of which are not controlled by the Group. If the Group is unable to service its indebtedness, it will be forced to adopt an alternative strategy that may include actions such as reducing or delaying capital expenditure, selling assets, restructuring or refinancing its indebtedness, or seeking equity capital. These strategies may not be instituted on satisfactory terms, if at all.

In addition, certain of the Group's financing arrangements impose operating and financial restrictions on its business, such as limitations on its ability to incur liens, consummate mergers, sell substantially all of its assets and enter into similar transactions, and requirements to maintain certain financial ratios. These provisions may negatively affect its ability to react to changes in market conditions, take advantage of business opportunities the Group believes to be desirable, obtain future financing, fund needed capital expenditures, or overcome existing or future downturns in its business.

On the other hand, the Group's credit ratings may vary due to changes in the calculation methodologies used by rating agencies, modifications to Mexico's credit rating, or for other reasons beyond the Group's control. A downgrade in the credit rating could result in higher financing costs and affect the Group's ability to incurr in new debt or refinance existing debt.

In the future, the Group may from time to time incur in substantial additional indebtedness. If the Group or its subsidiaries incur additional debt, the risks that it faces as a result of its existing indebtedness could further intensify.

Applicable law could adversely affect the Group.

The Group is subject to regulation in each of the countries where it operates. The main areas in which Grupo Bimbo is subject to regulation are water, environment (including regulation relating to single use plastic), labor, transportation, taxation, health and antitrust. The adoption of new laws or regulations or a stricter interpretation or enforcement thereof in the countries where the Group operates, including the imposition of taxes directed to products that the Group sells or requirements for the packaging that the Group uses for its products, may increase its operating costs or impose restrictions on its operations which, in turn, may adversely affect its business, financial condition, results of operations and prospects. In particular, environmental standards are becoming more stringent in several of the countries where the Group operates, and the Group is in the process of complying with these standards, although it cannot assure that it will be able to meet the timelines for compliance established by the relevant regulatory authorities. Further changes in current regulations may result in an increase in compliance costs, which may have an adverse effect on the Group's future results or financial condition.

The Group is affected by governmental regulations and guidelines imposing health, food safety and nutritional standards. Grupo Bimbo may also be affected by labeling requirements for its products in order to comply with such health, food safety and nutritional standards. The Group's compliance with such standards may require it to incur in substantial costs for research and development and use costlier ingredients in its products. Grupo Bimbo may not be able to make corresponding increases in the prices it

charges consumers for its products, which would adversely affect the business, financial condition, results of operations and prospects of the Group.

Voluntary price restraints or statutory price controls have been imposed historically in several of the countries where the Group operates. Currently, price controls on the Group's products exist in certain of the territories in which it has operations. The imposition of these restrictions or voluntary price restraints in other territories may have an adverse effect on its business, financial condition, results of operations and prospects. Grupo Bimbo cannot assure that governmental authorities in any country where it operates will not impose statutory price controls or that it will not need to implement voluntary price restraints in the future.

In addition, the governments of the countries where the Group operates, particularly in Mexico and the United States, may approve amendments to tax regulations, including changes in tax rates. As a result of such amendments, the Group would not be able to predict with certainty the magnitude of the impact on its business, financial condition or results of operations.

The Group's operations are subject to the general risks of litigation

The Group is involved in litigation arising from the ordinary course of its business or for other causes, which could lead to unfavorable decisions or financial sanctions against it. Such litigation could include class actions involving consumers, shareholders, associates or affected persons, as well as lawsuits related to commercial, labor, economic competition, administrative, intellectual property, liability for damages, contractual, fiscal or environmental matters. Class actions were recently recognized in Mexico. Moreover, the process of litigating requires substantial time, which may distract the Group's management. Even if the Group is successful, any litigation may be costly, and may approximate the cost of damages sought. Furthermore, there may be claims or expenses which are denied insurance coverage by the Group's insurance carriers, not fully covered by its insurance, in excess of the amount of its insurance coverage or not insurable at all. Litigation trends and expenses and the outcomes of litigation cannot be predicted with certainty and adverse litigations, trends, expenses and outcomes could have a material adverse effect on the Group's business, financial condition, results of operations and prospects.

In addition, the Group's operations have from time to time been subject to investigations and proceedings by antitrust authorities and litigation relating to alleged anticompetitive practices (including related class actions and other proceedings). In 2017, Canada's Competition Bureau commenced an investigation over allegations relating to an collusion between various participants in the baking industry (including Canada Bread, which the Group acquired in 2014) in connection with price-fixing that occurred from 2001. As of the date of this Annual Report, the investigation is ongoing and some individuals have admitted to engaging in certain irregular conduct. Neither Grupo Bimbo nor any of its subsidiaries have been charged with any offenses. The group and Canada Bread are cooperating fully with Canada's Competition Bureau as it conducts its inquiry. Additionally, Grupo Bimbo was notified of two class actions (resulting from the consolidation of 12 previously filed lawsuits) filed against all the parties allegedly involved in such investigation by consumers and/or consumer associations. The Group cannot assure that the outcome of this investigation or of the class actions will not have an adverse effect on its business, financial condition, results of operations and prospects.

The Group will continue to be subject to legal proceedings and investigations. The Group cannot assure that these investigations and proceedings will not have an adverse effect on its business, financial condition, results of operations and prospects. Moreover, adverse publicity about regulatory or legal actions or investigations and allegations by other parties involved in regulatory or legal actions against the Group could damage its reputation and brand image, undermine the confidence of the Group's customers and reduce long-term demand for the Group's products, even if the regulatory or legal action is unfounded or not material to the Group's operations.

Recent amendments to Mexican tax regulation.

In December 2019, the Mexican government published several amendments to the Income Tax Law, the Value Added Tax Law, the Excise Tax Law and the Federal Tax Code, most of which became

effective on January 1, 2020. This set of tax reforms is one of the most important in recent years and its main objective is to address tax evasion by strengthening the control mechanisms available to the tax authorities. Among the principal modifications contemplated by the tax reforms that could affect the Group's results of operations are strict restrictions on the deductibility of certain expenses, such as a new limitation on the deduction of net interest that exceeds 30% of taxpayers' adjusted income, the non-deductibility of certain payments to related parties or through structured agreements with respect to income that is considered subject to preferential tax regimes, or that is subject to hybrid mechanisms. Likewise, important amendments were introduced with respect to the tax regime applicable to foreign entities or legal entities that are transparent for tax purposes, as well as to foreign entities or legal entities whose income is considered subject to preferential tax regimes.

The 2020 tax reform also introduced a new mandatory disclosure regime for transactions that are considered reportable transactions in terms of the provisions of Title VI, Sole Chapter of the Federal Tax Code, mainly directed to tax advisors of taxpayers.

On September 1, 2021, a reform regarding the subcontracting of personnel entered into force, which introduced various modifications in tax and labor matters that could affect the Group's operating flows and results. Among the main modifications contained in the reform, is the prohibition of subcontracting of personnel for the performance of activities of the corporate purpose or predominant economic activity of the contracting party, the need to have authoritzation of outsourcing services providers with the Mexican Ministry of Labor, deem payments made under non-permitted outsourcing schemes as non-deductible and significantly increase the statutory profit sharing payments that employers are required to pay to associates.

Due to the tax reform that came into force on January 1, 2022, various modifications were introduced that may affect the Group's operating results; among them, changes in the order of priority for crediting income tax, changes in the parameters for determining foreign exchange gains or losses, limitations on the application of preferential withholding rates in the context of financing entered into with related parties, additional obligations regarding transfer prices and the establishment of additional requirements for crediting the value added tax.

The tax regime in other countries where the Group operates could be modified. The imposition of new taxes or an increase in existing taxes, the imposition of measures related to tax collection, or any modifications in the interpretations of tax authorities in the countries where the Group operates could have an adverse negative effect on its financial situation, business, operating results, and projections.

Although the Group expects to maintain a cost structure that allows it to remain a profitable business, the Group cannot guarantee that these new taxes, or any similar taxes that may be approved in the future, will not have a negative impact on its operating results.

Seventh Amendment to the Harmonized System

On June 7t, 2022, the "Decree issuing the General Law of Import and Export Taxes" was published in the Official Gazette, which stipulates in its first article the fees that, based on the classification of goods, will serve to determine general import and export taxes, that is, the tariff applicable to the import and export of goods.

This decree materializes the "Seventh Amendment to the texts of the Nomenclature of the Harmonized System for the Designation and Coding of Goods," approved by the Customs Co-operation Council of the World Customs Organization.

The decree includes modifications to various tariff fractions of the General Law of Import and Export Taxes (TIGIE), creating 531 tariff fractions, modifying 803, and eliminating 259 fractions, in order to adapt it to current flows of international trade and technological advances.

Likewise, the creation of Commercial Identification Numbers (NICO) is established in order to have more precise statistical data, which constitutes a commercial facilitation tool that allows the separation of

commercial intelligence and statistics from the regulatory function, both in the tariff aspect and in non-tariff regulations and restrictions.

The aforementioned decree will enter into force 10 business days after the SAT, through general provisions, determines that the systems used in foreign trade transactions are ready to operate. The said period may not exceed 180 days following its publication, which was December 4th, 2022.

Likewise, with the entry into force of the decree in question, the General Law of Import and Export Taxes published in the Official Gazette on July 1st, 2020, is repealed.

In addition, in accordance with the transitional article fourth of the decree under analysis, it is indicated that the Ministry of Economy (SE), within 40 natural days following its publication, must publish the NICO, as well as the correlation tables of tariff fractions, thus on August 22nd, 2022, the "Agreement making known the Commercial Identification Numbers (NICO) and their correlation tables" was published in the Official Gazette.

As a result of the elimination, modification, and creation of a large number of tariff fractions, it is probable that both the ANAM and the SAT will begin to determine different criteria for tariff classification than those that already existed with the aim of collecting revenue and achieving their goals.

Audit in Mexico

The Tax Administration Service continues with tax collection in 2022, consolidating its strategy in three main areas:

1. Increase tax efficiency through programs focused on promoting tax efficiency and coercive collection, through which omissions or inconsistencies in compliance with obligations were identified in a timely manner and the payment of determined debts is encouraged.

2. Reduce tax evasion and avoidance through the implementation of programs that prioritize the scheduling of audit activities in which specific irregularities are detected, such as the annual audit program for Large Taxpayers, which aims to streamline audits to strengthen tax collection through four lines of work: (i) scheduling new activities, (ii) strengthening audits in progress, (iii) analyzing appeals for revocation that are susceptible to correction, and (iv) monitoring balance control. Additionally, these efforts are supported by the use of information technologies to increase assertiveness and streamline resource allocation.

3. Combat corruption through anticorruption campaigns that aim to publicize sanctions and strengthen the culture of prevention and fight against corruption, as well as to promote confidential reporting through various means available to the Tax Administration Service.

In addition, the Federal Revenue Law for the 2023 Fiscal Year does not contemplate new taxes or increases to existing ones, in accordance with the assumptions of the macroeconomic framework, as well as the estimated income and expenses in the Economic Package for the 2023 Fiscal Year. As a result, the group believes that auditing will increase in Mexico in order to meet the tax authorities' revenue targets.

Creation of National Customs Agency

On July 14, 2021, the Decree creating the National Customs Agency of Mexico (ANAM) was published in the Official Gazette of the Federation. The ANAM is an administrative decentralized body of the Ministry of Finance and Public Credit, which is autonomous and independent of the Tax Administration Service (SAT), to which the General Administration of Customs (AGA) originally belonged. Operationally, it will have representation offices in different federal entities and abroad.

Among the various faculties conferred on the ANAM for the accomplishment of its objective are: Collecting contributions and profits applicable to foreign trade operations and their accessories; determining

and settling such contributions; directing customs and inspection services; carrying out operations aimed at verifying the legal stay of goods in national territory and goods in transit, including those relating to the review or confirmation of the correct origin of such goods, among others.

On December 21, 2021, the Interior Regulation of the National Customs Agency of Mexico was published in the Official Gazette of the Federation, as well as various reforms and additions to the Interior Regulation of the Ministry of Finance and Public Credit and the Interior Regulation of the Tax Administration Service in order to establish the norms and attributions of the National Customs Agency of Mexico.

As a result, the National Customs Agency of Mexico began operating on January 1, 2022. It has been an adaptation process, since systems and infrastructure had to be quickly created in order not to hinder Mexican foreign trade. According to statistics published by the ANAM from January to September 2022, over 820 billion pesos have been collected, including customs clearance in all customs of the country. They also report that over 15.5 million operations were carried out during the year.

The personnel of the different Customs is mainly composed of the Secretariat of the Navy and the Secretariat of National Defense, who are not fully trained or familiar with customs matters.

Supplemental waybill for merchandise in transport in CFDI

On September 29, 2021, the tax and customs authority determined the addition of a requirement to prove ownership or possession of merchandise transported by land, air, sea, or rail within and from Mexico, called the "Waybill".

This obligation had various extensions for its enforceability as part of the mandatory documentation that owners, possessors, and carriers must have with them at the time of transporting merchandise. However, it was determined that as of January 1, 2022, the Digital Fiscal Receipt (CFDI) must include the "Waybill" supplement to prove ownership or possession of these goods or merchandise. The carrier must have the electronic file or printed representation of the CFDI, along with the Waybill supplement.

It is important to mention that, as of that date, transportation services for goods and/or merchandise cannot be deducted with a CFDI that does not include the Waybill supplement, as it will not comply with tax deduction requirements.

On November 28, 2022, it was determined that the penalties resulting from the Waybill supplement requirements will be extended until July 31, 2023. Additionally, enforceability will start on August 1, 2023, for the transmission of the fiscal folio of the CFDI to which the Waybill supplement is incorporated regarding foreign trade.

With the enforceability of this new obligation, the Group considers that the tax authority will be initiating preventive powers without a formal authority act, to verify the legal ownership or possession of merchandise in transport, as well as the possibility of denying deductions that could be considerable, under the argument that they do not include said supplement.

If the Group is unable to maintain relationships with labor unions it may have an adverse effect on its business, financial condition, results of operations and prospects

A large portion of the Group's workforce are affiliated to a union, guild or labor representation, nevertheless, the Group has a good relationship with all the groups that represent the interests of its members and works every day to maintain and strengthen it.

However, labor relations always have a risk and unforeseen component, in which the Group could be exposed to labor contingencies. The Group cannot assure that it or its subsidiaries will not experience labor disruptions or strikes in the future, which could result in a material adverse effect on its business and returns. The Group also cannot assure that it will be able to negotiate new collective bargaining agreements on the same terms as those currently in force or that it will not be subject to strikes or labor interruptions

before or during the negotiation process of such agreements. These labor disputes may be motivated by changing social and economic conditions in the countries in which the Group operates. Labor disputes that result in strikes or other disruptions could also cause increases in operating costs, which could damage the Group's relationships with its customers and adversely affect its business, financial condition, results of operations and prospects. For example, in 2017 the Group suffered two separate strikes each in different plants located in Canada, which resulted in the interruption of its operations in such plants for several weeks. The Group cannot assure that similar strikes will not occur in the future and any such strikes may have a material negative impact on its operations. In addition, if any significant differences exist or arise during the negotiations with labor unions or associates, its business, financial condition, results of operations and prospects may be materially and adversely affected.

In case of significant differences with the unions during negotiation processes or comprehensive review of collective labor contracts, the business could be adversely affected. The content of the initial collective contracts, as well as the respective review agreements, must be consulted and approved by the majority of the workers through a personal, free and secret vote. If the initial collective labor contract or the bargaining agreements does not have the majority support of the workers covered by it, the union may exercise its right to strike.

As of the date of this Annual Report, the Group is not aware of any union organizing efforts, requests for representation certificates, inter-union conflicts, strike notices, or collective lawsuits against the Group.

In addition, increases in labor costs may materially and adversely impact the Group's business, financial condition, results of operations and prospects. A shortage in labour or other general inflationary pressures or changes in applicable laws and regulations could increase labor cost, which could have a material adverse effect on Grupo Bimbo.

The Group's labor costs include the cost of providing benefits for associates. Grupo Bimbo sponsors a number of defined benefit plans for associates in most of the regions where it operates, including pension, retiree health and welfare, active health care, severance and other post-employment benefits. Grupo Bimbo also participates in a number of MEPPs for certain production facilities in United States and Canada, where the Group makes periodic contributions to these plans to allow its workforce meet their pension benefit obligations. Grupo Bimbo required contributions to these funds could increase because of a shrinking contribution base as a result of the insolvency or withdrawal of other companies that currently contribute to these funds, inability or failure of withdrawing companies to pay their withdrawal liability, lower than expected returns on pension fund assets or other funding deficiencies. In addition, the annual cost of benefits and MEPP provisions can vary significantly from year to year and is materially affected by such factors as changes in the weighted-average discount rate used to measure obligations, the rate or trend of health care cost inflation, the provisions of collectively bargained wage and benefit agreements or material adjustments in the MEPP sponsors. For example, a minor decrease in reference interest rates would result in a lower weighted-average discount rate used to determine the net present value of future obligations under MEPPs and therefore the amount of the provisions.

Recent amendments to Mexico's labor legislation, and the eventual incapacity of the Group maintaining its relationships with labor unions can have an adverse effect in its business, financial condition and results of operations and prospects

In May 2019, the Federal Labor Law and other related regulations were reformed and abolished in the area of labor justice and workers' rights to organize and carry out the negotiation of collective agreements. At the same time as these reforms, among other things, new labor authorities and courts, new labor and conciliation processes, provisions relating to the freedoms of association and organization of workers were created, and negotiation of collective agreements and the rules against employment discrimination were issued or reformed. The Group cannot ensure that these changes will not adversely affect its business, financial situation, and results of the operation and prospects.

The approval of the amendments introduced by the Federal Executive regarding subcontracting, with labor, social security and tax scope, could result in a modification of its hiring scheme.

The labor legislation in Mexico has undergone multiple reforms since 2019, including, among others, the creation and operation of new labor courts, the implementation of mandatory pre-judicial conciliation procedures, authentic collective bargaining, transparency and democratic trade unions, prevention of psychosocial risk factors at work, teleworking, labor outsourcing, and changes to the inspection and sanctioning procedures.

The tax and labor reforms regarding personnel outsourcing include the prohibition of personnel outsourcing for activities that are part of the contracting party's core business or predominant economic activity, the requirement to obtain authorization from the Ministry of Labor and Social Welfare for the provision of specialized outsourcing services, the non-deductibility and inadmissibility of tax credits for income tax and value-added tax, respectively, corresponding to payments made for personnel outsourcing, and an increase in workers' participation in profit-sharing schemes. Labor, social security, and tax authorities are expected to continue verifying compliance with labor outsourcing reforms through inspections and audits this year.

Currently, there are various reform initiatives regarding the hiring of older adults and related to digital platform workers.

As a result of these changes, the Group has implemented various changes in its hiring schemes, labor structure, and associates' transfers in order to comply with the new labor outsourcing legislation in the required terms.

Finally, on January 1, 2023, the legislation granting workers the right to enjoy 12 consecutive days of vacation in their first year of service came into effect.

These reforms, as well as any other labor reforms that may be implemented in the future, could increase the Group's operating costs and therefore affect its operating results.

The Group is subject to different disclosure and accounting standards than companies in other countries

A main objective of the securities laws of Mexico and other countries is to promote full and fair disclosure of all material corporate information, including the financial information of the issuers. However, it is possible that issuers of securities in Mexico do not disclose the same information or disclose different information from what would be mandatory for them to disclose in other countries. The Group is subject to obligations consisting of the submission of periodic reports with respect to shares listed on the Mexican Stock Exchange. The disclosure standards imposed by the CNBV and the Mexican Stock Exchange could be different than those required in other countries or regions. In addition, the standards of accounting and disclosure requirements of Mexican public bodies are different from those of the United States of America. In particular, the financial statements are prepared in accordance with IFRS, which differ from US GAAP by several aspects. Items in a company's financial statements prepared in accordance with IFRS may not reflect its financial position or results of operations in the way they should be reflected if such financial statements had been prepared in accordance with US GAAP.

Modifications to IFRS

Some IFRS have been recently modified and others may be modified or come into effect in the future. The initial application of new IFRS could have a negative impact on the Group's internal processes, as well as its operations, financial situation, and compliance with contractual obligations. Likewise, financial information prepared in accordance with the new IFRS or their modifications may not be comparable to financial information reported in previous periods and fiscal years.

Real Estate

The real estate used by the Group is subject to a large number of environmental, tax, and safety provisions that could become stricter in the future, therefore, imposing greater responsibilities and requiring additional investments in assets.

The operation of the real estate is subject to a wide range of environmental and safety regulations at the federal, state, and municipal levels, as well as surveillance by the authorities responsible for enforcing these laws and the policies derived from them. Among other things, these laws require obtaining environmental permits and licenses for the operation, remodeling, or expansion of the real estate.

The operation of the real estate is also subject to possible environmental risks that may affect its performance. This could impose obligations on the Group to prevent environmental damage and force it to invest in assets or incur other unforeseen expenses to mitigate potential harm.

The enactment of new, stricter environmental and safety provisions could require the Group to make investments in assets that enable it to comply with the new provisions. Such additional investments could increase the maintenance expenses of the real estate.

A decrease in consumer confidence and changes in consumer habits may adversely affect the business, financial condition or Income Statement of the Group

The Group is exposed to certain political, economic and social factors in Mexico and in the other countries in which it operates that are beyond its control and could adversely impact the confidence and habits of consumers. Changes in employment and salary levels, interest rates and other economic indicators, among other factors, have a direct impact on consumers' incomes and their purchasing power and an indirect impact on their confidence and consumption habits, which could have an adverse effect on the sales and Income Statement of the Group.

It may be difficult to enforce civil liabilities against the Group's directors, executive officers and controlling shareholders

The Company is a listed variable stock corporation (*sociedad anónima bursátil de capital variable*) organized under the laws of Mexico, with its registered address in Mexico, and most of its directors, executive officers, and controlling shareholders are residents in Mexico. Moreover, a significant portion of its assets and a significant portion or all of the assets of such resident persons are located in Mexico.

As a result, it may be difficult for foreign investors to bring legal processes outside Mexico against such persons or the Group, or to enforce judgments against them or the Group in courts of any jurisdiction outside of Mexico, including any judgment predicated upon the civil liability provisions of such persons in those countries. There is doubt as to the enforceability in Mexican courts of civil liabilities arising under the federal laws of the United States, by means of judgments carried out in Mexico or enforcement processes of judgments from US courts. There is currently no treaty between the United States and Mexico covering the reciprocal enforcement of the judgements of the foreign country. In the past, the Mexican Supreme Court of Justice Mexican has issued a ruling regarding the homologation of a foreign judgment and its enforcement in Mexico, requiring that the enforcement of such judgment does not violate public order, without requiring an exact match between the legislation of both countries. Therefore, it would be necessary to analyze the specific case to determine whether a foreign judgment can be enforced in Mexico.

Increased electricity and fuel expenses

The Group's operations consume significant amounts of electricity and fuel. Although the Group has taken several measures to mitigate the volatility of energy costs, such measures may not be sufficient. Increases in energy and fuel expenses that the Group is unable to transfer to the price of its products would have an adverse effect on its financial condition and results of operations.

In Mexico, the Federal Government issued several regulatory amendments in the electric energy sector in order to (i) increase the costs for transmission service for holders of legacy interconnection agreements with renewable or efficient cogeneration sources, as well as conventional sources, (ii) establish certain restrictions on the modification of self-supply and cogeneration permits to incorporate new partners and load centers to such self-supply and cogeneration schemes, and (iii) propose the modification of rules on the granting and modification of electricity generation permits, interconnection and dispatch processes (especially for intermittent renewable power plants), among others. In addition, the Mexican Congress approved an amendment of several provisions of the Electricity Industry Law of which the following stand out: (i) rules were established for the revocation of self-supply permits that have been granted for a purpose other than the production of electricity for own consumption (i.e., provision for the needs of third parties); and (ii) amendments to the order of dispatch of power plants interconnected to the National Electric System, specifically, assigning dispatch priority (without being subject to economic efficiency criteria) to power plants owned by or at the service of the Federal Electricity Commission for the provision of basic supply.

Grupo Bimbo has entered into electricity supply agreements with several suppliers. In the event that, as a result of such amendment, the corresponding generators are unable to comply with their obligations under such agreements, the Group would have to pay, at least temporarily, the regulated rate for basic supply determined by the Energy Regulatory Commission, which could represent a significant increase in its electricity costs and, therefore, affect its results of operations. Currently the Group is unable to predict with certainty the magnitude of the impact that the approval of this initiative could have on its business, financial condition or results of operations.

Risks Related to Countries in Which the Group Operates

The Group's business and financial performance may be adversely affected by risks inherent in international operations

Grupo Bimbo currently maintains production facilities and operations in Mexico, the United States, Argentina, Brazil, Canada, Chile, China, Colombia, Costa Rica, Ecuador, El Salvador, France, Honduras, Guatemala, India, Italy, Kazakhstan, Morocco, Nicaragua, Panama, Paraguay, Peru, Portugal, Russia, Spain, South Africa, South Korea, Switzerland, Ukraine, Uruguay, Turkey, the United Kingdom and Venezuela. The Group's ability to conduct and expand its business and its financial performance is subject to the risks inherent in international operations. The Group's liquidity, results of operations and financial condition may be adversely affected by trade barriers, currency fluctuations and exchange controls, political unrest, high levels of inflation and increases in tariffs, taxes and governmental royalties, as well as changes in local laws and policies of the countries in which the Group conducts business, including changes to environmental laws that could affect its production facilities or to health safety laws that could affect its products. The governments of the countries where the Group operates, or may operate in the future, could take actions that affect the Group materially and adversely, including the taking, expropriation or condemnation of its assets or subsidiaries.

Any limitation on foreign trade in any of the countries where the Group operates could affect its business, financial condition, results of operations and prospects. Individual governments could impose trade restrictions for a variety of reasons, either tariff or non-tariff, restricting, limiting or prohibiting international trade of goods. Such measures would adversely affect the Group's business, financial condition, results of operations and prospects since Grupo Bimbo imports a significant portion of its raw materials.

Global economic conditions may adversely affect the Group's business and financial performance

The Group's business, financial condition, results of operations and prospects may be affected by the general conditions of the economies, rates of inflation, interest rates or exchange rates for the currencies of the countries where Grupo Bimbo operates. These conditions vary by region and may not be correlated to conditions in the Group's operations in other regions. Decreases in the growth rate of these countries' economies, periods of negative growth and/or increases in inflation or interest rates in these countries may

result in lower demand for the Group's products, lower real pricing of its products or a shift to lower margin products.

Consumer demand, preferences, real prices and the costs of raw materials are heavily influenced by macroeconomic and political conditions in the other countries where the Group operates. When economic conditions deteriorate, the final markets for the Group's products may experience declines, and the Group may suffer reductions in the Group's sales and profitability. In addition, the financial stability of the Group's customers and suppliers may be affected, which could result in decreased, delayed or canceled purchases of the Group's products, increases in uncollectable accounts receivable or non-performance by suppliers.

The global economy may continue to experience periods of slowdown and volatility which in turn may further diminish expectations and consumer spending in the economies in which the Group operates and may be adversely affected by a significant lack of liquidity, loss of confidence in the financial sector, currency fluctuations, disruptions in the credit markets, difficulty in obtaining financing, reduced business activity, rising unemployment, uncertainty in the level of interest rates, erosion of consumer confidence and reduced consumer spending. Although the Group's strategy is targeted at offsetting or taking advantage of market trends as appropriate, a worsening of the global economic downturn in general has had, and may continue to have, a negative impact on the business, financial condition, results of operations and prospects of Grupo Bimbo.

Furthermore, on June 23, 2016, the United Kingdom held an in-or-out referendum on the United Kingdom's membership within the European Union, the result of which favored the exit of the United Kingdom from the European Union, or "Brexit." On March 29, 2017, the country formally notified the European Union of its intention to withdraw pursuant to Article 50 of the Lisbon Treaty, which triggered a two-year negotiation to define the terms of the relationship between the United Kingdom and the European Union. The referendum agreement to which the European Union and the United Kingdom arrived was rejected three times by the Parliament of the United Kingdom, and a new deadline was set for the ratification of the treaty by which the United Kingdom would leave the European Union on 31 October 2019. On July 23, 2019, Boris Johnson, who had openly supported the United Kingdom's exit from the European Union and swore to leave on 31 October of the same year, was elected as Prime Minister of the United Kingdom. On January 31, 2020, the withdrawal agreement became effective, subject to a transition period until the end of 2020. During such transition period, the United Kingdom and European Union's commercial agreement remained the same, allowing the European Union and the United Kingdom to agree upon and implement a new commercial agreement. As of January 1, 2021, the United Kingdom and the European Union's commercial relations are regulated by the EU-UK Trade and Cooperation Agreement, which brings upon a significant change for the citizens, companies and governments of the European Union and the United Kingdom. The potential impact of the terms and conditions of the EU-UK Trade and Cooperation Agreement as a consequence of Brexit on the results of the Group's operations cotinues to be unclear. Currently, the results of the EU-UK Trade and Cooperation Agreement, economic conditions in the United Kingdom, the European Union and global markets continue to be uncertain as the new terms and conditions negotiated between the European Union and the United Kingdom continue to be implemented. The continued uncertainty related to Brexit could have a negative operational or economic impact and increase volatility in the financial markets, particularly in Europe. Such volatility and negative economic impact could, in turn, adversely affect the Group's business.

Political or social developments in any of the countries in which Grupo Bimbo has operations, over which it has no control, may have an adverse effect on the global market or on the business, financial condition, results of operations and prospects of the Group.

Adverse economic conditions in North America in particular may negatively affect the Group's business, financial condition, results of operations and prospects

Grupo Bimbo was founded in Mexico, and a significant portion of its operations are conducted in Mexico, the United States and Canada. For the year ended December 31, 2022, 81.0% and 85.9% of its Net Sales and Adjusted EBITDA (giving effect to the amortization of losses from its operations in Europe), respectively, were attributable to its operations in Mexico, the United States and Canada. As a result, the

Group's business, financial condition, results of operations and prospects may be affected by the general condition of the economies in the United States, Canada and Mexico, including price instability, inflation, interest rates, regulation, taxation, increasing crime rates and other political, social and economic developments over which Grupo Bimbo has no control. In addition, the Mexican economy continues to be heavily influenced by the U.S. economy, and therefore, deterioration in the conditions of the U.S. economy or in the U.S.-Mexico relationships may affect the Mexican economy. In the past, Mexico has also experienced prolonged periods of economic crisis caused by internal and external factors over which the Group has no control. These periods have been characterized by exchange rate instability, high inflation, economic contraction, a reduction of international capital flows, a reduction of liquidity in the banking sector and high unemployment rates. Such conditions may return and could have a material and adverse effect on the Group's business, financial condition, results of operations and prospects.

To a certain degree, the market value of the securities of Mexican companies are affected by economic and market conditions in other emerging market countries. Although economic conditions in these countries may differ significantly from economic conditions in Mexico, investors' reactions to developments in any of these other countries may have an adverse effect on the market value of securities of Mexican issuers, including Grupo Bimbo.

In addition, the direct relationship between economic conditions in Mexico and the United States has narrowed in other years as a result of the North America Free Trade Agreement and the increase in economic activity between the two countries. The T-MEC formally entered into force on July 1, 2020. The Group considers that, throughout the year 2022, both Mexico and the United States and Canada have viewed positive economic results of the T-MEC. However, due to Mexico´s energy reform, the United States expressed its desire to trigger a dispute resolution panel, citing various violations of foreign investments. Currently, Mexico is negotiating with the United States in order to prevent the latter from triggering a dispute settlement panel, however, it is highly likely that it will happen in the short term.

It is important to remember that if a sanction is defined in a dispute settlement panel, the party that implemented the measure is bound to withdraw it or modify it so that it complies with the Treaty's commitments, and may even go so far as to impose retaliation through the elimination of tariff preferences against the party that fails to withdraw or modify the measure found to be in violation of the Treaty.

On the other hand, and regarding the relationship between Mexico and the United States, on August 20, 2021, the government of Mexico, through the Ministry of Economy, formally requested the start of consultations with the Government of the United States in matter of rules of origin of the automotive sector according to Article 31.4 (Consultations) of the T-MEC, for which Canada joined and participated in the consultation process.

The consultations stage did not result in the resolution of the dispute, thus on January 6, 2022, Mexico submitted a request for the establishment of a panel under paragraph 1 of Article 31.9 (Establishment of a Panel) of the T-MEC to determine the correct interpretation and application of the provisions of Chapter 4 (Rules of Origin) and the Uniform Regulations of the T-MEC. On August 2 and 3, 2022, the hearings of the Dispute Settlement Panel that Mexico and Canada requested from the United States regarding the interpretation of the Rules of Origin in the automotive sector were held in Washington, D.C. On January 11, 2023, the panel constituted between Mexico, the United States, and Canada issued the final report on the dispute United States – Rules of Origin in the Automotive Sector (USA-MEX-2022-31-01). According to its resolution, the panel ruled in favor of the claimants, determining that the T-MEC allows vehicle manufacturers to consider essential parts of a finished vehicle (engine, transmission, body, etc.) as originating, once those auto parts have separately met the minimum regional content percentage (75%), using the alternative methodologies established by the treaty itself.

The Group cannot assure that the implementation of the T-MEC and the Uniform Regulations could not affect the Mexican economy and have an adverse and significant effect on the business, financial situation and results of operations of the Group.

Moreover, on November 3, 2020, the presidential elections were held in the United States, and Joseph R. Biden Jr., of the Democratic Party, was elected President of that country. His presidency began on January 20, 2021, and will extend until January 19, 2025. In November 2022, elections were held in the United States in which new representatives were elected throughout the country. As a result of the elections, the Republican Party obtained the majority in the House of Representatives and the Democratic Party maintains the majority in the United States Senate. The full scope of Mr. Biden's legislative agenda, the relationship between the executive and legislative branches, and future US policies regarding issues of importance to Mexico and its economy , in particular trade and migration, remain uncertain. The Group cannot guarantee that the future political environment in Mexico and the United States, over which the Group has no control, will not have a material adverse effect on its business, results of operations, financial condition or projections. Moreover, the Group cannot assure that the changes in policies and legislation by the administrations in office in the United States and Mexico and the rest of the countries in which the Group operates, may not affect the economies in said countries, causing a significant adverse effect on its business, financial condition and results of operations.

Other International Treaties

Mexico has a total of 14 Free Trade Agreements (TLCs) with 50 countries, 30 Agreements for the Promotion and Reciprocal Protection of Investments (APPRIs) with 31 countries or administrative regions, and 9 limited scope agreements (Economic Complementation Agreements and Partial Scope Agreements) within the framework of the Latin American Integration Association (ALADI).

In addition, Mexico actively participates in multilateral and regional organizations and forums such as the World Trade Organization (OMC), the Asia-Pacific Economic Cooperation (APEC) Mechanism, the Organization for Economic Cooperation and Development (OCDE), and ALADI.

Currently, negotiations are underway for South Korea to join the Pacific Alliance as an associate member. Additionally, on March 1, 2022, Mexico and South Korea agreed to begin negotiations for a Free Trade Agreement.

Furthermore, on May 20, 2022, Mexico and the United Kingdom began negotiations in London to establish a modern and progressive TLC between the two countries that relates to the trade of goods and services, as well as digital trade, cross-border data flows, e-commerce, regulatory cooperation, innovation, among others. Since December 2020, the commercial relationship between both countries has been regulated through an agreement establishing that from January 1, 2021, the tariff preferences that have been benefited under the Free Trade Agreement between the European Union and Mexico (TLCUEM), would remain in force, despite the UK's exit from the region.

Finally, the government of Malaysia announced its ratification of the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (TIPAT), becoming the ninth country to do so, with only Chile and Brunei remaining to conclude the process. The Government of New Zealand, as the Depositary, notified that the Treaty came into force for Malaysia on November 29, 2022.

This integration that Mexico has had and maintains in order to expand its network of international treaties with the global community, favors the entry and exit of products from different origins with the application of tariff preferences.

As of this day, the most important trading partner of Mexico remains the United States, with approximately 80% of Mexico's global trade concentrated in exports and imports to North America.

The conflict between Russia and Ukraine could negatively affect the world economy and, in turn, the business, financial situation, results of operations and prospects of the Group

On February 21, 2022, Russia recognized the independence of the Donetsk People's Republic and the Luhansk People's Republic, two self-proclaimed independent states in the Donbass region of eastern Ukraine. The next day, the Russian Federation Council unanimously authorized President Putin to use

military force outside Russia's borders. As a consequence, diplomatic relations between Russia and Ukraine broke down and a military confrontation between the two countries began.

In response to the recognition of the two breakaway republics and the Russian military invasion of Ukraine, Western countries began to implement sanctions against Russia, including sanctions against financial institutions, against individuals involved in the invasion of Ukraine, airspace restrictions, and other government sanctions such as prohibition of the sale, supply, transfer or export of certain goods and technology. In addition, it is uncertain the measures and reactions that Russia could have in face of the sanctions imposed.

Although at this time it is not possible to predict the magnitude of the economic, political and social consequences that will result from the conflict, the Group has presence in Ukraine and Russia. Due to the current international situation, and in line with the Group's values, on February 23, 2022 the Company reported the temporary suspension of operations at the Ukraine plant and on March 14, 2022 the suspension of sales under the Bimbo brand, as well as new capital and marketing investments in Russia. In March 2022, the plant in Ukraine restarted its operations.

Although the Group considers that both actions will not have a material impact on its business, the Group will continue to monitor and assess the situation as circumstances evolve, as external factors over which the Group has no control, such as political, economic or social developments derived from the conflict, could have an adverse negative effect on the global market or on the business, financial situation, results of operations and prospects of the Group.

Political, economic and social conditions in Mexico could materially and adversely affect Mexican economic policy and, in turn, the Group's business, financial condition, results of operations and prospects

Political circumstances in Mexico may significantly affect Mexican economic policies which could have an effect on the Group's operations. Mexico's presidential, federal and local elections were held on July 1, 2018 with a majority result (in the presidential, federal and local elections) in favor of the left-wing political party Morena. Mr. López Obrador, president of Mexico since December 1, 2018, and the designated public officials of Morena, acting within their corresponding positions, have the ability to direct the policies of the public administration and to present and approve modifications to the regulations issued by the Executive Power, which could negatively affect economic, political and social conditions in Mexico. Furthermore, as a result of the majority in both houses of Congress obtained by Morena, Mr. López Obrador has considerable power to pass new laws, amend existing laws, and determine government policies and actions that relate to the Mexican economy and, consequently, affect the operations and financial performance of businesses in Mexico, such as the Group's business. Furthermore, the Group cannot predict the outcome of the next elections for deputies in the chambers of Congress. The outcome of these elections, including which political party will constitute the majority in Congress, will also affect Mexico's political environment in the coming years and, consequently, the operations and financial performance of companies in Mexico.

The Mexican federal government occasionally makes significant changes in policies and regulations and may do it again in the future. The Mexican federal government drastically decreased the 2019 expenditure budget and could continue decreasing it in the future. On July 2, 2019, the new Federal Republican Austerity Law was approved by the Mexican Senate and it was published in the Official Gazette of the Federation on November 19, 2019. Actions to control inflation and other regulations and policies have involved, among other measures, increases in interest rates, changes in tax policies, price controls, currency devaluations and capital controls and limits on imports. The Group's business, financial situation and results of operations could be affected by changes in govern policies and regulations involving its administration, operations and tax regime. Grupo Bimbo cannot assure that the Mexican government will maintain existing political, social, economic or other policies or that such changes would not have a material adverse effect on its business, financial condition, results of operations and prospects. In particular, tax legislation in Mexico is subject to constant change, and the Group cannot assure that the government will maintain the

social, economic, or other existing policies, nor that those changes will not adversely affect the business, financial position, results of operation or prospects.

The administration of Mr. López Obrador has taken actions that have significantly undermined investors' confidence in private ventures following the results of public referendums, such as the cancellation of public and private projects authorized by the previous administration, including the construction of the new Mexican airport, which immediately prompted the revision of Mexico's sovereign rating and the cancellation of the construction of a brewing facility of "Constellation Brands" in Baja California, Mexico. The Group cannot assure that similar measures will not be taken in the future, which could have a negative effect on Mexico's economy.

The Group cannot predict the impact that political, economic and social conditions will have on the Mexican economy. Furthermore, the Group cannot provide any assurances that political, economic or social developments in Mexico, over which the Group has no control, will not have an adverse effect on its business, financial condition, results of operations and prospects.

In the past, Mexico has experienced several periods of slow or negative economic growth, high inflation, high interest rates, currency devaluation (in particular with respect to the Mexican peso-U.S. dollar exchange rate), convertibility restrictions and other economic problems. These problems may worsen or reemerge, as applicable, in the future and could adversely affect the Group's business and ability to service its debt. During 2022, Banco de México increased its reference rate by 500 basis points, from 5.50% in 2021 to 10.50%. Future increases in interest rates may adversely affect the Group's results of operations by increasing its financing cost. In addition, a worsening of international financial or economic conditions, such as a slowdown in growth or recessionary conditions in Mexico's trading partners, including the United States, or the emergence of a new financial crisis, could have adverse effects on the Mexican economy, the Group's financial condition and its ability to service its debt.

High inflation rates may adversely affect the Group's financial condition, results of operations and prospects

Mexico has a history of high levels of inflation and may experience high inflation in the future. Historically, inflation in Mexico has led to higher interest rates, depreciation of the peso and the imposition of substantial government controls over exchange rates and prices. As provided and published by Mexican National Institute for Statistics and Geography (*Instituto Nacional de Estadística y Geografía*, or INEGI), the annual rate of inflation for the last three years was 3.15% in 2020, 7.36% in 2021 and 7.82% in 2022. High inflation means higher costs that the Group could not be able to transfer to consumers affecting its margins. Grupo Bimbo cannot assure that Mexico will not experience high inflation in the future, including in the event of a substantial increase in inflation in the United States, any of which could increase the Group's capital expenditures and adversely affect its ability to obtain financing in the future, adversely affecting its financial condition and its ability to make payments on the notes, business, operating results. If Mexico experiences high levels of inflation as it has in the past, this may also impact the Group's costs and may adversely affect its business, financial condition, results of operations and prospects.

Government efforts to combat inflation may hinder the growth of the Brazilian economy and could harm the Group's business

Brazil has in the past experienced extremely high rates of inflation and, as a result, has adopted monetary policies that have resulted in one of the highest real interest rates in the world. The Central Bank of Brazil sets the base interest rates generally available to the Brazilian banking system, based on the expansion or contraction of the Brazilian economy, inflation rates and other economic indicators. The trend of periodic reductions of the base interest rate (*Sistema Especial de Liquidação e Custódia*, or "SELIC" rate) implemented by the Central Bank of Brazil from 2005 to 2007, was temporarily reversed during 2008 when the SELIC rate moved from 11.25% in 2007 to 13.75% in 2008. However, in response to the effects of the global financial crisis on the Brazilian economy, in 2009 the Central Bank of Brazil significantly reduced the SELIC rate, which reached 8.75% in 2009. In 2015, the SELIC rate reached 14.25%, however, from 2016 to 2020 there was a period of periodic restrictions in the rate, moving from 13.75% in 2016 to 2% in 2020.

As of December 31, 2022 the SELIC Rate reached 13.75%. Inflation and the Brazilian government's measures to fight it, principally through the Central Bank of Brazil, have had and may have significant effects on the Brazilian economy and businesses. Tight monetary policies with high interest rates may restrict Brazil's growth and the availability of credit. Conversely, more lenient policies of the government and the Central Bank of Brazil and interest rate decreases may trigger increases in inflation, and, consequently, growth volatility and the need for sudden and significant interest rate increases, which could negatively affect the Group's business in Brazil.

The impact on the Group's operating costs due to inflation in Argentina could have a material adverse effect on the Group's results in Argentina

Historically, inflation has materially weakened Argentina's economy and the Argentinian government's ability to create conditions for growth. In recent years, Argentina has experienced high rates of inflation. The Argentinian government continues to implement measures to monitor and control the prices of the most relevant goods and services. Despite these measures, the Argentinian economy continues to experience high levels of inflation.

High rates of inflation affect Argentina's external competitiveness, social and economic inequality, and negatively affect employment, consumption, the level of economic activity and weakens confidence in the Argentinian banking system. Given its persistent nature in recent years, inflation continues to be a challenge for Argentina, so this could lead to a significant increase in the Group's operating costs, particularly in labor force costs, and result in a negative impact of the results of the Group's operation in Argentina. For financial purposes, beginning in July 2018, the operation in Argentina qualifies as a hyperinflationary economy; therefore, the subsidiaries of Grupo Bimbo in that country recognized the accumulated inflation adjustments. In particular, the accumulated inflation rate in Argentina in the three years prior to 30 June 2018, exceeded 100%, with no significant reduction expected in the short-term deadline. Therefore, Argentine companies using IFRS, including subsidiaries of the Group in Argentina, are required to implement IAS 29 to their financial statements for the periods subsequent to July 1, 2018, and recognize cumulative inflation adjustments in the Group's financial statements. Future impairments in the Argentinian economy, regulation, business or politics could lead to the recognition of impairment charges for some of the Group's assets in Argentina.

Violence in Mexico has adversely impacted, and may continue to adversely impact, the Mexican economy and may have a negative effect on the Group's business, financial condition, results of operations and prospects

Mexico has recently experienced a significant increase in violence relating to illegal drug trafficking and organized crime, particularly in Mexico's northern states near the United States border. This increase in violence has had an adverse impact on the economic activity in Mexico. In addition, social instability in Mexico and adverse social or political developments in or affecting Mexico could adversely affect the Group and its financial performance. Also, violent crime may increase the Group's insurance and security costs. Grupo Bimbo cannot assure that the levels of violent crime in Mexico or its expansion to a larger portion of Mexico, over which it has no control, will not increase. Corruption and links between criminal organizations and government authorities also create conditions that affect the Group's business operations, as well as extortion and other acts of intimidation, which may have the effect of limiting the level of action taken by federal and local governments in response to such criminal activity. An increase in violent crime could adversely affect the Group's business, financial condition, results of operations and prospects.

Grupo Bimbo is exposed to the risk of potential expropriation or nationalization of its assets in some of the countries where it operates

Grupo Bimbo is exposed to the risk of potential expropriation and nationalization of its assets that are located in the various countries in which the Group operates, such as Venezuela, and other countries that have been subject to volatile political conditions in the recent past; therefore, the Group cannot assure that the local governments will not impose retroactive changes that could affect the Group's business, or

that would force the Group to renegotiate the current agreements with such governments. The occurrence of such events could materially affect its financial condition, results of operations and prospects.

The Group's operations in Venezuela are subject to risk due to political instability in Venezuela

In Venezuela, the Group continues to face adverse economic conditions, including restrictive exchange rate policies, lower per capita income, pricing elasticity, high operating costs as a percentage of revenues and scarcity of and restrictions on importing raw materials. These adverse economic conditions and political inestability have had in the past and will continue to have an adverse effect on the revenues, sales volume and profitability of the Group's Venezuelan operations.

Even though that for financial purposes, from May 2017, the Group no longer consolidates its subsidiaries in Venezuela, Grupo Bimbo chose to classify its financial investments in equity in its subsidiaries in Venezuela as equity and alternative financial instruments designated at fair value, as it intends to maintain these investments for the foreseeable future.

The perception of higher risk in other countries, especially in emerging economies, may adversely affect the economy, the business, financial situation, results of operation and prospects of the Group

The Group's growth strategy depends, in part, on its ability to increase its operations in emerging market countries. However, the emerging markets such as Mexico are subject to greater risks than more developed markets, and financial turmoil in any emerging market could disrupt business in Mexico. Moreover, financial turmoil in any important emerging market country may adversely affect prices in stock markets and prices for debt securities of issuers in other emerging market countries as investors move their money to more stable, developed markets. Any increase in the perceived risks associated with investing in emerging markets could dampen capital flows to Mexico and adversely affect the Mexican economy in general. The Group cannot ensure that the value of its financial products will not be adversely affected by events in other emerging markets or the global economy in general.

In many countries, particularly those in emerging economies, there is a perception of a greater possibility that third parties, including the Group's suppliers, its customers, and other related parties, engage in business practices prohibited by law and regulation with extraterritorial reach, such as laws relating to anti-corruption sanctions and money laundering. The fact that these non-Group persons incur in these prohibitions could subject the Group to civil and criminal sanctions that could adversely affect its reputation, financial condition and results of operations.

Political and social events in Mexico and in the countries where the Group operates

The social, political, economic and other developments in Mexico and in the other countries in which the Group operates may adversely impact its operations and results.

Governmental action as well as any other social or political developments in Mexico and in other countries in which the Group operates may adversely impact the market conditions and the price of its raw materials or products, which may affect its financial situation.

It may be difficult to enforce civil liabilities against the Group or its directors, executive officers or controlling persons.

Grupo Bimbo is a listed variable stock corporation (*sociedad anónima bursátil de capital variable*) organized under the laws of Mexico. Most of its directors, executive officers, controlling persons and experts named in this Annual Report are residents in Mexico, and a significant portion of the assets of these shareholders and of Grupo Bimbo are located in Mexico. As a result, it may be difficult for foreigns to bring legal processes in any jurisdiction outside of Mexico against such persons or the Group, or to enforce judgments against them or the Group in courts of any jurisdiction outside of Mexico. In the past, the Mexican Supreme Court of Justice Mexican has issued a ruling regarding the homologation of a foreign judgment

and its enforcement in Mexico, requiring that the enforcement of such judgment does not violate public order, without requiring an exact match between the legislation of both countries. Therefore, it would be necessary to analyze the specific case to determine whether a foreign judgment can be enforced in Mexico.

Sanitary emergencies with worldwide effects or affecting any of the countries in which the Group operates

A sanitary emergency due to the origination and dissemination of diseases may be declared internationally or in any country in which the Group operates, such as the sanitary emergency declared with respect to the SARS-CoV-2 virus (commonly known as "coronavirus") and the disease it causes ("COVID-19"), which may bring commercial and social activity to a halt, and cause the closing of factories and places of work, convenience stores, places of study, among others, as well as future confinement of the general population. In addition, such sanitary emergency may cause volatility or falls within the capital markets and economic recessions. The Group cannot anticipate the actions that may be required from the governments, companies or private citizens to face such sanitary and health emergency.

The Group's ability to produce, distribute and sell its products is critical for its operations and any sanitary and health emergency, whether international or in any country in which the Group sell or distribute its products, may have an adverse effect on its operations, as well as on market conditions and prices of materials, which may materially affect its product sales, financial condition and results of operation.

Uncertainties regarding the transition away from or possible discontinuance of the London Inter-Bank Offered Rate (LIBOR) could have adverse consequences on the Group.

LIBOR is extensively used as a "benchmark" or "reference rate" across financial products and markets globally. The UK Financial Conduct Authority (FCA) has raised questions about the future sustainability of LIBOR, and, as a result, the FCA obtained voluntary panel bank support to sustain LIBOR only until 2021, and was suspended as of January 1, 2022. The effects of the discontinuation of LIBOR and its replacement with the Secured Overnight Financing Rate (SOFR) are not expected to have a material adverse effect on the Group. However, the transition away from and discontinuance of LIBOR or any other benchmark rate presents various uncertainties, risks and challenges to financial markets and institutions. These include, among others, the pricing, liquidity, value of, return on and market for financial instruments and contracts that reference LIBOR or any other applicable benchmark rate.

Certain of the Group's agreements denominated in U.S. dollars are referenced to LIBOR. As a consequence of the transition and discontinuation of LIBOR, the Group will have to make, at an operational level, the necessary adjustments to operate with the new reference rate or rates and the defined methodologies, adapting the current processes to these new changes. While all of the Group's LIBOR-referenced agreements and instruments provide for alternative benchmark rates, the new benchmark rates may significantly differ from the prior rates. As a result, the Group may need to proactively address any rate differences in such instruments and contracts, which could be time consuming and costly. However, the Group does not expect any material adverse effects from the transition and discontinuation of LIBOR, such transition and discontinuation could result in disputes, including litigation, involving contracts that reference LIBOR, whether or not the underlying documentation provides for alternative benchmark rates.

d) OTHER SECURITIES

As of December 31, 2022, the following securities were registered by Grupo Bimbo in the RNV:

1. Authorized capital stock Series "A" common shares, ordinary, nominative, with no par value, listed in the BMV since 1980 under ticker symbol "BIMBO".

2. *Certificados Bursátiles*:

(i) Bimbo 16 – Issued on September 14, 2016 in the aggregate amount of Ps.8,000,000,000 maturing on September 2, 2026.

(ii) Bimbo 17 – Issued on October 6, 2017 in the aggregate amount of Ps.10,000,000,000 maturing on September 24, 2027.

Senior Notes:

1. On June 27, 2014 Grupo Bimbo issued (i) Senior Notes in the international markets, in the aggregate amount of $800,000,000 US dollars maturing on 2024, and (ii) Senior Notes in the international markets, in the aggregate amount of $500,000,000 US dollars maturing on 2044, according to Rule 144A and Regulation S of the SEC. During 2022, the company repurchase 2.5 million US dollars of this Senior Notes.

2. On November 10, 2017 Grupo Bimbo issued Senior Notes in the international markets, in the aggregate amount of $650,000,000 US dollars maturing on 2047 according to Rule 144A and Regulation S of the SEC.

4. On September 6, 2019, Grupo Bimbo issued Senior Notes issue in the international markets, in the aggregate amount of $600,000,000 US dollars maturing on 2049 according to Rule 144A and Regulation S of the SEC. During 2022, the company repurchase 34.885 million US dollars of this Senior Notes.

5. On May 17, 2021, Grupo Bimbo, trhough its subsidiary BBU, made an issue of senior notes in the internation markets, in the aggregate amount of $600,000,000 US dollars maturing on 2051 according to Rule 144A and Regulation S of the SEC. During 2022, the company repurchase 14.733 million US dollars of this Senior Notes.

Subordinated notes:

1. On April 17, 2018 Grupo Bimbo issued subordinated perpetual notes in the international markets for $500,000,000, pursuant to Rule 144 A and Regulation S of the United States. During 2022, the company repurchased perpetual bond securities in the secondary market with a nominal value of $344, recognizing a decrease of $32 due to exchange rate fluctuations in retained earnings.

The Company has been complying on a timely basis with all of its obligations to disclose information on material events as well as the legal and financial information required by the applicable provisions.

I. Annual Information:

1. The third business day following the date of the annual shareholders' meeting in which the annual results are approved, which shall be held during the first four months of each year:

a. Reports and opinion referred to in article 28, paragraph IV of the LMV.

b. The annual financial statements or their equivalents, depending on the nature of the issuer, together with the opinion of the external auditor, as well as the audited annual financial statements of associated entities that contribute more than 10% of the Company's earnings or consolidated assets.

c. Letter signed by the secretary of the board of directors, stating the current status of the shareholders' meetings minutes registry, board of directors meetings minutes registry, share registry book, and, for corporations with variable capital (*sociedades anónimas de capital variable*), capital variation registry book.

d. Documents of the external auditor, referred to in Articles 84 and 84 Bis of the General Provisions Applicable to Securities Issuers and to Other Participants in the Securities Market and articles 4, 5, 36 and 37 of the General Provisions applicable to entities and issuers supervised by the National

Banking and Securities Commission that contract external auditing services for basic financial statements and subscribed by the external auditor.

e. Declaration of statements by the officials responsible for initialing the financial statements referred to in article 32 of the General Provisions applicable to entities and issuers supervised by the National Banking and Securities Commission that contract external auditing services for basic financial statements.

2. No later than April 30 of every year:

a. The annual report corresponding to the fiscal year immediately ended, prepared in accordance with the General Provisions Applicable to Securities Issuers and other Securities Market Participants.

3. No later than May 31 of every year:

a. Submit to the National Banking and Securities Commission the Final Statement of Observations obtained from the External Auditor.

4. No later than June 30 of every year:

a. Report corresponding to the fiscal year immediately ended, regarding the level of adherence to the Best Corporate Practices Code, pursuant to the format issued by the BMV.

II. Quarterly Information:

Within 20 business days following the end of the first three calendar quarters and within 40 business days following the end of the fourth calendar quarter of each fiscal year, the Company must report its financial statements and the economic, accounting and administrative information set forth in the corresponding electronic templates, comparing at minimum the results for the relevant quarter against the financial statements for the previous fiscal year according to the applicable accounting principles. The electronic documents shall include an update of the annual report (or prospectus, if as of the date of presentation of the financial information the issuer has not been required to publish such annual report) with management's comments and analysis of the results of the operations and financial situation of the issuer.

In addition, the Company shall deliver to the Commission and BMV a certificate signed by the Chief Executive Officer or the Chief Financial Officer, or any other person holding a similar title, stating, under oath, that, in the competence of their authority, they prepared the relevant information of the Company contained in the quarterly report, which, as of their knowledge, reflects in a reasonable manner the situation of the Company. Likewise, they should state that they are not aware of any material information that is missing in the quarterly report or that the report contains information that could confuse an investor.

III. Legal Information:

1. On the date of their publication, the calls for shareholders' meetings and the calls for bondholders' meetings or meetings of holders of other securities. Such calls must contain each and all of the items of the agenda to be discussed during the relevant meeting.

2. On the business day immediately following the date on which the relevant meeting is held:

a. A summary of the resolutions adopted at the shareholder's meeting held pursuant to article 181 of the General Corporations Law, including the application of profits and, as the case may be, the payment of dividends, number of coupon or coupons against which payment will be made, as well as the place and date of payment.

b. A summary of the resolutions adopted at the shareholder's meetings other than the meetings mentioned above, as well as the resolutions adopted by the meetings held by the holders of other securities.

3. Within 5 business days following the date of the shareholder's meeting or of the holders of other securities meetings, as applicable:

a. A copy, certified by the secretary of the board of directors of the Company or any person authorized thereto, of the shareholder's meetings minutes, together with the attendance list signed by the examiners appointed for such purposes, stating the number of shares that correspond to each shareholder and, as the case may be, on behalf of whom is acting, as well as the total number of shares represented at the meeting.

b. A copy, certified by the chairperson of the meeting, of the holders of the securities minutes' meetings, together with the attendance list signed by the holders of the securities or their representatives and by the examiners appointed for such purposes, stating the number of securities that correspond to each holder of the securities, as well as the total number of the securities represented at the meeting.

4. At least 6 business days before the start of the period within which it is intended to carry out the acts referred to in each of the following notices:

a. Notice to the shareholders for the exercise of any rights of first offer derived from capital increases and the subsequent issuance of shares, whose amount is required to be paid in cash.

b. Notice for the delivery or exchange of shares, obligations or other securities.

c. Notice for the payment of dividends, which must include the corresponding amount and the proportion of such dividends or, as the case may be, the payment of interest.

d. Any other notice addressed to the shareholders, holders of other securities or the general public.

5. No later than June 30 of every third year, the notarization of the shareholder's meeting by means of which a restatement (*compulsa*) of the Company's by-laws has been approved.

IV. Repurchase of the Company's own shares:

The Company is required to disclose to the BMV no later than the next business day following the consummation of any transactions involving the repurchase of the Company's shares.

V. Material events:

The Company is required to disclose to the BMV all material events pursuant to the provisions set forth in the General Provisions Applicable to Issuers of Securities and Other Participants in the Securities' Market.

VI. Audit and non-audit services:

Audit services consist of performing audit procedures in accordance with the International Standards of Audit, as well as the issuance of an audit report on the consolidated financial statements of the Group and its subsidiaries at the end of each year. The audit services include the issuance of statements, declarations and opinions applicable in accordance with the Sole Circular of External Auditors (CUAE).

In addition, the Group has certain obligations, which include the issuance of communications and delivery of certain information, among others, including, but not limited to, the following:

a. To inform and deliver a copy to the CNBV, authenticated by the Secretary of the Board, of the resolution approving the contracting or ratification of the external audit firm, no later than 15 business days following said contract or ratification.

b. Inform the CNBV of the detail and amount of the consideration for services other than external audit services, rendered by the audit firm, within 30 business days following the session of the Board approving such contract.

e) MATERIAL CHANGES TO THE SECURITY RIGHTS REGISTERED IN THE RNV

During 2022, there were no significant changes to the capital stock of Grupo Bimbo. As of December 31, 2022, such capital stock was represented by 4,433,667,641 shares.

f) USE OF PROCEEDS

There are no unused proceeds obtained from the issuance of securities completed in previous years (see "Section “1. GENERAL INFORMATION – d) Other Securities").

g) PUBLIC DOCUMENTS

In order to review this Annual Report, please visit the Investor Relations website:

www.grupobimbo.com/en/investors/

For any clarification, please contact the Investor Relations team at Paseo de la Reforma 1000, Col. Peña Blanca Santa Fe, C.P. 01210, Mexico City, Mexico, telephone 5268-6830 and at the following e-mail:

ir@grupobimbo.com

In connection with the public information that has been delivered to the BMV, please visit the following websites:
http://www.grupobimbo.com
www.bmv.com.mx

The information available on these websites is not a part of this Annual Report.

For more information and documentation regarding the corporate governance of Grupo Bimbo please visit the following address:

http://www.grupobimbo.com

2) THE COMPANY

a) COMPANY'S HISTORY AND DEVELOPMENT

i) Legal background

Incorporation

The Company was incorporated by public deed number 10,670, dated June 15, 1966, granted before Tomás O'Gorman, at the time, Public Notary number 96 of Mexico City, the first official transcript of which was filed in the Public Registry of Commerce of Mexico City, in the Commerce section, under number 299, pages 377, volume 636, 3rd book.

Corporate Name

The Company was originally incorporated under the corporate name of Promoción de Negocios, S.A. In 1978 it changed its corporate name to Grupo Industrial Bimbo, S.A. and in 1981 it adopted the form of a *sociedad anónima de capital variable*. On August 24, 1999, the Company changed its corporate name to Grupo Bimbo, S.A. de C.V., and on November 16, 2006, by public deed number 30,053, granted before Ana de Jesús Jiménez Montañez, Public Notary number 146 of Mexico City, the first official transcript of which was filed in the Public Registry of Commerce of Mexico City in mercantile folio number 9,506, the Company adopted the form of a *sociedad anónima bursátil de capital variable*. The Company's commercial name is Bimbo.

Duration

The Company's duration is indefinite.

Domicile and Telephone Numbers

The Company's headquarters are located at Prolongación Paseo de la Reforma 1000, Colonia Peña Blanca Santa Fe, C.P. 01210, Mexico City. The telephone number is 5268-6600. The Company's website is: www.grupobimbo.com. The information contained in the Company's website is not part of this Annual Report.

ii) History

All figures shown in this Section correspond to historical values on the dates indicated.

1945 Taking advantage of their experience in the baking industry, Don Lorenzo Servitje Sendra and Don Lorenzo Sendra Grimau decided to create an American style packaged bread factory, to which they invited Don Alfonso Velasco, as well as Don Jaime Jorba Sendra and Don José T. Mata to participate as industrial partners. Another founder was Don Roberto Servitje Sendra, who collaborated since the inception as sales supervisor. Even though he did not participate as a partner at the Company's inception, gradually Don Roberto Servitje acquired grater responsibilities and likewise participated in the decision making process. He later purchased BIMBO shares and, subsequently, became Chief Executive Officer, a position he left in 1994, when he was appointed chairman of the Board of Directors, replacing Don Lorenzo Servitje who held that position since its foundation.

For the creation of the packaged bread factory, the founding partners mainly addressed the needs of the market at that time; that is, timely and quality attention to the customers, and product freshness. To satisfy these needs, the products to be manufactured and the characteristics of the packing thereof were determined, in addition to putting in place direct distribution systems and the replacement of unsold products every two days. On December 2, 1945, Panificación Bimbo was formally founded in Mexico City.

1947-1952 In 1947, the outside distribution to some cities in the states of Veracruz, Morelos, Hidalgo and Puebla was initiated. By 1952, four plants were already installed in Mexico City and the bun category was already integrated within the Company's products. Likewise, the distribution had extended to some of Mexico's central and northern states.

1956 In May 1956, the corporation Pasteles y Bizcochos, S.A. was incorporated, currently known as Productos Marinela, S.A., with which the Group ventured in the cakes category. As of this date the establishment of plants outside Mexico City began. The first of them were Bimbo de Occidente, S.A. (Guadalajara) and Bimbo del Norte, S.A. (Monterrey), which significantly broadened the geographical distribution coverage and the variety of products offered by the Company.

1963-1978 The period between 1963 and 1978 was characterized by great expansion and diversification. In addition to opening eight more plants in different states of the Mexican Republic, the existing plants were enlarged and other additional cake lines were integrated to those offered by Productos Marinela, S.A. Moreover, it ventured into the candies and chocolates industry, with the establishment of the first Ricolino plant, and into the salty snacks market, with what is currently known as Barcel. At that time practically all the states of the country were covered through the Company's direct distribution system.

In this period, the Group's vertical integration initiated with the inauguration of the first jam plant. Not only were the other Group's companies supplied with these products, but also the line of products offered to the consumers was diversified.

Regarding pastry products, in the 1970's BIMBO launched the *Suandy* line*,* whose products were prepared based on butter. This line was significantly enlarged in 1981.

1979 In 1979, *Tía Rosa* was introduced as a house-made baking brand in the domestic market and some of the production lines under this brand were rapidly developed with automated systems.

1983 By this time, the Group already manufactured some equipment and parts, which were used in its plants. Therefore, in 1983 the inauguration of the Maquindal, S.A. plant took place, which merged in January 2001 with the corporation Moldes y Exhibidores, S.A. de C.V.

1984 In 1984, the Company ventured into the export market with the distribution of *Marinela* products into the United States.

1986-1990 In 1986, after the crisis faced by Mexico for almost five years, BIMBO acquired Continental de Alimentos, S.A. de C.V., a company that produced and commercialized the products under the brand *Wonder,* which until then was BIMBO's direct competitor in the bread and cakes categories. By 1989, the Group significantly expanded further through additional acquisitions and the establishment of plants in the lines of business of final products and raw materials, material and equipment for internal consumption.

1992-1996 Regarding the transactions at an international level, in 1990 the Company acquired a bread and cake producer plant in Guatemala, which marked the beginning of the Group's coverage in Latin America. In 1992, BIMBO initiated the acquisition of production plants in other countries of the region with the acquisition of Alesa, S.A. and Cena (currently Ideal, S.A.) in Chile. Afterwards, it extended to Venezuela with the acquisition of Industrias Marinela, C.A. and Panificadora Holsum de Venezuela, C.A. in 1993, merged in 1999 under the name of Bimbo Venezuela C.A. At the same time, production plants were installed in Argentina, Colombia, Costa Rica, El Salvador and Peru, as well as distribution companies in Honduras and Nicaragua.

Additionally, the Company significantly expanded in the USA with the establishment and acquisition of several production plants in different states near the border with Mexico. The following companies were acquired: Orbit Finer Foods, Inc., in 1993; Fabila Foods, Inc. and La Fronteriza, Inc., in 1994; C&C Bakery, Inc. and La Tapatía Tortillería, Inc., in 1995; and Pacific Pride Bakeries, with two plants (Suandy Foods Inc. and Proalsa Trading Co.), in 1996.

In 1992, the Company acquired the factory Galletas Lara, which allowed it to enter into the traditional cookie market, with "maría" type cookies and crackers, a category not covered by the *Marinela* brand.

1998 Important levels of investments characterized 1998. In that year the Company acquired Mrs. Baird's baking company, a market leader in the state of Texas, United States, and in Mexico the production facility in La Paz, Baja California began operating. Likewise, BIMBO's expansion reached the European continent with the establishment in Germany of Park Lane Confectionery. Also during that year, in order to focus on its main businesses, BIMBO divested its participation in the business of preparation and distribution of ice creams in Mexico and its stake in the salty snacks business in Chile.

1999 In February 1999, BIMBO carried out a strategic alliance with the company Dayhoff, in the USA, and engaged in the distribution of candies, through an equity interest of 50%. In 2002, BIMBO'S interest increased to 70% and in 2004 it acquired 100% of the shares.

In March 1999, BIMBO associated with Grupo Mac'Ma by acquiring a 51% interest in the companies engaged in pastry manufacturing. In the state of California, USA, it acquired the baking company Four-S.

In 1999, a new bread production plant was built and began operations in the city of Tijuana, Baja California, with the following production lines: white, whole wheat and sweet baked goods, rolls, wheat tortillas and tostadas, among others.

In July 1999, Grupo Bimbo reinforced its presence in Colombia through the acquisition of different assets in the city of Cali. In September, the Company completed an agreement with the McDonald's restaurant chain, through which it became the unique supplier of all buns for the chain in Venezuela, Colombia and Peru. The unique concession of its buns contributed to the consolidation of the Company's position in Latin America. Further, this exclusivity has strengthened the relationship between the companies since 1985, the year when McDonald's entered Mexico.

In October 1999, Grupo Bimbo completed negotiations with Panacea, S.A., located in San José, Costa Rica. These negotiations allowed BIMBO to acquire some of the assets owned by the Costa Rican company and the right to use *Tulipán*, its leading brand in that country.

For an amount of $140.6 million dollars, in December 1999, BIMBO carried out the sale of its six wheat mills and the fresh and processed fruits and vegetables business to a group of investors represented by Mr. Roberto Servitje Achútegui.

In line with the strategy of taking advantage of synergies and operational consolidation, in 1999 Grupo Bimbo initiated the administrative and operational merger of its companies in the USA, consolidating the following: Mrs. Baird's Bakeries Business Trust, in Texas, and Bimbo Bakeries USA, Inc., in California.

2000 In March 2000, Grupo Bimbo, Oracle de Mexico, Sun Microsystems and Cap Gemini Ernst & Young agreed to the development of the computer program BIMBO XXI.

In April 2000, the Company, through Ricolino, inaugurated two plants in the European Union, one in Vienna, Austria, and the other in Ostrava, Czech Republic.

Additionally, in November 2000, Grupo Bimbo acquired Pan Pyc, the second most important baking company of Peru, which consolidated its leadership in that country. In December 2000 it acquired the Guatemalan baking company La Mejor, reinforcing its presence in Guatemala, El Salvador and Honduras.

2001 2001 highlighted the intense activity to consolidate the Group's presence in the regions where it participated and streamline its operations. In March, the Group acquired 100% of the capital stock of Plus Vita, Ltda., one of the largest baking companies in Brazil and producer of packaged bread, sweet baked goods, cakes, buns and toasted bread under brands considered among the most traditional and with the highest prestige in the Brazilian market, such as *Pullman*, *Plus Vita*, *Ana María*, *Muffs* and *Van Mill*, among others. Plus Vita operated three plants, located in Sao Paulo, Rio de Janeiro and Recife.

In October, the Company concluded the sale of its shares in Pastas Cora, S.A. de C.V. and Pastas Cora de la Laguna, S.A. de C.V. to Grupo La Moderna, S.A. de C.V. The companies sold were owned by Grupo Bimbo and Grupo Mac'Ma, S.A. de C.V. Through this transaction, Grupo La Moderna, S.A. de C.V. acquired 100% of the shares of Pastas Cora, S.A. de C.V. and Pastas Cora de la Laguna S.A. de C.V., in exchange of 4,500,000 shares representing 5.8% of the capital stock of Grupo La Moderna, S.A. de C.V., of which 57.4% corresponded to Grupo Bimbo.

In November 2001, the Company acquired certain operating assets from Gruma, S.A. de C.V., related to bread manufacturing and distribution. This acquisition included the fresh and frozen bread businesses in Costa Rica, as well as equipment from the plant that Gruma closed in Escobedo, Nuevo Leon.

2002 As of January 1, 2002 the merger of all the Group's operating companies in Mexico into two big companies, Bimbo, S.A. de C.V. and Barcel, S.A. de C.V., became effective. The first one consolidated all the baking operations, while the second involved the consolidation of the salty snacks, confectionery goods and goat milk caramel "cajeta" categories. The purpose of the merger was to optimize the operations and make its installed capacity and distribution force more effective.

On March 4, 2002, the Company acquired, through its subsidiary in the USA, the baking operations of George Weston Limited in the western region of the US. This transaction, with a total price of $610 million dollars, provided Grupo Bimbo with access to leading brands and products in the United States market, such as the trademark Oroweat®, the cakes of trademark Entenmann's®, English muffins and bagels trademark Thomas'®, as well as Boboli® pizza dough.

In accordance with the agreement's terms, Grupo Bimbo acquired the Oroweat bread brand, five plants in the states of Texas, Colorado, California and Oregon, and an efficient direct distribution system. Additionally, the Company obtained in the same region the rights related to the Entenmann's brand products, as well as the distribution rights of the Thomas'® and Boboli® brands.

This acquisition reflected BIMBO's strategy to build a leading baking business in the USA. With that, the Group's position in core markets, such as the states of California and Texas, became stronger.

On December 11, 2002, BIMBO's General Extraordinary Shareholder's Meeting approved the merger of the Company with its subsidiary Central Impulsora, S.A. de C.V. As a result of the merger, the Company became holder of the Group's main trademarks.

2003 In January 2003, Grupo Bimbo completed a strategic alliance with Wrigley Sales Company ("Wrigley"), to distribute its products. With this agreement, the Company, through its subsidiary Barcel, S.A. de C.V. became the exclusive distributor in Mexico of the Wrigley chewing gum brands.

In June 2003, the Company, together with its partner Grupo Arteva, S. de R.L., carried out the sale of the company Novacel, S.A. de C.V., engaged in the manufacture of flexible packaging, to Pechiney Plastic Packaging, a subsidiary of the Canadian company Alcan, world leader in package manufacturing. Prior to this sale, BIMBO held an interest of 41.8% in the capital stock, while its partner owned the rest. In this transaction, Grupo Bimbo executed a supplier agreement in commercial terms and conditions in accordance with the industry's general practices.

In July 2003, the Company disclosed to the public its intention to participate as a minority partner in a consortium leaded by the Mexican businessman Fernando Chico Pardo. This entity acquired certain ownership and debt rights of Compañía de Alimentos Fargo, S.A., in Argentina, and would undertake its financial and operational restructuring.

2004 On March 18, 2004, Grupo Bimbo announced an agreement to acquire the confectionery companies Joyco de México, S.A. de C.V., Alimentos Duval, S.A. de C.V. and Lolimen, S.A. de C.V., held by a group of Mexican shareholders, and the Spanish company Corporación Agrolimen, S.A. After obtaining all necessary authorizations, the purchase transaction was completed in May 2004.

Grupo Bimbo invested $290 million pesos, of which approximately $27 million was used for the repayment of existing debt. With this cash investment, Grupo Bimbo acquired two production plants and rights to leading brands and products in the Mexican confectionary industry, such as Duvalín®, Bocadín® and Lunetas®. These companies had, in aggregate, annual sales of approximately $500 million pesos.

2005 On June 9, 2005, Grupo Bimbo announced the acquisition of certain assets and trademarks owned by Empresas Chocolates La Corona, S.A. de C.V. and its subsidiaries ("La Corona"), in a transaction valued at $471 million pesos, whose purchase price was paid with Company's own funds. La Corona® has presence in the Mexican candies market, mainly in the chocolate segment. After the regulatory approval, this transaction was completed on July 29, 2005.

On July 20, 2005, the Company announced the acquisition, through a cash transaction valued at $1,350 million pesos, of Controladora y Administradora de Pastelerías, S.A. de C.V., which produces and sells fine pastry products under the brand "El Globo"®. With this acquisition, Grupo Bimbo ventured into retail sales of fine pastries for the first time. The transaction was completed on September 23, 2005 following the corresponding regulatory approvals.

On September 30, 2005, the Company executed a distribution agreement with Arcor, S.A.I.C. ("Arcor"), of Argentina. With this agreement, BIMBO, through its subsidiary Barcel, S.A. de C.V., became the exclusive distributor in Mexico of "Bon o Bon" candy. This product was incorporated into the Company's existing candies portfolio as a line renowned for its high quality. The parties to the distribution agreement also agreed to make investments to build a plant to produce Arcor and Barcel candies in Mexico.

On January 30, 2006, the Company returned to the baking market in Uruguay with the acquisition of the Uruguayan companies Walter M. Doldán y Cía. S.A. and Los Sorchantes S.A., positioning itself as the market leader. This transaction was valued at $7 million dollars, of which $5.5 million was used for the purchase of 100% of the shares and the remainder for the payment of financial liabilities.

2006 On March 24, 2006, Grupo Bimbo initiated operations in Asia with the agreement to acquire Beijing Panrico Food Processing Center, subsidiary of the Spanish company Panrico, S.A., located in China, in a transaction valued at 9.2 million euros for 98% of the shares, additionally assuming a net indebtedness of 1.3 million euros. With this transaction, the Company acquired a company that had 800 associates, a production plant and a distribution network with an extended portfolio of baking products, designed and developed for the local market, which have allowed it to achieve an important presence and recognition in the cities of Beijing and Tianjin.

On June 19, 2006, Grupo Bimbo announced an agreement to acquire certain assets and trademarks of the "El Molino" ® pastries, in a transaction valued at $42 million pesos, paid with Company's own funds. El Molino is one of the oldest and most traditional bakeries in Mexico, in the fiscal year ended as of December 2005, its sales totaled $45 million pesos.

This transaction, in addition to the acquisition of "El Globo" pastries, carried out in July 2005, was intended to strengthen the presence of Grupo Bimbo in the retail sales of high end pastry products.

2007 On July 31, 2007, Grupo Bimbo carried out the purchase of 100% of the shares of Maestro Cubano Florentino Sande S.A. for the sum of $93 million pesos. The company is located in Uruguay, and owns industrial premises engaged in the production and commercialization of cookies, *grissines* and breadcrumbs.

On October 2, 2007, the Company announced the acquisition of Temis for the sum of $17 million pesos. With this acquisition, BIMBO entered the Paraguay market.

On November 5, 2007, Grupo Bimbo announced that, as included in a judicial request dated November 2, 2007, filed by the investment group The Yucaipa Companies, LLC ("Yucaipa") before the Bankruptcy Court in the West District of Missouri, in Kansas City (the "Court"), Yucaipa, together with BBU and The International Brotherhood of Teamsters (the "Teamsters"), intended to file a collective proposal for the reorganization of Interstate Bakeries Corporation ("IBC").

IBC is one of the largest bakeries and fresh bread and sweet baked goods distributor companies of the United States. Among its main trademarks are Wonder®, Merita®, Home Pride®, Baker's Inn®, Hostess®, Drake's®, and Dolly Madison®. IBC operated more than 40 plants, 650 distribution centers, 6,400 routes and employs approximately 25,000 associates.

On November 29, 2007, Grupo Bimbo disclosed to the public that on November 28, Compañía de Alimentos Fargo, S.A., an Argentine company in which Grupo Bimbo holds an indirect 30% equity interest, executed an agreement for its reorganization with its main creditors, which represented the majority of the verified indebtedness, the investment funds *Rainbow Global High Yield*, *The* Argo Capital Investors Fund SPC, Argo Global Special Situations Fund Segregated Portfolio and The Argo Fund Limited.

The agreement included the payment of 33.81% of the unsecured indebtedness. Likewise, the holders committed to collaborate in order for Fargo to complete its reorganization (*Concurso Preventivo*) underway since June 2002, as well as to forgo any legal actions against it.

2008 On January 2, 2008, BIMBO announced the acquisition of Laura, a company located in Brazil, for a sum of $202 million pesos. As such, BIMBO entered into the *panettone* category and enlarged the cookies portfolio through the wafers line.

On February 21, 2008, BIMBO announced the acquisition of Firenze, also in Brazil, for a sum of $185 million pesos. Firenze's intergration taking advantage of the strength in the *light*

segment and to continue its development through the increase of the physical distribution of Firenze® and Plus Vita® trademarks.

On April 1, 2008, the Company announced the acquisition of Plucky, a company located in Uruguay, for a sum of $123 million pesos. The company produces and commercializes confectionery goods products. With this acquisition, Bimbo ventured into this segment in Latin America for the first time.

On May 7, 2008, Grupo Bimbo announced that it reached an agreement to acquire 75% of the shares of the Brazilian baking company Nutrella Alimentos, S.A. ("Nutrella"). This acquisition allowed Grupo Bimbo to position itself as the leader of industrialized bread in Brazil, increasing its geographic scale and presence.

Nutrella is a company founded in 1972 that produces and commercializes packaged bread, buns and cakes, through two production units in the states of Sao Paulo and Rio Grande do Sul. With the trademarks "Nutrella", "Nhamy" and "Nutrellinhas", among others, it is positioned as the leader in Brazil's South Region. In 2007, Nutrella, with more than 1,600 associates, registered sales of R$150 million and EBITDA of R$21 million.

This investment responded to Grupo Bimbo's strategy of consolidating its operations in the countries where it participates and gave it a stronger position to continue developing a profitable business in Brazil, by complementing its operation at that time. Likewise, it provided access to one of the regions with the greatest economic activity in the country, with more than 25 million inhabitants.

2009 On January 21, 2009, Grupo Bimbo announced the acquisition of the baking business in the United States of WFI, owned by Dunedin Holdings S.à r.l., a subsidiary of George Weston Limited (TSX: WN), located in Toronto, as well as the acquisition of the related financial assets, having obtained the relevant regulatory approvals and permits. These transactions were appraised at $2,380 and $125 million dollars, respectively. The aggregate payment of $2,505 million dollars was made through a financing of $2,300 million dollars, as well as with the Company's own funds. The consolidated operation in the United States, known as BBU, became one of the largest baking companies in the country, with a leading position in the bread, buns, sweet baked goods and cakes categories. The portfolio includes premium trademarks such as Arnold®, Bimbo®, Boboli®, Brownberry®, Entenmann's®, Francisco®, Freihofer's®, Marinela®, Mrs. Baird's ®, Oroweat®, Stroehmann®, Thomas'® and Tia Rosa®. The new operation employed more than 15,000 associates, operated 35 plants and distributed its products through more than 7,000 routes. Grupo Bimbo's consolidated results started reflecting the integration of WFI transactions as of January 21, 2009.

On November 18, 2009, the assets related to the production, distribution and sale of corn products under the trademark Sanissimo® were acquired.

2010 On November 9, 2010, Grupo Bimbo announced that it reached an agreement to acquire the North American Fresh Baking business of Sara Lee.

On December 6, 2010, Dulces Vero, a leading producer, distributor and trader in Mexico of lollipops, hard candy and marshmallows, most of them covered with spicy powder, was acquired.

Vero, founded in 1952, produces a wide variety of candy and jams, including hard candy lollipops, jellies and marshmallows, among others. The company has broad experience and its own technology for the production of hard candies and products made based on chile. Vero had 1,500 associates and in 2009 it generated sales of approximately $1,100 million pesos, as well as EBITDA of $220 million pesos.

The acquisition of these assets strengthened Grupo Bimbo's position in the Mexican confectionery market through its subsidiary Barcel, in addition to supporting the Company's strategy to reach all socio-demographic segments. Together with the sales and costs synergies, Vero's strength in the wholesale channel, combined with Barcel's broad retail distribution network, will provide a sound platform for continuous growth. Likewise, Vero products supplement Barcel's portfolio in the Hispanic market of the United States and represent an opportunity to increase the Company's presence in that country.

2011 On September 19, 2011, the Group acquired Fargo, the largest bread and baked goods producer and distributor in Argentina, exercising a call option for Fargo's remaining 70% interest. Fargo's acquisition included Fargo®, Lactal® and All Natural® brands.

On November 6, 2011, Grupo Bimbo acquired the fresh baking business of Sara Lee, one of the largest food processing and distribution companies at a worldwide level. Earthgrains was Sara Lee's fresh baking business in the USA, and the business value was $749 million dollars.

Derived from the transaction, the Group acquired the exclusive and perpetual license, without copyrights of the Sara Lee brand, for its use in certain fresh baking products in America, Asia, Africa and some European countries, and other renowned brands, such as Sunbeam®, Colonial®, Heiners®, Grandma Sycamore´s Home-Maid Bread®, Rainbo® and Earthgrains® and it operated 41 production plants and approximately 4,700 distribution routes, and employs approximately 13,200 associates.

On December 5, 2011, the Group acquired Bimbo Iberia, Sara Lee's fresh baking business in Spain and Portugal, for 115 million Euros.

The acquisition of Bimbo Iberia helped position the Group as the leading branded bread company in the Iberian Peninsula and boosted its international growth strategy through an established and sound baked-goods business. This acquisition included the brands Bimbo®, Silueta®, Ortiz®, Martínez® and Eagle®, among others, in Spain and Portugal, which have broad name recognition and market leadership in the bread, pastries and snack categories in these countries. It had 7 production plants, around 800 distribution routes and approximately 2,000 associates.

2012 During 2012 Grupo Bimbo obtained approval from the Department of Justice of the United States ("DOJ") to complete part of the divestitures required by the DOJ under the acquisition of the Sara Lee Fresh Baking by BBU in November 2011. Transactions include: i) license over Earthgrains® and Healthy Choice® brands in Omaha, Nebraska, in favor of Pan-O-Gold Baking Company in St. Cloud, Minnesota; ii) license over Holsum® and Milano® brands in Harrisburg and Scranton, Pa., in favor of Schmidt Baking Company of Baltimore, Maryland; iii) license over the Sara Lee® and Earthgrains® brands for bread, buns and rolls categories in the state of California, in favor of Flowers Foods, Inc; iv) license over Earthgrains® brand in Oklahoma city, Oklahoma, in favor of Flowers Foods, Inc; and (v) the license of Earthgrains® and Mrs Bairds® brands in Kansas City to Tortilla King.

On October 30, 2012, Grupo Bimbo opened "Piedra Larga", wind farm which generates a portion of the electricity consumed by Grupo Bimbo in Mexico. With installed capacity of 90 megawatts, that allows to supply the electricity consumption of the facilities (production plants and other operation centers) of the Company. Grupo Bimbo focused its attention on wind energy to meet its permanent commitment to the environment and the welfare of future generations.

On March 22, 2013 Bimbo announced the inauguration of Barcel's West plant, a 100% sustainable plant, built in the State of Jalisco, for the manufacture and distribution of snacks and confectionery in 4 different production lines.

2013 On April 5, 2013, Grupo Bimbo completed the acquisition of the brand "Beefsteak"® for $31.9 million US dollars as part of the bankruptcy proceedings of "Hostess Brands". Beefsteak® is the rye bread brand with the highest sales volume in the United States, with strong presence in parts of Midwest and Mid-Atlantic United States, which represented an important opportunity for national expansion to BBU. The transaction was completed with Company's own resources.

During 2013, Grupo Bimbo announced at the General Shareholders' Meeting the resignation of Roberto Servitje as Chairman of the Board of Directors of the Company effective as of July 1, 2013. Daniel Servitje, Chief Executive Officer, was appointed to succeed him from that date.

In October 2013, Grupo Bimbo signed an agreement with Visa Inc. of the Alliance with Blue Label Telecoms Limited and Nadhari, S.A. de C.V., in order to enable their traditional customer channel in Mexico to accept electronic payments. This agreement allowed small businesses that serve a large segment of the population in terms of the Company's sales volume nationwide, to accept electronic payments with Visa cards and other cards, and therefore, to increase sales of the Company's products in the stores. Specifically, using Blue Label and Red Qiubo Mexico, which operates a platform based on POS terminals, over 75,000 businesses in order to offer their customers products and services such as airtime cell phone sale and payment of various services.

2014 On May 23, 2014, the Group concluded the acquisition of Canada Bread, one of the leading companies in the production and distribution of bread products in Canada.

With the integration of Canada Bread´s business, the Group expanded its geographical presence in North America and Europe, reaching a new customer base in Canada and the United Kingdom, growing its product portfolio to include a new line of frozen bread as a new business line.

This acquisition is one of the most important in Grupo Bimbo´s history and a further step in its growing strategy in order to consolidate its position as the largest and leading baking company in the world and one of the most important food companies, reducing its dependence of its results in a single market. Moreover, the acquisition strengthened the geographical position of the Group, and helped to maintain solid margins, diversify cash flows and take advantage of the opportunities in the frozen bread industry. The acquisition also included the business of Canada Bread in the United Kingdom, where it is leader in the bagels category.

On June 24, 2014, the Company concluded the offer in the international markets of: (i) bonds with a maturity date in 2024, for an amount of 800 million US dollars paying an interest rate of 3.875%, and (ii) bonds with a maturity date in 2044 for an amount of 500 million US dollars, paying an interest rate of 4.875%. The Group used the resources obtained from these issuances for the refinancing of existing debt and other general corporate purposes.

Grupo Bimbo acquired Supan, the leading baking company of Ecuador. This transaction represented the debut of the Group in the Ecuadorian market, in line with its strategy to further strengthen its geographic coverage in the Americas.

2015 At the beginning of 2015, Grupo Bimbo completed the acquisition of Saputo Bakery Inc, the leading muffin company in Canada and strengthened the position of Canada Bread in the country with the Vachon®, Jos Louis®, Ah Caramel®, Passion Flakie®, Hostess® and May West® brands, among others.

Bimbo Iberia inaugurated its new factory in Guadalajara, Spain, with production capacity of 15,000 pieces per hour, thus becoming the most important industrial project in the country. In December, Grupo Bimbo celebrated its 70th anniversary.

2016 On May 2016, the Company established a sponsored American Depositary Receipts Level 1 ("ADR") program in the United States of America under the ticker symbol "BIMBOY".

On July 21, 2016, Grupo Bimbo acquired Panrico, one of the leading companies in the baking industry in Spain and Portugal, excluding branded packaged bread.

On September 14, 2016, the Company made a successful Notes issuance in the Mexican market for a total amount of Ps. 8,000 million pesos, with a 10-year term and a fixed annual interest rate of 7.56%.

2017 At the end of 2017, Grupo Bimbo acquired East Balt Bakeries for an amount of USD$650 million, free of cash and debt. East Balt was founded in 1955, world leader in the high-speed manufacture of bread products and serves mainly to the quick service restaurant industry (QSR). East Balt had 21 plants located in 11 countries in America, Europe, Asia and Africa, as well as 2,200 associates. East Balt has long-term business relationships with the main customers in the fast food restaurant industry in the world (including McDonald's, Wendy's, KFC, Burger King, Pizza Hut, YumChina, Subway and Nando's, among others). East Balt maintains a broad portfolio of high-quality baked goods, including fresh and frozen buns and muffins, bagels, cookies, tortillas and other artisanal products.

On May 25, 2017, Grupo Bimbo entered into a strategic alliance by means of which it acquired 65% of the capital stock of Ready Roti India Private Limited, or Ready Roti. Founded in 1993 and with annual sales of approximately USD$48 million in 2016, Ready Roti is the leading baking company in New Delhi and its metropolitan area.

During the first quarter of 2017, Grupo Bimbo closed the acquisition of Adghal in Morocco, a company with estimated annual sales of approximately USD$11 million in 2016. Adghal sold baking products in three production plants and had more than 200 associates. With this acquisition, Grupo Bimbo managed to expand to the African continent.

Moreover, during the first quarter of 2017, Grupo Bimbo closed the acquisition of Stonemill Bakehouse, a company in Canada that had estimated annual sales of approximately CAD$18 million in 2016. Stonemill had a production facility in Toronto, Canada and is known for its slow-working artisanal processes. Stonemill has an excellent brand position and recognition for the use of organic ingredients. This acquisition boosted the Company's growth in the Canadian market.

On October 6, 2017, Grupo Bimbo successfully carried out an issuance of stock certificates in the Mexican market for a total amount of $10,000 million pesos, with a term of 10 years and a fixed annual interest rate of 8.18%.

On November 10, 2017, Grupo Bimbo successfully carried out a bond issuance in the international markets for a total amount of $650,000,000 million dollars, maturing in 2047 and with a fixed annual interest rate of 4.70%.

2018 On 12 February 2018, a binding agreement was executed for the acquisition of Mankattan Group, a key player in the banking industry in China. Mankattan produces sliced bread, cakes, buns and yudane (Japanese style sandwich bread), among other baked goods for distribution in different channels such as traditional, modern and QSR. This acquisition strenghtened the Group's competitive profile, it expanded and consolidated even more its presence in Asia.

Grupo Bimbo issued $500,000,000 million in Subordinated Perpetual Notes at a rate of 5.95%. The Company used the proceeds from this offering for the refinancing of existing indebtedness, and the financing of the Mankattan acquisition and capital expenditures among

other general corporate purposes. This was a new instrument for Grupo Bimbo, making it the first hybrid bond issued by a Mexican consumer company.

In addition, the Group concluded the acquisition of Alimentos Nutra Bien, a Chilean company in sweet baked goods that produces, commercializes and distributes brownies, cakes, cookies and other products in one plant. This acquisition complemented the portfolio of products through its major brands and expanded the reach of distribution increasing penetration, especially in the traditional channel.

On December 7, 2018, Grupo Bimbo together with other private companies entered into an agreement with the federal government to collaborate in the development of Mexico´s labour force opening its doors to 2,000 "Youth Building the Future" (*Jóvenes Construyendo el Futuro*) in 2019, so that they could received training and work experience in the company´s strategic areas.

Finally, the Company became the first company in Mexico to produce Clean Energy Certificates for Distributed Generation. This initiative was achieved thanks to the collaboration of the public and private sectors. It will contribute to achieve Mexico's clean energy goal of using 50% clean energy by 2050. In addition, it will help qualified users and companies in the new Mexican wholesale market that are required to purchase at least 5% of their energy from clean sources in 2018.

2019 On August 2, 2019, the acquisition of Mr. Bagels, a plant of fresh and frozen bagels in the United Kingdom, was completed.

On September 3, 2019, Grupo Bimbo issued US$600,000,000 aggregate principal amount of 4.00% notes, due 2049. The Company used the proceeds from this offering to redeem a portion of its outstanding 4.875% Notes due in June 2020. The transaction was rated Baa2/BBB/BBB by Moody's, S&P and Fitch.

On November 1, 2019, Barcel S.A. de C.V. spin off the confectionery business, arising as a result Productos Ricolino S.A.P.I de C.V.

2020 On January 2, 2020, the Company, through its subsidiary BBU, acquired the frozen bagels business of the Lender's de Conagra Brands brand.

On February 13, 2020, the Company, through its subsidiary Bimbo QSR, signed joint venture with Food Town, the exclusive supplier of buns and franchisee of McDonald's in Kazakhstan. This strategic partnership, in which Grupo Bimbo holds a 51% stake, strengthens Bimbo QSR's manufacturing footprint, and enables greater alignment and support for QSR customers in Central Asia. In addition, with this operation Grupo Bimbo expanded its global presence to 33 countries.

On March 25, 2020, Grupo Bimbo disposed of US$720 million of its committed revolving credit facility, which has a total value of US$2 billion. The resources were used to refinance the bond maturing in June 2020 with a value of US$200 million and the remainder was used to increase the liquidity of the Company, prioritizing flexibility and financial strength as a precautionary measure against the uncertain environment derived from COVID -19. Thanks to the solid generation of cash flow, the revolving line was fully paid at the end of the year.

On May 13, 2020, through one of its subsidiaries, the Company acquired 35% of the shares of Ready Roti India Private Limited or Ready Roti, thus complementing the acquisition made in May 2017 and thus obtaining 100% of the representative shares of the capital of the company.

On June 30, 2020, the Company completed the acquisition of the Paterna plant from Cerealto Siro Foods in Valencia, Spain. This plant produces packaged bread and buns for Mercadona, under the brand Hacendado. The acquisition strengthened Grupo Bimbo's profile in the country, complementing its customer reach to better serve more consumers.

On October 19, 2020, Grupo Bimbo announced the cancellation of 169,441,413 shares in accordance with the resolution of the Extraordinary General Shareholders' Meeting. These shares were acquired as part of the share buyback program and represented about 4% of the total shares outstanding.

Grupo Bimbo acquired the majority stake in its strategic alliance, Blue Label Mexico now known as BimboNet Servicios. This business provides a wide range of services to small merchants in Mexico, such as electronic airtime sales, payment of services, payments with credit, debit and grocery vouchers and cash withdrawal transactions. Grupo Bimbo's commercial brand is Qiubo and with this transaction the Company seeks to promote growth and productivity in the traditional channel using technology.

IRI named Grupo Bimbo the fastest growing consumer company in the United States in 2020.

2021 During the year, Grupo Bimbo reached a record level in terms of capital investments after having invested more than one billion dollars, of which 45% were allocated to growth and expansion projects and the rest to business continuity and improvement. profitability throughout the value chain.

In addition, the Group completed six acquisitions during the year. In chronological order, the Company acquired Modern Foods, a leading player in South India, which manufactures and distributes baked goods at its seven bakeries.

The Group also completed the acquisition of Emmy's Organics in the United States, the leader in ultra-premium organic cookies and a relevant player in the gluten-free cookie category. This acquisition represented Grupo Bimbo's entry into the rapidly growing healthy sweet baked goods and cookies market.

Also, in June, the Group acquired Cerealto Siro Foods in Medina del Campo, Spain. This state-of-the-art plant manufactures sweet baked goods for Mercadona and other customers and allows the Company to enter the private label sweet baked goods market in Spain.

In addition, the Company acquired Popcornopolis in the United States, one of the fastest growing popcorn brands in the retail channel. This acquisition marks Grupo Bimbo's entry into the attractive popcorn category in the United States, which is an excellent platform for innovation.

The Group also acquired Aryzta do Brasil, a relevant player in the QSR baking industry in the country, specializing in hamburger buns and breadsticks/baguettes, with a growing business in the segment of sweet and salty baked goods.

Finally, in October the Company acquired Kitty Industries, the second largest producer in the baking industry in North India. Kitty Industries produces white, whole grain, grain-based and fruit bread, among other products in a strategically located bakery.

In terms of sustainability, in September the Company debuted in sustainable financing with the renewal of its committed revolving credit facility for an aggregate amount of $1,750 million US dollars, through a loan linked to two areas of sustainability: energy and water. Moreover, Grupo Bimbo announced its commitment to achieve Net Zero Carbon Emissions by 2050. With this, Grupo Bimbo became the first Mexican food company to commit to the “Business

Ambition for 1.5°C" and join the United Nation's Campaign "Race to Zero" , with targets established and validated by Science Based Targets.

On May 12, 2021, Grupo Bimbo, through its subsidiary BBU, issued $600,000,000 US dollars in senior notes in the international markets maturing in 2051 according to Rule 144 and Regulation S of the U.S. Securities Act.

2022 On November 1st, 2022, Grupo Bimbo completed the sale of its confectionery business, "Ricolino", to Mondelēz International, Inc. for a total of $25,797 billion Mexican pesos (US $1.367 billion). This decision reflects Grupo Bimbo's strategic focus on grain-based foods, specifically in the categories of baking and snacks.

In addition, the Group acquired St. Pierre, a leading baking player in premium brioche category in the United States and the United Kingdom.

By the end of 2022, Grupo Bimbo reached a record level of capital investments, having invested more than US $1.4 billion, of which 36% were allocated to growth and expansion projects, and the rest to business continuity and improving profitability throughout the value chain.

Finally, due to the conflict between Russia and Ukraine, and in line with the Group's values, sales of the Bimbo brand in Russia, as well as all new capital investments and advertising in the country, have been suspended since March 14, 2022.

The table below is a list of the acquisitions carried out by the Company in the last 3 years:

Date	Company	Country
2022		
September 22	St. Pierre	United States and United Kingdom
2021		
October 26	Kitty Industries	India
October 13	Aryzta do Brazil	Brazil
September 17	Popcornopolis	United States
June 1	Plant in Medina from Cerealto Siro Foods	Spain
May 11	Emmy's Organics	United States
February 17	Modern Foods	India
2020		
September 21	Bimbonet Servicios (formerly Blue Label)	Mexico
June 30	Paterna Plant from Cerealto Siro Foods	Spain
January 2	Lender's	United States

iii) Recent Events

In January 2023, the Company acquired Vel Pitar, the leader within the Romanian baking industry, at a multiple of 8 times Enterprise Value/EBITDA, expanding Grupo Bimbo's presence to 34 countries.

Additionally, in March 2023, Grupo Bimbo renewed its sustainability-linked committed revolving credit facility, upsizing it from US $1.75 billion to US $1.931 billion. Also, on March 24, 2023, the Company announced its intention to exercise the option to redeem all its outstanding USD Subordinated Perpetual

Notes on its first call date, which was completed on April 17, 2023, using the committed revolving credit facility.

Credit rating agencies Moody's, Fitch Ratings, and S&P improved Grupo Bimbo's credit rating. Moody's raised Grupo Bimbo's global rating from Baa2 to Baa1, and S&P and Fitch raised it from BBB to BBB+.

The Company is making several changes to its senior leadership team. These changes are consistent with its succession plan and long-term vision.

In terms of ESG (Environmental, Social, and Governance) issues, Grupo Bimbo was included for the first time in Bloomberg's 2023 Gender Equality Index and was recognized by the Carbon Disclosure Project (CDP) with an "A" rating for its actions to mitigate the effects of climate change.

b) BUSINESS DESCRIPTION

Grupo Bimbo is the leading and largest baking company in the world and a relevant player in snacks. The Group has 204 bakeries and other plants and more than 1,600 sales centers strategically located in 33 countries in America, Europe, Asia and Africa. Its main product lines include sliced bread, buns & rolls, pastries, cakes, cookies, toast, English muffins, bagels, tortillas and flatbread, and salty snacks, among others. Grupo Bimbo produces over 9,000 products and has one of the largest distribution networks in the world, with more than 3.3 million points of sale, more than 55,000 routes and more than 139,000 associates. Its shares are listed on the Mexican Stock Exchange (BMV) under the ticker symbol BIMBO and on the United States OTC market through a Level 1 ADR program, under the ticker symbol BMBOY.

i. Main Activity

1.1 Strategy of the Group during 2022

The way to operate of Grupo Bimbo is driven by the Philosophy and commitment to building a sustainable, highly productive and deeply humane company that nourishes a better world, creating value by working towards reaching its full potential, reshaping the future through digital transformation, renewing awareness of sustainability and redefining the way the Group works with an agile and flexible mindset, to put delicious and nutritious baked goods and snacks in the hands of all.

To achieve its goals, the Group is continuously focusing on the following key strategies:

Enduring Meaningful Brands. The Group strives to continue delivering sustainable growth through a defined and long-term plan for the development and management of enduring and emblematic brands for people, communities, and the environment, generating a closer relationship with consumers and customers. The Group believes that the ability to leverage growth opportunities relies on competitive factors beyond price to focus on maximum product quality and brand equity. The Group believes that its global presence, combined with a deep understanding of local markets, positions it to continue developing a portfolio of strong brands, products and categories that meet consumer's needs better than anyone else. The Group expects that the use of digital platforms will redefine communication with consumers and customers, allowing the Group to capitalize on their feedback. The assertive use of this feedback and other social listening tools will allow the Company to monitor consumer sentiment and strengthen emotional bonds towards a particular product, as well as anticipate problems, incorporate data for the development of new products, marketing strategies or the creation of trends through social networks. Moreover, through investment in its brands, the Group will achieve a greater diversification of its product portfolio, better covering the needs of consumers on each occasion, expanding its current base, and increasing penetration in households. Grupo Bimbo will continue to invest and focus efforts globally to ensure that brands fulfill a purpose in the lives of its consumers and customers.

Universal Presence with Superior Execution. The Group plans to continue expanding its global reach, strengthening local execution to ensure the highest quality and freshness of its products. In a win-win relationship, the company expects to capture opportunities from its global presence and become its customers' preferred distributor by leveraging its brands and expertise in the markets it operates in, improving and/or strengthening distribution capabilities to increase efficiency, effectiveness and penetration in current and new markets. In addition, in order to be able to anticipate the purchase decisions of its consumers, Grupo Bimbo takes advantage of the installed capacity of its value chain through the different geographies where it operates and invests in new technologies, such as automation, data mining ("data & analytics"), artificial intelligence and machine learning, to achieve scalable efficiencies and superior execution at the point of sale. The information obtained at the points of sale and distribution channels allows the Group to customize its products, portfolio and promotions to meet the diverse preferences and needs of its consumers and customers. Additionally, it allows adjusting the commercial strategy and responding more precisely to the preferences of consumers, offering the right products for each point of sale at the right time

and with the maximum freshness and quality, which allows it to reinforce its identity as an efficient global company, with a strong local presence.

Technology and Fast-Paced Innovation. One of Grupo Bimbo's main strategies is to satisfy consumer demand, as a result of the analysis and knowledge of mega trends in the bakeing, snacks and cookies. It is expected that the increased use of new digital and research tools to obtain information from the consumers can strengthen the innovation process by accelerating product development, allowing it to quickly adapt and lead in market trends. Moreover, Grupo Bimbo has made efforts and investments to strengthen the superiority of its products, working to deploy innovation and ensuring quality in execution. The Group has five strategically located innovation centers to be able to carry out research, application and replication of various technologies, as well as “kitchen” type consumer experimentation laboratories, which allow science to be mixed with the art of baking and preparing snacks and cookies. In these centers, laboratory studies and examinations on consumer preferences are carried out. This is how Grupo Bimbo is committed to exceeding the expectations of its consumers, increasing brand awareness and the frequency of consumption of its products, innovating and maximizing the superiority of its products in all the categories in which it participates. The Group has also embraced “Internet Connectivity” for years and is now leveraging the “Internet of Things” to achieve greater business and operational efficiencies throughout the value chain. In addition, it is intended to continue using the portfolio of leading brands as a platform to launch innovative, relevant and value-added products, and develop new product lines, formats and categories. For example, in 2022, three brands were exported from their country of origin to other regions and/or countries, such is the case of Cero Cero®, created in Mexico and exported to North America and other countries, contributing to the healthy bread portfolio. The Group's commitment to the well-being of its consumers is a key factor for its efforts to innovate, which is reflected in its continued improvement of the nutritional profile of the products, simplifying recipes and providing maximum nutritional quality, as well as improving packaging, reducing the amount of materials used and carrying out circular economy exercises for post-consumer packaging. Developing innovative and differentiated products to change the pace of the global baking, snacks and biscuit industries, continue to be the Group's engine for growth and value creation, key elements to consolidate and increase its position in the market.

Efficient End-to-End Value Chain*.* In Grupo Bimbo, a culture of constant improvement, efficiency and effectiveness in its value chain, as well as consistent sustainability, are fundamental in ensuring an operational policy focused on promoting productivity, profitability and long-term vision. Similarly, an optimal cost structure is a key element to leverage resources, creating a solid, sustainable and long term business model that allows the Group to strengthen its brands, products and processes, and thus boost growth, financial and social impact results. The Company strives to implement robust strategies to produce and distribute nutritious and delicious products, reducing waste generation, emissions and environmental impact, improving and simplifying its production and purchasing processes. All this with the purpose of operating the entire value chain in an agile, digital, innovative, flexible, sustainable and consumer-oriented manner, while offering superior quality products. Consistently, the Group invests in its associates, who are part of the production and operating centers, in state-of-the-art equipment and digital infrastructure, to continue being a cost-optimized, efficient, highly productive company, operating under the highest safety standards, as well as including sustainability targets and planet care. During 2022, the capital investment projects executed reached a record level for Grupo Bimbo, for an amount of USD $1,416 million, of which 85% was allocated to value chain activities, including projects high profitability, expansion/growth and business continuity in manufacturing, logistics and sustainability; the rest of the investment was allocated to optimizing the distribution network and accelerating the digital transformation. As part of the Company’s strategy of complementation, renovation and asset transformation, new production centers were opened in various geographies such as Chile and China. In 2023, Grupo Bimbo will continue to implement solutions to achieve greater efficiency, reinforcing its leadership position and improving profitability through continuous investments focused on its associates, production centers, machinery and equipment. The Group expects to take advantage of its leadership in the growing fast food industry, transfering technology and knowledge that will allow the Group to become a more flexible and agile producer. The goal is to achieve a cost-optimized culture that supports long-term growth and transformation through the best use of resources, which are allocated to initiatives with high added value.

Commitment to our People. Grupo Bimbo is a company that strives to be a deeply humane company and, since the beginning of its operations, its associates' wellbeing and safety have been and will continue to be the top priority. The Group's more than 139,000 associates everyday contribute to the sustainability and competitiveness of the business, as well as to the quality of each product, and are of high importance to the company's continued growth and success. The engagement of its associates and their commitment to the Group's culture is paramount to the organization. The Group's associates are key in the process of understanding its markets and consumers needs and preferences. The Group is committed to enhance its associates' skills at all levels and offer them additional opportunities to achieve their full potential. As a result of this commitment, in 2022 Grupo Bimbo provided approximately 3.5 million training hours. In addition, the Group invests in its associates through Grupo Bimbo University, its in-house multiplatform training and development digital system covering an extensive range of courses on leadership and technical skills. The Group's associates management model is designed to transmit its passion to serve its customers, suppliers, shareholders and communities, and inspire pride and belonging in its organization. Grupo Bimbo believes its efforts have resulted in a skilled, highly capable and loyal team. For Grupo Bimbo, caring for the safety and physical and psychological integrity of its associates by promoting a culture of self-care is a priority. To achieve this, the Group has a Safety and Well-being Model implemented globally in all its work centers, which aims to: (i) consolidate a culture of safety and well-being in the Company, (ii) reverse the trend of accidents, (iii) achieve zero accidents, and (iv) self-manage a healthy lifestyle. This model is strengthened by committees, subcommittees and commissions made up of associates from all levels and areas. These committees have, among their objectives, analyzing risks for their timely detection and prevention, monitoring behavior in order to identify and correct unsafe behaviors, and in the event of the occurrence of accidents, incidents or fire attempts, take actions to prevent their recurrence. Regarding health care, well-being and life balance, permanent information, the implementation of initiatives with the participation of associates and the recognition of positive results, complement the objectives of the proposed prevention strategy. All of the above is aligned with global internal policies, the Safety and Well-being Model and the regulatory framework of each location where Bimbo has presence. Through these actions, Grupo Bimbo has implemented guidelines and standards that allow safety to be preserved, as well as promoting healthy habits among its associates, in order to improve their well-being and quality of life. Among the highlights in 2022 are: (i) 17% reduction in TRIR (Total Recordable Incident Rate) compared to 2021, (ii) 14% reduction in recordable accidents compared to 2021, and (iii) significant investments in fire prevention systems and the installation of technologies that allow for timely detection of possible sources of fire outbreaks..

Constant Growth, While Boosting Profitability and Cash Flow Generation. The Group seeks to maximize its key strategies to continue growing organically and/or through strategic acquisitions. In particular, the company continues to expand its existing brand and product portfolio, solid asset base and geographic footprint to increase the markets in which it operates. The Group believes that India is a market with high potential for continuous growth in the long term and plans to continue expanding in this market through the offer of high quality products elaborated with innovative techniques. The Group uses ingredients and flavours that satisfy specific tastes in function of the region of the consumers and their preferences, while offering Western-style products to meet the growing demand in India for international products and changes in dietary trends. Grupo Bimbo seeks to expand its geographic reach while maintaining a strategic balance between developed markets and high-growth markets. Grupo Bimbo intends to enhance diversification and increase penetration across distribution channels to reach a broader consumer base. Through its division Bimbo QSR ("Quick Service Restaurants"), the Group expects to take advantage of a high growth and profitability industry. The Group is committed to deliver products for every lifestyle and preference, pursuing "stomach share" at every consumption occasion, in more homes and markets every day. In addition, the Group plans to leverage on its business platform and experience in the snacks category to target on-the-go consumption, making products easier to carry, easy/fast, with good value priced. As Grupo Bimbo benefits from the scale and scope of its organization, the Group believes that remaining on top of the needs of its consumers and exceeding their expectations is a key component of its strategy to achieve continued growth and build consumer trust. In the face of its recent growth, the company plans to challenge itself every day to improve its products, its operating efficiency, profitability and cash flow generation.

1.2 Strengths of the Group during 2022

Grupo Bimbo has built a leading position as a result of its unrelenting focus on creating memorable experiences for its consumers in every bite of its high-quality, innovative, delicious and nutritious baked goods, snacks and cookies, the development of enduring and meaningful brands, efficient operations and investments in its production and distribution platform, strategic acquisitions, and the Group's deep understanding of the baking industry. All under its deeply agile culture of innovation and continuous improvement present at every level of the organization. Grupo Bimbo believes the following strengths distinguish it from its competitors and will allow the Group to expand and further consolidate its leading position and successfully fulfill its strategy for the Group's long-term sustained and profitable growth.

A Leading Player in the Global Baking Industry and a Relevant Participant in Snacks. According to the last report of IBISWorld (March 2021), Grupo Bimbo is a global consumer food company, the leader in the baking industry and a relevant player in the snacks industry, in terms of sales. The quality and breadth of its products allows the Group to offer its consumers a wide range of attractive and high-quality alternatives for every consumption occasion. The Group believes that its geographic diversification with a balanced presence in emeging and developed markets, its solid asset base, its experience and knowledge of consumer preferences, its commitment to innovate and enhance the nutritional profile of its products, its operating efficiency and its capacity to generate cash flow, provide the Group with significant advantage over its competitors. In addition, the scale and strength of the production platform and distribution network, along with the Group's reinvestment and long-term view business model, allow them to respond quickly and effectively to the diverse and changing needs of the markets it serves in a cost effective manner.

Differentiated Portfolio with Highly Recognized Brands. The Group's brands are a key element for its unique positioning and differentiation. After 77 years in the baking industry, the Group has achieved a strong track record of creating and managing a range of both, strategic global and regional brands, such as Bimbo®, Oroweat®, Thomas®, Barcel®, Marinela®, Saníssimo®, Takis®, among others, to identify a diversified portfolio of products. Several of its brands are leaders in the markets and categories in which they participate. According with IRI figures, Thomas'® is the number one brand in the English muffins and bagels categories in the United States. In Canada, Dempster's® is the top-seilling brand in packaged bread according to Nielsen data. In Mexico, the iconic Bimbo® brand is currently the market leader in the bread category, and Marinela® is currently the market leader in the sweet baked goods category. According to Nielsen, both brands have the highest sales in Mexico based on market share. Moreover, in Spain, Donuts® is an iconic brand for sweet baked goods. In the 2022 "Brand Footprint" study published by Kantar Worldpanel, "Bimbo" brand appears as the most chosen consumer brand within the food sector in Mexico and Latin America, and the twelfth globally. The Group permanently strives to maintain an emotional bond with its consumers and to develop customer loyalty through its brands. As a result of its expansion, the Group has acquired local brands and products have been introduced with local features marketed under its global brand names. The Group has a strong brand equity that enables it to innovate and launch new line extensions and new products. Each of the Group's brands is targeted to a specific consumer segment and supported by a strategic marketing plan.

Extensive Direct-Distribution Network and State-of-the Art Production Facilities. Grupo Bimbo has an extensive world-class direct-distribution network and strategically located state-of-the-art automated production facilities. The Group's global reach combined with its strong local execution allows it to guarantee the maximum quality and freshness of its products. The Group's distribution network has one of the largest fleets in America with more than 55,000 distribution routes worldwide. Grupo Bimbo believes it has mantained a highly efficient and sophisticated logistics operation to address distribution requirements across the markets it serves. The Group's agile distribution network and production facilities can be seamlessly reconfigured to increase its presence in channels that present increases in demand. The nature of its products makes the industry local and stresses the need for a highly efficient operation. The Group's network allows it to distribute its products every day to more than 3.3 million points of sale to meet the needs of every type of customer such as supermarkets, family-owned businesses, QSR distribution channel, among others.The Group's fleet travels in aggregate the equivalent to 129 trips around the world every day. In addition, the Group has state-of-the-art and sustainable bakeries and other plants that allow it to operate efficiently, reduce waste and optimize energy and water usage. Its sound and reliable production platform includes 204 bakeries and other plants around the world, enabling the Group to produce more than 31

million equivalent units every day. The Group's extensive distribution network and its highly efficient productive assets ensure product availability anytime and everywhere where the Group operates, enabling it to adapt to the diverse and changing needs of its customers and streamline costs. To respond quickly and effectively to changes in demand and consumer preferences, the Group uses agile and flexible, top-notch technology that allows to adjust product production according to different price-point categories and formats in a reduced time frame. Grupo Bimbo continuously invests in improving its distribution network and production facilities, to continue supporting growth, profitability and market penetration.

Strategic Diversification of Geographies, Channels and Caterogies, with Balanced Presence in Established and Developing Markets. The Group believes that it has a diversified and balanced portfolio of products for each distribution channel, which allows them to reach a broad consumer base and gives access to broader consumption ocassions. The Group's disciplined approach to acquisitions and organic growth is centered on a balanced expansion of its geographic footprint across developed and emerging markets (which represented 58% and 42% of net sales for the year ended December 21, 2022, respectively), strengthening its presence in its different distribution channels, adapting its strategy and product portfolio to the regions where it operates, achieving economies of scale. The diversification of its revenue stream reflects its international character and reduces dependence on any single region and currency. In the last ten years, the Group has increased its exposure to international markets primarily through acquisitions. In 2011, more than 60% of its profits derived from its operations in Mexico, compared to 46% during 2022. The Group believes that its selective geographic footprint, its global scale, its consistent marketing efforts and its category and channel diversification, positions the Group ahead of its competitors to take advantage of the highly fragmented baking industry, the development of new markets such as Asia and the growth potential of alternative distribution channels such as the QSR and digital channels. Its presence in developed and emerging markets, allows the Group to tackle the diversity of growth opportunities and the pace of change in the categories in which it participates. The installed capacity of Grupo Bimbo allows access several channels, including traditional, modern, wholesale, fast food, among others, and share innovative products, processes and technologies across different regions and channels.

Product Development and Innovative Processes. Grupo Bimbo offers its consumers a variety of baked goods, snacks and cookies, under a broad range of categories, price points, flavors and presentations to cover every consumption occasion and consumer profile. Grupo Bimbo has gained a deep understanding of its consumers and markets as a result of its experience and research, the investment in technology and the input from its sales force that allow the Group to retrieve and analyze key information from its consumers and identify the elements customers consider as a priority to recognize the Group as their preferred supplier. The Group's solid market intelligence allows it to track and create new market trends and place the right products for each point of sale at the right time. Access to this information, combined with its consumer knowledge, expertise, flexible production capabilities and distribution network, allows the Group to satisfy changing consumer demand and anticipate trends. In addition, consumers are increasingly developing responsible and informed consumption habits and demand for transparency from food companies. In line with this trend, the Group regularly reformulate its products, in an effort to improve their nutritional value by reducing the amount of certain components (added sugar, saturated fats, trans fats and sodium, among others) and the inclusion of others (fiber, grains and protein, among others), as well as promoting healthier plant-based diets. Similarly, the Group includes consumer friendly labels, with ingredients that are easy to understand (clean labels), with the purpose of being the number one option of its consumers.

In 2022, Grupo Bimbo made significant progress towards its 2030 goals, which aim to have simple and natural recipes with positive nutrition, achieving a 97% compliance with nutrient limits such as added sugars, saturated fats, trans fatty acids, and sodium in the daily consumption portfolio. Additionally, 98% of this portfolio is free of artificial colors and flavors, and 100% is free of high-fructose corn syrup, partially hydrogenated fats and oils, azodicarbonamide, caramel colors 3 and 4, and diacetyl.

75% of its daily consumption offer is classified as "healthy" based on the international standard of the Healthy Star Rating System, which measures not only the nutrient content to restrict in the diet but also the nutrient and food group content to encourage in it such as fiber, proteins, micronutrients, whole grains, fruits,

vegetables, and nuts. Over the next 3 years, the Group will seek to have its entire global offer of bread, pastries, bagels, and English muffins fall within this classification.
The Group also invests in automation at its production facilities and artificial intelligence across its business from its supply chain to its distribution network and consumer feedback. Through its five innovation centers and its strategic alliances with institutions, doctors and experts, as well as with food and health regulatory authorities and research centers, the Group aims to continue offering value-added, differentiated and relevant products to maintain and grow its leadership in the baking and snacks industry.

Efficient Production Capabilities and Low-Cost Business Model. Grupo Bimbo believes that its capacity to operate efficiently and at low cost is a strengh that will allow them to continue growing and place delicious and nutritious baked goods and snacks in the hands of all consumers. The Group's commitment to operate efficiently, increases its ability to provide consumers with the highest quality products at the lowest possible cost. The Group dynamically manage its supply, production and distribution processes to achieve cost reductions. The Group's initiatives aimed at becoming a low-cost producer include obtaining savings through waste reduction, digital innovations and generating economies of scale along the production process. In line with its global procurement initiative, the Group selects the most competitive suppliers of raw materials based on several factors, including price competitiveness, timely delivery, response time, quality, innovation and sustainability. The Group uses state-of-the-art technology to increase efficiency, reduce waste and optimize the use of energy and water in its bakeries, plants and sales centers. In addition, the Group frequently reviews the location of its production facilities and sales centers based on the demographics, needs and trends in each market to optimize resources. For example, in the United States, the integration and restructuring efforts that the Group implemented in 2008 and 2012, with its acquisitions of Weston and Sara Lee, helped the Group transform into one of the largest suppliers iof consumer products operating at a peak level with fewer resources than the entities acquired. In order to better position Grupo Bimbo within the competitive environment and continue optimizing its production facilities and footprint, in 2022, the Group opened 2 plants when compared to 2021. The Group believes that its focus on cost optimization, digital innovation and sustainability allows them to improve its supply and distribution chains, transfer value to its customers and consumers, and increase its quality, profitability, and competitiveness in the long term.

Leadership of the Management Team that Trusts, Empowers and Inspires Associates. The Group is led by a deep bench of tenured, agile and flexible senior management who live and demonstrate the culture that has distinguish the Company throughout the evolution of its business. Grupo Bimbo's management team has implemented innovative ideas and best practices in production and distribution, and has identified, completed and integrated, over 32 acquisitions during the past ten years which have resulted in significant synergies and growth, both for people and the business. The focus on operating nimbly and sustainably way towards value creation, has allowed it to grow organically and through acquisitions generating profitability and cash flow. The senior management team is supported by more than 139,000 associates that contribute every day with their commitment and competitiveness. Associates are at the core of the organization and are a crucial element for the business, that allows the Group to maintain its brand-customer relationship, which distinguishes them from its competitors as a sustainable, highly productive and deeply humane company.

Sound Financial Policies. As a result of a proactive and responsible financial management, the Group holds and expects to maintain a healthy balance sheet, and a strong and resilient capital structure. As part of its financial discipline, Grupo Bimbo strives to maintain a flexible amortization profile aligned with its expected cash flow generation, strict and responsible cash and risk management and a conservative dividend payout. The Group's financial policy encompasses a long-term view and reinvestment initiatives targeting expansion, growth, profitability and cash flow generation, while maintaining its low-cost production objectives. Decisions on its strategic acquisitions also follow these financial policies. The Group's balanced capital structure reflects a well-diversified funding base, reducing reliance on any single financial market. The Group believes that maintaining its capacity to generate cash flow and a range of liquidity sources, its balanced approach to cash deployment and its discipline towards incurring indebtedness will allow them to continue advancing its organic and inorganic growth while maintaining and strengthening profitability.

Commitment to Sustainability and Distinctive Corporate Culture. The Group's unwavering commitment to actions that benefit its associates, consumers, communities and environment, as well as its culture of passion, dedication and customer service, constitute its way of doing business. The Group's sustainability efforts are focused on the wellness of people and the planet, therefore, in 2021 the Group launched a new sustainability strategy, taking into account materiality and the environment, under the purpose of "Nourishing a Better World" with new aspirations and goals for the next years under three main concepts:

- **Baked for You**: Facilitating planetary diets with nutritional diversity. The goal for 2030 is that 100% of its products offer nutritional and sustainable transparency in packaging; and healthier diets are actively promoted through clear educational campaigns. Also, that 100% of the supply of baked goods and snacks have simple and natural recipes with nutritious ingredients.
- **Baked for Life**: Improving the lives of all the people the Group reaches. The main initiatives consist of implementing at least one social impact project per work center, promoting a culture of volunteering among associates to motivate them to become agents of change in sustainability, and ensuring that the majority of small farmers and customers throughout the value chain are supported by Grupo Bimbo through dedicated programs.
- **Baked for Nature**: Protecting and regenerating natural systems. The following goals have been set for 2050: achieve net zero carbon emissions, source 100% of key ingredients from farmed land using regenerative agriculture practices. And by 2030 it seeks to guarantee that 100% of packaging supports a circular economy.

This new strategy integrates the goals previously established for 2025, which include: operating with 100% renewable electricity, migrating the 25% of the units of the current fleet to electric vehicles, reducing food waste from operations by 50% including sustainable destinations, that 100% of the packaging used are recyclable, biodegradable or compostable, and 100% of the paper and cardboard come from sustainable sources.

The Grupo Bimbo's sustainable business model has allowed it to be part of the Sustainability Index of the Mexican Stock Exchange since its creation in 2011. Grupo Bimbo believes that its commitment to sustainability provides its consumers with additional reasons to trust its brands, while it offers professional career plans that allow its associates to develop their full potential in line with the growth and profitability of the business.

1.2) Business Units

	Net sales for the periods ended December 31,		
Region	**2022**	**2021**	**2020**
	(in millions of Mexican pesos)		
North America	205,674	175,369	175,644
Mexico	130,401	109,089	97,038
Latin America	38,411	31,109	28,798
EAA…….	37,536	34,195	30,029
Consolidated eliminations…….	(13,316)	(10,970)	(8,566)
Consolidated	**398,706**	**338,792**	**322,943**

Region	Number of bakeries*
	2022
North America	80
Mexico	35
Latin America	37
EAA	52

United States

In the United States, the Group conducts its operations through BBU, Barcel USA and Bimbo QSR with 58 bakeries, 2 plants and 2 bakeries, respectively.

BBU

As of January 2023, BBU is recognized to be the largest baking company in the United States, according to IRI and IBISWorld. The Group established its leading position through several major acquisitions, such as Sara Lee (2011) and Weston Foods US Inc. (2009), followed by significant integration and restructuring work across the entire supply chain.

BBU has the most extensive geographic presence within the baking industry in the United States, where the Group has renowned brands in every market segment of the industry, with a portfolio that serves a variety of price points and consumption occasions, from breakfast to dinner and special ocassions. According to IRI, BBU holds a leading position in the categories where it participates, from basic bakery products to more premium products, pastries, cakes, bagels and English muffins. Currently, BBU operates 60 bakeries and plants across the United States and has a nationwide distribution network. BBU maintains strong relationships with large retailers and small convenience stores across the United States, which enhances its ability to market its products, reaching 50 states with a presence of 86% in American households, according to IRI.

BBU has a brand portfolio comprised of leading national brands, such as Thomas'® English muffins and bagels, Sara Lee® for sliced bread, Ball Park's® for buns, Entenmann's® for snack cakes, premium brands such as Arnold®, Brownberry® and Oroweat®; and regional brands, such as Mrs. Baird's®, Freihofer's®, Stroehmann® and Heiners®. BBU also produces and distributes some of Grupo Bimbo's Mexican brands in the United States, such as Bimbo® and Marinela®. In addition to selling under its own brands, BBU participates in several categories in the private label segment, targeted to a strategic group of customers.

Grupo Bimbo also produces, distributes and commercializes frozen bread, and buns in two bakeries in the United States. Grupo Bimbo sells these products under the brands Wholesome Harvest®, California Goldminer Sourdough®, Grace Baking® and Cheesecake Factory at Home.

BBU's extensive distribution network has allowed the business to significantly expand its market share in the United States. The Group's main distribution channels are large retailers, convenience stores and the foodservice channel.

BBU is headquartered in Horsham, Pennsylvania.

Barcel USA

Barcel USA is the Group's U.S. based salty snacks and confectionery division. Currently Barcel USA produces salty snacks locally and also imports salty snacks from the manufacturing facilities located in Mexico.

Barcel USA portfolio includes diverse brands, such as one of the Group's most popular brand Takis®, one of the fastest growing salty snacks in the Company, as well as Popcornopolis®, company acquired in 2021.

Barcel USA is headquartered at Coppell, Texas. The distribution of products is handled primarily through direct store delivery (DSD) in addition to an important growing business of direct sales to customers through cross docking.

Bimbo Canada

On May 23, 2014, the Group completed the acquisition of Canada Bread, one of Canada's largest baking companies, which represented the Group's entrance to the Canadian market. With the addition of this business, Bimbo expanded its geographic presence in North America, reaching a consumer base in Canada and expanding its product portfolio by including frozen bread as a new line of business for the Company. Canada Bread is now known as Bimbo Canada.

Since then, Bimbo Canada has grown, both organically and through acquisitions. On February 2, 2015, Vachon Bakery Inc., Canada's leading producer of snack cakes, was acquired. On March 29, 2015, two bakeries were acquired from one of the Company's major customers, introducing artisanal capabilities into the Canadian network. Finally, on March 2, 2017, Stonemill Bakehouse was acquired, further expanding the artisan capabilities of the company and introducing slow crafted organic products.

Bimbo Canada´s current core business is the manufacturing and sales of baking products, including fresh bread, buns and rolls, bagels, English muffins, tortillas and pastries. Bimbo Canada has several leading brands most of which hold the first places in sales in their respective categories, according to Nielsen's data. Popular brands include Dempsters®, Villaggio®, POM®, Bon Matin®, Vachon® and Hostess®. In addition to selling branded products, the Company also participates in several categories in the private label segment. The Group maintain strong relationships with large retailers across Canada, which enhances its ability to commercialize its products.

There are currently 18 bakeries in Canada. Distribution is carried out through a large direct distribution network, operated mainly by independent distributors.

The headquarters are located in Etobicoke, Ontario, Canada.

Mexico

Currently, Grupo Bimbo operates 35 bakeries and plants across the country, with a nationwide owned distribution network. Its distribution reaches a large number of mom & pops, large wholesellers, large retailers, hypermarkets, price clubs, convenience stores, and other insitutional customers with whom it maintains strong relationships.

Bimbo

Grupo Bimbo's subsidiary, started operations in Mexico in 1945. Bimbo produces, distributes and commercializes sliced bread, sweet baked goods, buns, cakes, pastries, cookies, crackers, cereal bars, packaged wheat tortillas, and *tostadas*, among others. Bimbo has a strong presence in Mexico where some of its products are considered staples, such as the packaged bread. Its products are commercialized under the Bimbo®, Oroweat®, Marinela®, Tía Rosa®, Wonder®, Milpa Real®, Lara®, Del Hogar®, Gabi®, Saníssimo®, Lonchibón® and Suandy® brands, among others. Additionally, Bimbo produces, distributes and commercializes artisanal and high-end pastry under the brands El Globo®, La Balance® and El Molino®, through direct points of sale.

According to internal research, the Group´s brands have high consumer recognition in the Mexican market and are supported by one of the country's most extensive distribution network. This has allowed the

Company to become a solid player in the packaged bread market in the country, with continued gains in market share as consumer preferences evolve and introduces innovative products.

Despite the fact that the baking industry continues to be very competitive and fragmented in Mexico, according to Nielsen, Bimbo based on its market share, is positioned as the manufacturer with the highest sales in Mexico in the sliced bread and pastries category, and is the second highest selling manufacturer in the cookies category. Moreover, according to Nielsen, Bimbo is the manufacturer with the highest sales in the cereal bars category through the Branfrut® and Multigrano® brands. Also in the flour tortilla category, Bimbo, under the Tortillinas Tía Rosa® brand, has the highest sales in Mexico according to Nielsen. In the tostada category, the Milpa Real® and Saníssimo® brands are leaders. According to Nielsen data, after the group of small manufacturers, Milpa Real® and Saníssimo® are the second and third highest selling brands, respectively.

Bimbo's headquarters are located in Mexico City.

Barcel

The subsidiarie of the Group, Barcel produce, distribute and commercialize salty snacks, including fried chips, peanuts, other corn-based salty snacks, cracklings, among others. Among Barcel main brands are Takis®, Chips®, Hot Nuts®, Runners® and Papas Barcel®. In addition, its secondary brands such as Big Mix®, Golden Nuts®, and POP® contribute significantly to its growth..

Barcel is the second manufacturer with highest sales in the snack category in Mexico according to Nielsen. Coming from strong organic growth, specially in the traditional channel in Mexico and through acquisitions, Barcel has consolidated its position as a key player in the salty snacks market offering innovative and well-differentiated products. Barcel have increased its presence in other countries by exporting its products to 21 and presence in 26 countries. Although this is achieved by exporting mainly from Mexico, there are plants closer to consumers in other countries.

Barcel headquarters are located in Mexico City.

Latin America

The Group has been present in Latin America since 1995. Through a series of acquisitions and organic growth, as well as the implementation of innovative ideas and best practices in production and distribution, Grupo Bimbo has become the market leader across the region. The Group operates in 15 Central and South American countries, including Argentina, Brazil, Chile, Colombia, Costa Rica, Ecuador, El Salvador, Guatemala, Honduras, Nicaragua, Panama, Paraguay, Peru, Uruguay and Venezuela.

The Group operates in Venezuela and Argentina, economies that according with IFRS qualify as hyperinflationary. Even though for financial purposes the Group no longer consolidates its subsidiaries in Venezuela, the Group classifies Venezuela's subsidiaries equity investments as equity and alternative financial instruments at a fair value, since it intends to keep these investments in the foreseeable future.

The Group has 37 bakeries and plants with an extensive distribution network designed to each of the markets in the countries in which it participates. Moreover, the Group adapts its business model, distribution systems, brands, marketing plans, flavors and other characteristics of the products to local preferences to achieve a higher level of execution of the points of sale, maintaining the quality standards of the Group. Its main products in the region include packaged bread, sweet baked goods, tortillas, pita bread, cookies, and snacks, all of which are sold under the brands Bimbo®, Pullman®, Artesano®, Plus Vita®, Nutrella®, Saníssimo®, Vital®, Fargo®, Pan Todos®, Ana Maria®, Ideal®, Nutra Bien! ®, Crocantissimo® and Supan® among others. The innovation for these brands arises from the processes of deep consumer and market understanding gathering insights and indentidying their needs. Through investments in technology and feedback from the sales force, it has been possible to analyze key consumer informationand their priorities.

In recent years, the Company has steadily increased its market penetration in the traditional channel while strengthening its relationships with retailers and wholesellers across Latin America, which favors its ability to commercialize its products. The constant progress of the Group in Latin America has translated into a significant improvement in EBITDA, which has multiplied by more than four times since 2017, demonstrating that it is a region that constantly drives volume and profitability.

The Group´s Latin American operations have its headquarters in Bogotá, Colombia, Santiago de Chile, Chile and Sao Paulo, Brazil.

EAA

The Group has been a leader in the baking industry in Spain and Portugal since 2011, and, since 2014, in the United Kingdom. The Group operates 52 bakeries in Europe, Asia and Africa and an extensive distribution network mainly served by independent distributors, reaching supermarket chains and other institutional customers. It also serves the QSR industry in certain countries in Europe, Asia, and Africa.

The operations in Europe, Asia and Africa have its headquarters in Barcelona, Spain.

Europe

The Group has presence in Spain, Portugal, the United Kingdom, France, Italy, Switzerland, Turkey and Ukraine after its acquisitions of Sara Lee, Canada Bread, Panrico and East Balt in 2011, 2014, 2016 and 2017, respectively.

According to Nielsen, Grupo Bimbo is the leading player in the packaged bread industry in Spain and Portugal. It operates 12 bakeries in Spain and 2 in Portugal and an extensive distribution network to secure that its products are delivered on time to its customers.

Panrico, a company acquired in 2016 excluding the sliced bread category, was founded in 1962 and currently is one of the strategic players in the baking industry in Spain and Portugal that participates in the sweet baked goods and buns categories. The acquisition of Panrico allowed Grupo Bimbo to include well-positioned brands to its portfolio, such as Donuts®, Qé!®, Bollycao®, La Bella Easo® and Donettes®, among others. This transaction also strengthened the Group's profile in Spain and Portugal through synergies, and complemented its distribution network and production facilities, becoming the leader in the branded sweet baked goods category.

In the United Kingdom the Company participates in the fresh and frozen baking business and commercializes its products under the New York Bakery Co.® brand, leading manufacturer company of bagels, according to IRI.

The Group also holds a strong position in terms of sales of buns and other products to big QSR customers through its Bimbo QSR business in France, Switzerland, Italy, Turkey and Ukraine such as McDonald's, KFC, Burger King, among others.

Asia

The Group has been operating in Asia since 2006 through its subsidiary Bimbo China, which produces and distributes bread, sweet baked goods, cookies and fast food, among others, mainly under the Bimbo and Mankattan brands.

The Group's operations in Asia have grown through acquisitions. On June 29, 2018, the Group completed the acquisition of Mankattan, the second most relevant player in the baking industry in China in terms of sales. As a result of this acquisition, there are three bakeries in China focused on branded products. Mankattan produces and distributes packaged bread, pastries, cakes, buns, and yudane (a Japanese-style sandwich bread), among other products, which are distributed through traditional and modern channels to customers. Mankattan has presence in Beijing, Shanghai, Sichuan and Guangdong, and their surrounding

areas. This acquisition complemented the already existing operations in China, in terms its product portfolio and distribution channels. It also represented an opportunity to create significant synergies, especially in Northern China, by optimizing the supply chain to better serve consumers.

The main markets in China are in Beijing, Tianjin, Hebei province, Shanghái and surroundings, where constant growth is maintained in the distribution channel suitable for the local market. As a result of the development of the distribution network and products with a long shelf life, it has been possible to sell products in regions more distant to China. Grupo Bimbo, being a pioneer in the packaged bread market, has developed new products, including rolls filled with sweet beans, bread stuffed with spicy meat and Western-style products in order to satisfy the growing demand for international products in the Asian daily diet. In China, the Group is the second largest player in the packaged bread category according to Euromonitor market data. Bimbo China headquarters are located in Beijing, China.

In India, on May 25, 2017, the Company entered into a strategic alliance with Ready Roti, one of the leading baking companies in New Delhi and its surroundings, which produces packaged bread, pizza dough, and salty and sweet buns; with leading brands like Harvest Gold® and Harvest Selects®. With this acquisition, the Group expanded its geographic footprint by entering a new market, further increased its presence in and exposure to emerging markets, and supported its geographic and product diversification, in line with its strategy to become one of the world's top food companies. Harvest Gold is the leading player in the bread category in the North Capital Region of Delhi (Delhi-NCR), after starting operations over more than 26 years ago. The headquarters of India are located in Nueva Delhi.

According to information from the International Monetary Fund (information as of 2022), China and India are the first and second most populous countries, and the second and fifth largest economies in terms of GDP. Grupo Bimbo maintains a continuously growing distribution network that adapts to these local markets, and to further expand in these markets, it plans to offer quality products crafted with innovative techniques. Also, ingredients and flavors are used that appeal to the tastes and preferences of specific consumers in the region, while offering Western-style products to meet the growing demand in Asia as well as changes in food trends.

Africa

In 2017 the Group entered into the Moroccan market through the acquisition of Adghal Group. The company produces and distributes baked goods in one bakery. This acquisition provided Grupo Bimbo with an entry point to a new continent through an established baked goods business that will benefit from the Group's global expertise. The headquarters are located in Casablanca, Marruecos.

Bimbo QSR

The Group increased its geographic presence, diversifying its distribution channels and expanding its capabilities in the QSR industry with the acquisition of East Balt Bakeries in 2017, now Bimbo QSR. This division is a profitable business, that has boosted the global expansion strategy in what the Group believes is a fast-growing market, a result of the long-term and stable relationships with its customers.

Bimbo QSR is one of the world leading supplier in the industry, with a presence in 70% of the global QSR market. The Group's global product portfolio and capabilities include unique bun shapes, textures and formats, as well as sweet baked goods. Proudly, the Group supplies restaurant chains around the world with high-quality products from its 27 high-speed line bakeries located in 12 countries. Bimbo QSR provides tailormade solutions to meet customers' unique needs, while meeting applicable food safety and regulatory compliance standards. From classic round buns to unique artisan formats, the Group has the operational expertise to create the custom sandwich carrier that is perfect for any menu.

In Europe, Bimbo QSR has presence in France, Italy, Switzerland*, Turkey and Ukraine. In addition, the Group serves customers in Brazil, China, South Korea, the United States, Kazajistán, South Africa and Morocco*, improving the manufacturing footprint globally.

The financial results of Bimbo QSR are integrated in the results of of the applicable geographic business segment.

Bimbo QSR headquarters are located in Ohio, United States.

**The operations of the business in Switzerland and Morocco are through a joint venture.*

1.3) Products

During more than 77 years Grupo Bimbo has developed a diversified portfolio of over 9,000 products under its renowned brands to cover every meal, consumption occasion and segment.

The Group's portfolio of renowned brands includes eight brands with 2022 retail sales of $1 billion US dollars.

The Group's business has always focused on producing and distributing a large portfolio of products tailored to the local markets, such as sliced bread, buns & rolls, pastries, cakes, cookies, toasted bread, English muffins, bagels, tortillas & flatbreads, salty snacks and and other products enjoyed around the world by consumers every day.

a. Innovation in the nutritional improvement of products

As one of the largest food companies in the world in terms of sales, Grupo Bimbo has always focused on offering delicious and nutritious products to its consumers. The Group's success is based on constantly adapting to consumer needs and preferences. Grupo Bimbo has the experience and knowledge of the preferences and consumption patterns in the regions where it operates. The commitment to innovate and improve the quality of its products, provides it with a significant advantage over its competitors.

The Group has a strong track record of creating innovative products, reflecting a deep understanding of consumer preferences through market testing and research programs. Moreover, as a result of investments in research and technology, Grupo Bimbo has improved the nutritional value of existing products, frequently introducing new and nutritious options for the benefit of its consumers. In 2022, in addition to improving and transforming all its occasional consumption portfolio product recipes, it had outstanding launches that meet nutritional standards and promote positive nutrition such as the Keto line in the United States, the Bon Matin 12 grain bread in Bimbo Canada, the new launches of the Cero Cero line: Cero Cero Multigrain bread, Cero Cero pastries, Cero Cero toasted bread and Cero Cero bread crumbs; and its latest release, Cero Cero flourless bread in Mexico. They also launched the actidefens white bread in Central Latin America, aimed at addressing iron deficiencies in vulnerable populations; Cero Cero white and whole wheat bread in South Latin America; the Australian Artisan Pullman bread in Brazil and the Kristal bread of Rustik brand in Bimbo Iberia.

Grupo Bimbo maintains its commitment to continuously work in actions that foster the adoption of healthy lifestyles through the improvement of its products, promotion of adequate diets and frequent practice of physical activity, in order to become a local and global benchmark regarding health and well-being initiatives. As the leading baking company in the world in term of sales, the Group works to harness all the factors that have a positive impact on the well-being of its consumers and associates. Improvement of nutritional profiles of the Group's product portfolio, innovations in technology, processes and ingredients, aligned with the Health and Wellness strategy, continues to be one of the most relevant action lines of the Company.

Grupo Bimbo strives to find the proper balance between nutrition and taste in its products. Therefore, since 2008, the Group became a member of International Food and Beverage Alliance to implement the Global Strategy of the World Health Organization on Diet, Physical Activity and Health, with five fundamental commitments:

- Develop products with a high standard in nutritional value;
- Promote better diets by incorporating accesible and affordable options for the consumers;

- Adopt responsible marketing for children under the age of 12;
- Provide nutritional information to consumers through clear, transparent and user-friendly labeling;
- Promote physical activity and healthy lifestyles; and
- Make alliances with health organizations and research institutions.

In addition, the Group has developed internal Nutritional Guides that are leveraged on four lines of action to achieve its nutritional ambitions in the short, medium and long term, offering better products and promoting the construction of better diets:

1. Clean labeling. Offer simpler and more natural recipes.
2. Positive nutrition. Offer an optimal nutritional balance between nutrients to reduce and encourage in the diet.
3. Fortification. Offer fortified, accessible and affordable options for vulnerable populations.
4. Smart portions. Offer portion control options to provide special moments without guilt.

Under these new guidelines in the portfolio, Grupo Bimbo defined stricter commitments to increase the nutritional quality of the product portfolio, such as achieving positive nutrition standards in daily consumption products by 2025 and in occasional consumption products by 2030.

The work with institutions, doctors and experts, as well as with food and health regulatory authorities is important to achieve continuous improvement of the nutritional profile of the Group's products. To promote the competitiveness of the Group's products, Grupo Bimbo created strategic alliances with universities and research centers to develop new technologies for its product development program. Grupo Bimbo maintains strategic alliances with research centers, such as the *Centro Internacional de Mejoramiento de Maíz y Trigo (CIMMYT)*and recognized institutes like the Whole Grains Council, Consumer Goods Forum and the International Food and Beverage Alliance (IFBA). In addition, the Health and Welfare action platforms remain aligned to those defined by the World Health Organization (WHO) in order to adopt internationally-recognized strategies and best practices. The Group participates in the Access to Nutrition Index (ATNI), which evaluates the strategy of the world's major food and beverage producers regarding their nutrition-related commitments, practices and performance. It has developed innovative products with unique nutritional characteristics such as low levels of cholesterol, fat, salt and sugar to meet the needs of different populations.

Finally, Grupo Bimbo has laboratories and facilities engaged in the production of prototypes and the testing and validation of new ingredients, as well as conducting functionality and evaluation studies for new products. Newly developed products are approved by Committees and evaluated through market testing.

b. Innovation through Bimbo Ventures

In response to today's great challenges, in 2016 Grupo Bimbo created Bimbo Ventures, a business area that seeks to be the window to the future as it looks for digital solutions in the world's innovation ecosystems. Through this area, the Group pursues to identify, work and invest in promising startups with disruptive technology and solutions in terms of new products, ingredients and packaging, digital marketing and e-commerce, digitization and optimization of operations and innovation in processes that allow to promote development of the business and bring it closer to its sustainability goals. Bimbo Ventures currently has a portfolio of more than 37 minority investments in companies with innovative solutions and 6 investments in Venture Capital funds around the world.

In 2017, through Bimbo Ventures, the Group created its startup acceleration program. To date, 5 exercises of this program have been carried out, where more than 1,000 participating startups from regions such as the United States, Latin America, Europe and Israel have been received and around 40 startups have been promoted in a process with hundreds of sessions between entrepreneurs and teams from Grupo Bimbo.

Through the different initiatives carried out by Bimbo Ventures and business partners, more than 400 startups with innovative business solutions are identified annually.

Since 2020, seeking to broaden horizons and participate more actively in global innovation ecosystems, Bimbo Ventures offices have been created in Israel, the United States, and recently in Spain. Through these offices, investments have been made in disruptive product and foodtech companies.

During 2022, in line with the Group's sustainability and product innovation strategy, an exercise was carried out for Latin American companies with healthy product offerings. An open innovation program was also executed with UC Davis University in California to devise solutions for the Group's packaging circularity challenges.

As a result of the presence in new ecosystems and the continuous search for disruptive technology and product companies, 5 product and foodtech companies have been incorporated into Bimbo Ventures' investment portfolio, companies with which it works on synergy projects for innovation and improvement of products and internal processes.

c. Seasonality

In most categories, the Company's products show seasonal behavior, with greater levels of consumption during holidays, rainy seasons, and seasons characterized by low temperatures. In order to stabilize the demand for its products, the Group has developed several promotions and advertising campaigns, as well as new product launches during times of lower consumption in its different operations, which are not coincident given the geographic footprint.

1.4) Production Processes

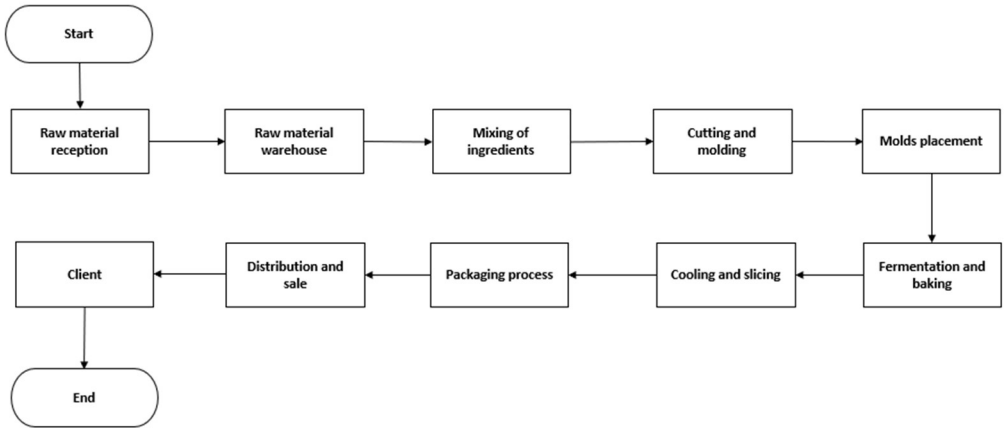
a. Production Processes

The Group makes ongoing investments to implement state-of-the-art technology and equipment in order to increase efficiency, reduce waste and optimize the environmental footprint with strategies to reduce the consumption of water, electricity, thermal energy and, in general, the carbon footprint in its facilities. The Group has been adopting and implementing modern automated manufacturing processes for each of its lines of business and maintain strict operation and control systems, resulting in efficiencies throughout its production processes within a competitive cost structure. The Group manages its production processes in order to promote the quality of its products at the lowest cost. This focus on cost control, sustainability and transparency allows to generate value to its customers and increase its profitability. The Group's production processes have slight variations among products, but generally includes the mixing of ingredients, baking, slicing, packaging and distribution of the products. Some of the Group's bakeries and plants may be programmed to produce a variety of products also contributing to operating efficiencies.

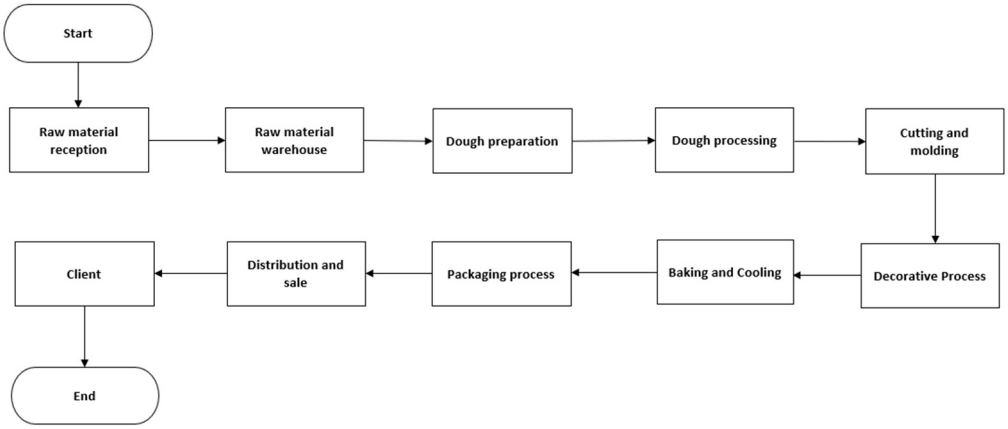
As part of the Group's strategy to respond to the changing needs of the market, it has implemented and continuously updates innovative systems to increase the capacity, quality, and production potential of its facilities. Grupo Bimbo aims to locate its bakeries, production plants and sales centers optimally in their markets with relation to warehousing centers and populations location. The Group's production processes constantly evolve, as they share global best practices from recently acquired companies and from its existing operations. To that end, the Group constantly redesigns its facilities and incorporates new technology (either developed by the Group or acquired from third parties), significantly optimizing capacity and reducing production costs as a result of process redesign in bakeries and plants, automation and better productivity.

The diagrams below show the Group's primary production processes for packaged bread, sweet baked goods and snacks:

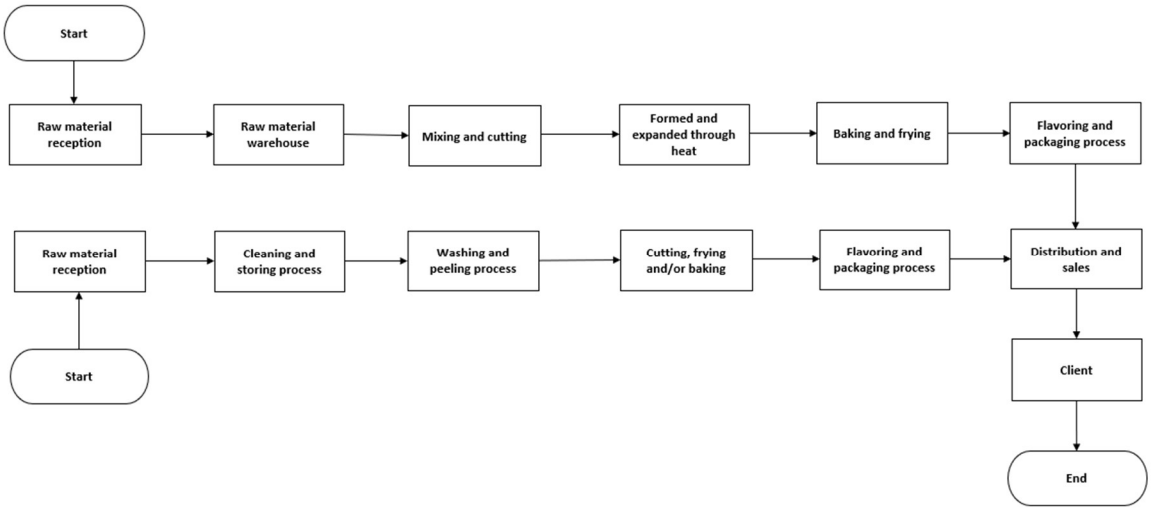
PACKAGED BREAD



SWEET BAKED GOODS



SALTY SNACKS



b. Environmental Strategy

In Grupo Bimbo, environmental management is defined within the sustainability strategy in two fundamental aspects, with the aim to nourish a better world: through initiatives for nature and its foundations where compliance with minimum environmental standards that the Company must have.

The strategy for nature is divided into three lines of action:



The Group is committed to objectives against nature degradation to achieve net zero carbon emissions, promote regenerative agriculture practices and reduce waste and its impact. During 2022, the Group reinforced its objective of reducing its environmental footprint throughout the value chain, through actions such as innovation in its packaging with recyclable, biodegradable and compostable technologies; the reduction of emissions and its water footprint.

In addition to some of the objectives previously set for 2025, the Group has renewed its commitment by adding the following objectives:

- Ensure that 100% of its packaging supports a circular economy by 2030.
- Achieve net zero carbon emissions by 2050.
- Ensure that 100% of key ingredients are sourced from land farmed using regenerative agriculture practices, by 2050:

During 2022, Grupo Bimbo received and maintained the following recognitions for environmental performance:

- In Turkey, EMEA Türkiye Bakery was recognized for Best Environmental Management by SME.
- In the United States, BBU was recognized wit the EPA Green Power Leadership award.

1. Zero Waste

Grupo Bimbo is committed to achieving this strategy throughout its value chain through three initiatives: sustainable packaging, reduction of food waste and water footprint.

i. Sustainable packaging

Packaging is essential for the Company to ensure that its products maintain the quality and safety needed to reach its consumers in the best conditions, as well as to avoid food waste throughout the value chain. Therefore, in its sustainability strategy, the Company has set a goal for 2030 that 100% of its packaging will be recyclable, biodegradable or compostable.

The Group plans to achieve the established goal by promoting different projects and initiatives in three lines of action:

Packaging design

The goal is to reduce unnecessary materials in the design, and incorporate simple, easy-to-recycle materials. From 2020 to 2022, 1.2 million kg. of plastic were reduced.

Recycling in the production processes

Grupo Bimbo promotes reduction and recycling actions throughout the value chain. By 2022, 91% of its global packaging is recyclable and 65 bakeries and plants have zero waste to landfill.

By 2030, the Company's goal is to guarantee that 100% of its packaging supports a circular economy, promoting recycling projects in order to minimize the amount of virgin material in its packaging. In 2021 in Spain, Grupo Bimbo launched the bag for Oroweat and Artesano bread with 30% post-consumer recycled material and continues to carry out tests in other locations.

Post-consumer recycling

In Grupo Bimbo, alliances are essential for the development of strategies that allow the Group to add value to materials and make their recycling attractive, which is why participation in post-consumer programs is encouraged in its operations. For example, in Mexico during 2021, and after several years of testing, the first circular economy exercise was achieved in alliance with the Ecology and Business Commitment Association (ECOCE) and its supplier Freher, developing recycled plastic pallets, which are used for the logistics of their products in different work centers nationwide. For the creation of the pallets, 20% post-consumer plastic wrap was used and the other 80% of its composition is recovered hard plastic. During 2022, a total of 2,688 pallets were produced with those specifications.

ii. Food waste reduction

One of the Company's strategic projects throughout its value chain is the reduction of food waste through comprehensive solutions, as well as reinforcing sustainable solutions. Grupo Bimbo has a goal for 2030 to reduce 50% of the food waste generated in its operations.

Grupo Bimbo continues to promote the “War on Waste” (WOW) initiative, a process made up of five pillars, each one with specific indicators, approaches and work methods, which are adapted to the needs of each plant or operation. At the end of 2022, its global business units defined specific actions to be carried out applying the concepts established in the five pillars of WOW, which reached 81% implementation progress.

During 2022, Grupo Bimbo carried out donation exercises to food banks in the United States and Latin America. Likewise, the Group avoided the diversion to landfill of 94% of the food waste generated by sending it to destinations approved by different international protocols for animal consumption and/or compost.

iii. Water footprint reduction

Cleaning processes represent the main consumption of water in its work centers, due to which the Group has standardized processes to reduce its environmental impact with which it has managed in 2022 to reduce water consumption by 2% for each ton. produced compared to 2021. The Company aims to reduce water consumption per ton produced by 20% by 2030 when compared with 2020.

To achieve optimal results in terms of water footprint reduction, the Group has established three lines of action:

Optimize cleaning processes and use of technologies

To optimize water consumption, the Company promotes the responsible use of water by implementing initiatives aimed at cleaning processes such as the use of dry steam machines and polishing systems for treatment systems.

Treatment and water reuse

Grupo Bimbo has had a constant improvement in the treatment and reuse of water over the years, which, in some of its operations, is used for different purposes such as irrigation of green areas, sanitary services

and cleaning of its vehicles. Globally, in 2022 the Group reuses 87% of total treated water and has more than 90 water treatment plants and in the rest of its plants it ensures treatment with external services. The Group also continues to work on the modernization of its treatment plants to make the operation more efficient and improve its quality.

In its sales centers, as of this Annual Report, the Group has 107 washing arches with lower consumption in vehicle workshops and 255 water recycling centers in vehicle washing agencies; both with technology that allows the reuse of water in the same process.

Use of alternative sources

The goal is to use alternative sources such as rainwater harvesting systems. In 2022, globally, the Group has 42 work centers, most of them sales centers with rainwater collection, storage and use systems, which the Group uses for different services and infiltration.

2. Net Zero Carbon Emissions

In 2021, Grupo Bimbo committed to achieving net zero carbon emissions by 2050 based on the Science Based Target Initiative (SBT) methodology. To achieve the objective, the Group has focused on 4 lines of action:

Energy efficiency in operations and transportation

The strategy involves the efficient use of fuels and energy to reduce the consumption of fossil fuels. In 2022, the Group reduced 4% of thermal energy for each ton produced compared to 2019. An example is the project called Intermodal, in which organizations from Mexico, Canada and *Latin Centro* are part. This project consists of strategies to optimize the distribution of the Group's products and raw materials, which improved delivery times and reduced the carbon footprint with the use of marine and rail transport. With this project, the Group avoided 25,283 MT CO2 of emissions.

Use of renewable energies
In 2018, Grupo Bimbo signed the RE100 commitment, with which, by 2025, all its operations must be 100% supplied with renewable electricity.

Some of the advances that the Company has had include the following:

- Globally, in 2022 the Group reduced 82% of its scope 2 emissions compared to the 2021 baseline, thanks to the use of renewable energies.
- In 2022, it equipped 15 sales centers to be powered by solar energy, operating with electric vehicles and energy efficiency measures that allow Grupo Bimbo to manage vehicle loads and optimize the use of the Group's resources.
- The first storage system was installed in Barcel Monterrey, which represents an advanced technological solution that allows 500 KW of solar energy to be stored for later use. With this, it becomes the Company's first plant to have as its main energy backup system, in the event of any electrical failure, a solution with zero direct carbon emissions, eliminating the use of diesel generators.
- In August 2021, the storage system of the Metropolitan Distribution Center began operations, which is powered by solar energy from the largest roof in Mexico with 2.2 MW installed. This system allows the site to be self-sustaining.

Use of alternative fuels

Grupo Bimbo has been characterized by innovation and the development of new initiatives that have a positive impact on the environment, such is the case of the development and adoption of alternative fuels in its fleet of vehicles. As of 2022, the Group has 5,000 alternative fuel vehicles, of which 2,400 are electric.

Migration towards natural or less polluting refrigerants

By 2022, more than 57% of the refrigerants used by Grupo Bimbo are natural. The Group maintains its annual plans by organization for change and adjustment in each of the operations to comply with its zero carbon emissions plan.

3. Regenerative Agriculture

Grupo Bimbo is committed to promoting regenerative agriculture systems that improve soil health, biodiversity, and ecosystem health through specific regional practices to minimize soil degradation, improve the water cycle, and reduce its carbon footprint.

The Group also seeks to empower farmers and suppliers to protect nature and promote a resilient food system. This is why the Company has set a goal of guaranteeing that 200,000 hectares of wheat are grown using regenerative agriculture practices by 2030, ensuring that by 2050 100% of its key ingredients will be produced using this type of practices.

During 2022, the Group worked on 3 pilots in the United States, reaching 80,000 hectares of regenerative agriculture practices, exceeding its goal of 50,000 hectares. In Mexico, in collaboration with CIMMYTY, an organization that has been working with the Group for 5 years on regenerative agriculture in corn and wheat, the Company provided 35 training sessions on regenerative practices for 527 farmers in over 9,000 hectares, from which they harvested over 81,000 tons of grain and avoided 20,400 potential tons of CO2e1 during the production process in the field.

d. Inventory

Raw Materials

The quality and continuous supply of the Group's raw materials are critical factors in its production process. The Group has adopted rigorous supply policies under whch it requires its suppliers to adhere to detailed specifications for raw materials and to provide quality control certificates for their products. The Group also conducts laboratory testing on raw materials supplied by third parties and consistently inspects the suppliers' production plants and facilities.

The Group has developed an integrated and efficient supply chain of raw materials and packaging, and works continuously to improve its efficiency, creating long-standing relationships relationships with suppliers who adhere to the Group's high-quality standards. Grupo Bimbo seeks to maintain low supply costs without sacrificing the quality of raw materials. Cost savings are achieved through waste reductions, economies of scale in procurement, production and distribution, among other initiatives focused on becoming a low-cost producer.

Wheat flour is the main raw material and the Group reviews its relationship with its main wheat suppliers on an ongoing basis. Wheat is generally traded in U.S. dollars and is subject to price fluctuations depending upon factors such as weather, crop production and worldwide supply and demand, among others. The Group continuously enters into hedging agreements to manage its exposure to price fluctuations and ensure the timely supply of its main raw materials. See "Risk Factors - Risks related to Business, Industry and Supply - Increases in prices and shortages of raw materials, fuels and utilities could cause costs to increase".

Other important raw materials for the Group's lines of business are sugar, edible oils, fats and eggs, as well as the plastics used to package its products.

The Group has minority interests in some of its major suppliers of eggs and sugar. In addition to these raw materials, the Group also buys plastic packaging from a number of suppliers. The Group is not dependent on any exclusive supplier in any market in which it operates.

The Group's raw materials are managed using the first-in, first-out method to preserve the freshness of its products. Due to the nature of the Group's products, its inventories of raw materials, mainly perishable products, have a high turnover rate. Grupo Bimbo receives most of its supplies on a continuous basis, in some cases, with daily deliveries.

The Group's corporate offices lead the negotiations of its main raw materials with the suppliers, while its inventories are managed directly by each plant and storage facility. Local plants and storage facilities also manage and directly place orders for raw materials that may be obtained locally.

Finished Products

Grupo Bimbo has strategically located bakeries and plants, distribution centers and sales centers, which allows it to consolidate its operations in each region and to efficiently distribute its products. In addition, Grupo Bimbo has successfully implemented an interconnected system that allows it to synchronize its production capabilities with consumer demands based on information retrieved several times a day from its sales force, resulting in optimal levels of customer order management and thus, very low inventories of its finished products.

Due to the nature of some of its products and the commitment to freshness, inventory has a high turnover rate. Its inventories of dried products, such as toasted bread and breadcrumbs, cookies, salty snacks, have a lower turnover rate.

e. Quality and Food Safety System

In Grupo Bimbo, product quality and safety are part of the foundations of the business sustainability strategy. The Group operates through a Global Quality and Safety System aligned with the most rigorous international standards in the food industry. This system includes in its fundamental processes the monitoring and compliance with regulations, internal policies, and other applicable health policies for processes and products in all countries where the Company's brands are produced and sold.

In order to validate the implementation and compliance of the Global Quality and Safety System in operations, the Group has a certification process by independent organizations and agencies with a recognized international reputation. As of 2022, 181 of its plants have a food safety standard recognized by the GFSI (Global Food Safety Initiative), whose mission is to provide continuous improvement in management systems to guaranty the safety delivery of food for consumers around the world.

3.1) Prices

The Group's pricing strategy is closely related to the general market conditions and the cost of its inputs and operations. The Group seeks to maintain a low-cost production to offer its customers the most competitive prices, guaranteeing the best quality. Its comprehensive pricing strategy also considers competition, product sensitivity and potential, market research and other factors to determine the price of the products.

3.2) Responsible Marketing

In Grupo Bimbo, we seek to generate a positive impact on the lives of our consumers and customers, through marketing strategies that prioritize responsible communication of all our brands.

During 2022, we continued to implement our marketing actions for children, ensuring that no product advertising violates the rules and is not directed at children under 13 years of age. For this reason, new initiatives have been designed that prevent the presence, in different communication channels, of individuals with influence on children under 13 years of age (for example, celebrities, *influencers*, famous people on social media, etc.) or individuals whose target audience is the children's audience.

This year we joined the ICC (International Chamber of Commerce) association, a voluntary affiliation organization that provides important guidelines on marketing and advertising worldwide. With this, we align

ourselves with the ICC Code of Commercial Advertising and Marketing and its self-regulations, which allows us to create, improve, and maintain consumer confidence in the business communities where self-regulation operates.

We continue to work from our philosophy of building a sustainable, highly productive, and fully human company. For this reason, all marketing actions are aligned with its Global Communication and Marketing Policy for children and for the general public and the document "How we do Marketing" with guidelines for responsible marketing and communication of Grupo Bimbo, which is updated year after year.

3.3) Technology and Information Systems

a. Technology and information systems

Grupo Bimbo uses information systems known as *ERP, CRM, BI & Analytics*, to make decisions, automate, streamline and optimize its activities, for both operational and management levels, which have advanced in different markets at various stages, achieving progress of over 70% in the new ERP and over 90% in its commercial systems, both with cloud solutions. It's worth noting that Grupo Bimbo operates in a multi-cloud environment, using Microsoft Azure as its preferred first provider.

The operational information systems link processes that include planning and receipt of materials, production control, sales processes and integration with customers. As a result, this provides greater control and operational efficiency which generates cost reductions. Additionally, the Group has advanced planning solutions for supply and distribution.

Furthermore, management information systems synthesize and standardize the operational, financial, commercial, people and accounting information that is concentrated in the various plants and agencies in all the business sectors.

Due to the foregoing, the integration of data from different systems has allowed the Group to standardize the development of automation and artificial intelligence solutions with high scalability. As well as the development of more timely and in-depth analysis for business decisions, with evaluation capabilities more dispersed among the global employee population. This allows that inside the organizational structure of Grupo Bimbo the maximum responsibility to be delegated to each of its members, while maintaining the most complete visibility and control of its operations, always taking care of the safety and control access to information.

Grupo Bimbo has a policy of continuous digital modernization that helps meet the needs of the operations, of the business, and of regulatory compliance in the locations where it operates, therefore, the Group continues to develop and implement its strategy of information systems, data, advanced analytics, infrastructure, and cybersecurity. During this year, process digitization continued to develop on all fronts of the operation, including automation in increasingly complex tasks, favoring productivity, process quality, and compliance with local requirements. Likewise, cybersecurity investments have proven to be adequate, being effective in not registering relevant incidents with increasingly complex and geographically dispersed operations in an increasingly hostile external environment..

Grupo Bimbo continues to develop programs, within its GB University master program, in Data and Analytics, Artificial Intelligence and Simplification and Automation of processes, so that current associates understand and take advantage of new capabilities associated with the new technologies and systems implemented. An example of this is the GB Connected program (IIoT, Industrial Internet of Things), which has expanded its horizons beyond manufacturing to include topics such as quality, safety, fleet care, and agriculture.

ii) Distribution Channels

Grupo Bimbo uses direct distribution channels to deliver its product to more than 3.3 million points of sale.The Group believes that this has been key to its success. For example, it has developed one of the largest fleets in America with more than 55,000 distribution routes around the world.

With an average life of 8 years, the Group believes to have one of the largest fleets in the world. The following table shows the composition of this fleet.

Delivery	Transportation	Towing	Others	Third parties	Total
38,199	1,896	6,898	5,977	13,819	66,789

The Group has more than 1,600 sales centers, each one depends on the operations of one or several production plants. Every day the products are distributed from the bakeries and plants, agencies and warehouses, which may produce more than one brand.

The Group's sales force distributes its products to its customers from its distribution centers according with predetermined itineraries. Currently, all routes can both deliver products and pick-up returned products from consumers on each visit. Products may be returned by the Group's customers if they were not sold and are replaced by fresh products with no cost to the customers. The products that are picked up are no longer considered fresh although they could be consumed, because the Group picks them up a few days prior to their expiration date.

Returned products are sent to sales centers that sell "yesterday's bread," where the product is offered from two to four days at a lower price (these sales centers may be owned and operated by the Company or third parties). The product is also sold in bulk to be used as cattle feed.

Each product is displayed for sale in accordance with its shelf life, which varies from seven days, in the case of bread, or several months, in the case of cookies and snacks.

Based on the production and sale levels, visits to each customer may be daily, every three days, two times a week or weekly. The Group classifies its customers according to their purchase volume, type of distribution channel and by individual characteristics. The Group's customers include hypermarkets, supermarkets, price clubs, family-owned businesses, foodservice, including institutional customers, fast food chains and schools, vending machines operators and traditional customers (such as grocery stores). The Group has the ability to tailor an approach and response to its customers' diverse and changing needs, including with respect to frequency of delivery, in a cost-effective manner.

The Group directly operates all of the routes in Mexico and most of the routes in Latin America. Over half of the routes in the United States and most of the routes in Canada and Europe are operated by independent operators. The Company generally enters into long-term contracts with these independent operators under which they agree to exclusively sell its products. Terms of these contracts also specify which territories will independent operators cover and the compensation, which is based on sales performance. The Group has strict control over brand management, marketing strategies and pricing, and a right to buy contracts from each of the independent operators under certain limited circumstances. The Group adapts its distribution model to every country in which it operates. For example, it believes the use of independent operators in certain markets reduces distribution costs and increases flexibility to efficiently add points of sale, while maintaining the quality of the services.

3) Patents, Trademarks, Licenses and Other Contracts

3.1. Trademarks

Grupo Bimbo's most important brands, slogans and logos are protected by trademarks in the countries in which the Group operates and in many other countries. The Company produces and/or commercializes over 9,000 products,sold under its more than 100 renowned brands, including, Bimbo®, Oroweat®, Thomas®, Barcel®, Marinela®, Entenmann's®, Sara Lee®, Takis®, Tia Rosa®, Artesano®, Dempster's®, Ball Park®, Villaggio®, Mrs. Baird's®, Donuts®, Wonder®, Mankattan®, Vachon®, Pullman®, Ideal®, POM®, Lara®,

Arnold®, Brownberry®, New York Bakery Co. ®, Milpa Real®, Supan®, Fargo®, Monarca®, Ana Maria®, Los Sorchantes®, Mankattan®, Harvest Gold®, among others.

Currently, the Company has approximately 5,405 brand files and registries in Mexico and more than 24,515 abroad. The Group has brands registries in Africa, North America and South America, Asia, Europe and Middle East. However, the trademark for Bimbo is held by others in Chile, Puerto Rico and certain European countries. The trademark for Marinela is held by third parties in El Salvador and Honduras. Therefore, the Company's products in those countries are sold under the brands Ideal and Marinela, respectively, notwithstanding that the Company's designs and packages are used in those countries. In addition, the Company also operates registered websites targeting consumers in each of the geographies in which it operates.

3.2. Patents, Copyrights and Litigation

Patents

The protection of the inventions through patents is of paramount importance to the Company. It operates largely with technology developed by its Research and Development team, which regularly requests patent protection of such developments, both in Mexico and abroad.

As of the date of this report, the Group had approximately 188 patents (including industrial designs and utility models) in Mexico and 179 abroad, mainly in the United States, Canada, Argentina, Chile, China, Colombia, Korea, Costa Rica, El Salvador, the Philippines, Guatemala, India, Peru, the Czech Republic, Taiwan, Turkey, Venezuela and the European Union.

Copyrights

The major characters, publications, computer systems, logos and package designs used by the Group in its products are protected by copyrights in the markets where it operates and in other countries.

Litigation

Currently, the Group is part of various legal procedures and investigations arising in the normal course of its business that are routine in nature and incidental to the operations of its business. Litigation and investigations may include class actions involving consumers, shareholders, associates, disabled people, tax inquiries and claims related to commercial, labor, economic competition, intellectual property, civil, commercial, debt or environmental matters. Grupo Bimbo will continue to be subject to legal procedures and investigations. See "Risk Factors - Risks related to Business, Industry and Supply - The Group's operations are subject to general litigation risks".

In 2017 Canada's Competition Bureau started an investigation over allegations related to an industry collusion among several entities participating in the bread supply chain, including Canada Bread (which was acquired by the Group in 2014), associated with a price fixing conduct that occurred from 2001. As of the date of this report, the investigation by Canada's Competition Bureau continues and certain parties involved have admitted inappropriate conduct. Neither the group nor its subsidiaries have been charged for such conduct. Both the Group and Canada Bread are cooperating with Canadian authorities in the investigation. In addition, the Group was notified of two class actions (resulting from the consolidation of 12 previously filed lawsuits) by consumers and/or consumer associations against the parties. The Group cannot assure that the outcome of this investigation or the class actions will not have an adverse effect on its business, financial situation, results of operation or prospects.

3.3. Contracts

Grupo Bimbo executes and maintains several contracts within the ordinary course of its business, such as leases, bailments, supply agreements, raw materials and machinery purchase agreements, manufacturing agreements, distribution and commercialization agreements, sponsorship, license and all service

agreements necessary for its operations, which may be short, medium or long term agreements, depending on the needs and strategies.

4. Main Customers

Grupo Bimbo reaches more than 3.3 million points of sale in the markets where it operates. It also has a strong relationship with its customers and strive to understand and meet their specific needs. The Group has a diverse customer base among and within the countries it operates, ranging from large retailers to small convenience stores (this type of customer is more relevant in emerging markets), as well as institutional customers (such as quick service restaurants, schools, vending machines, among others) and e-commerce platforms, such as Amazon®, Freshdirect®, Peadpod®, ShopRite®, among others.

The chart below includes the main customers per region:

Region	Type of Customer	Relevant Customers
North America		
United States	Supermarket chains, price clubs, foodservice chains, institutional customers and small convenience stores.	Wal-Mart, Kroger, Albertsons, Ahold-Delhaize, Publix and Costco.
Canada	Retailers, foodservice chains and other large institutional customers.	Sobeys, Wal-Mart, Metro Inc. and Costco.
Mexico	Large retail stores, supermarkets, warehouses, price clubs, convenience stores and government-owned supermarkets.	Wal-Mart, Hiper Soriana, Chedraui and Costco. The Group also serves large fast food chains such as McDonald's.
Latin America	Small convenience stores, supermarket chains and hypermarkets.	Wal-Mart, Cencosud and INC S.A. The Group also serves large food chains and other institutional customers, such as McDonald’s and Burger King.
Europe, Asia, Africa		
Europe	Supermarkets, hypermarkets and foodservice chains.	Tesco, Grupo Carrefour, LIDL, DIA, and Sainsburys. The Group also serves large food chains and other institutional customers, such as McDonald’s and Burger King.
Asia	Retailers and foodservice chains.	McDonald’s, Wendy’s, Burger King and KFC.

Africa	Retailers and foodservice chains.	Burger King, Wendy's, KFC and McDonald's.

The Group's largest customer, Wal-Mart, considering all of its chains, represents approximately 15.20% of total sales for the year ended December 31, 2022. No other customer represented, individually, more than 10% of total sales for such period.

5.) Applicable Law and Tax Status

The development of the Group's business is regulated by laws, rules, regulations and generally applicable provisions issued by governmental authorities, as the federal, state and municipal authorities. Laws and regulations relating to environmental protection, health, marketing and intellectual property are particularly important for the results of the Company.

In Mexico, the principal laws applicable to Grupo Bimbo are laws related to trade, taxes, intellectual property, corporate governance, securities and environmental protection, such as the Commerce Code (*Código de Comercio*), the General Law of Business Entities (*Ley General de Sociedades Mercantiles*), the Securities Market Law (*Ley del Mercado de Valores*), the General Ecologic Equilibrium and Environmental Protection Law (*Ley General del Equilibrio Ecológico y Protección al Ambiente*), the Income Tax Law (*Ley del Impuesto sobre la Renta*), the Value Added Tax Law (*Ley del Impuesto sobre el Valor Agregado*), the Production and Services Tax Law (*Ley del Impuesto sobre Producción y Servicios*), the Intellectual Property Law (*Ley de la Propiedad Industrial*), the Mexican Securities Market Law (*Ley del Mercado de Valores*), the National Waters Law (*Ley de Aguas Nacionales*) and the General Law on Waste Prevention and Comprehensive Management (*Ley General para la Prevención y Gestión Integral de los Residuos*). In addition, Grupo Bimbo is governed in particular by the provisions included in its by-laws.

The Group is subject to the General Health Law (*Ley General de Salud*), the Federal Consumer Protection Law (*Ley Federal de Protección al Consumidor*), the Metrology and Standardization Federal Law (*Ley Federal sobre Metrología y Normalización*), the Federal Labor Law (*Ley Federal del Trabajo*), the Federal Duties Law (*Ley Federal de Derechos*), the Customs Law (*Ley Aduanera*), the Federal Law for Administrative Procedures (*Ley Federal del Procedimiento Administrativo*), the Federal Law for the Protection of Personal Data in Possession of Private Sector People (*Ley Federal de Protección de Datos Personales en Posesión de los Particulares*), the Federal Antitrust Law (*Ley Federal de Competencia Económica*), the General Law of Administrative Responsibilities (*Ley General de Responsabilidades Administrativas*), the Federal Law for the Prevention and Identification of Operations with Resources of Illicit Origin (*Ley Federal para la Prevención e Identificación de Operaciones con Recursos de Procedencia Ilícita*), and the Social Security Law (*Ley del Seguro Social*), as well as to several of its regulations.

Additionally, the Group is also required to comply with several regulations and Mexican Official Standards, (known in Spanish as "NOMs"), related to labeling and packaging, sanitary specifications, nutritional specifications, hygiene standards for food processing, beverages or dietary supplements, foods based on grains, edible seeds, flour, semolina or its mixtures, test methods, information for collectibles promotions or promotions through raffles and contests, and net contents, among others.

In environmental matters, the Group must obtain or establish, with respect to its bakeries and plants, operating licenses, prepare statements as a company generating hazardous waste, register the Company as a company generating hazardous and non-hazardous waste, as well as management plans for the latter. It also must have environmental licenses, wastewater discharge permits and waste separation permits, concession agreements for the use and exploitation of national waters, among others. In the event of opening new bakeries, facilities or expanding existing ones, the Group must obtain environmental impact assessments and risk analysis, construction licenses and licenses for land use.

In the other countries in which Grupo Bimbo operates, the equivalent laws and regulations are applied. As a result of the dynamism of the laws, the Company schedules periodic revisions to its plants and operations

to keep pace with the regulatory changes. In addition, the Group is subject to internal requirements and policies that represent standards above the minimum required by the applicable laws.

Amendments to, or enactment of, environmental laws, including laws related to climate change, could require Grupo Bimbo to make significant investments to comply with such laws, which could affect its operating results.

Failure to comply with its obligations under applicable laws and regulations could result in the imposition of administrative sanctions or other penalties to the Company.

Tax Status

Grupo Bimbo is a multinational company that complies with its tax obligations in a timely manner and in strict compliance with the applicable tax laws and regulations in Mexico and in the different countries in which it operates.

In Mexico, the Group is subject to Income Tax, the income tax rate for 2022 was 30% in accordance with the Income Tax Law of 2014, which shall remain the same for subsequent years. Regarding the income tax in other countries, the Company's subsidiaries established abroad calculate Income Tax or its equivalent on the individual results of each one of them and in accordance with the specific regimes of each country. In particular, the United States has authorization to file a consolidated income tax return, operations in Spain have authorization to file a consolidated income tax return since 2013, and operations in France have authorization to file a consolidated income tax return as of fiscal year 2019.

Except for the subsidiaries mentioned above, each of the companies are required to determine and pay its taxes under the individual legal entities regime. The corresponding annual returns are filed in accordance with the legal terms of each country; additionally, companies must perform provisional payments during each fiscal year.

6) Associates

Since its incorporation the Group has a people policy aimed at aligning the Company's interests with those of its associates; the outcome has been an excellent labor relationship. The Company has been looking to extend this philosophy to the companies that has acquired.

The Company places great importance on the selection of associates, performs ongoing evaluations, and provides continuous guidance and training to its associates. The company works to address the concerns of its associates and to promote personal and professional development.

The following table shows the number of associates in the Group during the past three years:

	As of December 31,		
	2022	**2021**	**2020**
Unionized associates	82,928	82,021	84,759
Non-unionized associates	56,657	55,520	48,933
Total	**139,639**	**137,541**	**132,692**

The People area has developed a policy which promotes a positive relationship with all associates. Most of the Group's operations have collective labor agreements, which are negotiated in accordance with the applicable legal and labor provisions in each of the countries where the Group operates.

Since its foundation, the Group has worked to promote and preserve a healthy labor environment with a day-to-day commitment with the safety and health of its associates and customers and a preventive approach to well-being. For this reason, the Company in every country in which it operates has a transparent and respectful relationship policy with the legitimate representatives of the associates' interests, whether syndicates, unions, cooperatives or any other collective form of association of its associates. Due to the

above, it has been acknowledged in several occasions as an exemplary company from the Mexican Employees Confederation (*Confederación de Trabajadores de Mexico*) and by labor authorities in Mexico.

Grupo Bimbo currently has labour relationships with several unions including with the International Brotherhood of Teamsters and Bakery, Confectionery, Tobacco and Grain Millers International Union in United States; the *Sindicato Nacional de Trabajadores Harineros, Panificadores de Alimentos, del Transporte, Similares y Conexos de la República Mexicana, Sindicato Nacional Alimenticio y del Comercio, Similares y Conexos de la República Mexicana*; and in Canada, with the International Brotherhood of Teamsters, CSN (Conféderation des Syndicats Nationaux), UFCW (United Food and Commercial Workers International Union), Unifor and IUOE (International Union of Operating Engineers) and BCTGM (Bakery, Confectionery, Tobacco Workers and Gran Millers).

The Group strives to live its philosophy as a sustainable, highly productive and deeply humane Company placing great emphasis on its relationship with its associates, remaining committed to developing and supporting socially responsible and environmentally sustainable initiatives. The Group has the perspective that worker satisfaction and an active attitude towards social responsibility are essential factors for the development of a strong corporate culture and for maintaining consumer loyalty.

7) Environmental and Social Performance Indicators

"The company with the best corporate reputation in Mexico" for the 6th consecutive year according to Merco, and for the 7th consecutive year, Daniel Servitje was chosen as the leader with the best reputation in the country.	82% reduction in Scope 2 emissions vs. 2019 due to the use of renewable energy, alternative fuels and efficiencies in logistics and distribution.	As of 2022, the Group has 5,000 alternative fuel vehicles globally, of which 2,400 are electric.	In 2022, Grupo Bimbo committed to acquiring 1,001 electric delivery vehicles that will avoid the emission of more than 5,000 tons of CO2e.	Grupo Bimbo announces its 2025 and 2027 targets for reducing scope 3 emissions (12.5% and 17.5%, respectively), with a verified baseline of 2019.
Reduction of 2% in water consumption per ton produced compared to 2019. Increase of 10% in water reuse in operations compared to 2020.	Grupo Bimbo is among the top 8% best rated for their engagement with suppliers on the topic of climate change, based on their disclosure to CDP in 2022.	In "The A List 2022", Grupo Bimbo received the highest score for its actions against climate change at the CDP Awards.	5 innovation centers, 1 food lab and 1 kitchen lab work on improving nutritional profiles and creating new products.	96% of the products for daily consumption fully complied with the maximum levels of nutrients delimited in a diet.
35% of Grupo Bimbo's sales come from foods with >3.5 stars according to the Health Star Rating System.	151 bakeries have a recycling rate of over 90%. Globally, GB uses 91% recyclable packaging materials.	100% traceability in strategic and high-risk ingredients.	El 74% of the inputs used for our products have a certification under the GFSI scheme.	+3.5 million training hours for associates, exceeding the target by 60%. TRIR improved significantly to 1.96 compared to 2.38 in 2021.

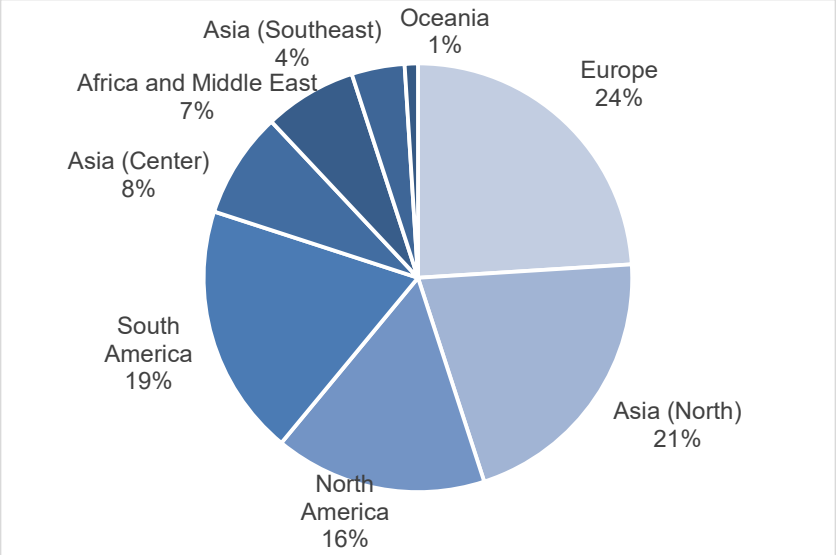
26 countries participate in Grupo Bimbo's volunteer program.	More than 1 million people benefited from the Good Neighbor Program implemented in 27 countries (82% coverage).	In 2022, there were 607 donations made, of which 264 were in-kind and 343 were monetary. This represents a total of $265 million pesos and support for 416 civil associations.	341,000 people participated in the Bimbo Global Race, where +6.8 million slices of bread were donated to food banks.	Social Investment represented 1.5% of the Majority Net Profit in 2022.

8) Market Information

8.1 Baking Industry General Overview

According to IBISWorld most recent report published in march 2021, the baking industry will grow from 2021-2026 at an average annual rate of 2.2% reaching $408.8 billion US dollars through 2026.

Additionally, according to IBISWorld, growth in emerging markets will primarily result from the increase in discretionary income which will result in an increase per capita of bread consumption and fromchanging consumer diets that incorporate a wider range of wheat-based products, where markets such as Europe and the United States have shown a shift towards healthier bread products, which include ingredients such as organic, sprouted and gluten-free grains, with calcium, vitamins and minerals, and cleaner labels. The Group believes that growing consumer awareness of nutritional issues represents an opportunity for continued growth in emerging and mature markets through the launch of innovative, specialty and ingredient-free products.The following graph shows the revenue breakdown by region of the global baking industry (March 2021).



Source: IBISWorld, "Global Bakery Goods Manufacturing" March 2021.

Market Concentration

The industry remains highly competitive and fragmented, most players consist of small local bakeries. GlobalData estimates that the three major global players account for less than 10.0% of the market, with no

single player controlling more than 5.0% of the global market. Industry leaders, including Grupo Bimbo, Mondelez International, and Campbell´s, are currently driving the industry's consolidation through their ongoing acquisition strategies.

The table below shows the estimated market share of the major global players in the baking industry according to GlobalData:

Participant	Estimated market share
Grupo Bimbo, S.A.B. de C.V.	4.0%
Mondelez International	3.2%
Campbells Soup Company	0.9%

Source: GlobalData, 2021

Quality and price continue to be the two main factors for competition in the industry, which is why the largest companies are driven mainly by brand recognition, product differentitation and the ability to deliver high-quality products that appeal to the needs and tastes of consumers.

Sales Channels and Distribution Network

Grupo Bimbo categorizes the industry's sales channels into four main categories: traditional, modern (supermarkets, convenience stores, and others), foodservice (fast-food restaurants, hospitals, restaurants and others), and others (wholesale, autovend, and others).

Supermarkets continue to account for most of the industry's global sales, mainly in markets such as North America and Western Europe. Emerging markets, such as South America, North Asia and Eastern Europe, tend to rely more on traditional channels.

It is important to mention that the distribution network is becoming wider as recent advances in technology and packaging have increased the durability of baking products and therefore the possibility to be delivered over longer distances.

Industry Outlook

According to IBISWorld (March 2021), the key external drivers for the global industry moving forward include:

- GDP of BRIC countries: an increase in the consumption and production for bread and other baking products,
- Global consumer spending: from an overall increase in disposable income, and
- World price of sugar and wheat: the rise or fall of two of the major inputs in baking products are likely to affect the producers' margins, although any additional costs will probably be passed on to consumers.

Most of this growth is expected to originate from rising demand in emerging markets, specifically Latin America, Asia, and Eastern Europe. Meanwhile, growth in mature markets will depend highly on the successful introduction and traction of organic options for example, in line with the recent trend.

The Baking Industry by Country/Region

North America

North America, according to IBISWorld estimates, accountedfor 16% of the global baking industry's revenue as of March 2021. The North American baking products market is considered to be a mature market with established brands. Future growth is expected to come from the production of healthier baked goods and brands with new products. Thus, differentiated products, strong cost controls and distribution efficiency are key performance drivers in this market.

The Group operates in the U.S. market through Bimbo Bakeries USA, Inc., or BBU, and Bimbo Frozen. Its main competitors in the U.S. include: Flower Foods, Pepperidge Farm, Hostess and other private label brands.

The main participants in the Canadian fresh baking market are Bimbo Canada, and George Weston Limited. The Group also participates in the frozen category through Bimbo Frozen.

Mexico

The baking goods industry in Mexico is expected to have a compound annual growth rate of 4.5% from 2019 to 2023 according to GlobalData, while in Mexico the annual growth rate is expected to be 3.4% from 2019 to 2023.

In terms of products, tortillas and packaged bread remain staple products in the country and are expected to continue to perform soundly.

Grupo Bimbo is the leader in the packaged bread market in Mexico, with the iconic Bimbo® brands.

According to Nielsen, the most relevant competition is the significant number of artisanal bakeries, small family-owned bakeries and the in-store bakeries in supermarkets, due to the large number of these types of establishments, in addition to regional packaged bread competitors.

In the cookie category, Grupo Bimbo has brands such as Marinela®, Lara®, Gabi®, Bimbo®, Tía Rosa® and Suandy®. According to Nielsen data, Bimbo is the second largest producer of cookies in terms of sales. The major competitors in the category include global market participants such as Gamesa, a PepsiCo. brand, Nabisco, a subsidiary of Mondelez International, and Mexican local market participants such as Cuétara, and Dondé.

The Group also participates in the packaged tortilla market (flour and corn) with its Tía Rosa®, Milpa Real® and Del Hogar® brands, which compete mainly with products from Gruma (Misión and Maseca). According to Nielsen data, Tortillinas Tía Rosa® is the brand with the highest sales in the flour tortilla category in Mexico. Additionally, after the group of small manufacturers, Milpa Real® and Saníssmo® are the second and third best-selling brands, respectively.

Latin America

The South America region, which includes countries like Brazil, Argentina, Chile, Paraguay and Uruguay is the third largest segment in terms of industry revenue, accounting for an approximatley 19%, according to IBISWorld (March, 2021); however, market penetration in the packaged bread remains relatively low.

The strongest competition comes from the significant number of artisanal bakeries, small family-owned bakeries and bakeries in supermarkets. Grupo Bimbo leads the packaged bread market in every Latin American country in which it operates, in the categories of sliced bread, pastries, with strong local brands such as Pullman®, Plus Vita®, Nutrella®, Fargo®, Ana Maria® and Lactal®, as well as regional brands such as Bimbo®. It also has a solid presence in the categories of bread, cakes and tortillas with brands such as Ana Maria®.

Europe, Asia and Africa

Europe, Asia and Africa, together represent the 64% of the global baking goods market according to IBISWorld (March, 2021). Western Europe being the largest global market for bakery products. The participation of private labels and artisanal bakeries is significant in the region. As is the case globally, the industry remains highly fragmented in the continent with more than 16,000 companies competing in the European bread and baked products industry, according to IBISWorld (March, 2021). This is in part due to the longstanding tradition in many European countries of buying freshly baked bread daily.

In Europe, the Company primarily operates through Bimbo Iberia (Spain and Portugal) and Bimbo UK. The Company is the market leader in the branded packaged bread market in Spain and Portugal, with participation in the bread and sweet baked goods categories under the brands Bimbo®, Silueta®, Martínez® and Donuts®.

In the United Kingdom, Grupo Bimbo is the leading producer in the bagels market, with the brand New York Bakery Co®. The principal competitors in that market are Weight Watchers®, Kings Mill® and other private label players. In addition, the Company holds a leading position in the United Kingdom in the *vienoisserie* category.

According to IBISWorld, Asia accounted for 33% of the global baked goods industry revenue during 2021 and is considered one of the fastest growing regions, driven by Japan, South Korea, China and Hong Kong. Central Asia, As Western cuisine becomes increasingly adopted in the region, producers have begun to expand mainly through acquisitions. Central Asia, where bread-related items such as naan and roti are included in everyday meals, is expected to keep growing as the demand for Western-style baked goods increases. In the case of China, growth has been driven by economic prosperity, increased urbanization, more women in the labor market, and the growing influence of Western cultures and diets.

The Group has been pioneer in developing the packaged bread market in China, in the categories of packaged baked goods, cakes and tortillas, by adapting its products to local preferences such as bread filled of sweet beans, green tea and spicy meat. The Company participates in the Chinese market principally through its brand Bimbo® and Mankattan®.

In India, the Group is also a baking leader in New Delhi. Currently, brands in the region include Harvest Gold®, Ready Roti® and Modern®, among others. As for Africa, the Company distributes baked goods in Morocco, some of them through the Bimbo® brand.

The Global Foodservice and Quick Service Restaurant Channels

According to IBISWorld (January 2023), in the past 5 years until 2023, fast food restaurants have dealt with changing consumer preferences and a competitive environment in the *foodservice* channel, which has kept prices low. As a result, industry revenues grew at a CAGR of 2.5% to $366.9 billion in the last five years, including a 1.3% increase in 2023 alone.

Industry revenues will continue to grow over the next five years until 2028 amid steady demand for fast food. While competition is likely to remain high, industry revenue growth is expected to increase as consumer spending rises and fast food restaurants continue to experience growing popularity. However, fast food restaurants are likely to continue operating in a slow-growth environment, as many segments of the industry have reached a saturation point. Successful operators are expected to adapt to changing consumer preferences as the traditional concept of fast food evolves to include a wider variety of options. Nevertheless, industry competition is likely to keep prices low, which will slow overall revenue growth over the next five years. As a result of these trends, industry revenues will grow at a CAGR of 1.8% to $401.1 billion in the next five years.

Among the product categories of the global quick service restaurants industry in United States, burgers account for the top product categories with 32.6% market share, followed by chicken with 12.9%, sandwiches with 9.3% and pizza and pasta with 8.3% based on IBISWorld research (january 2023).

The Group believes it is well positioned to benefit from the future potential growth in the quick service restaurants industry in the world, based on East Balt Bakeries' (now Bimbo QSR) existing presence through established operations in the U.S., China, South Korea, France, Italy, Portugal, Switzerland*, the United Kingdom, Ukraine, Turkey, Morocco*, South Africa and Kazakhstan. The Group also participates in Latin America, including Brazil, by serving major foodservice customers.

*The buisness operations in Switzerland and Morroco are made through a strategic alliance.

The Snacks Industry

The snacks segment considers categories like salty snacks and candys products.

According to GlobalData in 2022, salty snacks represent a large and diverse segment within the broader packaged food market, with estimated global sales of $179 billion US dollars.

Relevant Markets

The Group participates in the snack industry in North America, Latin America and Europe.

According to IBISWorld (january 2023), U.S. snack market revenues have grown from 2018 to 2023 at an annualized rate of 0.4% to USD $48.4 billion. Given the strong growth that the industry experienced due to the coronavirus outbreak, U.S. snack market revenues increased even more and is expected to increase 0.8% in 2023.

In addition, industry revenues are estimated to grow at an annualized rate of 1.3% over the next five years, reaching an annualized rate of 1.9% reaching $53.1 billion US dollars in 2028, as economic conditions are expected to improve, as well as consumers looking for more premium and healthier brands. Among the U.S. snack industry's product categories, nuts and seeds represent the leading product category with 31.9% market share, followed by potato chips with 24.8%, and tortilla chips and corn chips with 19.9%.

In the North American snacks market, Grupo Bimbo has market share mainly through the Takis® and Barcel® brands. Takis® has 2.9% market share within the category of processed snacks in the United States and Canada and a 6.8% market share in the the tortilla chips subcategory in such countries. In addition, Takis® is the third global leading tortilla chips brand according to GlobalData in 2021.

According to information of GlobalData in 2021, in Mexico, Barcel® has a market share of 11.4% in the snack industry, the second largest position. In Latin America, the brand holds a share participation of 4.5%.

Within sweet snacks, the Marinela® brand holds a share participation of 12.9%, holding the second place in Mexico.

European snacks consumers prefer artisanal & premium products. Private brand accounts for 18.7% of the European snacks market, and 6.3% of the overall global snacks market. In Europe, the Group operates mostly with Takis® and Eagle® brands in the salty snacks category.

9) Corporate Structure

Grupo Bimbo is a holding company that, as of December 31, 2022 was a direct or indirect owner of shares in its six primary operational subsidiaries. The table shown below lists the most important companies, their main activity and the equity holding percentage held by Grupo Bimbo in each one of them.

Subsidiaries	Main Activity	Shareholding%
Bimbo, S.A. de C.V.	Baking	97%
Barcel, S.A. de C.V.	Snacks	98%

Subsidiaries	Main Activity	Shareholding%
Canada Bread Corporation, Ltd.	Baking	100%
Bimbo Bakeries USA, Inc.	Baking	100%
Bimbo do Brasil, Ltda.	Baking	100%
Bakery Iberian Investments, S.L.U.	Baking	100%

10) Main Assets Description

10.1 Facilities

a. Production Plants

As of December 31, 2022, Grupo Bimbo operates 204 bakeries and plants worldwide distributed as follows:

- 62 in the USA; in Arizona, California, North Carolina, South Carolina, Colorado, Connecticut, Florida, Georgia, Indiana, Iowa, Illinois, Kansas, Kentucky, Maryland, Michigan, Minnesota, Mississippi, Nebraska, New Mexico, New York, Oklahoma, Oregon, Ohio, Pennsylvania, Texas, Utah, Virginia, Washington, West Virginia and Wisconsin.

- 35 in Mexico; in Baja California, Mexico City, Chihuahua, Durango, Estado de México, Guanajuato, Hidalgo, Jalisco, Nuevo León, Puebla, San Luis Potosí, Sinaloa, Sonora, Tabasco, Veracruz, Guadalajara and Yucatán.

- 37 in Latin America; in Argentina, Brazil, Chile, Colombia, Costa Rica, Ecuador, El Salvador, Guatemala, Honduras, Panama, Paraguay, Peru, Uruguay and Venezuela.

- 18 in Canada; in Alberta, British Columbia, Manitoba, New Brunswick, Newfoundland and Nova Scotia, Ontario and Québec;

- 25 in Europe, in Spain, Portugal, the United Kingdom, Italy, France, Ukraine, Turkey and Switzerland (through a strategic alliance).

- 24 in Asia, in China, India, Kazakhstan and South Korea.

- 4 in Africa, South Africa and Morocco (through a strategic alliance);

These plants produce sliced bread, buns & rolls, cakes, pastries, cookies, toast, english muffins, bagels, tortillas and flatbread and snacks, among others. The Group owns approximately 87% of the production plants it operates and leases the remainder from third parties.

The Group maintains a comprehensive insurance program for all the production plants in order to transfer all risks through specific provisioning.

In 2022, the Group made capital expenditures in the amount of more than 1,400 million US dollars, which were financed with its own resources.

The location of the Company’s main bakeries and plants per region are shown below.

MEXICO

	Number of bakeries and plants
Bimbo S.A.	27
Barcel S.A.	7
Moldes y Exhibidores, S.A. de C.V.	1
TOTAL	**35**

NORTH AMERICA

	Number of bakeries and plants
Bimbo Bakeries USA	58
Organización Barcel	2
Bimbo Canada	18
Bimbo QSR	2
TOTAL	**80**

LATIN AMERICA

South	Number of bakeries and plants
Argentina	4
Brazil	11
Peru	2
Paraguay	1
Uruguay	1
Chile	3
TOTAL	**22**

Central	Number of bakeries and plants
Guatemala	1
El Salvador	1
Honduras	1
Costa Rica	1
Panama	1
Colombia	7
Venezuela	1
Ecuador	2
TOTAL	**15**

EUROPE

	Number of bakeries and plants
Spain	12
Portugal	2
France	3
Italy	2
Ukraine	1
United Kingdom	3
Turkey	1
Switzerland	1*
TOTAL	**25**

ASIA

	Number of bakeries and plants
China	10
India	12
South Korea	1
Kazakhstan	1
TOTAL	**24**

AFRICA

	Number of bakeries and plants
South Africa	2
Morocco	2*
TOTAL	**4**

*The buisness operations in Switzerland and Morroco are made through a strategic alliance.

The following table shows the capacity utilization percentage of the production in all the Company's operations as of December 31, 2022:

Organization and type of product	
Bimbo, S.A. de C.V. Bread, buns & rolls, doughnuts, cakes, toasts, cookies, cakes, waffer cookies, tortillas	57%
Bimbo Bakeries USA Bread, buns & rolls, doughnuts, cakes, pies, tortillas, *tostadas*, muffins and cakes	65%
Latin South Organization Bread, buns & rolls, doughnuts, cakes, toasts, pastries, cookies, Swiss rolls, puff pastry and tortillas	52%

Latin Centro Organization Bread, buns & rolls, doughnuts, toasts, cookies, pastries and tortillas	51%
Barcel, S.A. de C.V. Snacks	62%
Bimbo Iberia Bread, buns, doughnuts, flatbread, toasts and cereal bars	44%
Bimbo Canada Bread, cakes, rolls, tortillas, muffins and cereal bars	61%
Bimbo India Bread, buns & rolls	61%
Bimbo Brazil Bread, buns & rolls, doughnuts, cakes, toasts, pastries, cookies, Swiss rolls, puff pastry and tortillas	47%
Bimbo United Kingdom Bagels, croissants	66%
Bimbo China Bread, pastries, cakes, tortillas and cookies.	40%
Bimbo QSR Buns, bread, muffins, cakes and flour tortillas.	60%
Bimbo Marruecos Bread	38%

Capacity utilization was calculated based on 168 productive hours per week. Hours are used as a parameter because the product mix of each line implies the utilization of different volumes and weight, which prevents the direct comparison of all products and line capacities.

b. Agencies

As an important part of its distribution process, the Company has more than 1,600 sales centers, each one supplied by one or more production plants. These centers may be exclusive for some of its brands or may handle several brands making use of the same infrastructure.

10.2) Asset Management

In order to secure the continuity of the Group's operations, an asset management system has been implemented supported by a preventive, predictive and collaborative maintenance strategic programs for the management of all the Company's assets, including machinery productive, diverse equipment, facilities along the supply chain and vehicular fleet. The objective is that all the Group's facilities and equipment show optimum operating, appearance and reliability conditions, and that while they comply with government rules and regulations, they also maintain a climate of well-being and safety for the associates and the communities in which Grupo Bimbo operates.

The Asset Management Model continually assesses the impact of predictive maintenance on business sustentability, emission of tons of CO2 equivalent, continuity, reliability and profitability, by recruiting, developing and retaining the best talent in diverse sectors. All of this, in search of industry leadership,

through the inclusion of modern diagnostic technologies and monitoring of component conditions, artificial intelligence and virtual/aumented reality, both of the productive machinery as of diverse equipment and the vehicular fleet.

In this regard, the Company allocated in 2022, approximately 3% of the net sales to the asset management described aboved. Moreover, during the last year, 7.1% of its sales have been allocated in investments to support the growth, equipment modernization and productivity of its lines. All these resources have been financed with the Company's own resources.

10.3) Guarantees on Assets

On the date of this Annual Report, the Company has only created liens on its assets as ordinary course of business. None are material.

10.4) Insurance

In addition to traditional insurances that cover assets against fire and natural phenomena, Grupo Bimbo has solutions that respond for cybersecurity against intrusions that may alter the operation of the Group, as well as its Board of Directors or any other position of command that is exposed to obligations and responsibilities in the performance of its position, with respect to errors and omissions derived from the daily functions of such position.

Thus, its facilties as well as third parties liabilities are covered by specific insurance policies regarding the risks the Group copes with.

In the case of the vehicular fleet for distribution, Grupo Bimbo's policy is not to rely on conventional insurance for its own damages; it has created a "self-insurance" program, based both on available cash flows and its strict maintenance policy, as well as its strong discipline for driving its vehicles, which results in a low frequency of vehicular incidents which costs are more economical than the payment of a traditional insurance policy, while the Group complies with the local regulations by having coverage for third party liability in every region.

The Group remains focused on identification, measure and management risk processes that challenge the buisness continuity.

11) Judicial, Administrative or Arbitration Processes

Currently, Grupo Bimbo is involved in several legal proceedings, which are considered part of the ordinary course of business and incidental to its operations. Except as described in this Annual Report, Grupo Bimbo has no judicial, governmental or arbitration proceedings against it (including proceedings pending or that may be reported) of which it has knowledge for twelve months prior to the date of this Annual Report, that may have or have had in the recent past, a material adverse effect on its financial position or its operation results. Moreover, at the date of this Annual Report, the Company does not fall within the circumstances established in Articles 9 and 10 of the Bankruptcy Act (*Ley de Concursos Mercantiles*) and has not been declared or may be declared in bankruptcy.

In 2017 Canada's Competition Bureau started an investigation over allegations related to an industry collusion among several bread suppliers, (including Canada Bread, which the Group acquired in 2014), regarding price-fixing that occurred between 2001 to 2017. As of the date of this report investigations by Canada's Competition Bureau continue and certain parties involved, have admitted inappropriate conduct. Neither the Group nor its subsidiaries have been charged with any offenses. Both the Group and Canada Bread are cooperating with Canada's Competition Bureau as it conducts its inquiry. In addition, the Group was notified of two class actions (resulting from the consolidation of 12 previously filed claims) by groups of consumers and/or consumer associations against all the parties allegedly involved in Canada's Competition Bureau investigation. The Group cannot assure that the outcome of this investigation or the class actions will not have an adverse effect on its business, financial situation, operating results, and prospects.

12) Shares Representing the Capital Stock

As of the date of this Annual Report, the theoretical value of Bimbo's share capital totaled $4,021,000,000.00 (four billion twenty one million pesos 00/100 M.N.), represented by 4,433,667,641 outstanding Series "A" common nominative shares, with no par value, fully subscribed and paid, all of them representing the minimum fixed portion without right of withdrawal of the capital stock. See Note 20 to the Audited Financial Statements.

Grupo Bimbo was incorporated on June 15, 1966 with a minimum fixed capital stock of $50,000,000.00 pesos (today $50,000.00 pesos), represented by 50,000 shares, with a nominal value of $1,000.00 pesos each one.

Since its incorporation, Grupo Bimbo has had several modifications to its capital stock structure. As of 1998, the modifications are as follows:

In accordance with the corporate bylaws, the capital stock is variable. The capital stock shall be represented with Series "A" common nominative without nominal value expression shares. Additionally, the Company may issue non-voting and/or limited-voting, nominative, without nominal value expression shares, which shall be denominated with the series name determined by the Meeting that approves the issuance thereof. In no case shall the non-voting and/or limited voting shares represent more than twenty-five percent (25%) of the total capital stock placed among the investing public or of the total shares placed therein. However, the National Banking and Securities Commission (known in Spanish as "CNBV") or, otherwise, the competent authority, may extend the above-mentioned limit up to an additional twenty-five percent (25%), only if this last percentage is represented by non-voting shares, with the limitation of other corporate rights, or by restricted voting shares, which shall be convertible into common shares within a term not exceeding five (5) years, computed as of their placement (See Section "4. GOVERNANCE— d) Corporate Bylaws and Other Agreements").

On July 30, 1998, Bimbo made a capital increase, in the fixed portion, through the issuance of 60,000,000 (sixty million) common, nominative, Serie "A", with no par value shares and, derived from it and from the exchange of shares, the fixed capital remained in the amount of $2,299,288,054.00 (two thousand two hundred and ninety-nine million eighty-eight thousand fifty-four pesos 00/100 M.N.).

On May 7, 2002, Bimbo approved a total modification of the company's bylaws and a capital reduction for a total amount of $397,555,574 (three hundred ninety seven million five hundred fifty five thousand five hundred seventy four pesos 00/100 M.N.) and the cancellation of 245,800,000 (two hundred forty five million eight hundred thousand) common, Serie "A", nominative treasury shares.

On April 15, 2011, Bimbo carried out a split of the shares representing its capital stock, making outstanding Issuance 2011-I, through which the Company's capital stock was not modified and remained represented by 4,703,200,000 (four thousand million seven hundred three million two hundred thousand) shares.

By means of the General Ordinary Shareholders' Meeting held on October 19, 2020, the shareholders approved the cancellation of 169,441,413 series "A" shares deposited in the Company's treasury, resulting in a reduction of the capital stock and treasury shares by $153.

By means of the General Ordinary Shareholders' Meeting held on April 30, 2021, the shareholders approved the cancellation of 17,428,926 series "A" shares deposited in the Company's treasury, resulting in a reduction of the capital stock and treasury shares of $15.

By means of the Annual Ordinary and Extraordinary General Shareholders' Meeting held on April 27, 2022, the shareholders approved the cancellation of 41,260,670 series "A" shares deposited in the treasury, resulting in a reduction of capital stock and treasury shares of $38.

At the Ordinary General Shareholders' Meeting held on April 26, 2023, the cancellation of 41,401,350 "A" series shares deposited in the treasury was approved, resulting in a reduction of share capital and treasury shares by $15.

13) Dividends

The information set forth herein below refers to the Company's outstanding shares as of the date of this Annual Report see Section "2. THE COMPANY – b) Business Description – xii) Shares Representing the Capital Stock").

The declaration, amount and payment of dividends to the holders of BIMBO's Series "A" shares is proposed by the Board of Directors and approved by the General Shareholders' Meeting.

During 2022, dividends were paid on a basis of $0.65 (65/100 M.N.) per share representative of the capital stock.

Historically, the Company has paid dividends resulting from profits generated during each period. The Company's management considers that this situation will continue in the future; however, it cannot assure that this will happen.

An additional income tax of 10% is applicable to dividends paid when they are distributed to individuals and foreign residents. The Income Tax is paid via a withholding of such tax, resulting in a final payment by the shareholder. In the case of foreigners, treaties to avoid double taxation may apply. This tax will apply for the distribution of profits generated since 2014.

Retained earnings include the statutory legal reserve. Mexican General Corporate Law requires that at least 5% of net income of the year be transferred to the legal reserve until the reserve equals 20% of capital stock at par value (historical Mexican pesos). The legal reserve may be capitalized but may not be distributed unless the entity is dissolved. The legal reserve must be replenished if it is reduced for any reason. As of December 31, 2022, 2021 and 2020, the legal reserve, in historical Mexican pesos, was of an amount of $500,000,000.00 (Five hundred million pesos 00/10 M.N.).

The distribution of net worth, except for the updated amounts of corporate capital stock contributed and of the retained taxable profits, shall cause the income tax on dividends to be discharged by the Company at the rate in effect upon the distribution. Taxes paid for such distribution may be credited against the income tax of the fiscal year in which the tax on dividends is paid and in the two immediately subsequent fiscal years, against the fiscal year tax and the provisional tax payments thereof.

The balances of the net worth tax accounts as of December 31 were:

	2022	2021	2020
Restated contributed capital account (CUCA)	$ 33,924	$ 31,760	$ 30,834
Net taxed profits account (CUFIN)	110,344	87,424	81,722

Dividends on shares that are held through Indeval shall be distributed by Bimbo as well as through Indeval. Dividends on shares represented by certificates or physical certificates shall be paid upon presentation of the relevant coupon. In case provisional certificates exist at the time when the dividend is decreed, and if such provisional certificates have no coupons attached, the dividend shall be paid against the relevant receipt.

3) FINANCIAL INFORMATION

a) SELECTED FINANCIAL INFORMATION

	2022	2021 reformulated	2020 reformulated
Net sales	398,706	338,792	322,943
Operating profit	53,696	32,580	24,065
Adjusted EBITDA	53,446	47,372	43,625
Net Majority Income	46,910	15,916	9,111
Basic earnings per ordinary share	10.54	3.55	2.00
Dividend per share	0.65	1.00	0.50
Total assets	347,764	337,640	307,651
Current portion of non current debt	6,435	10,625	600
Long-term debt	77,619	82,230	84,629
Total equity	127,602	101,606	88,011

Note: amounts in millions of Pesos.

b) FINANCIAL INFORMATION PER BUSINESS, GEOGRAPHIC ZONE AND EXPORT SALES

Grupo Bimbo, through its main subsidiaries, is mainly engaged in the production, distribution and commercialization of sliced bread, buns & rolls, pastries, cakes, cookies, toasted bread, English muffins, bagels, tortillas & flatbreads and salty snacks. The Company manufactures more than 9,000 products. The sale of that products constitutes Grupo Bimbo's only line of business. The division between baking products and salty snacks referred to in this Annual Report is an organizational division, the only purpose of which is to achieve administrative efficiencies and which derive from historical reasons. In some cases, such division is shown exclusively in order to differentiate the market for such products. Grupo Bimbo has no significant export sales.

The following table shows certain financial information of Grupo Bimbo per geographic zone for the three preceding fiscal years:

For the years ended December 31:			
	2022	2021 reformulated	2020 reformulated
Net Sales			
Mexico	130,401	109,089	97,038
North America	205,674	175,369	175,644
Latin America	38,411	31,109	28,798
EAA	37,536	34,195	30,029
Consolidated eliminations	(13,316)	(10,970)	(8,566)
Operating Income			
Mexico	18,824	16,731	14,183
North America	33,263	15,171	10,445
Latin America	1,087	78	(685)
EAA	(486)	292	168
Consolidated eliminations	1,008	308	(46)

Adjusted EBITDA			
Mexico	23,320	20,771	18,147
North America	22,611	21,452	21,944
Latin America	3,433	1,926	1,145
EAA	2,626	2,704	2,295
Consolidated eliminations	1,456	519	94
Total Assets			
Mexico	89,070	78,386	72,528
North America	191,504	202,347	186,298
Latin America	31,557	30,121	24,586
EAA	49,033	45,860	42,089
Consolidated eliminations	(13,400)	(19,074)	(17,850)

c) REPORT ON SIGNIFICANT DEBT

The Company's relevant financing facilities are described below.

As of the date of this Annual Report, the Group is up to date in the payment of principal and interest of all its relevant loans.

The Company has complied with all the negative and affirmative covenants, including several financial ratios established in credit facilities entered into and executed by the Company and its subsidiaries.

1. International Bonds (Senior Notes) and Local Notes (*Certificados Bursátiles*)

a. International Senior Notes:

1. On June 27, 2014 the Company issued bonds under Rule 144 A and Regulation S of the SEC for (i) USD 800 million, maturing in 2024 and (ii) USD 500 million maturing in 2044. Such bonds pay a fixed interest rate of 3.875% and 4.875%, respectively payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity, as well as for general corporate matters. During 2022, the company repurchase 2.5 million US dollars of this Senior Notes.

2. On November 10, 2017 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD 650 million, maturing on November 10, 2047. Such bond pays a fixed interest rate of 4.70% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity, as well as for general corporate matters.

3. On September 6, 2019 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD 600 million, maturing on September 6, 2049. Such bond pays a fixed interest rate of 4.000% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. During 2022, the company repurchase 34.885 million US dollars of this Senior Notes.

4. On May 12, 2021 the Company, through its subsidiary Bimbo Bakeries USA, issued a bond in the international markets for a value of $600,000,000 dollars maturing on 2051 in accordance with Rule 144A and the Regulation S of the SEC. Such financing pays a fixed rate of 4.00% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debts, extending the average maturity. During 2022, the company repurchase 14.733 million US dollars of this Senior Notes.

b. International bonds (subordinated notes):

1. On April 17, 2018, Grupo Bimbo issued a bond for a value of US$500,000,000 in the international markets pursuant to Rule 144A and Regulation S.of the SEC. During 2022, the company repurchased perpetual bond securities in the secondary market with a nominal value of $344, recognizing a decrease of $32 due to exchange rate fluctuations in retained earnings.

c. Local bonds (*Certificados Bursátiles*)

1. Bimbo 16 - Issued on September 14, 2016 for $8,000 million pesos, with maturity on September 2, 2026. Such bond pays a fixed interest rate of 7.56%. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity.

2. Bimbo 17 – Issued on October 6, 2017 for $10,000,000,000 pesos with maturity on September 24, 2027. Such bond pays a fixed interest rate 8.18%. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity as well as the partial payment of Bimbo QSR acquisition.

All the notes are guaranteed by the Company's main subsidiaries.

2. Committed Revolving Credit Facility (multicurrency)

On September 2021, the Company renewed and amended the terms and conditions of the committed multicurrency credit facility, which was originally obtained on April 26, 2010 and modified in 2013, 2016 and 2018.

In accordance with the new terms and conditions, the financial institutions engaged in this facility are BBVA Bancomer, S.A., CITIBANK, N.A., HSBC México, S.A., Banco Santander, S.A., JPMorgan Chase Bank, N.A., Bank of America, N.A., ING Bank, N.V., MUFG Bank, Ltd., and Mizuho Bank, Ltd. The total amount is for USD$1,750 million, maturing on September 14, 2026, however, on September 14, 2023 the amount will be reduced to USD$875 million. The drawdowns against this facility bear interest at the London Interbank Offered Rate (LIBOR) plus 0.95% for drawdowns made in USD, at the Canadian Dollar Offered Rate (CDOR) plus 0.95% for drawdowns made in Canadian dollars, at the Interbank Equilibrium Interest Rate (TIIE) plus 0.725% for drawdowns made in Mexican pesos and Euro Interbank Offered Rate (EURIBOR) plus 0.95% for drawdowns made in euros. This credit facility is sustainability-linked and marks the Company's debut in sustainable financing. Hence, the annual interest rate may change, up or down, depending on the company's performance in pre-established renewable energy and treated water reutilization metrics.

This transaction highlights Grupo Bimbo's commitment to the preservation and improvement of the environment, including focus on two areas which are part of the Company's sustainability journey: energy and water. This renewal provides ample flexibility and liquidity to the Company and reaffirms the many years of strong relationship between Grupo Bimbo and its bank syndicate.

During 2022 and 2021, drawdowns and prepayments were made for $13,085 and $15,291, respectively. As of December 31, 2022, there is no balance drawn on this facility.

Starting from July 1, 2022, a reduction in applicable rates was obtained as a result of achieving the sustainable goals corresponding to this line for 2021. Considering this reduction, disbursements made under this line of credit have an applicable interest rate of LIBOR plus 0.90% for disbursements in US dollars, CDOR plus 0.90% for disbursements in Canadian dollars, TIIE plus 0.675% for disbursements in Mexican pesos, and EURIBOR plus 0.90% for disbursements in euros.

3. Other Loans

Certain subsidiaries have entered into direct loans to meet mainly their working capital needs. The maturity dates for such loans range from 2023 to 2031, which generate interest at various rates.

Summary of Affirmative and Negative Covenants and Acceleration Causes

The aforementioned credit facilities or bank loans, international bonds and local bonds (*Certificados Bursátiles*) of the Company provide affirmative and negative covenants, as well as events of default. The main covenants, and events of default to which the Company is subject are the following, with the understanding that this summary is indicative and does not include definitions, nor the scope or exceptions to these covenants and events of default:

Affirmative Covenants	**Negative Covenants**	**Events of Default**
Provide periodic financial information and information on material events	Do not modify its main business activity	Non-payment of interest or principal
Preserve its legal standing and incorporation and the necessary permits to perform its operations	Do not merge, liquidate or sell its “material assets”	Disclose false or inaccurate relevant information
Use the proceeds for the agreed purpose	Do not allow its “key subsidiaries” to have restriction for payment of dividends or equity to its lenders.	Failure to comply with any affirmative or negative covenants of the credit facilities
In the case of the Domestic Notes (Certificados Bursátiles), maintain registration with the RNV	Do not create “liens” except for any “permitted liens” .	Failure to pay the principal or interest on a debt of more than $200 million US dollars, or if any “material debt” is accelerated and requires the Company to pay an amount greater than $150 million US dollars.
Comply with tax and labor obligations	In the case of some credit facilities, to maintain ratios of interest coverage and leverage within certain levels	If the Company or any of its “material subsidiaries” is declared insolvent or in bankruptcy
Maintain a *pari passu* payment priority amongst the corporate creditors		If a judgment is passed against the Company, requiring the payment of an amount greater than U.S.$150 million, and such amount is not secured during a grace period.
		If the Company fails to pay any social security or housing fees (IMSS, INFONAVIT or SAR)
		If assets or important assets” of Grupo Bimbo are expropriated.

		If the Company rejects the validity of the Local Bonds (Certificados Bursátiles)
		If there is a “change of control”

d) MANAGEMENT’S DISCUSSION AND ANALYSIS OF THE COMPANY’S FINANCIAL CONDITION AND RESULTS OF OPERATION

The following discussion and analysis should be read together with the Audited Financial Statements, including the notes thereto. Unless otherwise stated, all amounts herein are expressed in million Mexican Pesos and were prepared according to IFRS. Consolidated figures include the effects of inter-region eliminations.

The following analysis contains forward-looking statements that involve risks and uncertainties. The actual results may differ materially from the comments in the forward-looking statements as a result of various factors, including, but not limited to, those set forth in "Risk Factors" and the matters set forth in this annual report.

The audited consolidated financial statements are expressed in Mexican pesos. The financial information that concerns us as of the end of year (December 31, 2020) is included in this annual report and is presented in US dollars solely for the convenience of the reader.

Factors that affect the results of operations and financial condition of the Group

The main factors that affect the results are:

Prices of raw materials. The Group uses a variety of basic products in the preparation of its products, which include wheat flour, edible oils and fats, sugar, eggs as well as plastics to package its products. As a result, its consolidated operating results are affected by changes in the prices of these basic products, among others.

Sales volume. The consolidated sales volume is impacted by general economic conditions, product prices, new product launches and the extent and effectiveness of its advertising and promotion.

Cost of advertising and promotion. The Group supports its brands and products as well as new product launches through extensive advertising and promotions adapted to its brands and targeted to consumers in the specific markets in which it operates. In general, the Group increases advertising and promotional spending during periods where the Group experiences pressure on sales volume.

Prices of products. Prices for its products are impacted by the cost of raw materials and distribution as well as the Special Excise Tax (IEPS by Spanish acronym), tax imposed in Mexico on its products in Mexico and the price sensitivity of consumers in the various food categories and markets in which it operates.

Distribution efficiencies. The Group constantly review its distribution processes to reduce costs and increase efficiency across its organization. For example, the Company implemented initiatives that have improved its sales execution and leveraged its distribution, including customizing sales execution by customer type.

Exchange rates. The consolidated financial statements are expressed in Mexican pesos. The Group generates revenue mainly in Mexican pesos and US dollars and, to a lesser extent, in other local currencies in the countries where it operates. As a result, differences in the currency exchange rate can impact its financial statements, particularly with respect to the results of operations in United States and Canada.

Factors affecting the comparability of recent results of operations and financial conditions

Acquisitions

The following table shows major acquisitions that the Company completed in the past three years:

Year	Company	Country
2022		
September 22	St. Pierre	United States and United Kingdom
2021		
October 26	Kitty Industries	India
October 13	Aryzta do Brazil	Brazil
September 17	Popcornopolis	United States
June 1	Plant in Medina from Cerealto Siro Foods	Spain
May 11	Emmy´s Organics	United States
February 17	Modern Foods	India
2020		
September 21	Bimbonet Servicios (formerly Blue Label)	Mexico
June 30	Paterna Plant from Cerealto Siro Foods	Spain
January 2	Lender´s	United States

Critical accounting judgements and key sources of estimation uncertainty

In the process of applying the Company's accounting policies, which are described in Note 3, management is required to make judgments, estimates and assumptions about the carrying amount of assets and liabilities. The estimates and associated assumptions are based on historical experience and other factors that are considered relevant. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on a regular basis. The effects of changes in accounting estimates are recognized in the period of the change and future periods if the change affects both current and subsequent periods.

Critical judgment in applying accounting policies

Consolidation of structured entities. As described in more detail in Note 7, BBU has entered into agreements with third party contractors ("Independent Business Partners") in which it holds no direct or indirect interest but that qualify as structured entities (SE). The Company has concluded that some of these structured entities meet the requirements to be consolidated in accordance with IFRS 10 Consolidated Financial Statements.

Key sources of estimation uncertainty

Useful lives, residual values and depreciation and amortization methods of long-lived assets. As described in Note 3, the Company annually reviews the estimated useful lives, residual values and depreciation and amortization methods of long-lived assets, including property, plant and equipment and intangible assets. Additionally, for intangible assets, the Company determines whether their useful lives are finite or indefinite. Effective January 1, 2021, the Company determined that the estimated useful life of its product displays is 2 to 5 years; this change had an effect on the consolidated financial statements during the adoption period. Also, effective January 1, 2020, the Group determined that the estimated useful life of trays used to transfer products from production facilities to distribution facilities is three years and, historically, the Group measured such useful life at one year; such change did not have a significant impact on the consolidated financial statements.

Incremental borrowing rate. The Group uses its incremental borrowing rate, or IBR, to measure lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment at contract inception date. The IBR therefore reflects what the Group 'would have to pay', which requires estimation when no observable rates are available or when they need to be adjusted to reflect the terms and conditions of the lease. The Group estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain entity-specific estimates.

Impairment of goodwill and indefinite useful life intangible assets. Determining whether goodwill and the indefinite useful life intangible assets have suffered impaired involves calculating the recoverable value of the cash-generating unit to which goodwill has been allocated. Recoverable amount is the higher of fair value less costs of disposal and value in use. The calculation of the value-in-use requires the Group to determine the expected future cash flows from the cash-generating units, using an appropriate discount rate to calculate the present value.

Fair value measurements. Derivative financial instruments are recognized in the statement of financial position at fair value at the reporting date. In addition, the fair value of certain financial instruments, mainly with respect to long-term debt, is disclosed in the accompanying notes, though there is no risk of adjustment to the related carrying amount (see Note 17 of the Group's audited consolidated financial statements). The Group has acquired businesses for which the Group is required to determine the fair value of the consideration paid, the identifiable assets acquired and liabilities assumed and, if applicable, the non-controlling interest at the date of the acquisition, as described in Note 1 of its audited consolidated financial statements.

The fair values described above are estimated using valuation techniques that may include inputs that are not based on observable market data. The main assumptions used by management are described in the related notes. The Group considers that the valuation techniques and assumptions selected are appropriate for the determination of the fair values.

Employee benefits. The cost of defined benefit plans and MEPP (various of these plans considered as defined benefits) is determined using actuarial valuations that involve assumptions related to discount rates, future salary increases, employee turnover rates and mortality rates, among others. Due to the long-term nature of these plans, the assumptions used for such estimates are subject to change.

Recoverability of deferred income tax. To determine whether a deferred income tax asset related to tax losses carryforwards is impaired, the Group prepares tax projections to determine its recoverability.

Insurance and other liabilities. Insurance risks exist in the United States with respect to the liability for general damages to other parties, car insurance and employee benefits that are self-insured by the Group with coverage subject to specific limits agreed in an insurance program. Provisions for claims are recorded on a claim-incurred basis. Insurable risk liabilities are determined using historical data. The net liabilities as of December 31, 2022, 2021 and 2020 amounted to $4,741, $5,546 million and $5,309 million respectively.

1) Results of Operations

Comparative analysis of fiscal years ended on December 31, 2022 and 2021

Net Sales

Net Sales reached record levels at $398,706 million, an increase of 17.7%, attributable to strong volumes and price/mix across every region, which was partially offset by FXrate effect. Excluding this effect, Net Sales increased 20.6%.

Net sales	2022	2021 Reformulated	% Difference
North America	205,674	175,369	17.3
Mexico	130,401	109,089	19.5
Latin America	38,411	31,109	23.5
Europe, Asia, Africa	37,536	34,195	9.8
Consolidated eliminations	(13,316)	(10,970)	21.4
Consolidated	**398,706**	**338,792**	**17.7**

North America: Net Sales in U.S. dollars increased 18.9%, mainly reflecting the successful implementation of the pricing strategy across all categories and channels. Net sales were also boosted by an additional week of sales compared to the previous year. The snack, mainstream and premium bread, sweet baked goods and snacks categories outperformed, with continued market share gains in multiple categories.

Mexico: Net Sales increased by 19.5%, attributable to a favorable product/mix and price increases. Every channel recorded double digit growth, notably convenience, self-service, and traditional channels, as well as the snack, sweet bread, cakes, cookies, and bread categories.

Latin America: Net Sales increased 23.5% in peso terms; excluding the FX effect, Net Sales increased 36.4%, mainly due to a favorable price/mix and strong volume performance. Almost all countries recorded double-digit growth in local currency, with Brazil, Colombia, Argentina, and Chile standing out. To a lesser extent, the sales growth was also benefited by the inorganic contribution from the acquisition of Aryzta do Brasil.

EAA: Net sales grew 9.8% in peso terms; excluding the FX effect, Net Sales increased 21.3%, reflecting the implementation of the pricing strategy and good volume performance in most countries in the region, as well as the acquisition of St. Pierre. This was partially offset by the continued challenging environment in China due to Covid.

Gross Profit

Gross Profit increased 13.4% while the margin contracted 200 basis points to 51.5%, due to higher raw material costs.

Gross Profit
Year ended on December 31,
(in millions of pesos)

Region	2022	2021 Reformulated	% Difference
North America	108,232	96,660	12.0
Mexico	70,232	60,097	16.9
Latin America	16,358	13,728	19.2
Europe, Asia, Africa	11,995	11,815	1.5
Consolidated eliminations	(1,436)	(1,211)	18.6
Consolidated	**205,381**	**181,089**	**13.4**

Operating Income

Operating Income grew 64.8% and margin expanded 390 basis points, primarily as a non-cash benefit of US $934 million from the adjustment of the MEPPs, nd a lower effective income tax rate, which totaled 30.1%. This was partially offset by the abovementioned higher cost of sales..

Operating Income

	Year ended on December 31, (in millions of pesos)		
Region	**2022**	**2021 Reformulated**	**% Difference**
North America	33,263	15,171	>100
Mexico	18,824	16,731	12.5
Latin America	1,087	78	>100
Europe, Asia, Africa	(486)	292	NA
Consolidated eliminations	1,008	308	>100
Consolidated	**53,696**	**32,580**	**64.8**

Comprehensive Financial Result

The Comprehensive Financial Result totaled $8,270 million, compared to $7,973 million in 2021, the increase is attributable to a higher exchange rate loss and higher interest expenses.

Taxes

In 2022, taxes recorded an increase of 133.1%, for a total of $20,909 million, while the effective tax rate was 30.1%, compared to 34.0% in 2021.

Net Majority Income

Net Majority Income for 2022 increased 194.7% and the margin expanded 710 basis points due to the strong sales and operating performance, the divestment of Ricolino, the positive effect of MEPPs, and a lower effective income tax rate which totaled 30.1%. If these effects are excluded, the majority net income increased by 21.4% and the margin expanded by 20 basis points.

Earnings per share totalled $10.54, compared to $3.55 in 2021.

Operating Profit Before Depreciation and Amortization and Other Non-cash Charges (Adjusted EBITDA)

Adjusted EBITDA	2022	2021	% Difference
North America	22,611	21,452	5.4
Mexico	23,320	20,771	12.3
Latin America	3,433	1,926	78.3
Europe, Asia, Africa	2,626	2,704	(2.9)
Consolidated eliminations	1,456	519	>100
Consolidated	**53,446**	**47,372**	**12.8**

Adjusted EBITDA for 2022, reached a record level of $53,446 million, an increase of 12.8%, and the margin contracter 60 basis points primarily attributable to the higher cost of sales mentioned above, partially offset by strong sales performance.

Financial Structure

Total Debt on December 31, 2022, was $84,054 million, compared to $92,855 million on December 31, 2021. The decrease was mainly due to debt payment using the resources from the sale of Ricolino and the effect of the exchange rate.

Average debt maturity was 14.1 years, with an average cost of 6.0%. Long-term Debt comprised 92% of the total; 45% of the debt was denominated in U.S. dollars, 41% in Mexican pesos, 8% in Euros and 6% in Canadian dollars.

The Net Debt to Adjusted EBITDA ratio, which does not consider the effect of IFRS 16, was 1.5 times, compared to 2.0 times on December 31, 2021.

The Company invested $2,556 million in the repurchase of 41.4 million of its own shares.

Comparative analysis of fiscal years ended on December 31, 2021 and 2020 no reformulated

Net Sales

Net Sales reached record levels at $348,887 million, an increase of 5.4%, attributable to strong volumes price/mix across every region, which was partially offset by FXrate effect. Excluding this effect, Net Sales increased 9.3%.

Net sales	2021	2020	% Difference
North America	176,275	176,395	(0.1)
Mexico	118,661	104,593	13.5
Europe, Asia, Africa	34,195	30,029	13.9
Latin America	31,376	29,081	7.9
Consolidated eliminations	(11,620)	(9,047)	28.4
Consolidated	**348,887**	**331,051**	**5.4**

North America: Despite difficult comparisons as the Company lapped COVID-19 driven performance in 2020, Net Sales in U.S. dollars increased 6.3%, driven by strong market share performance, successful implementation of the pricing strategy and excellent in store execution. Mainstream,premium, buns and rolls, sweet baked goods and snacks categories outperformed, as did the modern channel.

Mexico: Net Sales in Mexico grew 13.5%, attributable to strong volume growth, product/mix, and price increases. Every channel posted growth, as did the snacks, confectionery, snack cakes, cookies, sweet baked goods, sliced bread, and buns categories.

EAA: Sales in EAA rose 13.9% in peso terms; excluding the FX effect, Net Sales increased 15.5%, reflecting strong sales performance, mainly in Iberia, pricing actions, and inorganic contribution from the acquisitions completed in Iberia and India, as well as the recovery of the QSR channel throughout the region.

Latin America: Net Sales increased 7.9% in peso terms; excluding the FX effect, Net Sales increased 18.5%, primarily driven by strong results across every organization, highlighting Brazil, Chile, Paraguay, Colombia and the rest of the *Latin Centro* division. Sales growth was also benefited by the inorganic contribution from the acquisition of Aryzta do Brasil.

Gross Profit

Gross Profit increased 3.9% while the margin contracted 80 basis points to 53.1%, due to higher raw material costs.

Gross Profit

	Year ended on December 31, (in millions of pesos)		
Region	**2021**	**2020**	**% Difference**
North America	97,565	98,768	(1.2)
Mexico	63,800	57,265	11.4
Europe, Asia, Africa	11,815	10,934	8.1
Latin America	13,996	13,090	6.9
Consolidated eliminations	(1,864)	(1,624)	14.8
Consolidated	**185,312**	**178,433**	**3.9**

Operating Income

Operating Income grew 34.3% and margin expanded 210 basis points, primarily as a reflection of productivity savings across the value chain coming from past restructuring investments, distribution efficiencies and cost-cutting projects, as well as a non-cash benefit of US $108 million from the adjustment of the MEPPs liability to reflect current interest rates levels. This was partially offset by the abovementioned higher cost of sales..

Operating Income

	Year ended on December 31, (in millions of pesos)		
Region	**2021**	**2020**	**% Difference**
North America	16,076	11,195	43.6
Mexico	18,373	14,976	22.7
Europe, Asia, Africa	292	168	74.0
Latin America	345	(402)	NA
Consolidated eliminations	(960)	(529)	81.5
Consolidated	**34,126**	**25,408**	**34.3**

Comprehensive Financial Result

The Comprehensive Financial Result totaled $8,020 million, 9.5% lower when compared with the previous year, this was mainly due to lower interest expenses and a lower exchange rate loss.

Taxes

In 2021, taxes recorded an increase of 44.9%, for a total of $8,971 million, while the effective tax rate was 34.0%, compared to 37.0% in 2020.

Net Majority Income

Net Majority Income for 2021 increased 74.7% and the margin expanded 180 basis points due to the strong sales and operating performance, as well as lower financing costs and a lower effective tax rate, which totaled 34%.

Earnings per share totalled $3.55, compared to $2.00 in 2020.

Operating Profit Before Depreciation and Amortization and Other Non-cash Charges (Adjusted EBITDA)

Adjusted EBITDA	2021	2020	% Difference
North America	22,358	22,694	(1.5)
Mexico	22,673	19,165	18.3
Europe, Asia, Africa	2,704	2,295	17.8
Latin America	2,193	1,428	53.6
Consolidated eliminations	(750)	(389)	92.80
Consolidated	**49,178**	**45,193**	8.8

Adjusted EBITDA for 2021, which considers the effect of the implementation of IFRS 16 for both periods, reached a record level of $49,178 million, an increase of 8.8%, and the margin expanded 40 basis points primarily attributable to the strong sales and operatingperformance across the Company.

Financial Structure

Total Debt on December 31, 2021, was $92,855 million, compared to $85,229 million on December 31, 2020. The increase was explained by capital expenditures, the funding of the acquisitions, and by the shareholders' return.

Average debt maturity was 16.4 years, with an average cost of 6.0%. Long-term Debt comprised 89% of the total; 50% of the debt was denominated in U.S. dollars, 40% in Mexican pesos, 7% in Canadian dollars and 3% in Euros.

The Net Debt to Adjusted EBITDA ratio, which does consider the effect of IFRS 16, was 1.9 times, with no change when compared to 1.9 times on December 31, 2020.

The Company invested $1,901 million in the repurchase of 45 million of its own shares.

2) Financial position, liquidity and capital resources

a. Internal and external liquidity sources

BIMBO has internal and external sources of traditional liquidity available, which have been already used in the past. The Company's liquidity is based on its own operations and historically, it has had sufficient levels of its own capital. In the past the Group has had access to bank financings and to the domestic and international capital and debt markets.

Likewise, BIMBO has obtained various credit lines from several financial institutions. Notwithstanding the foregoing, the Company cannot assure that it will have access to the sources of capital mentioned above. BIMBO has not had any cyclical credit requirements and generally, financing needs are associated with growth operations and not with working capital.

b. Debt level

The table contained in "Selected Financial Information" contains information on the Company's debt at the end of the last three fiscal years. See Section "3. FINANCIAL INFORMATION - Selected Financial Information". There is no cyclicality in the Company's financing requirements.

Significant Indebtedness

International Bonds (Senior Notes)

1. On June 27, 2014 the Company issued bonds under Rule 144 A and Regulation S of the SEC for (i) USD 800 million, maturing in 2024 and (ii) USD 500 million maturing in 2044. Such bonds pay a fixed interest rate of 3.875% and 4.875%, respectively payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity, as well as for general corporate matters. During 2022, the company repurchase 2.5 million US dollars of this Senior Notes.

2. On November 10, 2017 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD 650 million, maturing on November 10, 2047. Such bond pays a fixed interest rate of 4.70% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity, as well as for general corporate matters.

3. On September 6, 2019 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD 600 million, maturing on September 6, 2049. Such bond pays a fixed interest rate of 4.000% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. During 2022, the company repurchase 34.885 million US dollars of this Senior Notes.

4. On May 12, 2021 the Company, through its subsidiary Bimbo Bakeries USA, issued a bond (senior notes) in the international markets for a value of $600,000,000 dollars maturing on 2051 in accordance with Rule 144A and the Regulation S of the SEC. Such financing pays a fixed rate of 4.00% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company´s debts, extending the average maturity. During 2022, the company repurchase 14.733 million US dollars of this Senior Notes.

International Bonds (Subordinated Notes)

1. On April 17, 2018, Grupo Bimbo, S.A.B. de C.V. issued a bond of perpetual subordinated notes for a value of $500,000,000 million US dollars under Rule 144 A and Regulation S of the SEC. During 2022, the company repurchased perpetual bond securities in the secondary market with a nominal value of $344, recognizing a decrease of $32 due to exchange rate fluctuations in retained earnings.

Local bonds (Certificados Bursátiles)

1. Bimbo 16 - Issued on September 14, 2016 for $8,000 million pesos, with maturity on September 2, 2026. Such bond pays a fixed interest rate of 7.56%. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity.

2. Bimbo 17 – Issued on October 6, 2017 for $10,000,000,000 pesos with maturity on September 24, 2027. Such bond pays a fixed interest rate 8.18%. The proceeds from this issuance were used for the prepayment of the securities identified with ticker symbol "BIMBO 12", the partial payment of a revolving facility entered into by Canada Bread, as well as the partial payment of Bimbo QSR acquisition.

All the notes are guaranteed by the Company's main subsidiaries.

Committed Revolving Credit Facility (multicurrency)

On September 2021, the Company renewed and amended the terms and conditions of the committed multicurrency credit facility, which was originally obtained on April 26, 2010 and modified in 2013, 2016 and 2018.

In accordance with the new terms and conditions, the financial institutions engaged in this facility are BBVA Bancomer, S.A., CITIBANK, N.A., HSBC México, S.A., Banco Santander, S.A., JPMorgan Chase Bank, N.A., Bank of America, N.A., ING Bank, N.V., MUFG Bank, Ltd., and Mizuho Bank, Ltd. The total amount is for $1,750 million US dollars, maturing on September 14, 2026. However, on September 14, 2023 the amount will be reduced in $875 million US dollars. The drawdowns against this facility bear interest at the London Interbank Offered Rate (LIBOR) plus 0.95% for drawdowns made in US dollars, at the Canadian Dollar Offered Rate (CDOR) plus 0.95% for drawdowns made in Canadian dollars, at the Interbank Equilibrium Interest Rate (TIIE) plus 0.725% for drawdowns made in Mexican pesos and Euro Interbank Offered Rate (EURIBOR) plus 0.95% for drawdowns made in euros. This credit facility is sustainability-linked and marks the Company's debut in sustainable financing. As such, the annual interest rate may change, up or down, depending on the company's performance in pre-established renewable energy and treated water reutilization metrics.

This transaction highlights Grupo Bimbo's commitment to the preservation and improvement of the environment, including focus on two areas, which are part of the Company's sustainability journey: energy and water. This renewal provides ample flexibility and liquidity to the Company and reaffirms the many years of strong relationship between Grupo Bimbo and its bank syndicate.

During 2022 and 2021, drawdowns and prepayments were made for $13,085 and $15,291, respectively. As of December 31, 2022, there is no balance drawn on this facility.

Starting from July 1, 2022, a reduction in applicable rates was obtained as a result of achieving the sustainable goals corresponding to this line for 2021. Considering this reduction, disbursements made under this line of credit have an applicable interest rate of LIBOR plus 0.90% for disbursements in US dollars, CDOR plus 0.90% for disbursements in Canadian dollars, TIIE plus 0.675% for disbursements in Mexican pesos, and EURIBOR plus 0.90% for disbursements in euros.

See Section "3. FINANCIAL INFORMATION – c) Report on Significant Debt".

Other Loans

Certain subsidiaries have entered into direct loans to meet mainly their working capital needs, and with maturities that range from 2023 to 2031, which generate interest at various rates.

Events of Default

For a description of the events of default contained in the material financings of the Company, see "See Section "3. FINANCIAL INFORMATION – c) Report on Significant Debt".

Liquidity

Liquidity represents the ability of the Group to generate sufficient cash flows from operating activities to meet its obligations as well as its ability to obtain appropriate financing. Therefore, liquidity cannot be considered separately from the capital resources that consist primarily of current and potentially available funds for use in achieving its objectives. Currently, the Group's liquidity needs arise primarily from working capital requirements, debt payments, capital expenditures and dividends. In order to satisfy its liquidity and capital requirements, the Group primarily relies on its own capital, including cash generated from operations, and committed credit facilities.

The Group believes that its cash from operations, its existing credit facilities and its long-term financing will provide sufficient liquidity to meet its working capital needs, capital expenditures, debt payments and future dividends.

Commitments

Grupo Bimbo, S.A.B. de C.V. and some of its subsidiaries have issued letters of credit to guarantee certain ordinary obligations and contingent risks related to the labor obligations of some of its subsidiaries. As of December 31, 2022, 2021, and 2020, the value of such letters of credit is $4,515, $5,020, and $4,947 million US dollars, respectively.

c. Treasury Policies

The Company maintains treasury policies consistent with its financial obligations and operating requirements and maintains its financial resources invested in highly liquid, non-speculative and low-risk instruments. Grupo Bimbo's treasury maintains several currencies, especially currencies of countries in which the Company operates.

d. Material committed capital expenditures

As of the date of this Annual Report, the Company had no material committed capital expenditures.

e. Changes in the Balance Sheet

Below is information on the cash flows generated by the operations, investing and financing activities during 2022, 2021 and 2020. The table contained in the Section "3. FINANCIAL INFORMATION - a) Selected Financial Information" includes certain financial ratios that show changes in the financial status of the Company during these years.

Cash Flows from Operating Activities

For fiscal year ended December 31, 2022 and 2021

For the year ended in December 31, 2022, the net cash flow from operations decreased by $6,925 million to $38,851 million compared to the increase of $1,899 million in 2021. This decrease is mainly due to an increase in profit before income tax on continuing operations by $21,024 million and by a decrease of the plans multi-employer pension plans liabilities of $(16,763) and an decrease in in other long-term assets and liabilities of $(1,822) million, an increase in the working capital for $8,741 million and a increase in the payment of income taxes of $(4,246) millions.

For fiscal year ended December 31, 2021 and 2020

For the year ended in December 31, 2021, the net cash flow from operations increased by $1,899 million to $45,776 million compared to the increase of $15,357 million in 2020. This increase is mainly due to an increase in operating income by $8,718 million and by a decrease of the plans multi-employer pension plans liabilities of $(4,741) and an decrease in in other short-term assets and liabilities of $(955) million, an increase in the working capital for $(666) million and a increase in the payment of income taxes of $(1,789) millions.

Net Cash Flow from Investing Activities

For fiscal year ended December 31, 2022 and 2021

For the year ended December 31, 2022, net cash used in investing activities decreased by $23,337 million to $(9,122) million compared to $(32,459) million in 2021, mainly as a result of proceeds from the sale of

discontinued operations of $25,797 million, a decrease in business acquisitions of $4,117 million, a higher investment in fixed assets that increased by $7,998 million, a decrease in equity capital increases in associated companies of $865 million, and an increase in dividends received from associates and discontinued operations of $895 million.

For fiscal year ended December 31, 2021 and 2020

For the year ended December 31, 2021, net cash used in investing activities increased by $15,771 million to $(32,459) million compared to $(16,688) million in 2020, mainly as a result of mayor buisness acquisitions, fixed asset investment and capital stock increases in associated companies, which increased by $(7,184) million, $(7,453) million and $(853) million respectively.

Net Cash Flow from Financing Activities

For the year ended December 31,2022 and 2021

For the year ended December 31, 2022, net cash used in financing activities increased by $11,576 million to $(25,692) million compared to $(14,116) million of net cash used in financing activities for the year ended December 31, 2021, mainly as a result of the maturity of bank debt for $(22,007) million, an increase in bank debt of $12,746 million, and a increase of $(667) million compared to 2021 for payments to aquire or redeem the entity´s shares. Also due to an increase of $612 million in profits from the settlement of derivative financial instruments, an increase in lease payments of $(1,013) and an increase in the payment of dividends of $(1,249) million compared to 2021.

For the year ended December 31,2021 and 2020

For the year ended December 31, 2021, net cash used in financing activities decreased by $10,047 million to $(14,116) million compared to $(24,163) million of net cash used in financing activities for the year ended December 31, 2020, mainly as a result of the maturity of stock market debt for $4,106 million, a decrease in amortized loans for $7,210 million, and a decrease of $1,839 million compared to 2020 for payments to aquire or redeem the entity´s shares. Also due to decrease of $(733) million in profits from the settlement of derivative financial instruments and an increase in the payment of dividends of $(2,203) million compared to 2020.

Borrowings from Banks and Other Financial Institutions

Total Debt decreased from $92,855 million of pesos as of December 31, 2021, to $84,055 million pesos, as of December 31, 2022, the decrease was explained by the payment of debt using resources from the sale of Ricolino.

On September 21, 2021, the Company renewed and amended certain terms and conditions of its multicurrency committed revolving credit facility, which was originally obtained on April 26, 2010 and modified in 2013, 2016 and 2018.

In accordance with the new terms and conditions, the financial institutions engaged in this facility are BBVA Bancomer, S.A., CITIBANK, N.A., HSBC México, S.A., Banco Santander, S.A., JPMorgan Chase Bank, N.A., Bank of America, N.A., ING Bank, N.V., MUFG Bank, Ltd., and Mizuho Bank, Ltd. The total amount is for USD$1,750 million, maturing on September 14, 2026. However, on September 14, 2023 the amount will be reduced in USD$875 million. The drawdowns against this facility bear interest at the London Interbank Offered Rate (LIBOR) plus 0.95% for drawdowns made in US dollars, at the Canadian Dollar Offered Rate (CDOR) plus 0.95% for drawdowns made in Canadian dollars, at the Interbank Equilibrium Interest Rate (TIIE) plus 0.725% for drawdowns made in Mexican pesos and Euro Interbank Offered Rate (EURIBOR) plus 0.95% for drawdowns made in euros.This credit line is sustainability-linked and marks the Company's debut in sustainable financing. Thus, the annual interest rate may vary, up and down, based on the company's performance on pre-established renewable energy and treated water reutilization metrics. During 2022 and 2021 provisions and prepayments were $13,085 and $15,291, respectively. As of December 31,

2022, there is no balance drawn on this line of credit. As of July 1, 2022, a reduction in the applicable rates was obtained as a result of achieving the sustainability goals corresponding to this line for 2021. Considering this reduction, disbursements made under this line of credit have an applicable interest rate of LIBOR plus 0.90% for disbursements in US dollars, CDOR plus 0.90% for disbursements in Canadian dollars, TIIE plus 0.675% for disbursements in Mexican pesos, and EURIBOR plus 0.90% for disbursements in euros.

On May 12, 2021, the Company, through its subsidiary Bimbo Bakeries USA, issued a bond for $600,000,000 million US dollars maturing in 2051 and a fixed rate of 4.00% to refinance existing debt.

On September 6, 2019, the Company issued a bond for $600 million US dollars maturing in 2049 and a fixed interest rate of 4.00% to refinance existing debt and other general corporate purposes.

On November 10, 2017, the Company issued a bond for $650 million US dollars, maturing in 2047 and a fixed interest rate of 4.70% to refinance the Company's debt and other general corporate purposes.

On June 27, 2014, the Company issued bonds for $800 million US dollars, maturing in 2024 and a fixed interest rate of 3.875% and a bond for $500 million US dollars maturing in 2044 and a fixed interest rate of 4.875%, both to refinance the Company's debt and other general corporate purposes.

In addition, the Group has issued, and remain in force in the Mexican capital markets the following notes (certificados bursátiles). All the notes were issued under issuing programs authorized by the CNBV:

- Local Bonds (*certificados bursátiles*) issued on September 14, 2016 for $8,000 million, maturing in September 2, 2026, with a fixed interest rate of 7.56% The resources from such issuance were to refinance the debt, extending its average life.

- Local Bonds (*certificados bursátiles*) issued on October 6, 2017 for $10,000 million, maturing in September 24, 2027, with a fixed interest rate of 8.18%. The resources from such issuance were destined for the pre-payment of the local bonds identified as "BIMBO 12", the partial payment of a multicurrency line of credit engaged by Canada Bread, and the partial payment of the Bimbo QSR acquisition.

The following table shows the outstanding financial indebtedness as of the dates indicated below:

	2022	**2022**	**2021**	**2020**
	(millions of U.S. $)	**(millions of pesos) [2]**		
4.00% International Bond due 2051	563	11,332	12,350	
4.000% International Bond due 2049	539	10,842	12,245	11,898
4.700% International Bond due 2047.....	625	12,585	13,379	12,967
4.875% International Bond due 2044.....	479	9,632	10,292	9,974
3.875% International Bond due 2024.....	770	15,489	16,467	15,959
4.50% International Bond due 2022.....	—	—	4,072	15,915
Revolving Committed credit facility (multicurrency)	—	—	—	—
7.56% Local Bonds[1] due 2026.....	383	7,706	7,706	7,706
8.18% Local Bonds[1] due 2027.....	479	9,633	9,633	9,633
Short-term unsecured loans for working capital	—	—	—	—
Other bank loans[3].....	374	7,522	7,483	1,708
Short-term portion of long-term debt.....	(320)	(6,435)	(10,625)	(600)
Debt issuance expenses.....	(34)	(687)	(772)	(531)
Long-term debt.....	**3,857**	**77,619**	**82,230**	**84,629**

(1) Converted into U.S. dollars for convenience purposes only, at an average exchange $20.1250 pesos per U.S. dollar, which is the exchange rate published by the Mexican Central Bank on December 30, 2022 in the Mexican Federal Official Gazette
(2) The U.S. dollar amount for debt denominated in U.S. dollars represents the outstanding balance in U.S. dollars of such debt, without any conversion to pesos. However, the total long-term debt in the U.S. dollar columns is calculated by converting the respective balance into pesos at the exchange rate of $20.1250 pesos per U.S. dollar, therefore, it does not constitute the sum of the individual debt amounts listed on the U.S. dollar columns.
(3) Certain subsidiaries of the Group have contracted direct loans to meet mainly their working capital needs, with maturities that range between 2023 to 2031, which generate interest at various rates.

The aforementioned bank loans, international bonds and local bonds (*Certificados Bursátiles*) of the Company contain affirmative and negative covenants, as well as early termination causes. To date, all these covenants have been complied with.

The Group continuously evaluates financing alternatives, which in the future may include, among others, issuances of additional securities in the Mexican and the international capital markets, additional credit facilities, leases and securitization of all or any portion of the Group's assets.

Contractual Obligations

Grupo Bimbo, S.A.B de C.V., together with some of the subsidiaries, has guaranteed through letters of credit certain ordinary obligations, as well as some contingent risks associated with labor obligations of some subsidiaries. The value of such letters of credit as of December 31, 2022, 2021 and 2020 is $4,515, $5,020 and $4,947 million US dollars, respectively.

Since September 2019, the Company acts as guarantor in a voluntary North American payment program between providers and Bank of America, where they discount their accounts recievables. As of December 31, 2022, 2021 and 2020, balances of $2,813, $2,237 and $1,521 are maintained presented to the prospect in accounts payable to suppliers.

The Company has established a trust that allows suppliers of its subsidiaries in Mexico to obtain financing through a factoring program executed by Nacional Financiera, SNC, as of December 31, 2022, 2021 and 2020, the amount of the liability amounts to $3,233, $1,734 and $1,152, respectively.

Additionally, the Group has a factoring agreement with Banco Santander Mexico, S.A., for the discounting of invoices from its subsidiaries' suppliers in Mexico, with a liability in favor of said financial institution of $552 as of December 31, 2022.

The Company has entered into energy self-supply contracts that commit it to acquire certain amounts of renewable energy at an agreed price that is updated by factors derived from the INPC. Even though the contracts have the characteristics of a derivative financial instrument, they qualify for the exception of accounting for them as such, since they are for self-consumption, they are recorded in the consolidated financial statements as energy consumption is incurred. For example, on April 13, 2022, the Company entered into an energy self-supply contract in Ecuador that commits it to acquire certain amounts of renewable energy for a period of 10 years, starting on June 1, 2022. The main characteristics of these contracts are shown below:

Country	Signature Date	Start date	Period	Energy Commitments 2023
México	02/12/2008	01/11/2012	18 years	293 MXP
Peru	05/08/2019	01/09/2019	3 years	0.2 USD
Argentina	05/09/2019	01/01/2020	15 years	1.3 USD
Chile	22/02/2020	01/04/2021	8 years	1.1 USD
Panama	22/12/2020	01/07/2021	5 years	0.3 USD

Brazil	03/12/2021	01/01/2022	3 years	2.3 USD
Colombia	22/12/2021	01/01/2022	8 years	1.1 USD
Ecuador	13/04/2022	01/06/2022	10 years	0.7 USD

Furthermore, on March 30, 2018, the Company signed through BBU, a 12-year virtual wind energy supply contract in the United States, which will be recognized as a financial asset measured at fair value with changes in results net of the effects of the associated deferred income and that will be accrued during the term of the contract.

As of December 31, 2022, 2021 and 2020, the net financial asset for $789, $336 and $(213), respectively is presented in other long-term (liabilities/assets). During 2022, 2021 and 2020, $67, $68 and $71 respectively, was recognized in financial costs for the amortization of the liability and $(587), $(512) and $345 respectively, for the changes in the fair value of the liability/asset.

On February 1, 2021, the Company, through Canada Bread, entered into a supply of virtual wind and solar energy supply agreement in Canada for a term of 15 years, which will be recognized as a financial asset measured at fair value through profit or loss, net of the effects of the associated deferred revenue, which will be accrued over the life of the agreement.The commencement date of operation of this agreement will be January 1, 2023.

Other long-term commitments as of December 31, 2022, include the obligations resulting from financial instruments, accounts payable and debt amortization as follows:

	<1 year	**>1 year < 3 years**	**>3 year < 5 years**	**>5 years**	**Total**
Debt and interests	$ 10,538	$ 24,218	$ 23,759	$ 88,207	$ 146,722
Lease liabilities	5,930	9,231	5,641	15,688	36,490
Derivate financial instruments	2,125	1,629	899	5,463	10,116
Trade payables and account payable to related parties	45,298	-	-	-	45,298
Total	**$ 63,891**	**$ 35,078**	**$ 30,299**	**$ 109,358**	**$ 238,626**

Quantitative and Qualitative Disclosure about Market Risk

During the ordinary course of its operations, the Group is exposed to risks inherent with variables related to financing as well as variations in the prices of some of its raw materials that are traded in international markets. The Group has established an orderly risk management process that relies on internal bodies that assess the nature and extent of those risks. Main financial risks to which the Group is exposed are: interest rate risk, foreign currency risk, price risk, liquidity risk, credit risk and equity risk.

The corporate treasury is responsible for managing the risks associated with interest rate, foreign currency, liquidity and the credit risk that results from the ordinary course of business. Meanwhile, the purchases department is responsible for risk management of fluctuations in commodity prices and reviews the consistency of the open positions in the derivatives markets with the corporate risk strategy of the Group. Both departments report their activities to the Risk Management Department.

As a result of the dynamism of the variables to which the Group is exposed, hedging strategies are evaluated and monitored on an ongoing basis. Additionally, such strategies are reported to the relevant governing body within the organization. The primary purpose of hedging strategies is to achieve a neutral and balanced position in relation to the exposure created by certain financial variables.

The table below shows the integration of the financial derivatives portfolio for the periods indicated:

	As of December 31,		
	2022	**2021**	**2020**
	(in millions de pesos)		
Assets			
Current assets:			
Foreign exchange rate options	---	---	---
Forwards on raw materials	---	92	---
Options – FX	---	---	---
Options – premiums paid	---	---	---
Swaps	---	---	---
Futures contracts:			
Fair value of raw materials, natural gas, diesel and soy oil	38	1,293	871
Total short-term derivative financial instruments	**38**	**1,293**	**871**
Long-term Swaps	**2,005**	**1,962**	**267**
Liabilities			
Current liabilities:			
Forwards on exchange rate options	10	169	399
Forwards on raw materials	512	---	784
Commodity futures	234	---	---
Raw materials and energy swaps	702	---	---
Total derivative financial instruments	**1,458**	**169**	**1,183**
Long-term derivative financial instruments (swaps)	**590**	**67**	**214**
Equity:			
Total valuation of cash flow hedges, net of accrued interest	(1,100)	767	(2,251)
Terminated contracts for unused futures	(352)	(6)	24
Deferred income tax, net	401	(184)	676
Other comprehensive (loss) /income	(1,051)	577	(1,551)

For further information on the risk management policies, the derivative financial instruments and a sensitivity analysis on interest rates and currencies, see note 17 to the audited consolidated financial statements.

Off-Balance Sheet Arrangements

The Group does not currently have transactions involving off-balance sheet arrangements.

f. Unregistered transactions

As of December 31, 2022, 2021 and 2020 there were no material transactions resulting in cash flows.

3) Internal Control

The Company has an Audit & Corporate Practices Committee that performs audit activities, as well as other corporate practices activities set in the LMV, its bylaws and those determined by the Company's Board of Directors. The Audit & Corporate Practices Committee is comprised by at least three independent members appointed by the Shareholders' Meeting. The chairman of the committee is appointed by the General Shareholders' Meeting.

e) ESTIMATIONS, PROVISIONS AND CRITICAL ACCOUTING RESERVES

The Audited Financial Statements that form part of this Annual Report comply with IFRS. Their preparation requires that the Company's management make estimates and assumptions to assess some of the financial statement entries and to carry out disclosures required therein. However, actual results may differ from such estimates. The Company's management believes that such estimates and assumptions were appropriate considering the circumstances under which they were made.

The notes to the Audited Financial Statements contain a description of the most significant accounting policies of the Company, including the following:

1) *Compliance statement*

The consolidated financial statements of the Company have been prepared in compliance with the International Financial Reporting Standards (IFRS) as issued by the IASB.

2) *Basis of preparation*

The Mexican peso is the Company's functional currency for transactions in Mexico and the presentaion currency of its consolidated financial statements.

The accompanying consolidated financial statements have been prepared on a historical cost basis, except for certain assets and liabilities (derivative financial instrumes) which are measured at fair value at the end of the reporting period, and the non-monetary assets of the Company's subsidiaries in hiperinflacionary economies, which are restated by inflation, as explained in the accounting policies below.

***a)* Historical cost**

Historical cost is generally based on the fair value of the consideration paid for goods and services, at the time they are received.

***b)* Fair value**

Fair value is the price to sell an asset or transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or liability, the Company takes into account the characteristics of the asset or liability being measured that market participants would take into account when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these consolidated financial statements is determined on such a basis, except for measurements that have some similarities to fair value but are not fair value, such as net realizable value in IAS 2 or value-in-use in IAS 36.

In addition, for financial reporting purpose, fair value measurements are classified into level 1, 2 or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the

inputs to the fair value measurement in its totality, which are described as follows:

- Level 1: Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2: Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3: Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

Reformulation of financial statements

The consolidated statement of income, consolidated statement of other comprehensive income, and consolidated statement of cash flows for the years ended December 31, 2021, and 2020, were restated to present the confectionery business disposed of in 2022 as a discontinued operation.

Basis of presentation

Classification between current and non-current (short and long term)

The Company presents assets and liabilities in the consolidated statement of financial position as current and non-current when:

- It is expected to be realized, sold or consumed in the normal course of its operations;
- Held primarily for commercial purposes;
- Expected to be performed within the next twelve months after the reporting period; or
- Is cash or a cash equivalent subject to being restricted for exchange or settlement of a liability, at least within the next twelve months after the reporting period.

All other assets are classified as non-current.

A liability is classified as short-term when:

- It is expected to be liquidated in the normal course of its operations;
- Held primarily for commercial purposes;
- Is outstanding and will be settled within twelve months after the reporting period; or
- There is no unconditional right to defer settlement of the liability for at least twelve months after the reporting period.

The terms of a liability that may, optionally by the counterparty, result in a settlement through the issuance of an equity instrument do not affect its classification.

All other liabilities are classified as long-term.

Deferred tax assets and liabilities are classified as non-current (long-term) assets and liabilities.

3) Basis of consolidation of financial statements

As of December 2022, 2021 and 2020, the consolidated financial statements incorporate the financial statements of the Company, its subsidiaries, and other entities in accordance with IFRS 10.

Subsidiary	% of equity interest	Country	Segment	Primary Activity
Bimbo, S. A. de C. V.	97	Mexico	Mexico	Baking
Barcel, S. A. de C. V.	98	Mexico	Mexico	Snacks
Productos Ricolino, S.A.P.I. de C.V.[(1)]	98	Mexico	Mexico	Confectionery
Bimbo Bakeries, Inc. (BBU)	100	U.S.	United States	Baking
Canada Bread Corporation, LLC	100	Canada	United States	Baking
Bimbo do Brasil, Ltda.	100	Brazil	Latin America	Baking
Bakery Iberian Investments, S.L.U.	100	Spain and Portugal	EAA	Baking

[(1)] On November 1, 2022, the confectionery business was sold.

Subsidiaries are consolidated from the date on which control is transferred to the Company and are no longer consolidated from the date that control is lost. Gains and losses of subsidiaries acquired during the year are recognized in the consolidated statement of profit or loss and statement of comprehensive income from the acquisition date and/or loss of control as applicable.

Non-controlling interest represents the portion of profit or loss and net assets that are not owned by the Company and represents the minority interest that is recognized separately in the consolidated financial statements.

The political and economic situation in Venezuela has significantly limited the capacity of the Company's subsidiaries in Venezuela to maintain their production process under normal conditions. Because of the above, and since Grupo Bimbo will continue its operations in Venezuela, as of June 1, 2017, the Company changed the method under which it recognized the financial position and performance of its operations in Venezuela; therefore, at the date of these financial statements, the Company measures its investment in Venezuela at fair value.

The Company elected to classify irrevocably its equity investments in affiliates in Venezuela under this category as it intends to hold these investments for the foreseeable future. As of December 31, 2022, 2021 and 2020, the Company recognized an impairment loss of $32, $112 and $239 in other comprehensive income.

Profit or loss and each component of other comprehensive income are attributed to controlling and non-controlling interests even if it results in a deficit balance of the latter.

The balances and transactions between the consolidated entities have been eliminated in preparing the consolidated financial statements.

4) Business combinations

Acquisitions of businesses are accounted for using the acquisition method. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the fair values of the assets transferred by the entity, the liabilities incurred by the Company to the former owners of the acquiree and the equity interests issued by the Company in exchange for control of the acquiree. Costs related to the acquisition are generally recognized in profit or loss as incurred.

At the acquisition date, all identifiable assets acquired and liabilities assumed in a business combination are measured at fair value, except for:

- Deferred tax assets or liabilities and assets or liabilities related to employee benefits are recognized and measured in accordance with IAS 12 I*ncome Taxes* and IAS 19 *Employee Benefits*, respectively;

- Liabilities or equity instruments related to share-based payment arrangements of the acquiree or share-based payment arrangements of the Entity entered into to replace share-based payment arrangements of the acquiree that are measured in accordance with IFRS 2 *Share-based Payment* at the acquisition date (as of December 31, 2022, 2021 and 2020, the acquired companies do not have share-based payments);

- Assets (or group of assets) that are classified as held for sale and measured in accordance with *IFRS 5 Non-current Assets Held for Sale and Discontinued Operations* that are measuredin accordance with this standard.

Goodwill is measured at cost (being the excess of the aggregate of the consideration transferred and the amount recognized for non-controlling interests and any previous interest held over the net identifiable assets acquired and liabilities assumed). If, after reassessment, the fair value of the net assets acquired and liabilities assumed at the acquisition date is in excess of the aggregate consideration transferred, the amount recognized for non-controlling interests in the acquiree and any previous interest held over the acquiree is recognized in profit or loss as a bargain purchase gain.

Non-controlling interest may be initially measured either at fair value or at the proportionate share of the acquiree's identifiable net assets. The election is made on a transaction-by-transaction basis.

When the consideration transferred by the Company in a business combination includes assets or liabilities resulting from a contingent consideration arrangement, the contingent consideration is measured at fair value at the acquisition date and is included as part of the consideration transferred. Changes in the fair value of the contingent consideration that qualify as measurement period adjustments are adjusted retrospectively and the corresponding adjustments are charged against goodwill. Measurement period adjustments are adjustments that arise from additional information obtained during the 'measurement period', which cannot exceed one year following the acquisition date, on facts and circumstances that existed at the acquisition date.

The subsequent accounting for changes in the fair value of the contingent consideration that do not qualify as measurement period adjustments depends on the classification of the contingent consideration. Contingent considerations classified as equity are not remeasured at subsequent reporting dates and its subsequent settlement is accounted for within equity. Contingent considerations classified as assets or liabilities are remeasured at subsequent reporting dates in accordance with IFRS 9 or IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*, as appropriate, and the corresponding gain or loss is recognized in profit or loss.

When a business combination is achieved in stages, any previous interest held over the acquiree is remeasured at fair value at the acquisition date and the resulting gain or loss, if any, is recognized in profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognized in other comprehensive income are reclassified to profit or loss when such treatment is appropriate if that interest is disposed of.

If the initial accounting treatment for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Company reports provisional amounts for the items for which the accounting is incomplete. Such provisional amounts are adjusted during the measurement period (see above) or additional assets or liabilities are recognized to reflect new information obtained about facts and circumstances that existed at the acquisition date that, if known, would have affected the amounts

recognized at that date.

5) Assets held for sale

The Company classifies non-current assets and disposal groups as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. The criteria for held for sale classification is regarded to be met only when the sale is highly probable and the asset or disposal group is available for immediate sale in its present condition, subject only to terms that are usual and customary for sales of such assets or disposal. Management must be committed to the plan to sell the asset and the sale expected to be completed within one year from the date of the classification.

Non-current assets and disposal groups classified as held for sale are measured at the lower of their carrying amount and fair value of the assets less costs estimated to be incurred for their sale, and are presented within current assets.

Discontinued operations are excluded from the results of continuing operations and are presented as a single amount as profit or loss after tax from discontinued operations in the income statement. Additional disclosures are provided in Note 24. All other notes to the financial statements include amounts for continuing operations, unless otherwise stated.

6) Recognition of the effects of inflation

The effects of inflation are recognized when the functional currency of an entity is the currency of a country with a hyperinflationary economic environment.

An analysis of the cumulative inflation rates for the three prior years in the countries of the Company's primary operations is as follows:

	2022 – 2020		2021-2019		2020– 2018	
	Cumulative inflation rate	**Type of economy**	Cumulative inflation rate	Type of economy	Cumulative inflation rate	Type of economy
Mexico	**19.39%**	**Non-hyperinflationary**	13.87%	Non-hyperinflationary	11.19**%**	Non-hyperinflationary
US	**15.86%**	**Non-hyperinflationary**	10.97%	Non-hyperinflationary	5.40**%**	Non-hyperinflationary
Canada	**12.90%**	**Non-hyperinflationary**	8.10%	Non-hyperinflationary	5.05**%**	Non-hyperinflationary
Spain	**11.98%**	**Non-hyperinflationary**	7.05%	Non-hyperinflationary	1.51**%**	Non-hyperinflationary
Brazil	**15.90%**	**Non-hyperinflationary**	13.01%	Non-hyperinflationary	12.92**%**	Non-hyperinflationary
Argentina	**299.49%**	**Hyperinflationary**	215.85%	Hyperinflationary	162.53**%**	Hyperinflationary

Starting in July 2018 and June 30, 2022, the economys of Argentina and Turkey, respectively, qualified as a hyperinflationary economy; consequently, the Company's subsidiaries in these countries recognized, pursuant to IAS 29, the following adjustments for the cumulative effects of inflation:

- Using inflation factors to restate non-monetary assets such as inventories, property, plant and equipment, net and intangible assets.
- Recognizing the net monetary position in the consolidated statement of profit or loss

7) Foreign currency transactions

Exchange differences on monetary items are recognized in profit or loss, except in the following:

- Exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings
- Exchange differences on transactions entered into in order to hedge certain foreign currency risks (see Note 17), and
- Exchange differences on monetary assets or liabilities related to foreign operations with no planned

settlement and for which payment cannot be made (thus forming part of the net investment in the foreign operation) are initially recognized in other comprehensive income and are reclassified from equity to profit or loss as reimbursements of monetary items.

Translation to reporting currency

On consolidation, the assets and liabilities of foreign operations are translated into Mexican pesos using theexchange rate prevailing at the reporting date. Income and expense items are translated at the average exchange rates for the period, unless the exchange rates fluctuate significantly during that period, in which case the exchange rates at the dates of the transactions are used. The operations in hyperinflationary economies are translated using the exchange rate prevailing at the reporting date. The exchange differences arising on translation for consolidation are recognized in other comprehensive income and accumulated in equity attributed to non-controlling interests as appropriate.

All accumulated differences in stockholders' equity from a foreign operation in the case of its sale are reclassified to profits or loss, that is, the sale of the Company's entire participation in a foreign operation, or a disposition that involves a loss of control in the subsidiary that includes a foreign operation, loss of joint arrangement or an associate that includes a partial foreign operation in which the retained interest becomes a financial instrument.

Any goodwill arising on the acquisition of a foreign operation and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition are treated as assets and liabilities of the foreign operation and translated at the exchange of the reporting date. Exchange differences resulting from the translation are recognized in other comprehensive income.

The average exchange rates and closing exchange rates between the Mexican peso and the functional currencies of the countries of the main subsidiaries, are as follows:

	Average Exchange Rate			**Closing Exchange Rate**		
	2022	2021	2020	**2022**	2021	2020
US	**20.1250**	20.2818	21.4955	**19.3615**	20.5835	19.9487
Canada	**15.4634**	16.1111	16.0529	**14.2931**	16.1782	15.5424
Spain	**19.1003**	23.3129	24.5343	**18.1525**	21.4648	24.4790
Brazil	**3.8960**	3.6885	4.1764	**3.7107**	3.7629	3.8387
Argentina	**0.1542**	0.2004	0.3045	**0.1093**	0.2133	0.2371

8) Cash and cash equivalents

Cash and cash equivalents principally consist of bank deposits in checking accounts, readily available low-risk investments in short-term securities, with a maturity of up to three months following the purchase date. Cash is stated at nominal value and cash equivalents ($9,856, $6,393 and $5,663 in 2022, 2021 y 2020) at fair value. Variations in gains and losses from changes in the value of cash and cash equivalents are recognized in profit or loss (see financial assets below). Cash and cash equivalents principally consist of investments in government debt instruments with daily maturities.

9) Financial assets

All recognized financial assets are subsequently measured in their entirety, either at amortized cost or fair value, according to the classification of financial assets.

Financial Asset Classification

Financial instruments that met the following conditions are measured subsequently at fair value through other comprehensive income:

- The financial asset is held within a business model with the objective of both holding to collect

contractual cash flows and selling
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding

The remaining financial assets are subsequently measured at fair value through profit or loss.

Notwithstanding the foregoing, the Company may elect irrevocably at initial recognition to classify an equity investment as a financial instrument with subsequent changes in fair value in other comprehensive income unless the equity investment is held for trading or if it is contingent consideration recognized by an acquirer in a business combination.

Equity investments at fair value through other comprehensive income are initially measured at cost, plus transaction costs, and are subsequently measured at fair value and the gains and losses from the fair value changes are recognized in OCI. At derecognition, cumulative gains and losses are not reclassified to profit or loss, and instead are recorded in retained earnings.

Derecognition of financial assets

A financial asset (or when applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- The rights to receive cash flows from the financial asset have expired; or
- The Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the full amount of the cash flows without material delay to a third party under a transfer agreement and either a) the Company has transferred substantially all the risks and rewards of the asset or b) the Company has not transferred or retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

1. Accounts receivable

Trade accounts receivable and other accounts receivable that are non-derivative financial assets with fixed or determinable payments that are not traded on an active market, are classified as accounts receivable and are measured at amortized cost using the effective interest rate (EIR) method, less any impairment losses.

Interest income is recognized by applying the effective interest rate, except for short-term receivables when the interest is immaterial.

2. Impairment of financial assets

Financial assets other than financial assets at fair value through profit and loss are tested for impairment at the end of each reporting period.

The Company recognizes a provision for expected credit losses (ECLs) on trade receivables. The Company uses a provision matrix to calculate ECLs for trade receivables. The provision matrix is initially based on the Company's historical credit loss experience and is subsequently adjusted for factors that are specific to the debtors, general economic conditions and an assessment of the current direction and forecast of future conditions at the reporting date, including the time value of money, when applicable.

The Company considers a financial asset in default when contractual payments are 90 days past due. In addition, the impairment assessment also takes into account the non-payment status of customers, when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before considering any credit enhancements held by the entity. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Regarding trade receivables, the carrying amount is reduced using an allowance account. Trade receivables

that are considered uncollectible are charged to the allowance account. Subsequent recovery of previously recognized impairment losses is reversed by adjusting the allowance account. The amount of the changes in the allowance account is recognized in profit or loss of the year.

10) Inventories and cost of sales

Inventories are valued at the lower of either their cost or net realizable value.

Inventories accounting is performed on the following criteria:

- Raw materials, containers, packaging material and spare parts: at acquisition cost, which includes the cost of the merchandise plus import costs, minus discounts, using the average cost method.
- Finished goods and orders in process: standard cost equivalent to the cost of direct materials and labor and a proportion of manufacturing overheads based on the normal operating capacity.

Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale

11) Property, plant and equipment

Property, plant and equipment is recognized at cost, net of accumulated depreciation and accumulated impairment losses, if any. Fixed assets acquired before December 31, 2007 were restated for inflation through that date based on the National Consumer Price Index, which became the estimated cost of such assets as of January 1, 2011 upon the Company's adoption of IFRS.

The cost includes those costs directly attributable to bringing the asset to the location and condition necessary for it to operate as intended by management.

The costs of expansion, remodeling or improvements that enhance the capacity or extend the useful life of the asset are also capitalized. Repair and maintenance costs are expensed as incurred. The carrying amount of the replaced asset, if any, is derecognized when replaced, and the effect is recognized in profit and loss.

Freehold land is not depreciated. Depreciation of property, plant and equipment is calculated on the assets' carrying amounts on a straight-line basis over the following range useful lives of the assets, as follows:

	Years
Buildings:	
Infrastructure	**15 – 30**
Foundations	**35 – 50**
Roofs	**10 – 30**
Fixed facilities and accessories	**10 – 20**
Manufacturing equipment	**3 – 25**
Vehicles	**8 – 16**
Furniture and equipment	**2 – 18**
Computer equipment	**4**
Leasehold improvements	**The lower of either the related lease term or the useful life of the asset**

The Company allocates the amount initially recognized in respect of an item of buildings and manufacturing equipment to its various significant parts (components) and depreciates each of these components separately.

The carrying amount of an asset is reduced to its recoverable value if the carrying amount exceeds its recoverable value.

An item of property, plant and equipment is derecognized upon disposal or when no future economic benefits are expected from its use. Any gain or loss arising from derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognized in profit or loss under other expenses, net.

Leasehold improvement and adaptations to buildings and establishments in which the Company is the lessee are recognized at historic cost less the respective depreciation.

12) Right of use assets

Right of use assets are initially measured at the present value of lease payments, less any lease incentives received and initial direct costs. Right of use assets are subsequently measured at cost net of accumulated depreciation, impairment losses and adjustments for any remeasurement of lease liabilities in accordance with IFRS 16. The Company has decided to present leases as finance or capital leases as disclosed in Note 9.

Right of use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the underlying assets. If ownership of the underlying asset transfers to the lessee or the cost of the right of use asset reflects the exercise of a purchase option, depreciation is calculated over the useful life of the underlying asset.

Lease payments for low-value assets (less than USD 5,000) and short-term leases (less than 12 months) are recognized directly in profit or loss.

13) Investments in associates

An associate is an entity over which the Company has significant influence. Significant influence is the power to participate in the decisions regarding financial and operating policy of the investee but is not control or joint control over those policies.

The results and the net assets and liabilities of associates are recognized in the consolidated financial statements using the equity method, except if the investment or part of the investment is classified as held for sale in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations.

Under the equity method, the investment in an associate is initially recognized at cost. The carrying amount of the investment is adjusted to recognize changes in the Company's share of net assets of the associate since the acquisition date. When the Company's share of loss of an associate exceeds the Company's interest in that associate, the Company discontinues the recognition of its share of further losses.

On acquisition of the investment any difference between the cost of the investment and the Company's share of the net fair value of the identifiable assets and liabilities of the associate is accounted for as goodwill, which is included in the carrying amount of the investment. Any excess of the Company's share of the net fair value of the joint venture's identifiable assets and liabilities over the cost of the investment, after remeasurement, is recognized immediately in profit or loss in the period in which the investment was acquired.

The Company discontinues the use of the equity method from the date the investment ceases to be an associate, or when the investment is classified as held for sale.

The investment in an associate will be subject to impairment if, and only if, there are one or more events impacting the estimated future cash flows of this investment, in which case the carrying amount, including goodwill, will be subject to impairment testing in accordance with IAS 36. Any reversal of such impairment loss is subsequently recognized in profit or loss when the recoverable amount of the investment increases.

If the Company reduces its interest in an associate but continues to apply the equity method, the Company reclassifies to profit or loss the proportion of the gain or loss previously recognized in other comprehensive income relating to that reduction in the interest if the gain or loss would have been reclassified to profit or loss upon disposal of the related assets or liabilities.

The profits and losses resulting from transactions between the Company and the associate are recognized in the Company's consolidated financial statements only to the extent of the interests of unrelated investors in the associate.

14) Intangible assets

Intangible assets are primarily comprised of trademarks and customer relationships resulting from the acquisition of businesses. Intangible assets are measured on initial recognition at cost. Intangible assets acquired through a business combination are recognized at fair value at the acquisition date, separately from goodwill. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and accumulated impairment losses. Internally generated intangibles, excluding development costs, are not capitalized and the related expenditure is reflected in profit or loss in the period in which the expenditure is incurred.

The useful lives of intangible assets are considered as either finite or indefinite, based on the contractual terms established at acquisition. Trademarks are considered to have indefinite useful lives when ownership is acquired, otherwise are amortized.

Intangible assets with finite live are amortized over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed and adjusted at least at the end of each reporting period. The amortization expense on intangible assets with finite lives is recognized in the statement of profit or loss under general expenses.

Intangible assets with indefinite useful lives are not amortized but are tested for impairment at least annually. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

15) Impairment of tangible and intangible assets, other than goodwill

Annually, the Company assesses whether there is any indicator that its tangible and intangible assets, including the right-of-use asset, may be impaired. If such indicator exists, the Company estimates the asset's recoverable amount. If it is not possible to estimate the recoverable amount of the individual asset, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs. When a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to the cash-generating units, or otherwise they are allocated to the Company's smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Intangible assets with indefinite useful lives or not yet available for use, are tested for impairment on an annual basis, or more often if there is any indicator that the intangible asset may be impaired.

The recoverable amount is the higher of the asset's fair value less costs of disposal and its value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to each asset.

If the recoverable amount of an asset (or cash-generating unit) is less than its carrying amount, such amount is reduced to its recoverable amount. Impairment losses are recognized immediately as profit or loss.

On an annual basis, when there are signs that the value of an asset has significantly increased as a result

of changes in the legal, economic, technologic or market environment or increases in the interest rates affecting the discount rate used to calculate the value in use of the asset in prior years, the Company evaluates the new recoverable amount of the asset in order to determine the amount of accumulated impairment to be reversed.

Further, when an impairment loss subsequently reverses, the carrying amount of the asset or cash-generating unit is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined if no impairment loss had been recognized in prior years. The reversal of an impairment loss is recognized immediately in the income statement.

16) Goodwill

Goodwill arising from business combinations is recognized at the cost determined on the acquisition date of the business, as described in the business acquisitions policy note above, net of any accumulated impairment losses (see Note 12).

Goodwill is allocated to each cash-generating unit (or group of cash-generating units) that is expected to benefit from the synergies achieved from the combination.

The cash-generating units to which goodwill has been allocated are tested for impairment on an annual basis, or more frequently if there are any indicators of impairment. If the recoverable amount of a cash-generating unit is lower than its carrying amount, the impairment losses recognized in respect of the cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to reduce the carrying amount of the other assets in the unit on a pro rata basis. Impairment in goodwill is recognized directly in profit or loss. Any loss from impairment in the value of goodwill cannot be reversed in future years.

When the relevant cash-generating unit is disposed of, the amount of goodwill is included in the calculation of gains or losses at the time of the disposal.

The Company's policy for goodwill arising on the acquisition of an associate is described in Note 3m.

17) Financial liabilities

Financial liabilities are initially recognized at fair value, net of transaction costs, except for financial liabilities designated at fair value through profit or loss, which are initially recognized at fair value. Subsequent measurement depends on the category in which the financial liability is classified.

Financial liabilities are classified as either financial liabilities at fair value through profit or loss (FVTPL) or other financial liabilities. Note 17 describes the category of each financial liability of the Company.

The subsequent measurement depends on the category of the financial liability. Debt is subsequently measured using the effective interest method. Gains and losses are recognized in the consolidated statement of income when the liabilities are amortized. The amortized cost is calculated by considering any discount or premium on contracting and commissions or costs that are an integral part of the effective interest method. Amortization of the effective interest method is included in the comprehensive cost of financing. The subsequent measurement of derivatives is described in Note 3r.

Derecognition of financial liabilities

A financial liability is derecognized when the obligation is settled, cancelled or expires. When a pre-existing financial liability is replaced by another from the same beneficiary with substantially different terms, or the terms of a liability are substantially modified, such exchange or modifications are treated as a de-recognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the statement of income.

Offsetting of financial instruments

Financial assets and liabilities are offset and the net amount is reported in the consolidated statement of financial position if there is a legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realize the assets and liabilities simultaneously.

18) Hedging activities and derivatives

Derivatives are initially recognized at fair value on the date on which a derivative contract is entered and are subsequently remeasured at fair value. Presentation of the related gain or loss from changes in fair value of the derivative financial instrument depends on whether they are designated as hedging instruments, and if so, the nature of the hedging relationship. The Company only holds derivative financial instruments classified as cash flow hedges and hedges of net investment in foreign operations.

At the inception of a hedge relationship, the Company formally documents the hedge relationship between the hedging instrument and the hedged items, including the risk management objective and strategy for undertaking the hedge. Periodically, the Company documents whether the derivative financial instrument is highly effective in offsetting changes in fair values or cash flows of the hedged item attributable to the hedged risk.

Sources of ineffectiveness can arise from:

- Differences in timing of the cash flows of the hedged item and the hedging instruments.
- Different indices (and different curves respectively) linked to risks of the hedged items and hedging instruments.
- Credit risk of counterparties that impact differently the movements in the fair value of the hedging instruments and hedged items.
- Changes in the forecasted amounts of cash flows of hedged items and hedging instruments.

Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative. Derivatives are not offset in the consolidated financial statements unless there is an enforceable legal right to offset the recognized amounts and there is an intention to settle. Derivatives are accounted for as non-current assets or liabilities if the remaining maturity of the instrument is more than 12 months and the instrument is not expected to be realized or settled in 12 months. All other derivatives are accounted for as current assets or liabilities.

a) Cash flow hedges

The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges is recognized in OCI under valuation effects of cash flow hedges. The gain or loss relating to the ineffective portion is immediately recognized in profit or loss. Amounts previously recognized in other comprehensive income and accumulated in equity are reclassified to profit or loss as a reclassification adjustment in the same period or periods during which the hedged cash flows affect profit or loss.

Any loss or gain recognized in other comprehensive income and accumulated in equity remains in equity and is recognized in the Company's results when the forecasted transaction is completed and its effects are finally recognized in the income statement.

Hedge accounting is discontinued when the Company revokes the hedging relationship, when the hedging instrument expires or is sold, terminated, or exercised, or when it no longer qualifies for hedge accounting. To continue the hedging strategy, the Company may extend the hedging period of the hedged item by contracting new derivative instruments that respect the main characteristics of the derivative and the original hedging strategy without altering the Company's risk management objective.

b) Hedges of net investment in foreign operations

Hedges of net investments in foreign operations are accounted for similarly to cash flow hedges. Any gain or loss on the hedging instrument relating to the effective portion of the hedge is recognized in other comprehensive income and accumulated under the heading of net economic hedge effects. The gain or loss relating to the ineffective portion is immediately recognized in profit or loss under Foreign exchange gain/(loss), net. Amounts previously recognized in other comprehensive income and accumulated in equity are reclassified to profit or loss on the disposal of the foreign operation in the event it occurs.

19) Lease Liabilities

Lease liabilities are initially measured at the present value of outstanding fixed and variable lease payments, discounted at the incremental borrowing rate of each country where the Company operates. The amount of lease liabilities is increased for the accretion of interest and reduced for the lease payments made and increased or reduced based on remeasurements to reflect the new measurements or amendments made to the lease agreements.

The estimated incremental borrowing rate is the rate of interest that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right of use asset in a similar economic environment. The Company calculates the incremental borrowing rate using observable inputs, market interest rates and its credit score.

Lease liabilities are recognized in the consolidated statement of financial position as short-term when the term of the lease is less than 12 months and long-term when it is more than 12 months.

20) Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

The amount recognized as a provision, at the end of the reporting period, is the best estimate of the expenditure required to settle the present obligation at the balance sheet date, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured based on the estimated cash flows required to settle the present obligation, its carrying amount represents the present value of these cash flows when the effect of the time value of money is material.

All contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. At the end of subsequent reporting periods, such contingent liabilities are measured at the higher of the amount that would be recognized in accordance with IAS 37 and the amount initially recognized, less cumulative amortization recognized in accordance with IFRS 15.

a. Uncertainty over tax treatments

The Company constantly evaluates the tax treatments of all its consolidated entities and identifies those with uncertainty as to their acceptance by the tax authorities. Considering the current circumstances of the reviews in process, as well as the tax treatments used by the companies, the Company calculates this uncertainty based on the conditions of each tax jurisdiction and the approach that best estimates the uncertainty, using the most likely amount method or the expected value method, as applicable, and recognizes the effects determined in profit or loss.

The Company determines whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and uses the approach that better predicts the resolution of the uncertainty.

21) Income tax

Income tax expense consists of current and deferred tax. Current and deferred taxes are recognized as either income or an expense in profit or loss, except for tax items that must be recognized as other comprehensive income items or in equity. For business combinations, the tax effect is included in the recognition of the business combination.

1. Current income tax

Current income tax is calculated based on the tax rates and tax laws applicable at the reporting date in the countries where the Company operates and generates taxable income. The related income tax expense is recorded in profit or loss as incurred.

2. Deferred income tax

Deferred income taxes are recognized on all temporary differences between financial reporting and tax values of assets and liabilities based on tax rates that have been enacted at the reporting date and where applicable, they include unused tax losses and certain tax credits. Deferred tax assets or liabilities are recognized for all temporary differences, with certain exceptions. The Company recognizes a deferred tax asset for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which the deductible temporary difference can be utilized.

Deferred tax is determined using tax rates and tax laws that have been enacted at the date of the financial statements and are expected to apply when the temporary differences reverse.

Deferred tax liabilities are recognized for all taxable temporary differences, except:

i) those that arise from the initial recognition of an asset or liability in a transaction that is not a business combination and do not affect neither the accounting profit or loss or taxable income;
ii) those associated with investments in subsidiaries and associates to the extent it is probable that the temporary differences will not reverse in the foreseeable future; and
iii) those that arises from the initial recognition of goodwill. Deferred tax assets are recognized to the extent that it is probable that taxable income will be available against which the deductible temporary differences can be utilized.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that taxable profits will be available against which the deductible temporary difference can be utilized. Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

The Company offsets deferred tax assets and deferred tax liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities which intend either to settle current tax liabilities and assets on a net basis, or to realize the assets and settle the liabilities simultaneously.

22) Employee benefits

a. Pensions and seniority premiums

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity or a fund and will have no legal or constructive obligation to pay further contributions. The obligation is recognized as an expense when the associates have rendered the service entitling them to the contributions.

A defined benefit plan is a post-employment plan for which the Company has the obligation to provide the

agreed benefits to current and former associates. The cost of providing benefits under a defined benefit plan that includes pensions and seniority premiums is determined using the projected unit credit method, with actuarial valuations being carried out at the end of each annual reporting period. Remeasurements, comprising actuarial gains and losses, the effect of the changes to the asset ceiling and the return on plan assets (excluding interest), are immediately recognized in the statement of financial position with a corresponding debit or credit to retained earnings through other comprehensive income in the period in which they occur. Remeasurements are not reclassified to profit or loss in subsequent periods. Past service costs are recognized in profit or loss at the date of the plan amendment. Net interest is calculated by applying the discount rate to the net defined benefit liability or asset.

The retirement obligations recognized in the statement of financial position include actuarial gains and losses in the defined benefit plans of the Company. The present value of the defined benefit obligation is determined based on the discounted value of estimated cash flows, using interest rates tied to government bonds denominated in the same currency in which the benefits are to be paid and whose terms are similar to those of the obligation.

b. Statutory employee profit sharing (PTU)

In Mexico and Brazil, the Company is required to recognize a provision for employee profit sharing when obtained and has a present legal or constructive obligation as a result of a past event and the amount can be reliably estimated. Statutory employee profit sharing is recognized in profit or loss as incurred.

c. Short-term employee benefits

The Company recognizes a benefits liability that corresponds to associates with respect to wages and salaries, annual vacations, short-term bonuses and sick leave in the service period in which it is rendered.

d. Termination benefits

A liability is recognized for termination benefits when the Company cannot withdraw its offer to provide termination benefits and/or when it recognizes the related restructuring costs.

e. Long term bonus

The Company grants a long term cash bonus to certain executives, which is calculated based on performance metrics. The bonus is paid 30 months following the date on which it was granted, and it is recognized in profits in the year in which it is accrued, which is when the employee is entitled to this right.

f. Multi-employer pension plans (MEPPs)

The Company classifies multi-employer plans in which it participates as defined contribution plans or defined benefit plans in order to determine the accounting for such plans. If a MEPP is classified as a defined benefit plan, the Company accounts for its share in the defined benefit obligation, plan assets and costs associated with the plan in the same manner as for any other defined benefit plan. When sufficient information is not available to use defined benefit accounting for a MEPP, the Company accounts for such plan as a defined contribution plan recognizing in profit or loss the amount of the paid contributions

Exit payments or withdrawal from a multi-employer plan are recognized and measured in accordance with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets.*

23) Revenue recognition

Revenue primarily comes from contracts with customers for the sale of products and is recognized when control of the goods is transferred to the customer, given the performance obligation satisfaction in that moment, at an amount that reflects the consideration to which the Company expects to be entitled in

exchange for those goods. When determining the transaction price, the Company considers the effects of variable considerations (i.e. rights of return and rebates). Payments made to customers for commercial services are recognized as distribution and selling expenses.

Rights of exchange of products

Certain contracts provide a customer with a right to exchange the products within a specified period. The Company uses the expected value method to estimate the products that will not be returned because this method best predicts the amount of variable consideration to which the Company will be entitled. For goods that are expected to be returned, instead of revenue, the Company recognizes an estimated refund liability.

Rebates to customers

The Company provides retrospective rebates to certain customers when the conditions established in the contracts are met. Rebates are offset against amounts payable by the customer. To estimate the variable consideration for the expected future rebates, the Company applies the most likely amount method for contracts with a single volume threshold and the expected value method for contracts with more than one volume threshold.

4) GOVERNANCE

a) EXTERNAL AUDITORS

The external auditor selection is entrusted to the Audit & Corporate Practices Committee, which recommends its hiring to the Board of Directors. The Board of Directors is the body that approves the hiring of the external audit firm and, if applicable, the additional or ancillary services to the external audit.

The Audit & Corporate Practices Committee conducts a tender for external audit services every 5 years, regardless of considering the possibility of doing so within a shorter period. The Committee selects from among the firms whose background, reputation, partners, international coverage, methodology and technology meet the expectations and needs of the Board of Directors, the Committee and the Company's Management.

In some cases, given the results of an evaluation of the services of the appointed firm, the Audit & Corporate Practices Committee may consider it necessary to change the partner of the relevant firm, for which it requests a slate of three candidates and chooses the one who will be in charge of auditing the Company's Financial Statements, in which case the relevant bidding process will not be carried out.

Since 2018, Mancera, S.C. (member of Ernst & Young Global Limited), has been in charge of auditing the Company's consolidated financial statements.

In the different reviews and reports which have been periodically made to the Group's Financial Statements, this audit firm has not issued an opinion with observations, notes or a negative opinion, nor has refrained from issuing an opinion in connection thereto.

During 2022, Mancera, S.C. rendered to Grupo Bimbo and its subsidiaries services other than audit, consisting among others a diagnosis of compliance with global policies, advisory regarding possible adquisitions and other financial advises.

b) TRANSACTIONS WITH RELATED PARTIES AND CONFLICTS OF INTERESTS

In the ordinary course of business, Grupo Bimbo enters into commercial transactions with some of its affiliates, including in connection with the supply of raw materials, office supplies and uniforms for its associates.

These transactions are approved by the Board of Directors of the Company, except for transactions that (i) are not material, or (ii) are entered into in the ordinary course of business and on an arm's length basis. The transactions with related parties are reviewed by the Audit & Corporate Practices Committee prior to their approval or confirmation by the Board of Directors except for cases in which waivers represent less than 5% of Grupo Bimbo consolidated assets.

Grupo Bimbo shall continue to carry out transactions with its associate and affiliate companies in the future. Transactions with related companies are entered into on an arm's length basis; therefore, the Group considers that the terms are not less favorable than those which may be obtained in a comparable transaction with an unrelated company (see Note 15 of the Audited Financial Statements).

From January 1, 2022 and up to April 30, 2023, Grupo Bimbo has not engaged in any relevant transactions with related parties, other than the commercial operations described above.

1) Transactions with related parties performed in the Group's ordinary course of business were the following ones:

	2022	2021	2020
Purchases of:			
Raw materials:			
Beta San Miguel, S.A. de C.V. (1)	$2,335	$2,584	$2,390
Other associates	3	7	9
Frexport, S.A. de C.V. (2)	959	871	749
Other related parties(2)	80	61	59
Finished goods:			
Fábrica de Galletas La Moderna, S.A. de C.V. (1)	$1,203	$1,083	$1,149
Mundo Dulce, S.A. de C.V. (1)	5	914	803
Pan-Glo de México, S. de R.L. de C.V. (1)	273	200	239
Other associates	3	2	3
Stationary, uniforms and other:			
Efform, S.A. de C.V. (1)	$379	$365	$344
Uniformes y Equipo Industrial, S.A. de C.V. (1)	191	202	186
Sociedad Industrial de Equipos y Servicios, S.A. de C.V (1)	362	234	112
Other associates	23	29	42
Automotriz Coacalco-Vallejo, S.A.P.I de C.V. (2)	40	33	50
Autotab, S.A. de C.V. (2)	7	3	3
Other related parties (2)	301	257	204
Financial services:			
Fin Común Servicios Financieros, S.A. de C.V. (1)	$1,367	$1,094	$893

(1) Associated company

(2) Related party

Balances receivable due from related parties consist of unsecured accounts and are collectible in cash. No guarantees have been given or received with related parties. The Company has not recognized any expense in the current year or in prior years for uncollectible balances or bad debts with related parties.

2) Accounts payable to related parties are:

	2022	2021	2020
Beta San Miguel, S.A. de C.V. (1)	**$577**	$801	$747
Frexport, S.A. de C.V. (2)	**206**	119	112
Fábrica de Galletas La Moderna, S.A. de C.V. (1)	**164**	144	132
Mundo Dulce, S.A. de C.V. (1)	**-**	107	81
Efform, S.A. de C.V. (1)	**96**	83	77
Uniformes y Equipo Industrial, S.A. de C.V. (1)	**35**	80	48
Sociedad Industrial de Equipos y Servicios, S.A. de C.V. (1)	**45**	58	40
Pan-Glo de México, S. de R. L. de C.V. (1)	**47**	34	17
Proarce, S.A. de C.V. (2)	**18**	33	37
Makymat, S.A. de C.V. (2)	**36**	26	20
Automotriz Coacalco-Vallejo, S.A.P.I de C.V. (2)	**-**	8	10

Others[2]	**16**	34	13
Total	**$1,240**	$1,527	$1,334

[1] Associated company

[2] Related party

c) MAIN OFFICERS AND SHAREHOLDERS

1) Board of Directors

In accordance with the corporate bylaws, the Company's management is entrusted to a Board of Directors and a Chief Executive Officer who performs the duties established by the Securities Market Law (*Ley del Mercado de Valores*). The members of the Board of Directors are elected, as a general rule, by the shareholders of the Company at the Annual Ordinary General Shareholders' Meeting, except when the Board of Directors appoints temporary directors without the intervention of a shareholders' meeting in the event of a resignation of a director or the lack of a designated alternate director. The Board of Directors shall be comprised by a minimum of five (5) and a maximum of twenty-one (21) directors, of which at least twenty-five percent (25%) shall be independent.

Each shareholder or group of shareholders holding at least ten percent (10%) or more of the capital stock is entitled to designate or revoke one (1) director of the Board of Directors. The Board of Directors meets once every quarter but at minimum once a year. The bylaws of Grupo Bimbo provide that the shareholders may elect an alternate director for each director. The alternate directors for the independent directors shall also have the independent character.

On February 16, 2022, by means of the board meeting, an internal policy was approved which determines that the independent members of the Board of Directors have a term limit of up to 12 years to perform their duties as members of the Board, which will be implemented gradually, with the commitment to be in compliance by 2025. Moreover, in 2022 the members of the Board of Directors were consulted to develop a Competency Matrix divided into seven categories: (i) general information, (ii) participation in other Boards of Directors, (iii) management experience, (iv) experience or knowledge in different sectors, (v) international experience, (vi) functional skills, and (vii) experience in ESG issues. The results can be found in Grupo Bimbo's Board Members Competency Matrix section.

Independent directors shall be those people who are not impeded to perform their duties free from conflicts of interest and that satisfy the requirements set forth in the Securites Market Law to be considered as such, the provisions derived from that law, and in the laws and regulations, stock exchanges or markets in the jurisdictions where the Group's securities are traded, as the case may be.

The Board of Directors appointed and ratified during the Annual Extraordinary and Ordinary General Shareholders' Meeting held on April 26, 2023 is comprised of eighteen (18) directors, who will remain in their positions until the people appointed to substitute them take possession; they may be reelected and will receive the remuneration determined by the Ordinary General Shareholders´ Meeting. The following table includes the name of the members of the Board of Directors and the period during which they have served as directors:

Board Members	Position	Seniority (years) (1)	Gender*
Andrés Obregón Servitje	Director	3	Male
Arturo Manuel Fernández Pérez	Director (I)	16	Male
Daniel Javier Servitje Montull	Director / Chairman	29	Male
Edmundo Miguel Vallejo Venegas	Director (I)	11	Male
Guillermo Lerdo de Tejada Servitje	Director	0	Male
Jaime A. El Koury	Director (I)	6	Male
Jaime Chico Pardo	Director	9	Male
Javier de Pedro Espínola	Director	12	Male
José Ignacio Pérez Lizaur	Director (I)	12	Male
Juana Francisca Llano Cadavid	Director (I)	0	Female
Lorenzo Sendra Creixell	Director	0	Male
Luis Jorba Servitje	Director	16	Male
María del Pilar Mariscal Servitje	Director	1	Female
María Isabel Mata Torrallardona	Director	17	Female
María Luisa Jorda Castro	Director (I)	7	Female
Marina de Tavira Servitje	Director	1	Female
Mauricio Jorba Servitje	Director	25	Male
Rogelio M. Rebolledo Rojas	Director (I)	5	Male
Luis Miguel Briola Clement(2)	Secretary	18	Male
Norma Isaura Castañeda Méndez(2)	Alternate Secretary	4	Female

(1) Table updated as of April 2023
(2) Secretary and alternate secretary of Grupo Bimbo are not members of the Board of Directors.
(I): Independent member of the Board of Directors. 39% of the members are independent.
* 28% of the members of the Board of Directors are women and 72% are men.

Andrés Obregón Servitje

Mr. Obregón Servitje is Managing Partner of a firm specializing in wealth and investment advise. Over the last 15 years he has been actively involved in private equity investments in various sectors such as education, food, financial services, logistics and manufacturing.Additionally, he participates in the Board of Directors of Grupo Bimbo.

Arturo Manuel Fernández Pérez

Mr. Fernández Pérez is the Dean of Instituto Tecnológico Autónomo de México or ITAM, and a member of the Board of Directors of Industrias Peñoles, S.A.B. de C.V., Grupo Nacional Provincial, S.A.B. de C.V., Grupo Palacio de Hierro, S.A.B. de C.V., Valores Mexicanos, Casa de Bolsa, S.A.B. de C.V., Grupo Financiero BBVA Mexico, S.A. de C.V., Grupo Profuturo, S.A.B. de C.V., and Fresnillo, plc.

Daniel Javier Servitje Montull

Mr. Daniel Servitje Montull is member of the Board of Directors of Grupo Financiero Banamex, S.A. de C.V., Coca-Cola Femsa, S.A.B de C.V., Instituto Mexicano para la Competitividad, A.C., The Global Consumer Goods Forum, Latin America Conservation Council (The Nature Conservancy) and Aura Solar.

Edmundo Miguel Vallejo Venegas

Mr. Vallejo Venegas is business professor, board member, speaker, author, social developer and former Chairman and CEO of GE Latin America.

Guillermo Lerdo de Tejada Servitje

Mr. Guillermo Lerdo de Tejada Servitje is Managing Partner of a specialized firm in wealth management and investments. He has extensive professional experience in the government sector, having held various executive and legislative responsibilities in Mexico***.***

Jaime A. El Koury

Mr. Jaime A. El Koury is the Legal Director of the Financial Oversight and Management Board for Puerto Rico (FOMBPR),an official body created by the U.S. Congress. He holds the positions of Proprietary Director of Fomento Economico Mexicano, S.A.B. of C.V. and Alternate Director of the Board of Coca Cola FEMSA, S.A.B. of C.V. He was previously a partner at Cleary Gottlieb Steen & Hamilton LLP.

Jaime Chico Pardo

Mr. Chico is member of the Board of Grupo Bimbo and Advisory Board of BDT Capital Partners. He previously served on the Boards of Honeywell Intl., AT&T and American Mutual Funds.

Mr. Chico has also been a member of the Board of the University of Chicago Booth since 2012. Previously, he served as chairman of the board of Telmex and Ideal.

Javier de Pedro Espínola

Mr. De Pedro Espínola has been for the past 30 years member and shareholder of various private companies in industries such as manufacturing and sale of school supplies, mattresses, cushioning materials and real estate. He also sits on the boards of various charitable institutions including the Fundación José T. Mata, A.C.

Mr. De Pedro Espínola is the husband of Ms. Mata Torrallardona.

José Ignacio Pérez Lizaur

Mr. José Ignacio Pérez Lizaur is an independent member of the Board of Grupo Bimbo (member of the Audit Committee and of the Evaluation and Results Committee).

Until 2016 Mr. Pérez Lizaur was a member of the Board of Newell Brands in the USA (member of the Audit and Compensation Committees) and the Central American Bottling Corporation (CBC) in Central America and the Caribbean (Chairman of the Audit Committee). He was also member of the Board of Walmex.

Currently, he dedicates part of his time to various forms of participation in nonprofit organizations.

Juana Francisca Llano Cadavid

Mrs. Llano Cadavid is the President of Suramericana, a company that manages insurance, trends and risks. She has a long career in the company holding different positions, and since 2020 she has been serving as President.

Lorenzo Sendra Creixell

Mr. Lorenzo Sendra held various positions within Organización Bimbo for over 17 years working both in the United States and South America. He is currently the President for more than 8 years of Accesorios DESA, a company that sells accessories and parts for motorcycles, as well as Motoacces and Fussen, businesses that sell motorcycles of the Suzuki and BMW brands.

Luis Jorba Servitje

Mr. Jorba Servitje is Chief Executive Officer of Frialsa Frigoríficos, the largest cold chain logistics services company in Latin America, with presence in Mexico and Peru.

Mr. Jorba Servitje is brother of Mauricio Jorba Servitje and cousin of Daniel Javier Servitje Montull.

María del Pilar Mariscal Servitje

Ms. Mariscal Servitje has a long career in the business sector and non-profit organizations. She currently holds the position of General Director of the Fundación León XIII, IAP.

María Isabel Mata Torrallardona

Ms. Mata Torrallardona is the Managing Director of Fundación José T. Mata, A.C. She has professional experience at the Rufino Tamayo Museum and at the Luis López Morton Auction House.

Ms. Mata Torrallardona is the wife of Mr. Javier de Pedro Espínola.

Maria Luisa Jorda Castro

Ms. Jorda Castro sits on the Board of Directors of Merlin Properties, is Chairwoman of the Appointments and Compensation Committee and a member of the Audit Committee. She is also a member of the Board of Directors of the Grupo BANKINTER Financial Institution, where she also chairs the Audit and Regulatory Compliance Committee and is a member of the Risk Committee. She is a member of the Advisory Council of the Institute of Internal Auditors of Spain, and Professor in the Advisory Program of the ESADE Business School.

She has been member of the Board of Directors and member to the Audit and Control Committee of Tubos Reunidos, S.A., member of the Board of Banco Europeo de Finanzas (Group Unicaja) and Chairman of its Audit Committee, and was a member of Jazztel's board and Chariman of its Audit Committee; member of the Board of Governors and Chair of the Audit Committee of the Instituto de Consejeros y Administradores (ICA).

Ms. Jorda Castro has held several executive positions in more than her 30-year career path, in various Management Committee´s, Investment and Audit Committees, among which the following stand out: CFO of Grupo Deoleo, Internal Audit Director and Compliance Director of Metrovacesa, CFO at the Corporación Empresarial ONCE, as well as others in the Real Estate and Food sectors.

Marina de Tavira Servitje

Ms. Marina De Tavira is a Mexican theater, cinema and television actress. She holds an acting degree from La Casa del Teatro, A.C. and a diploma in acting from the Núcleo de Estudios Teatrales, A.C. She has been nominated by different associations of theatrical journalists in Mexico and to the award "Diosas de Plata" for her work in cinema.

Together with Enrique Singer, formed Incidente Teatro. Where they have produced "Tragaluz", "El Río", "Traición", "Crímenes del Corazón", "La Mujer Justa", "La Anarquista", and "Obsesión".

Marina was nominated for an Oscar in 2019 for Best Supporting Actress for her portrayal of the role of “Sofia” in the multi-award-winning “Roma”. For this same role, Marina was awarded with an “Ariel” in the category of Best Female Co-Acting in the 2019 edition of the most important awards in Mexican cinema.

Mauricio Jorba Servitje

Mr. Jorba Servitje is Member of the Board of Directors of VIDAX and of the Steering Committee and Board of Directors of Promociones Monser, S.A. de C.V.

Mr. Mauricio Jorba Servitje is brother of Luis Jorba Servitje and cousin of Daniel Javier Servitje Montull.

Rogelio M. Rebolledo Rojas

Mr. Rogelio M. Rebolledo Rojas is member of the Board of Directors of Grupo Bimbo. Previously, he was member of the Board of Pepsi Bottling Group, Kellogg, Clorox, Best Buy and Applebees in the United States and Alfa and Jose Cuervo Internacional in Mexico. For 30 years, he held various key positions at PepsiCo, eventually holding the position of CEO of Frito Lay International. Upon his retirement from Frito Lay International in 2000, he held the position of CEO and President of PBG in Mexico until 2004.

Luis Miguel Briola Clément

Mr. Briola Clément joined Grupo Bimbo in 2004 and serves as the General Counsel and Compliance Officer, and Secretary of the Board of Directors at Grupo Bimbo since April 2005.

Mr. Briola holds a law degree from the Escuela Libre de Derecho in 1994, a Diploma in Finance from Universidad Iberoamericana in Mexico City in1995, and an LL.M. degree from Columbia University in New York City in 1997.

Before becoming an officer of Grupo Bimbo, he practiced law as a partner of Briola & Asociados, S.C. and as an associate of White & Case, S.C. in México City and as foreign associate of Cleary, Gottlieb, Steen & Hamilton, LLP. in New York City.

Norma Isaura Castañeda Méndez

Mrs. Castaneda Méndez joined Grupo Bimbo in 2007, she is the Global Intellectual Property Manager and the alternative Secretary of the Board at Grupo Bimbo.

Mrs. Castaneda holds a Law degree and a specialization certificate in Administrative Law from Universidad Panamericana and a Master of Laws from Duke University School of Law.

Before joining Grupo Bimbo, she practiced law at Von Wobeser y Sierra, S.C. and as foreign associate at Cleary, Gottlieb, Steen & Hamilton, LLP and Skadden, Arps, Slate, Meagher & Flom LLP in New York City.

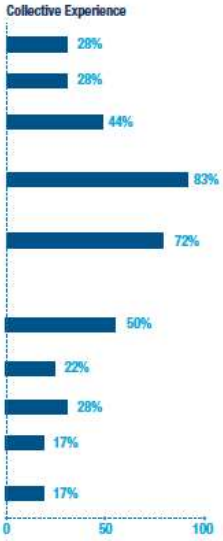
In the ordinary course of business, the Company has executed transactions with some of the companies, in which the members of its Board of Directors work or in which its key officers worked. Such transactions have been carried out on an arms-length basis and the Company considers that none of them is relevant.

Competency Matrix of Grupo Bimbo's Board Members

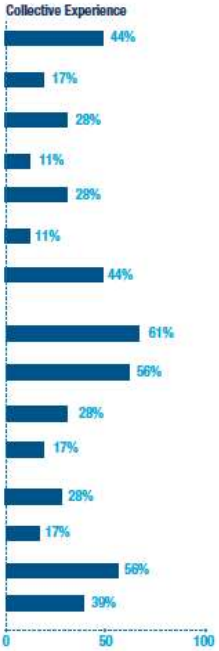
Grupo Bimbo Board of Directors Competency Matrix

General Information			Andrés Obregón	Arturo Fernández	Daniel Servitje	Edmundo Vallejo	Guillermo Lerdo de Tejada	Ignacio Pérez	Jaime Chico	Jaime El Koury	Javier De Pedro	Juana Llano	Lorenzo Sendra	Luis Jorba	María L. Mata	Marina de Tavira	Marisa Jorda	Mauricio Jorba	Pilar Mariscal	Rogelio Rebolledo
Gender	Men 72%	Women 28%	M	M	M	M	M	M	M	M	M	W	M	M	W	W	W	M	W	M
Nationality	83%	Other 17%																		
Independence	yes 39%	no 61%	No	Yes	No	Yes	No	Yes	No	Yes	No	Yes	No	No	No	No	Yes	No	No	Yes
Age	60 years on average		47	69	64	65	38	71	73	69	59	43	49	64	57	49	59	74	53	78
Years on the Board	9 years on average		3	16	29	11	0	12	9	6	12	0	0	16	17	1	7	25	1	5

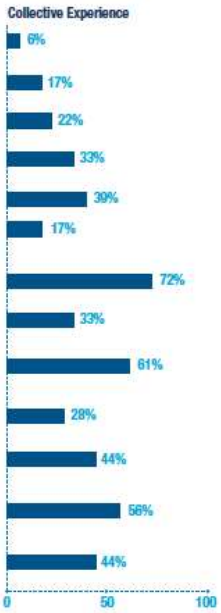
Competency Matrix	Names of Board Members							
Grupo Bimbo Committees (C: Chairman)								
Audit and Corporate Practices	•Arturo Fernández	•Edmundo Vallejo (C)	•Jaime El Koury	•Juana Llano	•Marisa Jorda			
Evaluation, Compensation and Nominations	•Edmundo Vallejo	•Ignacio Pérez	•Javier de Pedro	•Luis Jorba (C)	•Marisa Jorda			
Finance and Planning	•Andrés Obregón	•Daniel Servitje	•Ignacio Pérez	•Jaime Chico	•Javier de Pedro	•Luis Jorba	•Pilar Mariscal	•Rogelio Rebolledo (C)
Other Boards								
Experience in other Boards	•Andrés Obregón •Juana Llano	• Arturo Fernández • Javier de Pedro	•Daniel Servitje •Luis Jorba	•Edmundo Vallejo •Marisa Jorda	•Guillermo Lerdo de Tejada	•Ignacio Pérez •Pilar Mariscal	•Jaime Chico •Rogelio Rebolledo	•Jaime El Koury •Lorenzo Sendra
Seats currently held on other Boards	•Andrés Obregón •Javier de Pedro	•Arturo Fernández •Luis Jorba	•Daniel Servitje •Marisa Jorda	•Edmundo Vallejo •Pilar Mariscal	•Ignacio Pérez •Lorenzo Sendra	•Guillermo Lerdo de Tejada	•Jaime Chico	•Jaime El Koury
Management Experience								
C-suite Business Management in a global company / Corporate	•Daniel Servitje •Mauricio Jorba	•Edmundo Vallejo •Rogelio Rebolledo	•Ignacio Pérez	•Jaime Chico	•Juana Llano	•Luis Jorba	•Marisa Jorda	
C-suite Business Management in a venture	•Andrés Obregón	•Ignacio Pérez	•Javier de Pedro	•Lorenzo Sendra				
Managing director in a global company / Corporate	•Ignacio Pérez	•Javier de Pedro	•Marisa Jorda	•Mauricio Jorba	•Lorenzo Sendra			
Managing Director in a venture	•Javier de Pedro	•Pilar Mariscal	•Lorenzo Sendra					
Senior positions in Government and Public Affairs	•Arturo Fernández	•Jaime El Koury	•Guillermo Lerdo de Tejada					



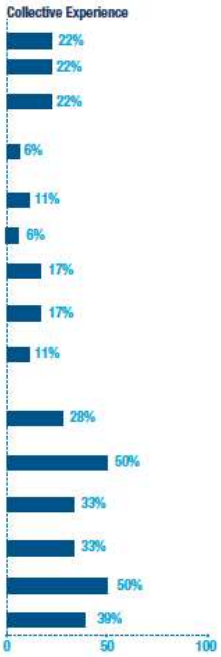
Industry Knowledge or Experience							
Food and Beverages	•Andrés Obregón •Lorenzo Sendra	•Daniel Servitje	•Javier de Pedro	•Luis Jorba	•Marisa Jorda	•Mauricio Jorba	•Rogelio Rebolledo
Technology / Digital	•Andrés Obregón	•Jaime Chico	•Marisa Jorda				
Banking and Finance	•Arturo Fernández	•Jaime Chico	•Javier de Pedro	•Marisa Jorda	•Juana Llano		
Energy	Arturo Fernández	•Jaime Chico					
Retail	•Andrés Obregón	•Arturo Fernández	•Ignacio Pérez	•Javier de Pedro	•Marisa Jorda		
Agroindustrial	•Luis Jorba	•Marisa Jorda					
Others	•Arturo Fernández •Pilar Mariscal	•Edmundo Vallejo	•Guillermo Lerdo de Tejada	•Juana Llano	•Javier de Pedro	•Marina de Tavira	•Marisa Jorda
International Experience							
North America	•Andrés Obregón •Marisa Jorda	•Daniel Servitje •Mauricio Jorba	•Edmundo Vallejo •Rogelio Rebolledo	•Ignacio Pérez •Lorenzo Sendra	•Jaime Chico	•Jaime El Koury	•Javier de Pedro
Central / South America	•Daniel Servitje •Pilar Mariscal	•Edmundo Vallejo •Rogelio Rebolledo	•Ignacio Pérez •Lorenzo Sendra	•Jaime Chico	•Jaime El Koury	•Juana Llano	•Marisa Jorda
Europe	•Daniel Servitje	•Jaime Chico	•Marisa Jorda	•Mauricio Jorba	•Rogelio Rebolledo		
Asia	•Daniel Servitje	•Ignacio Pérez	•Marisa Jorda				
Technical Skills or Experience							
Finance	•Andrés Obregón	•Jaime Chico	•Jaime El Koury	•Javier de Pedro	•Marisa Jorda		
Legal (legal / fiscal)	•Guillermo Lerdo de Tejada	•Jaime El Koury	•Marisa Jorda				
Strategic Planning	•Daniel Servitje •Mauricio Jorba	•Guillermo Lerdo de Tejada	•Jaime Chico •Rogelio Rebolledo	•Javier de Pedro •Lorenzo Sendra	•Juana Llano	•Luis Jorba	•Marisa Jorda
Brand Development / Marketing and Sales	•Daniel Servitje	• Edmundo Vallejo	•Ignacio Pérez	•Javier de Pedro	•Juana Llano	•Rogelio Rebolledo	•Lorenzo Sendra



Technical Skills or Experience							
Information Technologies and Cybersecurity	•Marisa Jorda						
Audit, Risk Management and/ or Internal Control	•Javier de Pedro	•Juana Llano	•Marisa Jorda				
Human Resources and/ or Compensation	•Ignacio Pérez	•Javier de Pedro	•Luis Jorba	•Marisa Jorda			
Industrial, Operations, Logistics and/or Manufacturing	•Ignacio Pérez	•Jaime Chico	•Javier de Pedro	•Luis Jorba	•Mauricio Jorba	•Rogelio Rebolledo	
Corporate Operations (Mergers and Acquisitions)	•Andrés Obregón	•Guillermo Lerdo de Tejada	•Jaime Chico	•Jaime El Koury	•Javier de Pedro	•Luis Jorba	•Marisa Jorda
Others	•Arturo Fernández	•Edmundo Vallejo	•Marina de Tavira				
Corporate Governance							
Development of Strategies, Plans and Policies	•Daniel Servitje •Juana Llano	•Edmundo Vallejo •Luis Jorba	•Guillermo Lerdo de Tejada	•Ignacio Pérez •Marisa Jorda	•Jaime Chico •Mauricio Jorba	•Jaime El Koury •Rogelio Rebolledo	•Javier de Pedro •Lorenzo Sendra
Development of Codes of Ethics and Standards of Conduct	•Guillermo Lerdo de Tejada	•Ignacio Pérez	•Jaime El Koury	•Javier de Pedro	•Marina de Tavira	•Marisa Jorda	
Supervision of Senior Management in the fulfillment of their duties	•Arturo Fernández •Marisa Jorda	•Daniel Servitje •Mauricio Jorba	•Edmundo Vallejo •Rogelio Rebolledo	•Ignacio Pérez •Lorenzo Sendra	•Jaime Chico	•Jaime El Koury	•Javier de Pedro
Experience in Organizational Culture and Talent Issues	•Daniel Servitje	•Edmundo Vallejo	•Ignacio Pérez	•Jaime El Koury	•Marina de Tavira		
Experience in the Control and Management of Corporate Governance Risks	•Arturo Fernández •Rogelio Rebolledo	•Guillermo Lerdo de Tejada	•Ignacio Pérez	•Jaime Chico	•Jaime El Koury	•Javier de Pedro	•Marisa Jorda
Monitoring and Periodic Review of Results	•Arturo Fernández •Mauricio Jorba	•Daniel Servitje •Rogelio Rebolledo	•Ignacio Pérez •Lorenzo Sendra	•Jaime El Koury	•Javier de Pedro	•Luis Jorba	•Marisa Jorda
Experience in Companies that are Traded, Regulated and with Corporate Governance	•Arturo Fernández •Marisa Jorda	•Daniel Servitje	•Ignacio Pérez	•Jaime Chico	•Jaime El Koury	•Javier de Pedro	•Juana Llano



Environmental / Sustainable							
Climate Change	•Arturo Fernández	•Daniel Servitje	•Juana Llano	•Marisa Jorda			
Renewable energy	•Arturo Fernández	•Daniel Servitje	•Jaime Chico	•Luis Jorba			
Agricultural / Food Safety	•Daniel Servitje	•Ignacio Pérez	•Luis Jorba	•Rogelio Rebolledo			
Circular Economy, Waste Reduction, Sustainable Packaging	•Ignacio Pérez						
Water Consumption Reduction	•Arturo Fernández	•Luis Jorba					
Biodiversity	•Daniel Servitje						
Sustainable Sourcing of Raw Materials	•Ignacio Pérez	•Javier de Pedro	•Rogelio Rebolledo				
International Standards (e.g., GRI, environmental)	•Arturo Fernández	•Marisa Jorda	•Rogelio Rebolledo				
Nutritional Standards and Policies	•Jaime Chico	•Rogelio Rebolledo					
Social							
Human Rights and Labor Standards	•Guillermo Lerdo de Tejada	•Javier de Pedro	•Luis Jorba	•Marina de Tavira	•Mauricio Jorba		
Diversity, Equity and Belonging	•Arturo Fernández •Pilar Mariscal	•Ignacio Pérez •Rogelio Rebolledo	•Jaime Chico	•Javier de Pedro	•Juana Llano	•Marina de Tavira	•Marisa Jorda
Social Impact or Volunteer Projects	•Edmundo Vallejo	•Guillermo Lerdo de Tejada	•Ignacio Pérez	•Jaime Chico	•Juana Llano	•Marina de Tavira	
Safety and Wellness in the Workplace	•Arturo Fernández	•Daniel Servitje	•Javier de Pedro	•Marina de Tavira	•Marisa Jorda	•Rogelio Rebolledo	
Talent Management	•Daniel Servitje •Mauricio Jorba	•Edmundo Vallejo •Rogelio Rebolledo	•Ignacio Pérez	•Javier de Pedro	•Juana Llano	•Luis Jorba	•Marisa Jorda
Compensation	•Daniel Servitje	•Ignacio Pérez	•Javier de Pedro	•Luis Jorba	•Marisa Jorda	•Mauricio Jorba	•Rogelio Rebolledo



1.1) Board of Directors' Powers

The Board of Directors establishes guidelines and general strategies to conduct the business and supervises its fulfillment accordingly.

The Board of Directors is the Company's legal representative, and has the broadest powers for the administration of the Company's businesses, with general power of attorney for lawsuits and collections, administrate properties and to exercise acts of ownership, without any limitation, in order to appoint and remove the chief executive officer, executives, managers, officers and attorneys-in-fact, and to determine their attributions, working conditions, compensations and guaranties and, in particular, to grant powers and faculties to managers, officers, lawyers and any other people in charge of the Company's labor relationship, to formulate internal work regulations, to call Shareholder Meetings and to execute their resolutions, appoint

and remove external auditors and, in general, to carry out all acts and operations that correspond to them according to the laws and in accordance with the provisions of the by-laws.

The Company's Board of Directors also has the power to approve any transfer of the Company's shares, when such transfer represents more than 3% of the voting shares in one or more transactions.

Likewise, for the performance of its duties, the Board of Directors shall be aided by an Audit & Corporate Practices Committee, a Results Evaluation Committee and a Finance & Planning Committee, whose duties and integration are described herein below. See Section "4. GOVERNANCE – c) Administration and Shareholders".

1.2) Board of Directors' Resolutions

Each director is entitled to one vote at any meeting of the Board of Directors. Meetings of the Board of Directors are legally convened when at least the majority of the members are present. Resolutions at Board of Directors' meetings are valid when approved by the majority of directors present at the meeting. The Chairman of the Board of Directors has a deciding vote in the event of a draw. The resolutions taken outside a meeting of the Board of Directors, by unanimous vote, will be for all legal purposes as valid as if they had been adopted at the meeting of the Board of Directors, provided that they are confirmed in writing.

Pursuant to the Mexican Securities Market Law, any director who has a conflict of interest to vote in any transaction must disclose such fact to the Chairman and the Secretary of the Board of Directors and should abstain from voting on such transaction. Any director who violates this provision will be liable to the Company for any resulting damages or losses.

In addition, directors must keep confidential all acts, facts or events that have not been disclosed to the public generally, and must keep confidential any discussions held at each meeting.

1.3) Committees of the Board of Directors

The Board of Directors in order to perform its duties has the support of the following committees, which assist the Board of Directors in the administration of the Company.

2) Audit and Corporate Practices Committee

In accordance with the Mexican Securities Market Law and the Bylaws, the Company has an Audit & Corporate Practices Committee, comprised of at least three members who must all be independent, including its chairman. The chairman of the Audit and Corporate Practices Committee shall be appointed and/or removed from his position, exclusively, by the General Ordinary Shareholders´ Meeting and shall not be able to be the chairman of the Board of Directors. This Committee performs the audit activities, as well as those corporate practices activities established by the Securities Market Law, the Bylaws, and as determined by the Board of Directors.

On February 16, 2023 by means of the board meeting, the resignation of José Ignacio Pérez Lizaur as a member of the Committee was accepted and the appointment of Juana Francisca Llano Cadavid as a member of the Audit and Corporate Practices Committee was also approved. Likewise, Edmundo Miguel Vallejo Venega who serves as the chairman of the Committee, and Arturo Manuel Fernández Pérez, Maria Luisa Jorda Castro and Jaime A. El Koury were ratified as members of the Audit & Corporate Practices Committee. All members are independent within the meaning of the Mexican Securities Market Law.

The main duties of the Audit & Corporate Practices Committee include to (i) supervise and assess the external auditors, as well as all the reports issued by them (including their opinion with respect to the financial statements), (ii) review and supervise the preparation of the financial statements for their approval by the Board of Directors, (iii) inform the Board of Directors of the status of the internal controls and procedures and the internal audit function of the Company, including irregularities that, where appropriate, it detects, (iv) supervise and draft opinions required under the Mexican Securities Market Law with respect

to transactions with related parties and transactions representing 20% or more of the consolidated assets, (v) draft the opinions and request the directors and independent experts to prepare the reports required under the Mexican Securities Market Law, (vi) research and to inform the Board of Directors of any significant finding out of the ordinary course of business, (vii) review and analyze recommendations for improvements by the Shareholders, members of the Board of Directos, executive officers or third parties and take the corresponding actions to perform such recommendations, (viii) call for shareholders' meetings, (ix) supervise the performance of the instructions issued by the Board of Directors and shareholders to the chief executive officer, (x) supervise the mechanisms and internal controls performance that allow the controlled companies operations to comply with the applicable laws, (xi) such other responsibilities provided for in the Bylaws and the Mexican Securities Market Law.

The Audit and Corporate Practices Committee may meet at any time. The meetings of this committee are regarded as legally convened when the majority of its members are present and its resolutions will be valid when approved by a majority of the present members at the meeting. The Chairman of the Audit and Corporate Practices Committee has a deciding vote in the event of a draw.

Based on the professional profiles of the members of the Audit & Corporate Practices Committee, the Company considers that such members may be deemed financial experts.

The Chairman of the Audit & Corporate Practices Committee must prepare an annual report on the activities corresponding to the committee and submit it for the approval of the Board of Directors.

3) Evaluation, Compensation and Nominations Committee

On February 16, 2022, by means of the board meeting, it was approved to change the name of the Evaluation and Results Committee to the Evaluation, Compensation and Nomination Committee, which is comprised of members of the Board of Directors who are appointed by the Board of Directors or the Shareholders´ Meeting.

On February 16, 2023, by means of the board meeting, the members of the Evaluation, Compensation and Nomination Committee approved the resignation of Nicolás Mariscal Servitjie as member of the Evaluation, Compensation and Nomination Committee, and the appointment of Mr. Javier de Pedro Espínola as member of the Evaluation, Compensation and Nomination Committee was approved. Additionally, the rest of the members of the Committee were ratified, who are as follows: Luis Jorba Servitje, who serves as Chairman of the committee, Ignacio Pérez Lizaur, Daniel Javier Servitje Montull, Edmundo Miguel Vallejo Venegas and María Luisa Jorda Castro, appointed by the Board of Directors as members of the Evaluation, Compensation and Nomintations Committee.

The Evaluation, Compensation and Nominations Committee is in charge of (i) analyzing and approving the general compensation structure for the executive officers and associates, and the general compensation policies, which include policies for increasing, decreasing and changing in general and individual compensation, except for the compensation of the Chief Executive Officer and other senior executive officers which is determined by the Board of Directors with the opinion of the Audit & Corporate Practices Committee, (ii) evaluating the results of operations of the Company and their impact on the compensation of the executive officers and associates, (iii) analyzing and revising the salary levels applicable to the executive officers and associates, including annual compensation plans and promotions and criteria for pension plans, (iv) requesting the opinion of an independent expert, if necessary, to appropriately comply with its duties, (v) requesting the executive officers and associates to prepare and provide the committee with the reports required to comply with its duties, (vi) acting as a consultation body for the Board of Directors in all aspects related to the associates, and (vii) coordinating all the activities related to other committees, as the case may be, and more recently, by means of the board meeting held on February 16, 2022, its functions were expanded to (viii) to define and update the criteria and guidelines to be met by candidates for the Board of Directors, (ix) to identify and evaluate candidates for new members of the Board of Directors; and (ix) to identify and evaluate candidates for new members of the Board of Directors; and, to present to the Board of Directors the nominees for the election of new directors each year at the Shareholders' Meeting.

The Committee also works as advisory and evaluation body for the possible candidates for the Board of Directors, proposed by the shareholders or directors.

Based on the professional profiles of the members of the Evaluation, Compensation and Nominations Committee, the Company considers that several of its members may be deemed financial experts.

4) Finance and Planning Committee

The Finance and Planning Committee is comprised of members of the Board of Directors, who are appointed by the Board of Directors or by the Shareholders' Meeting.

The Finance & Planning Committee is in charge of analyzing and presenting for the approval of the Board of Directors, the long-term strategies, and the investment and risk management policies.

The Finance & Planning Committee has the following powers: (a) to analyze and submit to the Board of Directors' approval, the evaluation of the long-term and budget strategies, as well as the Company's main investment and finance policies; (b) by the Board of Directors' express delegation, it may approve: (i) transactions which imply the acquisition or conveyance of properties with a value equal to, or lower than, three percent of the Company's consolidated assets; (ii) the granting of guaranties or the assumption of liabilities in an amount equal to, or less than, three percent of the Company's consolidated assets; (iii) investments in debt securities or in banking instruments, exceeding three percent of the Company's consolidated assets; provided, however, that these are made in conformity with the policies approved to that effect by the Board; c) to propose and, as the case may be, evaluate and periodically review policies for the performance of the Company's and its subsidiaries' treasury; d) request an opinion from independent experts in the cases it deems necessary, for the appropriate performance of its duties; e) to request from the Company's or its subsidiaries´ relevant executive officers and other associates, reports regarding the preparation of the financial information and of any other kind deemed necessary for the performance of its duties; f) to act as a consultation body for the Board of Directors in everything pertaining to the above mentioned duties, including financial matters, as well as in connection with the review and recommendation of investment projects and/or diversification of the Company and its subsidiaries, observing their congruence and profitability. Likewise, it shall coordinate activities related to the Company's other committees, when so required.

On February 16, 2023, by means of the board meeting, the members of the Finance and Planning Committee approved the resignation of Messrs. Ricardo Guajardo Touché and Nicolás Mariscal Servitje, of their positions as members of the Finance and Planning Committee and the appointment of Messrs. José Ignacio Pérez Lizaur, Andrés Obregón Servitje and María del Pilar Mariscal Servitje as new members of the Finance and Planning Committee. Additionally, the members of the Finance and Planning Committee were ratified, who are Messrs Rogelio Miguel Rebolledo Rojas, who serves as Chairman of the committee, Jaime Chico Pardo, Javier De Pedro Espínola, Luis Jorba Servitje and Daniel Javier Servitje Montull.

Based on the professional profiles of the members of the Finance & Planning Committee, the Company considers that several of its members may be deemed financial experts.

a. Self-assessment of the Board of Directors and other management bodies

Starting in 2017, Directors and their Committees implemented a self-assessment regarding Board and Committee performance as collegiate bodies in order to maintain Bimbo at the forefront of best corporate governance practices on a global level, as well as in the search for improvements and value creation for the Company, which will have an impact on the business results.

The benefits of the Board and Committees' self-assessment:

1. Transparency and continuous improvement regarding the tasks of the Directors and Committees.

2. Improve the Board's knowledge and understanding regarding the perspective that stakeholders have in the strategy and governance of the company.
3. Identify Governance processes in order to strengthen the experience of the Board, communications and meetings.
4. Strengthen the alignment between Grupo Bimbo's mission and vision, facilitating the prioritization of certain matters.

The matters in which the self-assessment focuses are: structure, composition, agenda development, responsibilities, tasks and duties, effectiveness (if such information has added value), communication, relationship with management, the long-term shareholders, reporting and follow up.

The self-assessment will take place annually in March starting in 2017, and may be updated as a result of global trends and results of previous self-assessments.

b. Code of Ethics and Compliance

Grupo Bimbo relies on self-regulated measures that govern its business practices. Its Code of Ethics covers general aspects such as policies for its interaction with society, government and competitors, as well as its associates, suppliers, consumers, customers, board members, partners and shareholders.

In 2013, the Group created an Ethics & Regulatory Compliance Committee, a collegiate body in charge of monitoring the compliance of Global Integrity Policy, This committee is comprised of the Chief Financial Officer, Global Audit VP, Global HR & Corporate Affairs VP, Global Transformation VP, General Counsel & Compliance VP and the Global Controller, who are in charge of implementing, monitoring, and enforcing the compliance program at Grupo Bimbo.

During 2014 the Board of Directors approved the Global Integrity Policy of Grupo Bimbo, updated for the last time on January 2021, which are binding to all board members, executives, associates, third party intermediaries and third parties of the Group, who are instructed in the same periodicity and who are monitored regarding their compliance; this includes guidelines based on best practices and international standards on integrity and anti-corruption laws to ensure that individuals and entities acting on behalf of the Group do so with integrity and in compliance with the law; likewise it establishes a Code of Conduct for Suppliers is designed to ensure that parties who have business with Grupo Bimbo act with integrity and comply with the policies and the applicable laws.

The Ethics Compliance Committee is responsible for promoting the beliefes included in the Code of Ethics and its Global Integrity Policy, receive the accounting and strengthening compliance with the regulatory framework of the countries in which Grupo Bimbo operates, and to decide any disciplinary situation related to the lack of integrity. The Global Compliance Department is in charge of (i) developing and recommending policies and guidelines for the appropriate compliance with applicable law, (ii) reviewing and recommending improvements to the internal controls and procedures, (iii) checking internal audit programs and legal compliance enformcement programs, (iv) instructing and performing internal and external research, and (v) analyze anonymous complaints made by associates and third parties.

Additionally, the Global Compliance Department monitors anonymous claims made to the internal hotline by associates or third parties, which is accessed by e-mail: comenta@grupobimbo.com.

The main compliance issues that are overseen by the Ethics Committee are: anti-corruption, restricted party transactions, money laundering, economic competition and data protection.

Grupo Bimbo has a Economic Competition Policy, which will strengthen internal practices and procedures in order to ensure a fair and competitive market. It also has policies applicable to transactions with related parties, a policy for the use of assets owned by the Group and a conflict of interest policy.

In 2015, the Board of Directors also approved the guidelines, policies and control mechanisms for the trading of securities made by the directors, officers and associates of Grupo Bimbo that have privileged and confidential information according to LMV.

c. Key Executive Officers

The following table shows the names of the Group's key executive officers as of the date of this Annual Report, their current position and their seniority in the Company. The CEO of the Group is appointed by the Board of Directors and maintains its position at the discretion of said board.

Name	Position	Age	Years with the Group	Gender*
Daniel Javier Servitje Montull	Chief Executive Officer and Chairman of the Board	63	40	Male
Diego Gaxiola Cuevas	Chief Global Financial Officer	51	5	Male
Rafael Pamias Romero	Executive Vice President	59	6	Male
Alejandro Rodríguez Bas	Chairman of Barcel Global	56	1	Male
Tony Gavin	President of Bimbo Bakeries USA	63	22	Male
Fernando Lerdo de Tejada Servitje	Executive Vice President	42	15	Male
Juan Muldoon Barrena	Chief People Officer	63	12	Male
Mark Bendix	Executive Vice President	61	6	Male
Miguel Ángel Espinoza Ramírez	President of Bimbo Mexico	66	42	Male
Raúl Ignacio Obregón Servitje	Chief Global of Information and Transformation	50	21	Male

*100% of the key officers of the Company are men.

Daniel Javier Servitje Montull

Mr. Daniel Servitje Montull has served as Chief Executive Officer of Grupo Bimbo since 1997, and as Chairman of the Board of Directors since 2013. He holds a degree in Business Administration from Universidad Iberoamericana, in Mexico. In 1987 he obtained an MBA degree from Stanford University. He joined Grupo Bimbo in February 1982, where he has held different positions,like CEO of Organización Marinela and Vice President of Grupo Bimbo, ammong others.

Diego Gaxiola Cuevas

Mr. Gaxiola Cuevas has served as Chief Financial Officer of Grupo Bimbo since August 2017. Mr. Gaxiola Cuevas has more than 20 years of experience in similar positions, including, most recently, having served as Chief Financial Officer of Alsea, a leading operator of quick service restaurants, coffee shops, and casual dining establishments in Latin America and Spain. Before Alsea, Mr. Gaxiola Cuevas worked for Grupo Desc. S.A.B. de C.V. in corporate finance and in Grupo Televisa, S.A.B. de C.V. he had various positions in finance. Mr. Gaxiola Cuevas holds a master's degree in finance from Universidad Anahuac and a bachelor's degree in business administration from Newport University and Universidad Iberoamericana.

Rafael Pamias Romero

Mr. Pamias serves as Executive VP for the Latin America region and is member of the Steering Committee. He also serves as Chief Sustainability Officer (CSO), Global Research & Development and Marketing Leader. He holds a bachelor's and a master's in Business Administration and Management from ESADE in Barcelona. He also holds a Master's degree in International Management from the Thunderbird School of Global Management in Arizona.

He has more than 35 years of experience in Marketing and Business Strategy in multinational companies such as Henkel, Danone and, currently, Grupo Bimbo. At Danone from 2002 to 2007, Mr. Pamias Romero was General Manager for the Bottled Water category in Mexico and Spain. From 2007 to 2017, he served as Vice President for the Europe, Africa and Middle East region for Bottled Water (2007 to 2009), the Vice Presidency of Latin America for Bottled Water (2009 to 2011), and Dairy Products (2011 to 2017).

Alejandro Rodríguez Bas

Mr. Rodríguez Bas serves as the Global Director of Barcel. He was recently the CEO of Barcel USA in Grupo Bimbo and previously served as the CEO of Acosta Sales and Marketing. He was EVP of New Businesses at C&S Wholesale Grocers and also served as CEO at Grupo Lala. He has extensive professional experience in the salty snacks industry. He was the CEO for the Australia and New Zealand region at PepsiCo where he previously had a long career in increasing sales and general management responsibilities in various geographies such as Mexico, Central America, and the Caribbean. He holds an MBA from Harvard Business School and a degree in Electromechanical and Industrial Engineering from Universidad Panamericana.

Tony Gavin

Mr. Tony Gavin is the President of Bimbo Bakeries, USA. His career includes extensive experience in marketing and brand positioning in the baking industry, advancing in various positions and increasing his responsibilities over the years. In 2003, he became the General Manager of Bimbo Bakeries, USA and vice president in 2014, with business responsibilities including Sales Operations, Customers, RGM and Marketing. Mr. Gavin has an MBA in Finance and Economics from Fairleigh Dickenson University and a degree in Business Administration.

Fernando Lerdo De Tejada Servitje

Mr. Lerdo de Tejada Servitje serves as Executive Vice President of Grupo Bimbo for the Latin America region. He has more than 15 years of experience in the food, retail, and consumer goods industries. Mr. Lerdo de Tejada Servitje has held senior management responsibilities in the US, South America, and Europe with Grupo Bimbo, as CEO of Bimbo Iberia in Grupo Bimbo and, most recently, CEO of Ricolino, Grupo Bimbo's confectionery business. He has an MBA from Harvard Business School and a BA from Universidad Iberoamericana.

Juan Muldoon Barrena

Mr. Juan Muldoon Barrena has been the Chief People Officer of Grupo Bimbo since 2019. Mr. Muldoon holds a Bachelor’s degree on Business Administration from the Universidad Iberoamericana and completed a Certification in Finance at Southern Methodist University and a Certification in Senior Management at the University Adolfo Ibáñez in Santiago, Chile.

His professional experience includes various positions at Grupo Bimbo, in the areas of marketing, exports and general management in Chile, Central America and the United States. He was Bimbo Bakeries USA’s Talent Manager from 2011 until 2015 when he was named Global Talent Director at Grupo Bimbo Corporate.

Mark Bendix

Mr. Mark Bendix has served as the CEO of Bimbo QSR at Grupo Bimbo since 2017. Prior to that, Mr. Bendix was the CEO of East Balt Bakeries; after a successful financial turnaround at East Balt, Mr. Bendix led the sale of the company to Grupo Bimbo. He has extensive leadership experience in the baking industry gained over the years in various executive positions at The Bama Companies, General Mills, The Pillsbury Company, and Quaker Oats.

Mr. Bendix holds a BA from Stonehill College, Massachusetts, where he graduated Magna Cum Laude. He was recently awarded France's highest civil medal. Mr. Bendix was recognized for his significant economic and civil development in France over the past decade with the Medal of Merit of the National Order Chevalier dans from President Emmanuel Macron.

Miguel Ángel Espinoza Ramírez

Mr. Espinoza Ramírez has served as President of Bimbo Mexico since February 2014. He holds a degree in Industrial Engineering from Instituto Tecnológico de Chihuahua and has completed various programs at the IPADE and the Advanced Management Program in Harvard University. Mr. Espinoza Ramírez joined Grupo Bimbo in 1981 and has served as General Manager of Dulces y Chocolates Ricolino, Vice President of Barcel del Norte, Administrative Manager of Organización Barcel, President of Barcel, Commercial Manager of Bimbo, and President of South America Operations.

Raúl Ignacio Obregón Servitje

Mr. Obregón Servitje has served as Chief Information and Transformation Officer since April 2017. He joined the Company in 2002 and has since served as Executive Chief Officer of Bimbo South America, Chief Corporate Officer of Sales, Chief Officer of Big Customers at Bimbo Mexico, General Manager of Bimbo Peru and also worked in Bimbo Bakeries USA. Prior to joining the Company, he worked at Citibank Mexico. Mr. Obregón Servitje holds a degree in Industrial Engineering from Universidad Iberoamericana, an MBA from Boston University and specialization courses from Harvard Business School.

Except as provided above, there are no potential material conflicts of interest between the duties of key executives and their private interests. Key executives can be contacted at main headquarters of the Company. See section “1. GENERAL INFORMATION - b) Executive Summary - Company Information ”.

d. Compensation

1) Compensation to Directors and members of the Company’s Committees is determined by the Annual General Extraordinary and Ordinary Shareholders’ Meeting. Such compensation, as of the General Ordinary Shareholders´ Meeting held on April 26, 2023, is as follows: Directors receive $150,000 Pesos (one hundred and fifty thousand Pesos) per meeting attended in Mexico and $485,000 Pesos (four hundred and eighty five thousand Pesos) per meeting attended abroad. The members of the Audit and Corporate Practices Committee receive $135,000 Pesos (one hundred and thirthy five thousand Pesos) per meeting attended. The members of the Finance and Planning Committee and the members of the Results and Evaluation Committee receive $70,000 Pesos (seventy five thousand Pesos). The Company’s officers who are also Directors and/or members of any of the Committees shall not be entitled to receive any compensation. In 2022, the total amount corresponding to the compensation mentioned in this paragraph totaled approximately $15,334,450.00 Pesos (fifteen million, three hundred and thirty four thousand, four hundred and fifty Pesos).

2) Compensation to the Company’s management and other key members of the management for the years ended December 31, 2022, 2021 and 2020, was $596, $658 and $486 million Pesos respectively. Said compensation is determined based on the performance of individuals and market trends and approved by the Board of Directors.

3) Compensation to senior officers is based on the following:

   a) Fixed compensation, based on the hierarchical level and responsibilities of the position they hold.

   b) Variable compensation, based on the result of the individual contribution to the Business Plan, derived from the annual planning, behavior aligned with Grupo Bimbo's beliefs and the associate’s functional mastery of the position.

The Grupo Bimbo Business Plan refers to a document that integrates the business objectives to be achieved during one year, distributed in four dimensions: 1.Profitability; 2.Transformation; 3. Growth; 4. Our People and Reputation. It serves as the basis for creating all the Business Plans of the business units and functional divisions.

The plans must be executed at every level and in every area of the Company,and should include objectives that are measurable, through concrete indicators and business milestones, including indicators related to ESG (Environmental, Social and Governance), or ESG, for its acronym in English).

c) Virtual Shares Plan for Directors and Executive Officers, as of 2013, the Virtual Share Plan (known is Spanish as "Plan Acciones Virtuales por VEAB - *Valor Económico Agregado BIMBO*") for executive officers and directive officers is in effect. This plan allocates an annual number of Virtual Shares in accordance with the seniority, salary of the officer and the results obtained by the Business Unit to which it is associated and the average share price of Bimbo in the BMV, in January of the following year. The number of Virtual Shares is paid 30 months after the average share price of Bimbo in the BMV in June through a taxable bonus.

e. Main Shareholders

As of the date of this Annual Report 4,433,667,641 Series "A", ordinary, nominative shares with no par value, representing the capital stock are authorized, and registered in the RNV (National Securities Registry) and have been listed on the BMV (Mexican Stock Exchange) since 1980 under the ticker symbol "BIMBO".

On April 26, 2023, at the Ordinary Annual and Extraordinary General Shareholders' Meeting, the cancellation of 41,401,350 (forty-one million four hundred and one thousand three hundred and fifty) series "A" shares deposited in the treasury was approved. As such, 163,793 (one hundred and sixty-three thousand seven hundred and ninety-three) treasury shares *(acciones en tesoreria)* were registered, therefore the total amount of outstanding shares as of April 26, 2023 is 4,433,667,641 (four billion four hundred and thirty-three million six hundred and sixty-seven thousand six hundred and forty-one) shares.

The companies mentioned below hold an interest of approximately 69.3% in Grupo Bimbo's capital stock. The following table shows the information regarding the ownership of the main shareholders, in accordance with the Company's Share Registry Book as of April 27, 2023:

Shareholder	Number of Shares of Common Stock	Percentage Ownership of Common Stock
Normaciel, S.A.P.I. de C.V.	1,763,123,500	39.4
Promociones Monser, S. de R.L. de C.V.	550,268,544	12.3
Philae, S.A. de C.V.	232,692,104	5.2
Grupo Valacci, S.A. de C.V.	221,593,708	5.0
Banco Nacional de México, S.A. as trustee	171,869,396	3.8
Marlupag, S.A. de C.V.	161,213,536	3.6
Total	3,100,760,788	69.3

Regarding the above shareholders, Normaciel, S.A. de C.V. holds significant influence.

Moreover, the Company believes that Mr. Daniel Javier Servitje Montull, as Chief Executive Officer and Chairman of the Board of Directors, has significant influence on the management, conduct and execution of the business. Therefore, it could be considered that he has power of command.

To the best knowledge of the Company, no member of the Board of Directors or other key officer of Grupo Bimbo, individually, hold shares representing more than 1% and less than 10% of the outstanding shares of Grupo Bimbo.

f. Description of the labor inclusion policy or program

As of this date, Grupo Bimbo has gender diversity and labour inclusion policies that are aimed to ensure an environment of inclusion, free-harassment and no discrimination in the operations of the Group worldwide. The policies apply to all temporary and permanent associates of Grupo Bimbo, as well as to the interaction with shareholders, customers and suppliers in their relationship with the Company. The Company's Global People Division is in charge of preparing and updating these policies. In general terms, every associate of the Company must (i) reject the discrimination of any person and for any reason, establish and promote an environment of respect, avoiding the use of inappropriate, discriminatory, sexist or disqualifying language, (ii) avoid at all times discrimination in access to employment, working conditions, professional development, training and participation in decision-making processes, (iii) encourage the formation of diverse work teams and assignment of responsibilities equitable and not abuse the authority and use of the hierarchical position, (iv) promote an environment free of isolation, ridicule and jokes that denigrate people, promote harmony and good coexistence, (v) respect cultural differences and of opinion, and (vi) not conduct discriminatory behaviors by personal characteristics protected by law, including by reason of race, gender, religion, sexual identity or orientarion, nationality, age, disability or marital status. Likewise, the associates of Grupo Bimbo must not ignore an act or condition of harassment, abuse, discrimination and another that goes against the policies abovementioned. All associates who witness or are victims of these behaviors should report them to their direct manager, to the people area and/or in an internal hot line of Grupo Bimbo.

d) BYLAWS AND OTHER AGREEMENTS

As of December 30, 2005 the new Securities Market Law was published in the Official Gazette of the Federation (*Diario Oficial de la Federación*), which became effective on June 28, 2006, and in accordance with that BIMBO's Corporate Bylaws were amended by virtue of an Extraordinary Shareholders´ Meeting held on November 14, 2006. In that meeting, among other things, the total amendment to the Corporate Bylaws was approved, and was notarized by public deed No. 30,053 dated November 16, 2006, granted before Ana de Jesús Jiménez Montañez, Public Notary number 146 of Mexico City, and filed in the Public Registry of Commerce of Mexico City under mercantile folio No. 9,506 on December 6, 2006. With the amendment to the Corporate Bylaws, the Company adjusted to the securities laws in effect.

Among the most relevant amendments are the ones regarding the creation of a regime applicable to the *sociedades anónimas bursátiles* (the shares of which are traded in the BMV) to improve their organization and functioning, as well as their responsibilities regime.

The Company is a publicly traded variable capital corporation (*sociedad anónima bursátil de capital variable*) incorporated under Mexican law. On November 14, 2006, at the General Extraordinary Shareholders' Meeting, the shareholders resolved to amend the bylaws entirely to comply with the provisions of the Mexican Securities Market Law applicable to publicly traded corporations and to adopt the form of a publicly traded stock corporation. Such amendment to the bylaws was notarized by public deed No. 30,053 dated November 16, 2006, granted before Ana de Jesús Jiménez Montañez, Public Notary number 146 of Mexico City, and filed in the Public Registry of Commerce of Mexico City under mercantile folio No. 9,506 on December 6, 2006.

On April 29, 2021, at the Annual Ordinary and Extraordinary General Shareholders' Meeting, its shareholders approved, among other matters, amendments to article two (relating to the corporate purpose) and article six (relating to capital stock) of the Company's bylaws. Within the term stipulated for these purposes, a copy of the public instrument containing the amendments described above will be filed with the

CNBV and the BMV, which, in accordance with applicable law, and will be made available to the investing public on the following websites: : www.gob.mx/cnbv, www.bmv.com.mx and www.grupobimbo.com.

The purpose of the Company is:

Promote, incorporate, organize, exploit, acquire and participate in the capital stock or equity of all types of commercial or civil corporations, associations or companies, whether industrial, commercial, service or of any other nature, whether domestic or foreign, as well as to participate in their administration or liquidation.

In order to carry out the corporate purpose mentioned in the preceding paragraph, which are part of the preponderant economic activity, the Company may carry out, by way of example, but not limited to, the activities mentioned below.

I. To acquire, under any legal title, shares, interests, participations or parts of any type of commercial or civil companies, whether as part of their incorporation or through subsequent acquisition, as well as to dispose of and negotiate such shares, interests, participations or parts of companies, including any other debt securities.

II. Obtain, acquire, develop, improve, use, grant and receive licenses or dispose, under any legal title, of all kinds of patents, trademarks, service marks, utility models, industrial designs, industrial secrets, invention certificates, commercial notices and names and any other industrial property rights, as well as copyrights, whether in Mexico or abroad.

III. Obtain all kinds of financing, loans or credits, issue all kinds of securities, including stock certificates, debentures or debt securities, bonds and commercial paper, as well as other debt instruments, with or without the granting of collateral through pledge, mortgage, trust or under any other legal title, as well as acquire and trade with them in domestic and foreign markets, as well as carry out derivative and synthetic transactions.

IV. Grant any type of financing or loan to individuals or commercial or civil corporations, companies and institutions with which the Company has commercial or business relations in which the Company holds shares, whether or not it receives guarantees in rem.

V. To grant all kinds of guarantees, whether real, personal or as guarantors of obligations, debt securities or debt instruments in its own name or in favor of persons, companies, associations and institutions in which the Company has an interest or participation, or with which the Company has business relations, becoming a guarantor, joint and several obligor, surety or guarantor of such persons.

VI. To subscribe, draw, issue, negotiate, accept, endorse and guarantee all kinds of debt instruments and carry out credit operations.

VII. To trade its own shares, securities representing them, debt securities or debt instruments, in domestic or foreign securities markets and to acquire its own shares, pursuant to the terms of the Securities Market Law and the applicable general provisions.

VIII. To hold, obtain, acquire, use, grant or license, dispose of, under any legal title, all kinds of patents, trademarks, service marks, utility models, industrial designs, industrial secrets, certificates of invention, commercial notices and names and any other industrial property rights, as well as copyrights, whether in Mexico or abroad.

IX. In general, to perform all kinds of acts, deeds, agreements, contracts, commercial transactions and to be the holder of any real or personal right, all of the above of any nature permitted by law.

e) RIGHTS OF SHAREHOLDERS

Holders of Series “A” shares are entitled to one vote in the General Ordinary and Extraordinary Shareholders’ Meetings. With no shares of this kind existing as of this date, the Company may issue, under the Securities Market Law, non-voting and/or limited voting shares. As the case may be, holders of Series “A” shares may not attend the Special Meetings held by the holders of non-voting and/or limited voting shares and neither have they voting rights in the Special Meetings held by the holders of non-voting and/or limited voting shares.

The holders of limited voting shares shall be entitled to attend and vote at a rate of one vote per each share, only and exclusively in the Special Meetings held by the holders of such shares and in the General Extraordinary Shareholders’ Meetings held to discuss any of the following matters: a) transformation of the Company; b) merger with another company or companies, when the Company is the merged party; c) cancellation of the limited voting shares filing in the RNV and in domestic and foreign stock exchanges in which the same are registered, except in quoting systems or other markets not organized as stock exchanges; and d) any other matter provided for in the Securities Market Law.

Holders of limited voting shares may not attend General Ordinary Meetings, except in the events expressly provided for in the Securities Market Law. Neither may they attend the General Extraordinary Shareholders´ Meetings held to discuss matters in which they have no voting rights.

Additionally, shareholders holding limited or restricted voting shares, for each ten percent (10%) of the Company’s capital stock that they individually or collectively hold, shall have the rights conferred in the Corporate Bylaws and the General Commercial Corporations Law.

Shareholders holding non-voting shares shall have the rights granted by the Securities Market Law.

f) SHAREHOLDERS’ MEETINGS AND VOTING RIGHTS

Under the bylaws of the Group, two types of shareholders' meetings may be held: ordinary and extraordinary. Ordinary shareholders' meetings are those called to discuss any issue not reserved for extraordinary shareholders' meetings.

An annual ordinary shareholders' meeting must be convened and held at least once a year within the first four months following the end of each fiscal year to discuss the following, pursuant to the bylaws or the Mexican Securities Market Law, (i) the approval of the financial statements for the previous fiscal year, (ii) the annual reports prepared by the Audit & Corporate Practices Committee and the allocation of the profits for the previous year (including, if applicable, the payment of dividends), (iii) the appointment of members of the Board of Directors, (iv) the appointment of the chairman of the Audit & Corporate Practices Committee, (v) the increase or decrease of the variable capital and the issuance or cancellation of the corresponding shares, (vi) the determination of the amount that may be allocated to repurchase the shares, and (vii) the approval of any transaction representing 20% or more of the consolidated assets, during any fiscal year.

Extraordinary shareholders' meetings are those called at any time to consider any of the following matters (i) the extension of the duration or the dissolution of the Company, (ii) any increase or decrease in the fixed capital and the issuance of the corresponding shares, (iii) any public offering of the shares, (iv) any change in the corporate purpose or nationality, (v) any transformation, merger or spin-off involving the Company, (vi) any issuance of preferred stock, (vii) any redemption of the shares with retained net profits, (viii) any amendments to the bylaws, including amendments to change in control provisions, and (ix) any other matters for which applicable Mexican law or the bylaws specifically require a general extraordinary shareholders' meeting (x) the cancellation of the registry of the shares with the RNV.

All of the shareholders of Grupo Bimbo, duly registered in the shareholders’ registry book, will be able to propose topics to be discussed in the Shareholders Meetings. The shareholders must send the proposals to the secretary of the Board of Directors, who will check them and if applicable, will submit them for the

consideration of the Board of Directors in their following meeting, previous to the next ordinary or extraordinary shareholders meeting.

In the next Board of Directors ordinary meeting, the Board will analyze the proposals and will determine the suitability of including them in the agenda for the next ordinary or extraordinary shareholders meeting.

a) In case of approval, such topics would be included in the agenda for the next ordinary or extraordinary shareholders meeting.

b) In case of dismissal, the board would give notice to the respective shareholder.

The contact information of the secretary of the board is: secretaria.gb@grupobimbo.com

Shareholders' meetings may be called at any time by the chairman of the Board of Directors, the chairman of the Audit & Corporate Practices Committee or the secretary and alternate secretary of the Board of Directors. Any shareholder or group of shareholders representing at least 10% of the capital stock of Grupo Bimbo, including shares with limited or non-voting rights, has the right to request publication of a call to a shareholders' meeting. In addition, according to the bylaws, any holder of one share is entitled to request that the Board of Directors or the chairman of the Audit & Corporate Practices Committee to call a general shareholders' meeting in the event that no such general shareholders' meeting has been convened and held within two consecutive fiscal years or if the following matters have not been discussed at the general shareholders' meetings convened and held during such period (i) discuss, approve or modify the report prepared by the Board of Directors, (ii) the appointment of members of the Board of Directors, and (iii) the determination of the compensation for the directors.

Shareholders' meetings are required to be held in the corporate domicile of Grupo Bimbo, which is Mexico City. Calls for shareholders' meetings must be published in the Electronic System established by the Ministry of Economy or in one newspaper of general circulation in Mexico City at least 15 calendar days prior to the date of the meeting. Each call must set forth the place, date and time of the meeting and agenda for the meeting. Calls must be signed by whoever calls them. From the date on which a call is published until the date of the corresponding meeting, all material information regarding the meeting must be available to shareholders at the corporate headquarters of the Company.

To be admitted to any shareholders' meeting, shareholders must submit their stock certificates or evidence of their shares deposited in the Indeval or any other institution authorized to act as securities depositary in accordance with the Mexican Securities Market Law, with at least 48 hours (computed in terms of business days) prior to the shareholders' meeting. Such stock certificates or evidence of their deposit must be exchanged for a certificate issued by the Company for that purpose, stating the name of the corresponding shareholder and the number of shares held. Such certificates shall serve as admission tickets for the shareholders' meeting. The members of the Board of Directors, the Chief Executive Officer and the external auditor may attend the shareholders' meetings.

Shareholders may be represented at shareholders' meetings through proxies' fact appointed by means of a form prepared by Grupo Bimbo and made available to shareholders through broker-dealers or at the offices of the Company, at least 15 calendar days prior to the shareholders' meeting. Such forms must comply with the requirements of the Mexican Securities Market Law and its ancillary provisions.

Ordinary meetings are regarded as legally convened pursuant to a first call when at least 50% of the common shares representing the capital are present or duly represented. Any number of common shares represented at an ordinary meeting of shareholders convened pursuant to a second or subsequent call constitutes a quorum.

Resolutions at ordinary meetings of shareholders are valid when approved by a majority of the shares present at the meeting.

Extraordinary shareholders' meetings are regarded as legally convened pursuant to a first call when at least 75% of the shares representing the capital are present or duly represented. On a second or subsequent call, extraordinary shareholders' meetings are legally convened when at least 50% of the shares representing the outstanding capital are present or duly represented.

Resolutions at an extraordinary meeting of shareholders are valid when adopted by the holders of shares representing at least 50% of the capital stock.

3) SHAREHOLDERS' MINORITY RIGHTS

Pursuant to the Mexican Securities Market Law, the bylaws include minority right shareholder protections, some of which have already been described above. These minority protections include provisions that allow:

a. Holders of at least 10% of the outstanding voting capital stock have the right to:

- request a call for a shareholders' meeting;
- request that resolutions, with respect to any matter on which they were not sufficiently informed, be postponed; and
- appoint one member of the Board of Directors and one alternate member of the Board of Directors.

b. Shareholders of 20% of the outstanding voting capital stock may oppose judicially to any resolution adopted at a shareholders' meeting and to request a court order to suspend the resolution temporarily, if the request is made within the following 15 days of the adjournment of the meeting where the resolution was made, provided that (i) the challenged resolution violates Mexican law or the bylaws, (ii) the opposing shareholders neither attended the meeting nor voted in favor of the challenged resolution, and (iii) the opposing shareholders deliver a bond to the court to secure payment of any damages that the Company may suffer as a result of suspending the resolution, in the event that the court ultimately rules against the opposing shareholders.

c. Shareholders of 5% or more of the outstanding capital stock may initiate a liability action against some or all of the directors (for the benefit of the Company and not their personal benefit), for violations of their duty of care or duty of loyalty, in an amount equal to the damages or losses caused to the Company. Actions initiated on these grounds have a five-year statute of limitations.

Since 2016, contact information for the shareholders and/or members of the board was included in Grupo Bimbo's webpage.

Email: secretaria.gb@grupobimbo.com
Phone: +52 (55) 5268 6600
Address: Prolongación Paseo de la Reforma 1000, Col. Peña Blanca Santa Fe, Alcaldía. Álvaro Obregón, Ciudad de México, C.P. 01210, México.

5) CAPITAL MARKETS

a) SHAREHOLDING STRUCTURE

As of the date of this Annual Report, shares representing the Company's capital stock are Series "A" common, ordinary, nominative, with no par value shares, which are filed in the RNV. Such shares began quoted in the BMV in February 1980, when the Company carried out its initial public offer. Since February 1, 1999 BIMBO is part of the Price and Quotation Index (*Índice de Precios y Cotizaciones*) of the Mexican Stock Exchange (BMV).

As of the date of this Annual Report, BIMBO share is classified as high trading volume, in accordance with the Trading Activity Index published by the Mexican Stock Exchange (BMV).

b) SHARE PERFORMANCE IN THE STOCK MARKET

The Following tables show the adjusted maximum, minimum and closing prices in nominal pesos, as well as the volume of BIMBO's Series "A" shares in the BMV, during the indicated periods.

Annual	Pesos per Series "A" shares			Volume of Series "A" traded
	Maximum	Minimum	Closing	
2018	46.46	35.07	39.15	592,950,000
2019	43.04	32.83	34.43	704,310,000
2020	45.09	26.95	43.24	783,490,000
2021	63.40	37.10	62.97	704,690,000
2022	87.56	53.20	82.36	749,620,000

Quarterly	Pesos per Series "A" share			Volume of Series "A" traded
	Maximum	Minimum	Closing	
1T21	44.22	37.10	42.90	187,470,000
2T21	45.27	39.01	43.89	163,620,000
3T21	58.31	43.38	58.04	170,450,000
4T21	63.40	52.81	62.97	183,150,000
1T22	67.04	53.20	60.06	169,910,000
2T22	67.09	55.84	65.37	273,740,000
3T22	76.69	65.81	70.97	168,620,000
4T22	87.56	70.07	82.36	137,350,000

Monthly	Pesos per Series "A"			Volume of Series "A" traded
	Maximum	Minimum	Closing	
July 2022	75.08	65.81	72.04	40,210,000
August 2022	76.69	66.22	66.22	74,830,000
September 2022	75.18	70.27	70.97	53.580,000
October 2022	76.71	70.07	76.71	42,190,000
November 2022	87.56	79.68	81.94	46,970,000
December 2022	86.71	82.12	82.36	48,180,000

January 2023	95.77	84.72	94.02	46,630,000
February 2023	93.90	86.48	86.85	43,370,000
March 2023	91.89	83.85	90.68	56,030,000

* Volume of Series "A" stock trading obtained from Bloomberg.

c) MARKET MAKER

As of this date and during the fiscal year ended on December 31, 2022, the Company does not have a market maker.

6) RESPONSIBLE PERSONS

The undersigned represent under oath that, within the scope of our respective functions, we prepare the information regarding the Issuer contained in this Annual Report, which, to the best of our knowledge, reasonably reflects its condition. Furthermore, we represent that we are not aware of any relevant information that has been omitted or falsified in this Annual Report or that it contains information that could mislead investors.

Daniel Javier Servitje Montull
Chief Executive Officer and Chairman of the Board of Directors

Diego Gaxiola Cuevas
Chief Financial Officer

Luis Miguel Briola Clément
General Counsel

Auditor Externo

El suscrito, en mi carácter de Socio y apoderado legal de Mancera, S.C. manifiesta bajo protesta de decir verdad, que los estados financieros consolidados que contiene el presente reporte anual de Grupo Bimbo, S.A.B. de C.V. por los ejercicios terminados el 31 de diciembre de 2022, 2021 y 2020 fueron dictaminados con fecha 5 de abril de 2023, de conformidad con las Normas Internacionales de Auditoría.

Asimismo, el suscrito manifiesta que ha leído el presente reporte anual y basado en su lectura y, dentro del alcance del trabajo de auditoría realizado, no tiene conocimiento de errores relevantes o inconsistencias en la información que se incluye y cuya fuente provenga de los estados financieros consolidados dictaminados señalados en el párrafo anterior, ni de información que haya sido omitida o falseada en este reporte anual o que el mismo contenga información que pudiera inducir a error a los inversionistas.

No obstante, el suscrito no fue contratado, y no realizó procedimientos adicionales con el objeto de expresar su opinión respecto de la demás información contenida en el presente reporte anual que no provenga de los estados financieros consolidados por él dictaminados.

Mancera, S.C.
Integrante de
Ernst & Young Global Limited



C.P.C. Adán Aranda Suárez
Socio y Apoderado legal

7) EXHIBITS

a) Audit Committee's opinion corresponding to the year ended as of December 31, 2022, 2021, and 2020

b) Independent Auditor's Report to the Board of Directors and Shareholders of Grupo Bimbo, S.A.B. de C.V., corresponding to the years ended as of December 31, 2022, 2021 and 2020

c) Audited Financial Statements as of and for the years ended as of December 31, 2022, 2021 and 2020

d) Audited Committee's Report corresponding to the years ended as of December 31, 2022, 2021 and 2020

Mexico City, April 4th, 2023

To the Board of Directors of
Grupo Bimbo, S.A.B. de C.V.

In my capacity as chairman of the Audit and Corporate Practices Committee (the "Committee") of Grupo Bimbo, S.A.B. de C.V. (the "Company"), and in accordance with point e), section II of Article 42 of the Securities Market Act, I hereby present you the opinion of the Committee regarding the content of the report of the Chief Executive Officer regarding the financial situation and results of the Company for the year ended December 31, 2022.

In the opinion of the Committee, the accounting and information policies and criteria followed by the Company and used to prepare the consolidated financial information are appropriate and sufficient, and consistent with international financial reporting standards. Therefore, the consolidated financial information presented by the Chief Executive Officer reasonably reflects the financial situation and results of the Company as of December 31, 2022 and for the year ended on that date.

Sincerely,

Edmundo Vallejo Venegas
Chairman of the Audit and Corporate Practices Committee
of Grupo Bimbo, S.A.B. de C.V.

Mexico City, April 04, 2022

To the Board of Directors of
Grupo Bimbo, S.A.B. de C.V.

In my capacity as chairman of the Audit and Corporate Practices Committee (the "Committee") of Grupo Bimbo, S.A.B. de C.V. (the "Company"), and in accordance with point e), section II of Article 42 of the Securities Market Act, I hereby present you the opinion of the Committee regarding the content of the report of the Chief Executive Officer regarding the financial situation and results of the Company for the year ended December 31, 2021.

In the opinion of the Committee, the accounting and information policies and criteria followed by the Company and used to prepare the consolidated financial information are appropriate and sufficient, and consistent with international financial reporting standards. Therefore, the consolidated financial information presented by the Chief Executive Officer reasonably reflects the financial situation and results of the Company as of December 31, 2021 and for the year ended on that date.

Sincerely,



Edmundo Vallejo Venegas
Chairman of the Audit and Corporate Practices Committee
of Grupo Bimbo, S.A.B. de C.V.

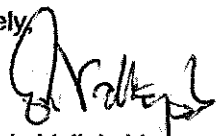
Mexico City, April 05, 2021

To the Board of Directors of
Grupo Bimbo, S.A.B. de C.V.

In my capacity as chairman of the Audit and Corporate Practices Committee (the "Committee") of Grupo Bimbo, S.A.B. de C.V. (the "Company"), and in accordance with point e), section II of Article 42 of the Securities Market Act, I hereby present you the opinion of the Committee regarding the content of the report of the Chief Executive Officer regarding the financial situation and results of the Company for the year ended December 31, 2020.

In the opinion of the Committee, the accounting and information policies and criteria followed by the Company and used to prepare the consolidated financial information are appropriate and sufficient, and consistent with international financial reporting standards. Therefore, the consolidated financial information presented by the Chief Executive Officer reasonably reflects the financial situation and results of the Company as of December 31, 2020 and for the year ended on that date.

Sincerely,



Edmundo Vallejo Venegas
Chairman of the Audit and Corporate Practices Committee
of Grupo Bimbo, S.A.B. de C.V.

GRUPO BIMBO, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated Financial Statements

December 31, 2022, 2021 and 2020
with Independent Auditor's Report

GRUPO BIMBO, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated Financial Statements

December 31, 2022, 2021 and 2020

Contents:

Independent Auditor's Report

Audited Consolidated Financial Statements:

- Consolidated statements of financial position
- Consolidated statements of profit or loss
- Consolidated statements of other comprehensive income
- Consolidated statements of changes in equity
- Consolidated statements of cash flows
- Notes to consolidated financial statements

Av. Ejército Nacional 843-B
Antara Polanco
11520 Mexico
Tel: +55 5283 1300
Fax: +55 5283 1392
ey.com/mx

Building a better working world

INDEPENDENT AUDITOR'S REPORT

To the Board of Directors and Shareholders of
Grupo Bimbo, S.A.B. de C.V. and Subsidiaries

Opinion

We have audited the accompanying consolidated financial statements of Grupo Bimbo, S.A.B. de C.V. and Subsidiaries (the Company), which comprise the consolidated statement of financial position as of December 31, 2022, 2021 and 2020, and the consolidated statements of profit or loss, consolidated statements of other comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows for the years then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of Grupo Bimbo, S.A.B. de C.V. and Subsidiaries as of December 31, 2022, 2021 and 2020, and its consolidated results and cash flows for the years then ended in accordance with International Financial Reporting Standards (IFRS).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISA). Our responsibilities under those standards are described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants* (IESBA Code) and the ethical requirements that are relevant to our audit of the consolidated financial statements in Mexico in accordance with the *Código de Ética Profesional del Instituto Mexicano de Contadores Públicos* (IMCP Code), and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements as of December 31, 2022. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the "*Auditor's Responsibilities for the Audit of the Consolidated Financial Statements*" section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the accompanying consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Assessment of impairment in the value of goodwill and intangible assets with indefinite useful lives

Description of key audit matter

As described in Notes 11 and 12 to the consolidated financial statements, the Company recognized goodwill and intangible assets of $127,147 million as of December 31, 2022. Impairment exists when the carrying amount of an asset or cash generating unit (CGU) exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. Goodwill and intangible assets with indefinite useful lives are tested for impairment annually at the cash generating unit level.

The analysis of impairment in the value of goodwill and intangible assets with indefinite useful lives was significant to our audit since the value of such assets is significant with respect to the consolidated financial statements. In addition, the calculation of the recoverable value of the assets requires significant and complex judgements and estimates by management, that are sensitive to the weighted average cost of capital rate, the revenue growth rate and operating margins, which are affected by future economic and market conditions, particularly in emerging economies. In addition, the calculation of the recoverable amount is subject to the risk that the future cash flows used in the calculation may differ from the expected amounts, or the results may be different from the originally estimated values.

How our audit addressed the key audit matter

Among other audit procedures applied, we involved our internal valuation specialists to assist us in the assessment of the key assumptions and methods used by Company management in the impairment testing.

We also assessed the key assumptions used by management in preparing financial projections, primarily with regard to the annual revenue growth rates and projections of costs, along with other key assumptions used to prepare the impairment tests, and we compared them with publicly available information obtained from market participants, current and historical results and relevant industry trends.

We obtained the business plans that the Company used as a basis to determine its future cash flow estimates for the impairment testing of the CGUs within the audit scope.

We assessed the reasonableness of the disclosures included in the Company's consolidated financial statements.

Business combinations

Description of the key audit matter

As described in Note 1 to the consolidated financial statements, during 2022 the Company finalized the distribution of the purchase price of the net assets acquired in business combinations of the previous year, with an adjustment to the preliminary distribution of $356 million.

We consider that the definitive allocation of the purchase price in business combinations is a key audit matter due to the complexity of the key assumptions used in estimating the fair value of the assets acquired, determining the discount rate and measuring the assets identified as part of the transaction. The fair value determination is sensitive to assumptions used by management and financial projections, discount rates and other assumptions used in fair value measurement models.

How our audit addressed the key audit matter

For business combinations in 2022 for which the Company completed the definitive allocation of the purchase price among the net assets acquired, among other procedures, we involved our internal valuation specialists to assist in the assessment of the key assumptions and methodology used by the Company management, primarily in determining the fair value of property, plant and equipment, and intangible assets with definite and indefinite useful lives.

We also assessed the key assumptions used by management, with regard to the annual growth rates and cost projections, along with other key assumptions used in measuring the fair value of intangible assets and we compared them with publicly available information obtained from market participants and relevant industry trends.

We obtained the business plans that the Company used as a basis to determine its future cash flow estimates for the fair value measurement of intangible assets.

We assessed the reasonableness of the disclosures regarding the Company's business combinations in the consolidated financial statements.

Sale of the confectionery business

Description of key audit matter

As disclosed in Notes 1 and 24 to the consolidated financial statements, on November 1 2022, the Company completed the sale of its confectionery business for $25,797 million, which included the sale of shares of the subsidiaries engaged in the confectionery business, as well as their trademarks.

We consider the financial effects of the discontinued operation from the sale of the confectionery business to be a key audit matter due to its impact on recognition, presentation and disclosure in the consolidated financial statements, as well as its tax effects.

How our audit addressed the key audit matter

We analyzed the calculation of the financial impact generated by this transaction, including the profit earned and the respective tax effects, accounting cost and consideration received, among others.

We involved our internal tax specialists in the review of the methodology used by Company management to calculate the corresponding tax effects.

We also evaluated the reasonableness of the Company's recognition, presentation and disclosure of discontinued operations in the consolidated financial statements as at 31 December 2022.

Other information included in the 2022 annual report of the Company

The other information comprises the information included in the annual report filed with the National Banking and Securities Commission (CNBV, by its acronym in Spanish) and the annual report submitted to the shareholders but does not include the consolidated financial statements and our auditor's report thereon. We expect to obtain the other information after the date of this auditor's report. Management is responsible for the other information.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read and consider the Annual Report filed with the CNBV and the annual report submitted to the shareholders, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and to issue a statement on the Annual Report required by the CNBV that contains a description of the matter.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the accompanying consolidated financial statements in accordance with IFRS, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Audit and Corporate Practices Committee is responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISA will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISA, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the Company's financial information of the entities or business activities to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

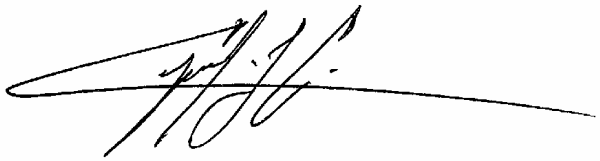
We communicate with the Audit and Corporate Practices Committee regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Audit and Corporate Practices Committee with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the Audit and Corporate Practices Committee, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The partner in charge of the audit resulting in this independent auditor's report is the undersigned.

Mancera, S.C.
A Member Practice of
Ernst & Young Global Limited



Adán Aranda Suárez

Mexico City, Mexico
April 5, 2023

GRUPO BIMBO, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated statements of financial position

(Amounts in millions of Mexican pesos)

	Notes	December 31 2022	2021	2020
Assets				
Current assets:				
Cash and cash equivalents		$ 12,313	$ 8,748	$ 9,268
Trade receivables and other accounts receivable, net	5	32,185	27,170	27,487
Inventories	6	16,989	13,710	10,893
Prepaid expenses		928	2,296	1,944
Derivative financial instruments	17	38	1,293	871
Guarantee deposits for derivative financial instruments	17	879	-	-
Assets held for sale		138	194	140
Total current assets		63,470	53,411	50,603
Property, plant and equipment, net	8	113,505	103,891	91,248
Right-of-use assets, net	9	28,477	30,754	29,163
Investments in associates	10	5,144	4,452	3,143
Derivative financial instruments	17	2,005	1,962	267
Deferred income tax	16	3,962	7,861	8,733
Intangible assets, net	11	59,062	56,965	55,007
Goodwill	12	68,085	74,565	66,904
Other non-current assets, net		4,054	3,779	2,583
Total assets		$ 347,764	$ 337,640	$ 307,651
Liabilities and equity				
Current liabilities:				
Current portion of non-current debt	13	$ 6,435	$ 10,625	$ 600
Trade accounts payable		44,058	35,752	26,679
Other accounts payable and accrued liabilities	14	24,198	24,102	24,901
Current lease liabilities	9	5,930	5,793	5,153
Accounts payable to related parties	15	1,240	1,527	1,334
Current income tax	16	4,604	708	-
Statutory employee profit sharing		1,811	1,692	1,017
Derivative financial instruments	17	1,458	169	1,183
Other current liabilities	17	-	392	398
Total current liabilities		89,734	80,760	61,265
Non-current debt	13	77,619	82,230	84,629
Non-current lease liabilities	9	23,255	25,356	23,936
Non-current derivative financial instruments	17	590	67	214
Employee benefits	18	9,382	30,712	33,832
Deferred income tax	16	7,575	7,087	6,766
Other non-current liabilities	19	12,007	9,822	8,998
Total liabilities		220,162	236,034	219,640
Equity:				
Capital stock	20	3,984	4,021	4,061
Retained earnings		111,486	73,384	64,265
Other equity financial instrument	20	8,098	8,867	8,996
Cumulative foreign currency translation effect from foreign operations		1,132	10,297	9,046
Remeasurements on defined benefit plans liability		1,152	696	(443)
Valuation of equity financial instrument		(690)	(742)	(661)
Unrealized (loss) gain on cash flow hedges	17	(1,051)	577	(1,551)
Controlling interest		124,111	97,100	83,713
Non-controlling interest		3,491	4,506	4,298
Total equity		127,602	101,606	88,011
Total liabilities and equity		$ 347,764	$ 337,640	$ 307,651

The accompanying notes are an integral part of these consolidated financial statements.

GRUPO BIMBO, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated statements of profit or loss

(Amounts in millions of Mexican pesos, except for basic earnings per ordinary share in Mexican pesos)

		For the years ended December 31		
			2021	2020
Continuing operations	Notes	2022	Reformulated	Reformulated
Net sales		$ 398,706	$ 338,792	$ 322,943
Cost of sales	21	193,325	157,703	148,004
Gross profit		205,381	181,089	174,939
General expenses:				
Distribution and selling		140,455	124,422	121,482
Administrative		26,172	23,147	22,228
Integration expenses		367	724	1,968
Other (income) expenses, net	22	(15,309)	216	5,196
	21	151,685	148,509	150,874
Operating profit		53,696	32,580	24,065
Comprehensive financing cost:				
Interest expense	23	8,049	7,823	9,357
Interest income		(740)	(363)	(352)
Foreign exchange (gain)/loss, net		995	538	(82)
(Gain) on monetary position		(34)	(25)	(70)
		8,270	7,973	8,853
Associates profit sharing	10	452	247	194
Profit before income tax		45,878	24,854	15,406
Income tax	16	14,381	8,726	5,943
Net profit from continuing operations		31,497	16,128	9,463
Discontinued operation	3e and			
Net profit after income tax discontinued operation	24	16,988	1,254	1,088
Consolidated net profit		$ 48,485	$ 17,382	$ 10,551
Controlling interest				
Continuing operation		$ 30,324	$ 14,692	$ 8,049
Discontinued operation		16,586	1,224	1,062
Controlling interest		$ 46,910	$ 15,916	$ 9,111
Non-controlling interest				
Continuing operation		$ 1,173	$ 1,436	$ 1,414
Discontinued operation		402	30	26
Non-controlling interest		$ 1,575	$ 1,466	$ 1,440
Basic earnings per ordinary share				
Continuing operation		$ 6.81	$ 3.28	$ 1.77
Discontinued operation		3.73	0.27	$ 0.23
		$ 10.54	$ 3.55	$ 2.00
Weighted average number of outstanding shares (in thousands of shares)		$ 4,448,693	4,487,268	4,552,712

The accompanying notes are an integral part of these consolidated financial statements.

GRUPO BIMBO, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated statements of other comprehensive income

For the years ended December 31, 2022, 2021 and 2020

(Amounts in millions of Mexican pesos)

	Notes	2022	2021 Reformulated	2020 Reformulated
Consolidated net profit		**$ 48,485**	$ 17,382	$ 10,551
Other comprehensive income				
Items that will not be reclassified subsequently to profit or loss:				
Valuation of equity financial instrument	**3c**	**(32)**	(112)	(239)
Remeasurements on defined benefit plans liability	**18**	**800**	1,543	(362)
Income tax	**16**	**(207)**	(432)	145
		561	999	(456)
Items that may be reclassified subsequently to profit or loss:				
Effect of net investment hedge		**667**	(723)	(2,828)
Foreign operations currency translation effect of the year		**(9,862)**	2,114	7,400
Net change in unrealized (loss) gain on cash flow hedges	**17**	**(2,213)**	2,988	(386)
Income tax	**16**	**142**	(937)	3,672
		(11,266)	3,442	7,858
Other comprehensive income		**(10,705)**	4,441	7,402
Consolidated comprehensive income		**$ 37,780**	$ 21,823	$ 17,953
Comprehensive income attributable to controlling interest		**$ 36,625**	$ 20,353	$ 16,185
Comprehensive income attributable to non-controlling interest		**$ 1,155**	$ 1,470	$ 1,768

The accompanying notes are an integral part of these consolidated financial statements.

GRUPO BIMBO, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated statements of changes in equity

For the years ended December 31, 2022, 2021 and 2020

(Amounts in millions of Mexican pesos)

	Capital stock	Other equity financial instrument	Retained earnings	Accumulated other comprehensive income	Equity attributable to controlling interest	Non-controlling interest	Total equity
Balance as of December 31, 2019	$ 4,156	$ 8,931	$ 61,332	$ (683)	$ 73,736	$ 4,575	$ 78,311
Other equity instrument dividends	-	-	(648)	-	(648)	-	(648)
Other equity instrument income taxes	-	65	194	-	259	-	259
Consolidation effect of structured entities	-	-	-	-	-	(1,025)	(1,025)
Net changes in non-controlling interest	-	-	207	-	207	(873)	(666)
Dividends declared	-	-	(2,286)	-	(2,286)	(147)	(2,433)
Repurchase of shares (Note 20)	(95)	-	(3,645)	-	(3,740)	-	(3,740)
Balance before comprehensive income	4,061	8,996	55,154	(683)	67,528	2,530	70,058
Consolidated net profit for the year	-	-	9,111	-	9,111	1,440	10,551
Other comprehensive income	-	-	-	7,074	7,074	328	7,402
Consolidated comprehensive income	-	-	9,111	7,074	16,185	1,768	17,953
Balance as of December 31, 2020	4,061	8,996	64,265	6,391	83,713	4,298	88,011
Other equity instrument dividends	-	-	(621)	-	(621)	-	(621)
Other equity instrument income taxes	-	(129)	187	-	58	-	58
Consolidation effect of structured entities	-	-	-	-	-	(1,099)	(1,099)
Net changes in non-controlling interest	-	-	-	-	-	-	-
Dividends declared	-	-	(4,502)	-	(4,502)	(163)	(4,665)
Repurchase of shares (Note 20)	(40)	-	(1,861)	-	(1,901)	-	(1,901)
Balance before comprehensive income	4,021	8,867	57,468	6,391	76,747	3,036	79,783
Consolidated net profit for the year	-	-	15,916	-	15,916	1,466	17,382
Other comprehensive income	-	-	-	4,437	4,437	4	4,441
Consolidated comprehensive income	-	-	15,916	4,437	20,353	1,470	21,823
Balance as of December 31, 2021	4,021	8,867	73,384	10,828	97,100	4,506	101,606
Other equity instrument dividends	-	-	(649)	-	(649)	-	(649)
Other equity instrument income taxes	-	(424)	195	-	(229)	-	(229)
Consolidation effect of structured entities	-	-	-	-	-	(2,011)	(2,011)
Repurchase equity instrument	-	(345)	(32)	-	(377)	-	(377)
Dividends declared	-	-	(5,791)	-	(5,791)	(94)	(5,885)
Repurchase of shares (Note 20)	(37)	-	(2,531)	-	(2,568)	-	(2,568)
Decrease non-controlling interest by discontinued operation	-	-	-	-	-	(65)	(65)
Balance before comprehensive income	3,984	8,098	64,576	10,828	87,486	2,336	89,822
Consolidated net profit for the year	-	-	46,910	-	46,910	1,575	48,485
Other comprehensive income	-	-	-	(10,285)	(10,285)	(420)	(10,705)
Consolidated comprehensive income	-	-	46,910	(10,285)	36,625	1,155	37,780
Balance as of December 31, 2022	$ 3,984	$ 8,098	$ 111,486	$ 543	$ 124,111	$ 3,491	$ 127,602

The accompanying notes are an integral part of these consolidated financial statements.

GRUPO BIMBO, S.A.B. DE C.V. AND SUBSIDIARIES

Consolidated statements of cash flows

(Amounts in millions of Mexican pesos)

	Note	For the years ended December 31, 2022	2021 Reformulated	2020 Reformulated
Operating activities				
Profit before income tax from continuing operation		$ 45,878	$ 24,854	$ 15,406
Profit before income tax from discontinued operation	24	23,516	1,499	1,337
Profit before income tax		$ 69,394	$ 26,353	$ 16,743
Adjustments for:				
Depreciation and amortization	8, 9, 11, 22, 24	18,282	16,375	16,251
(Gain)/loss on sale of property, plant and equipment		650	(157)	(127)
Property, plant and equipment write-off due to casualty		-	379	-
Share of profit of associates	10	(452)	(247)	(194)
Impairment of non-current assets		1,046	694	1,075
Profit on disposal of discontinued operation	24	(22,038)	-	-
Multi-employer pension plan and other non-current liabilities	22	(19,010)	(2,247)	2,494
Current year service cost	18	1,013	1,128	991
Interest expense	23	8,049	7,884	9,424
Interest income		(740)	(373)	(387)
Short-term and low-value lease expenses	9	2,519	2,183	2,017
Changes in assets and liabilities:				
Trade receivables and other accounts receivable		(6,647)	666	(914)
Inventories		(4,163)	(2,320)	(769)
Prepaid expenses		1,261	(365)	(684)
Trade accounts payable		9,920	8,286	3,004
Other accounts payable and accrued liabilities		(3,395)	(1,025)	4,718
Accounts payable to related parties		287	209	270
Income tax paid		(11,824)	(7,578)	(5,789)
Guarantee deposits for derivative financial instruments		(1,271)	6	723
Statutory employee profit sharing payable		122	675	(165)
Employee benefits		(754)	(2,567)	(2,955)
Assets held for sale		-	-	168
Dividends receivable from discontinued operation	24	(879)	-	-
Short-term and low-value lease expenses		(2,519)	(2,183)	(2,017)
Net cash flows from operating activities		38,851	45,776	43,877
Investing activities				
Purchase of property, plant and equipment	8	(28,669)	(20,671)	(13,218)
Acquisitions of business and non-controlling interests, net of cash received	1	(6,520)	(10,637)	(3,453)
Price charged for sale of the discontinued operation	24	25,797	-	-
Proceeds from sale of property, plant and equipment		20	882	763
Proceeds from insurance claims		272	201	-
Purchase of intangible assets, net of write offs	11	(798)	(622)	(528)
Increase of distribution rights in structured entities	11	3	(77)	(351)
Other assets		(770)	(951)	(218)
Dividends received		954	59	93
Interest received		740	373	387
Investments in associates	10	(151)	(1,016)	(163)
Net cash flows used in investing activities		(9,122)	(32,459)	(16,688)
Financing activities				
Proceeds from loans, net of transaction costs	13	51,670	38,924	34,818
Repayments of loans	13	(55,542)	(33,535)	(40,745)
Interest paid		(6,407)	(6,781)	(6,410)
Other equity instrument dividends paid		(649)	(621)	(648)
Repurchases equity instrument dividends paid		(344)	-	-
Dividends paid		(5,885)	(4,636)	(2,433)
Payment of lease liabilities	9	(6,385)	(5,372)	(5,544)
Payment of derivative financial instruments		-	(1,690)	(2,431)
Collection of derivative financial instruments		418	1,496	2,970
Repurchase of shares	20	(2,568)	(1,901)	(3,740)
Net cash flows used in financing activities		(25,692)	(14,116)	(24,163)
Adjustments to cash flows due to exchange rate fluctuations and inflationary effects		(472)	279	(9)
Net Increase (decrease) in cash and cash equivalents		3,565	(520)	3,017
Cash and cash equivalents at beginning of year		8,748	9,268	6,251
Cash and cash equivalents at end of year		$ 12,313	$ 8,748	$ 9,268

The accompanying notes are an integral part of these consolidated financial statements.

1. Activities and significant events

Activities- Grupo Bimbo, S.A.B. de C.V. and subsidiaries ("Grupo Bimbo" or "the Company") is a Mexican entity, primarily engaged in the production, distribution and sale of bakery products, cookies, tortillas, salty snacks and until November 2022 confectionery.

The Company operates in different geographical areas that represent the reporting segments used by the Company, which are Mexico, North America, Latin America and Europe, Asia and Africa ("EAA").

The Company's corporate offices are located at Prolongación Paseo de la Reforma No. 1000, Colonia Peña Blanca Santa Fe, Álvaro Obregón, Código Postal 01210, Mexico City, Mexico.

During 2022, 2021 and 2020, the net sales of the subsidiaries that are classified in the Mexico segment represented approximately 29%, 29% and 29%, respectively, of the Company's consolidated net sales. During 2022, 2021 and 2020, the net sales of the Company's subsidiaries classified in the North America segment represented approximately 52%, 52% and 53%, respectively, of the Company's consolidated net sales.

Relevant events

Sale of the confectionery business

On November 1st 2022, the Company sold its confectionery business to Mondelez International, Inc. for Ps. 25,797, which was collected in cash and included the sale of shares of the subsidiaries engaged in the confectionery business, as well as its trademarks, in line with the Company's strategy of focusing on grain-based foods, specifically in the bakery and snack categories. This transaction was subject to approval from the relevant authorities. The subsidiaries engaged in the confectionery business have been deconsolidated as of the aforementioned date. This transaction is presented in the consolidated financial statements in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations.

Acquisitions in 2022

St. Pierre acquisition

On September 22, 2022, through one of its subsidiaries in United Kingdom, the Company acquired a 100%-stake in Sherlock Foods Holdings Limited, company that operates mainly in the United Kingdom and the United States of America. This acquisition will contribute to the Company's growth and geographic expansion plans in those countries. Its main activity is the sale of baked bread under the St. Pierre, Baker Street and Paul Hollywood trademarks.

Since the acquisitions mentioned above were closed during the third quarter of 2022, the purchase price allocation is preliminary and is the best estimate as of December 31, 2022, with respect to the valuation of the assets acquired, liabilities assumed (including income taxes), intangible assets and goodwill. At the date of issuance of these consolidated financial statements, the Company is in the process of determining the final purchase price allocation and will recognize the fair value adjustments during the measurement period of twelve months following the closing date of each acquisition. It is expected that a portion of the goodwill presented in the table above will be reallocated to intangible assets, such as brands and customer relationships, mainly. The segment that will group this business will be that of EAA.

	Preliminary fair value
Amounts recognized for identifiable assets and liabilities assumed:	
Cash and cash equivalents	$ 170
Other current assets	711
Property, plant and equipment	28
Identified intangible assets	5,331
Goodwill	3,021
Other non-current assets	137
Total identifiable assets	$ 9,398
Total liabilities assumed	$ 2,724

Acquisitions in 2021

The business acquisitions will contribute to the Company's growth and geographic expansion plans, mainly in India, the United States of America, Spain and Brazil, in terms of branded products and QSR (Quick Service Restaurants) businesses. They also represent an opportunity to create significant synergies by optimizing the supply chain to better serve more consumers.

The difference between the consideration transferred and the net of assets acquired and liabilities assumed at fair value will be subject to amortization for tax purposes in accordance with local legislation.

Acquisition of Kitty Industries

On October 26, 2021, through one of its subsidiaries, the Company acquired a 100%-stake in Kitty Industries Private Limited in India, a company engaged in the production, distribution and sale of white, wholemeal, wheat and fruit bread, among other products.

Acquisition of Aryzta Do Brasil

On October 13, 2021, through one of its subsidiaries, the Company acquired a 100%-stake in Arytza Do Brasil Alimentos Ltda., company engaged in the production, distribution and sale of bakery and confectionery products, mainly aimed at the Quick Service Restaurants industry in Brazil.

Acquisition of Popcornopolis

On September 17, 2021, through one of its subsidiaries, the Company acquired a 100%-stake in Popcornopolis, LLC, company operating in the United States of America and which main activity is the production, distribution and sale of popcorn under the Popcornopolis brand. This acquisition has been funded using the Company's own resources.

Acquisition of Siro Medina (Dulces del Campo)

On June 1, 2021, through one of its subsidiaries, the Company acquired a 100%-stake in Siro Medina, S.A.U. in Spain, a company engaged in the production of confectionery and pastry products. On June 24, 202, the company name was changed to Dulces del Campo, S.A.U.

Business acquisition of Emmy's Organics

On May 11, 2021, through one of its subsidiaries in the United States of America, the Company acquired the organic cookie business of the Emmy's Organics brand.

Acquisition of Modern Foods

On February 17, 2021, through one of its subsidiaries, the Company acquired a 100%-stake in Modern Enterprises Privated Limited in India, this company is engaged in the production of bread under the "Modern" brand and has a broad portfolio of white and fruity bread, healthy breads, buns and pavés, cake, sponge cake and Indian bread along with some other products. This acquisition was funded using the Company's own resources.

Accounting effects of the acquisitions

The process of the final allocation of fair values and recognition of the acquisitions of Modern Foods, Emmy's Organics and Dulces del Campo, was conclude during the year ended in December 31, 2021 in accordance with International Financial Reporting Standards (IFRS) 3 *Business Combinations*. The following table summarizes the fair values of the assets acquired and liabilities assumed that were recognized resulting of these acquisitions at the spot rate at the date of each transaction:

	Fair value preliminary	Purchase price Adjustments	Fair value final
Amounts recognized for identifiable assets and liabilities assumed:			
Cash and cash equivalents	$ 103	$ -	$ 103
Others short-term assets	167	-	167
Property, plant and equipment	1,018	514	1,532
Identified intangible assets	141	1,025	1,166
Goodwill	1,577	(1,144)	433
Other assets	107	-	107
Total identifiable assets	$ 3,113	$ 395	$ 3,508
Total liabilities assumed	$ 381	$ 395	$ 776

The goodwill resulting from these acquisitions were allocated to the North America and EAA segments.

Additionally, for the acquisitions of Popcornopolis, Aryzta do Brasil and Kitty Industries, the final allocation of fair values was completed during the year 2022 in accordance with International Financial Reporting Standards (IFRS) 3 *Business Combinations*. The following table summarizes the fair values of the assets acquired and liabilities assumed that were recognized resulting of these acquisitions at the spot rate at the date of each transaction:

	Fair value preliminary	Purchase price Adjustments	Fair value final
Amounts recognized for identifiable assets and liabilities assumed:			
Cash and cash equivalents	$ 70	$ (25)	$ 45
Others short-term assets	868	(1)	867
Property, plant and equipment	1,400	760	2,160
Identified intangible assets	1,240	1,574	2,814
Goodwill	5,287	(1,804)	3,483
Other long-term assets	807	66	873
Total identifiable assets	$ 9,672	$ 570	$ 10,242
Total liabilities assumed	$ 1,594	$ 214	$ 1,808
Transferred consideration	$ 8,078	$ 356	$ 8,434

The goodwill resulting from this acquisition were allocated to the North America, Latin America and EAA segments.

Acquisitions in 2020

Acquisition of Siro Paterna - Spain

On June 30, 2020, the Company acquired, through its subsidiary, a 100%-stake in Siro Paterna Valencia in Spain, a company engaged in the production of sliced bread and salted pastries under a private label. This acquisition has been funded using the Company's own resources.

Business acquisition – USA

On January 2nd, 2020, the Company acquired, through one of its subsidiaries, acquired the Lender's brand frozen bagel business from Conagra Brands.

Bimbonet Servicios (before Blue Label México)

On September 21, 2020, the Company acquired a 47.56% stake in Bimbonet Servicios, S.A.P.I. de C.V. as a result of this transaction, the Company increased its equity interest to 95.12% and obtained control over the company as of that date. In December 2021, the Company acquired the remaining 4.88% stake, so that is now holds a 100% stake. Bimbonet Servicios is engaged mainly in the distribution of digital services and electronic payments.

Accounting effects of the acquisitions

The valuation and recognition of the acquisitions was performed in accordance with International Financial Reporting Standards (IFRS) 3 *Business Combinations*. The following table summarizes the fair values of the assets acquired and liabilities assumed that were recognized as a result of these acquisitions at the exchange rate ruling at the date of each transaction:

	Fair value final
Amount paid in operations	$ 2,789
Amounts recognized for identifiable assets and liabilities assumed:	
Cash and cash equivalents	82
Trade receivables	149
Inventories	147
Property, plant and equipment, net	1,127
Right-of-use assets	32
Identifiable intangible assets	1,742
Other assets	14
Total identifiable assets	3,293
Goodwill	724
Total assets acquired	$ 4,017
Total liabilities assumed	$ 927
Non-controlling interest	35
Result from acquisition in stages	(266)
Value of acquired investments	$ 2,789

The goodwill resulting from this acquisition was allocated to the Mexico and EAA segments.

Acquisitions of non-controlling interests in 2020

Ready Roti - India

On May 13, 2020, the Company acquired, through one of its subsidiaries, the remaining 35% of the voting shares of Ready Roti India Private Limited, to complement the acquisition made in May 2017, so that it now holds all of the share capital of this company.

Health contingency caused by COVID-19 during 2021 and 2020:

COVID-19, an infectious disease caused by the SARS COV-2 virus, was declared a world-wide pandemic by the World Health Organization (WHO) on March 11, 2020. The measures to slow the spread of COVID-19 have had a significant impact on the global economy. Given the evolving nature of the COVID-19 pandemic and the limited recent experience of the economic and financial impacts of such a pandemic, changes to estimates may need to be made in the measurement of entities' assets and liabilities may arise in the future.

The health contingency caused by COVID-19 has had the following impacts on the Company's liquidity, cash flows, solvency and business:

(a) Liquidity: It was benefited since the third month of 2020 from changes in consumers habits globally as a result of the pandemic and which can be prolonged in an uncertain and indefinite manner. The Company modified its financial strategy in the first six months of 2021 by prioritizing the generation and preservation of cash flow, reassessing temporarily the capital investment plan, reducing general and administrative expenses, and postponing certain restructuring projects. During 2021, capital investment plans were resumed, as well as certain restructuring projects.

(b) Cash flows: The Company has a diversified revenue base as it operates in several countries, and through various channels in various categories, which provides stability to its cash flows, coupled with the results generated by its operations during the pandemic.

(c) Solvency: The Company considers that its financial situation, given its ability to generate cash flows, allows it to meet its current and non-current financial commitments.

(d) Business: It was partially affected, mainly during 2021 and 2020, by the pandemic, since some plants engaged in the production for the quick-service restaurant business ("QSR") operated below their capacity due to restrictions on mobility of individuals imposed in the different countries where it has a presence. In addition, the Company incurred in COVID-19 related costs and expenses such as: increases in the labor cost by hiring additional employees, donations to different associations to support customers and consumers in the uncertain environment and in health measures in all of its plants and workplaces around the world.

2. Basis of preparation

Adoption of new and revised International Financial Reporting Standards

a) Application of new and revised International Financial Reporting Standards (IFRS) and their interpretations, the adoption of which is mandatory in the current year

In 2022, the Company adopted a series of new and amended IFRS issued by the International Accounting Standards Board (IASB), which are effective for annual periods beginning on or after January 1st, 2022:

Amendments to IFRS 3 Business Combinations—Reference to the Conceptual Framework

The amendments update IFRS 3 to refer to the 2018 Conceptual Framework instead of the 1989 Framework. They also add to IFRS 3 a requirement that, for obligations within the scope of IAS 37, an acquirer applies that standard to determine whether at the acquisition date a present obligation exists as a result of past events. For a lien that would be within the scope of IFRIC 21 Liens, an acquirer applies that interpretation to determine whether the event giving rise to a liability to pay the lien has occurred on the date of acquisition.

Finally, the amendments add an explicit statement that an acquirer does not recognize contingent assets acquired in a business combination.

The amendments are effective for business combinations for which the acquisition date is on or after the beginning of the first annual period beginning on or after January 1st, 2022. Earlier application is permitted if an entity also applies all other references. updated (published together with the updated Conceptual Framework) at the same time or earlier.

As of December 31, 2022, the amendments to IFRS 3 have not had an impact on the Company's consolidated financial statements since there have been no business combinations to which said amendments apply.

Annual Improvements 2018-2022 Cycle

In May 2021, the IASB issued the following annual improvements to IFRS:

IFRS 1 First-time Adoption of International Financial Reporting Standards

The amendments permit a subsidiary that adopts IFRS after its parent to measure the cumulative translation differences for all foreign operations using the amounts reported by its parent, based on the parent's date of transition to IFRS, provided that no adjustments have bene made to the consolidation process and for the purposes of the business combination in which the parent acquired the subsidiary.

IFRS 9 Financial Instruments

The amendments clarify that fees in the ten per cent test for derecognition of financial liabilities must only be fees paid or received between the entity (the borrower) and the lender.

As of December 31, 2022, these annual improvements to IFRS have not had an impact on the Company's consolidated financial statements since it has not had the transactions subject to modifications mentioned above.

b) New and revised IFRS issued but not yet effective

The new and amended standards that are issued but not yet effective and that may be applicable to the Company are as follows:

Amendments to IAS 1	Classification of liabilities as current and non-current (1)
Amendments to IAS 1 and practice statement 2	Disclosure of Accounting Policies (1)
Amendments to IAS 8	Definition of accounting estimates (1)
Amendments to IAS 12	Deferred tax related to assets and liabilities arising from a single transaction (1)
Amendments to IFRS 10 and IAS 28	Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (2)

(1) Effective for annual periods beginning on or after January 1st, 2023.
(2) Effective for annual periods beginning on or after a certain date that has yet to be determined.

Amendments to IAS 1: Classification of Liabilities as Current or Non-current

In January 2020, the IASB issued amendments to IAS 1 to specify the requirements for classifying liabilities as current or non-current. The amendments clarify:

- What is meant by a right to defer settlement
- That a right to defer must exist at the end of the reporting period
- That classification is unaffected by the likelihood that an entity will exercise its deferral right
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification

The amendments are effective for annual reporting periods beginning on or after January 1st, 2023 and must be applied retrospectively. The Company is in the process of assessing the impact that the adoption of these amendments will have on its consolidated financial statements.

Amendments to IAS 1 Presentation of Financial Statements and Practice Statement IFRS Preparation of Judgments on Materiality - Disclosure of Accounting Policies

The amendments change the requirements of IAS 1 with respect to the disclosure of accounting policies.

The amendments replace all instances of the term "significant accounting policies" with "material disclosures about accounting policies." Information about accounting policies is material if, when considered together with other information in an entity's financial statements, it could reasonably be expected to influence the decisions that primary users of general purpose financial statements make on the basis of those financial statements.

The supporting paragraphs in IAS 1 are also amended to clarify that accounting policy information that relates to immaterial transactions, other events or conditions is immaterial and need not be disclosed. Information about accounting policies may be material due to the nature of the related transactions, other events or conditions, even if the amounts are immaterial. However, not all accounting policy information relating to material transactions, other events or conditions is material.

The Board has also developed guides and examples to explain and demonstrate the application of the "four-step materiality process" described in Practice Statement 2.

The amendments to IAS 1 are effective for annual periods beginning on or after January 1st, 2023, with early application permitted and must be applied retrospectively. The Practice Statement 2 amendments do not contain an effective date or transition requirements.

The Company is currently in the process of evaluating the impacts on the disclosures to the consolidated financial statements as a result of the changes in this standard.

Amendments to IAS 8 Definition of Accounting Estimates

In February, 2021, the IASB issued amendments to IAS 8, the amendments are intended to introduce a definition of accounting estimates. The amendments clarify the distinction between changes in accounting policies from changes in accounting estimates. Also, clarify how entities use measurement techniques and inputs to develop accounting estimates.

The amendments are effective for annual periods beginning on or after January 1st, 2023 and apply to changes in accounting policies and changes in accounting estimates that occur on or after the beginning of that period. Early application is allowed as long as this fact is disclosed. Material effects are not expected in the Group for these amendments.

Amendments to IAS 12: Deferred tax related to assets and liabilities arising from an individual transaction

The amendments introduce an additional exception to the initial recognition exemption. Under the amendments, an entity does not apply the initial recognition exemption for transactions that give rise to equal cumulative and deductible temporary differences.

Depending on the applicable tax legislation, equal cumulative and deductible temporary differences may arise on initial recognition of an asset and liability in a transaction that is not a business combination that does not affect accounting profit or tax profit.

The amendments to IAS 12 require an entity to recognize the deferred tax asset and liability related to the recognition of any deferred tax asset subject to the recoverability criteria of IAS 12.

The modifications apply to transactions that occur on or after the beginning of the first comparative period. Additionally, at the beginning of the earliest comparative period, an entity recognizes:

A deferred tax asset (to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be used) and a deferred tax liability for all cumulative and deductible temporary differences associated with:

- Rights-of-use asset and lease liabilities

- Decommissioning, restoration and similar liabilities and the corresponding amounts recognized as part of the cost of the related asset

- The cumulative effect of initially applying the amendments as an adjustment to the opening balance of retained earnings (or other component of stockholders' equity, as applicable) as of that date.

The amendments are effective for annual periods beginning on or after January 1st, 2023, with early application permitted and it is expected that the amendments will not have an effect on the consolidated financial statements.

Amendments to IFRS 10 and IAS 28 Sale or Contribution of Assets Between an Investor and its Associate or Joint Venture

The amendments establish that any gain or loss resulting from loss of control over a subsidiary that does not constitute a business in a transaction with an equity-method accounted associate or joint venture are recognized in profit or loss of the parent only to the extent of unrelated investors' interest in the associate or joint venture. Gains and losses resulting from the remeasurement at fair value of the investment retained in a former subsidiary (which has become an equity-accounted associate or joint venture) is recognized in profit or loss of the parent only to the extent of unrelated investors' interest in the associate or joint venture.

The effective date of these amendments has not been determined by the IASB. Early application is permitted. Company management believes that the adoption of these amendments will not have a material effect on the Company's consolidated financial statements in the future if such transactions arise.

c) Consolidated statement of profit or loss and other comprehensive Income

The Company presents its profit or loss in two separate statements: i) the consolidated statement of profit or loss, and ii) the consolidated statement of other comprehensive income. The Company's expenses are presented based on their function, which is consistent with the customary practices of the industry to which the Company belongs. The nature of these expenses is described in Note 21. Although not required to do so under IFRS, the Company includes operating profit in the consolidated statement of profit or loss, since this item is an important indicator for evaluating the Company's financial and business performance.

d) Consolidated statements of cash flows

The Company prepares the statement of cash flows using the indirect method. Interest and dividends received are shown as investing activities, while interest and dividends paid are shown as financing activities. As of December 31, 2022, 2021 and 2020 there were no material non-monetary transactions in investment and financing activities.

3. Summary of significant accounting policies

a) Compliance statement

The Company's consolidated financial statements have been prepared in accordance with IFRS, as issued by the IASB.

b) Basis of preparation

The Mexican peso is the Company's functional currency for transactions in Mexico and the presentation currency of its consolidated financial statements.

The accompanying consolidated financial statements have been prepared on a historical cost basis, except for certain assets and liabilities (mainly derivative financial instruments) and other equity instruments, which are measured at fair value at the end of the reporting period, and the non-monetary assets of the Company's subsidiaries in hyperinflationary economies, which are restated for inflation, as explained in the accounting policies below.

i. Historical cost

Historical cost is generally equal to the fair value of the consideration to which the Company is entitled in exchange for the goods and services received.

ii. Fair value

Fair value is the price to sell an asset or transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or liability, the Company takes into account the characteristics of the asset or liability that market participants would take into account when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these consolidated financial statements is determined on such a basis, except for measurements that have some similarities to fair value but are not fair value, such as net realizable value in IAS 2 or value-in-use in IAS 36.

For financial reporting purposes, fair value measurements are categorized into Level 1, 2 or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement in its entirety, which is described as follows:

- Level 1: quoted (unadjusted) market prices in active markets for identical assets or liabilities that the Company can access at the measurement date.
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly indirectly
- Level 3: unobservable inputs are considered.

Restatement of financial statements

The consolidated statement of income, the consolidated statement of other comprehensive income and the consolidated statement of cash flows for the years ended December 31, 2021 and 2020, were reformulated to present the confectionery business disposed of in 2022 as a discontinued operation.

Basis of presentation

Current versus non-current (short-term versus long-term) classification

The Company presents assets and liabilities in the consolidated statement of financial position as current when it is:

- Expected to be realized or intended to be sold or consumed in the normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realized within twelve months after the reporting period
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in the normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period, or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The terms of the liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

The Company classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

c) Basis of consolidation

In accordance with IFRS 10, the consolidated financial statements comprise the financial statements of the Company, its subsidiaries and other entities as of December 31, 2022, 2021 and 2020.

The Company's most significant subsidiaries included in the consolidated financial information are as follows:

Subsidiary	% equity interest	Country	Segment	Primary activity
Bimbo, S.A. de C.V.	97	Mexico	Mexico	Baking
Barcel, S.A. de C.V.	98	Mexico	Mexico	Snacks
Productos Ricolino, S.A.P.I. de C.V. (1)	98	Mexico	Mexico	Confectionery
Bimbo Bakeries, Inc.	100	United States	North America	Baking
Canada Bread Corporation, LLC	100	Canada	North America	Baking
Bimbo do Brasil, Ltda.	100	Brazil	Latin America	Baking
Bakery Iberian Investments, S.L.U.	100	Spain and Portugal	EAA	Baking

(1) On November 1st, 2022, the confectionery business was sold.

Subsidiaries are consolidated from the date on which control is transferred to the Company and are no longer consolidated from the date that control is lost. Gains and losses of subsidiaries acquired during the year are recognized in the consolidated statement of profit or loss and statement of comprehensive income from the acquisition date, as applicable.

Non-controlling interest represents the portion of profit or loss and net assets that do not correspond to the Company but to the minority shareholders and is recognized separately in the consolidated financial statements.

The political and economic situation in Venezuela has significantly limited the capacity of the Company's subsidiaries in Venezuela to maintain their production process under normal conditions. Due to the above, and since Grupo Bimbo will continue its operations in Venezuela, as of June 1, 2017, the Company changed the method under which it consolidated the financial position and performance of its operations in Venezuela; therefore, at the date of these financial statements, the Company measures its investment in Venezuela at fair value through other comprehensive income (OCI), in accordance with IFRS 9.

The Company elected to classify irrevocably its equity investments in affiliates in Venezuela under this category as it intends to hold these investments for the foreseeable future. As of December 31, 2022, 2021 and 2020, the Company recognized an impairment loss of $32, $112 and $239, respectively, in other comprehensive income.

Profit or loss and each component of OCI are attributed to the equity holders of the parent of the Company and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance.

All intercompany balances and transactions have been eliminated on consolidation.

d) Business combination

Business combinations are accounted for using the acquisition method. The consideration transferred in a business acquisition is measured at fair value, which is calculated as the sum of the fair values of the assets transferred by the Company, the liabilities incurred by the Company to the former owners of the acquiree and the equity interests issued by the Company in exchange for control of the acquiree. Costs related to the acquisition are generally recognized in profit or loss as incurred.

At the acquisition date, all identifiable assets acquired and liabilities assumed in a business combination are measured at fair value, except for:

- Deferred tax assets or liabilities and assets or liabilities related to employee benefits are recognized and measured in accordance with IAS 12 *Income Taxes* and IAS 19 *Employee Benefits*, respectively;
- Liabilities or equity instruments related to share-based payment arrangements of the acquiree or share-based payment arrangements of the Company entered into to replace share-based payment arrangements of the acquiree that are measured in accordance with IFRS 2 *Share-based Payments* at the acquisition date (as of December 31, 2022, 2021 and 2020, the Company does not have share-based payments);

- Assets (or disposal groups) that are classified as held for sale and measured in accordance with IFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*.

Goodwill is measured at cost (being the excess of the aggregate of the consideration transferred and the amount recognized for non-controlling interests and any previous interest held over the net identifiable assets acquired and liabilities assumed). If, after reassessment, the fair value of the net assets acquired and liabilities assumed at the acquisition date is in excess of the aggregate consideration transferred, the amount recognized for non-controlling interests in the acquiree and any previous interest held over the acquiree is recognized in profit or loss as gain on business combinations.

Non-controlling interests may be initially measured either at fair value or at the proportional share of the acquiree's identifiable net assets. The election is made on a transaction-by-transaction basis.

When the consideration transferred by the Company in a business combination includes assets or liabilities resulting from a contingent consideration arrangement, the contingent consideration is measured at fair value at the acquisition date and is included as part of the consideration transferred. Changes in the fair value of the contingent consideration that qualify as measurement period adjustments are adjusted retrospectively and the corresponding adjustments are charged against goodwill. Measurement period adjustments are adjustments that arise from additional information obtained during the 'measurement period' (which cannot exceed one year following the acquisition date) on facts and circumstances that existed at the acquisition date.

The subsequent accounting for changes in the fair value of the contingent consideration that do not qualify as measurement period adjustments depends on the classification of the contingent consideration. Contingent considerations classified as equity are not remeasured at subsequent reporting dates and its subsequent settlement is accounted for within equity. Contingent considerations classified as assets or liabilities are remeasured at subsequent reporting dates in accordance with IFRS 9 or IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*, as appropriate, and the corresponding gain or loss is recognized in profit or loss.

When a business combination is achieved in stages, any previous interest held over the acquiree is remeasured at fair value at the acquisition date and the resulting gain or loss, if any, is recognized in profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognized in other comprehensive income are reclassified to profit or loss when such treatment is appropriate if that interest is disposed of.

If the initial accounting treatment for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Company must report provisional amounts for the items for which the accounting is incomplete. Such provisional amounts are adjusted during the measurement period or additional assets or liabilities are recognized to reflect new information obtained about facts and circumstances that existed at the acquisition date that, if known, would have affected the amounts recognized at that date.

e) Assets held for sale and discontinued operations

The Company classifies non-current assets and disposal groups as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. The criteria for held for sale classification is regarded as met only when the sale is highly probable and the asset or disposal group is available for immediate sale in its present condition, subject only to terms that are usual and customary for sales of such assets or disposal groups. Management must be committed to the plan to sell the asset and the sale expected to be completed within one year from the date of the classification.

Non-current assets and disposal groups classified as held for sale are measured at the lower of their carrying amount and fair value less costs that the Company expects to incur in the sale.

Discontinued operations are excluded from the results of continuing operations and are presented as a single amount as after-tax profit or loss from discontinued operations in the income statement. Additional disclosures are provided in Note 24. All other notes to the financial statements include amounts for continuing operations, unless otherwise indicated.

f) Recognition of the effects of inflation

The effects of inflation are recognized when the functional currency of an entity is the currency of a country with a hyperinflationary economic environment.

An analysis of the cumulative inflation rates for the three prior years in the countries of the Company's primary operations is as follows:

	2022 – 2020		2021 – 2019		2020 – 2018	
	Cumulative inflation rate	**Type of economy**	Cumulative inflation rate	Type of economy	Cumulative inflation rate	Type of economy
Mexico	**19.39%**	Non-hyperinflationary	13.87%	Non-hyperinflationary	11.19%	Non-hyperinflationary
USA	**15.86%**	Non-hyperinflationary	10.97%	Non-hyperinflationary	5.40%	Non-hyperinflationary
Canada	**12.90%**	Non-hyperinflationary	8.10%	Non-hyperinflationary	5.05%	Non-hyperinflationary
Spain	**11.98%**	Non-hyperinflationary	7.05%	Non-hyperinflationary	1.51%	Non-hyperinflationary
Brazil	**15.90%**	Non-hyperinflationary	13.01%	Non-hyperinflationary	12.92%	Non-hyperinflationary
Argentina	**299.49%**	Hyperinflationary	215.85%	Hyperinflationary	162.53%	Hyperinflationary

Starting in July 2018 and June 30, 2022, the economies of Argentina and Turkey, respectively, are considered to be hyperinflationary; consequently, the Company's subsidiaries in these countries recognized, in accordance with IAS 29, the following adjustments for the cumulative effects of inflation:

- Using inflation factors to restate non-monetary assets such as inventories, property, plant and equipment, and intangible assets.
- Recognizing the net monetary position in the consolidated statement of profit or loss.

g) Foreign currency transactions

Exchange differences on monetary items are recognized in profit or loss, except in the following cases:

- Exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings;
- Exchange differences on transactions entered into in order to hedge certain foreign currency risks (see Note 17);
- Exchange differences on monetary assets or liabilities related to foreign operations with no planned settlement and for which payment cannot be made (thus forming part of the net investment in the foreign operation) are initially recognized in other comprehensive income and are reclassified from equity to profit or loss as reimbursements of monetary items.

Translation to the Company's presentation currency

On consolidation, the assets and liabilities of foreign operations are translated into Mexican pesos using the prevailing exchange rate at the reporting date. Income and expense items are translated at the average exchange rates for the period, unless the exchange rates fluctuate significantly during that period, in which case the exchange rates at the dates of the transactions are used. The assets and liabilities of operations in hyperinflationary economies are translated using the exchange rate prevailing at the reporting date. The exchange differences arising on translation for consolidation are recognized in other comprehensive income and accumulated in equity and attributed to non-controlling interests as appropriate.

On disposal of a foreign operation (i.e. a disposal of the Company's entire interest in a foreign operation, or a disposal involving loss of control over a subsidiary that includes a foreign operation, or a partial disposal of an interest in a joint arrangement or an associate that includes a foreign operation of which the retained interest becomes a financial asset), the component of OCI relating to that particular foreign operation is reclassified to profit or loss.

Any goodwill arising on the acquisition of a foreign operation and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition are treated as assets and liabilities of the foreign operation and translated at the spot rate of exchange at the reporting date. Exchange differences resulting from the translation are recognized in other comprehensive income.

The annual average and closing exchange rates of the Mexican peso and the exchange rates functional currencies of the countries of the main subsidiaries as of December 31, 2022, 2021 and 2020 is as follows:

	Average exchange rate			Closing exchange rate		
	2022	2021	2020	**2022**	2021	2020
USA	**20.1250**	20.2818	21.4955	**19.3615**	20.5835	19.9487
Canada	**15.4634**	16.1111	16.0529	**14.2931**	16.1782	15.5424
Spain	**19.1003**	23.3129	24.5343	**18.1525**	21.4648	24.4790
Brazil	**3.8960**	3.6885	4.1764	**3.7107**	3.7629	3.8387
Argentina	**0.1542**	0.2004	0.3045	**0.1093**	0.2133	0.2371

h) Cash and cash equivalents

Cash and cash equivalents principally consist of bank deposits in checking accounts and highly liquid, readily available low-risk investments in short-term securities, maturing within three months following the purchase date. Cash is stated at nominal value and cash equivalents ($9,856, $6,393 and $5,663 in 2022, 2021 and 2020) are stated at fair value. Gains and losses from changes in the value of cash and cash equivalents are recognized in profit or loss (see financial assets below). Cash and cash equivalents principally consist of investments in government debt instruments with daily maturities.

i) Financial assets

All recognized financial assets are measured subsequently in their entirety at either amortized cost or fair value, depending on the classification of the financial assets.

Financial asset classification

Financial instruments are measured at fair value through OCI if both of the following conditions are met:

- The financial asset is held within a business model with the objective of both holding to collect contractual cash flows and selling
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding

The remaining financial assets are subsequently measured at fair value through profit or loss (FVTPL).

Notwithstanding the above, upon initial recognition, the Company can elect to classify irrevocably its equity investments as equity instruments designated at fair value through OCI when they are not held for trading and do not correspond to contingent consideration transferred by an acquirer in a business combination.

Equity investments at fair value through OCI are initially measured at cost, plus transaction costs, and are subsequently measured at fair value and the gains and losses from the fair value changes are recognized in OCI. Upon derecognition, cumulative gains and losses are never recycled to profit or loss, and instead are recorded in retained earnings.

Derecognition of financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognized when:

- The rights to receive cash flows from the financial asset have expired, or
- The Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Company has transferred substantially all the risks and rewards of the asset, or (b) the Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

1. Accounts receivable

Trade accounts receivable and other accounts receivable are non-derivative financial assets with fixed or determinable payments that are not traded on an active market. These instruments are classified as accounts receivable and are measured at amortized cost using the effective interest rate method and are subject to impairment.

Interest income is recognized by applying the effective interest rate, except for short-term receivables when the effect of discounting is immaterial.

2. Impairment in the value of financial assets

The Company assesses at each reporting date whether its non-FVTPL financial assets are impaired.

The Company recognizes a provision for expected credit losses for trade receivables. The Company uses a provision matrix to calculate expected credit losses for trade receivables. The provision matrix is initially based on the Company's historical credit loss experience and is subsequently adjusted for factors that are specific to the debtors, general economic conditions and an assessment of the current direction and forecast of future conditions at the reporting date, including the time value of money, when applicable.

The Company considers a financial asset in default when contractual payments are 90 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Regarding trade accounts receivables, the carrying amount is reduced through the expected credit losses reserve. The expected credit losses of these financial assets are estimated using a matrix based on the Company's history of credit losses adjusted for specific credit factors associated to the customers, general economy conditions and an assessment of current and future conditions as of the reporting period, including time value of money as appropriate.

j) Inventories and cost of sales

Inventories are valued at the lower of cost or net realizable value.

Costs incurred in bringing each product to its present location and condition are accounted for, as follows:

- Raw materials, containers, packaging and spare parts: at cost, which includes the cost of the merchandise plus import costs, minus discounts, using the average cost method.
- Finished goods and orders in process: standard cost equal to the cost of direct materials and direct labor costs, plus a proportion of manufacturing overheads based on the normal operating capacity.

Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs to sell and the estimated costs necessary to make the sale.

k) Property, plant and equipment

Property, plant and equipment is recognized at its adjusted historical cost, net of accumulated depreciation and accumulated impairment losses, if any. Fixed assets acquired in Mexico before December 31, 2007 were restated for inflation through that date based on the National Consumer Price Index (NCPI), which became the estimated cost of such assets as of January 1st, 2011 upon the Company's adoption of IFRS.

The cost includes those costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

The costs of expansion, remodeling or improvements that enhance the capacity and increase the productivity and extend the useful life of the asset are also capitalized. Repair and maintenance costs are expensed as incurred. The carrying amount of the replaced asset, if any, is derecognized when replaced, and the effect is recognized in profit and loss.

Freehold land is not depreciated. Depreciation of property, plant and equipment is calculated on the assets' carrying amounts on a straight-line basis over the estimated useful lives of the assets, as follows:

	No. of years
Buildings:	
Construction	15 – 30
Foundations	35 – 50
Roofs	10 – 30
Fixed facilities and accessories	10 – 20
Production equipment	3 – 25
Transportation equipment	8 – 16
Furniture and equipment	2 – 18
Computing equipment	4
Leasehold improvements	**The lower of either the related lease term or the useful life of the asset**

The Company allocates the amount initially recognized in respect of an item of buildings and production equipment to its various significant parts (components) and depreciates each of these components separately.

The carrying amount of an asset is adjusted to its recoverable value, when the carrying amount exceeds its estimated value in use.

An item of property, plant and equipment is derecognized upon disposal or when no future economic benefits are expected from its use. Any gain or loss arising from derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognized in results.

Leasehold improvement and adaptations to buildings and sites in which the Company is the lessee are recognized at historical cost less the respective depreciation.

l) Right-of-use assets

Right-of-use assets are initially measured at the present value of lease payments, less any lease incentives received and initial direct costs. Right-of-use assets are subsequently measured at cost net of accumulated depreciation, impairment losses and adjustments for any remeasurement of lease liabilities in accordance with IFRS 16. The Company decided to present leases as finance or capitalized operating as shown in Note 9.

Right-of-use assets are depreciated over the shorter of the lease term and the estimated useful lives of the assets. If ownership of the leased asset transfers to the Company at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset.

Lease payments for low-value assets (less than USD5,000) and short-term leases (less than 12 months) are recognized directly in profit or loss.

m) Investment in associates

An associate is an entity over which the Company has significant influence that it is defined as the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

The operating results and the net assets and liabilities of associates are recognized in the consolidated financial statements using the equity method, except if the investment or part of the investment is classified as held for sale in accordance with IFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*.

Under the equity method, the investment in an associate is initially recognized at cost. The carrying amount of the investment is adjusted to recognize changes in the Company's share of net assets of the associate since the acquisition date. When the Company's share of loss of an associate exceeds the Company's interest in that associate, the Company discontinues the recognition of its share of further losses.

On acquisition of the investment, any difference between the cost of the investment and the Company's share of the net fair value of the identifiable assets and liabilities of the associate is accounted for as goodwill, which is included in the carrying amount of the investment.

The Company discontinues the use of the equity method from the date the investment ceases to be an associate, or when the investment is classified as held for sale.

The investment in an associate will be subject to impairment if, and only if, there are one or more events with an impact on the estimated future cash flows of this investment; in which case the book value, including goodwill, will be subject to impairment tests in accordance with IAS 36. Any reversal of that impairment loss is subsequently recognized in income when the recoverable amount of the investment increases.

If the Company's participation in an associate is reduced, but it continues to apply the equity method, it reclassifies to results the proportion of the gain or loss that had previously been recognized in other comprehensive income for the value of the reduction of its interest in the associate. investment if that profit or loss had been reclassified to the income statement on the disposal of the related assets or liabilities.

Profits and losses resulting from transactions between the Company and the associate are recognized in the Company's consolidated financial statements only to the extent of unrelated investors' interests in the associate.

n) Intangible assets

Intangible assets are primarily comprised of trademarks and customer relationships resulting from the acquisition of businesses. Intangible assets acquired through a business combination are recognized at fair value at the acquisition date, separately from goodwill. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and accumulated impairment losses. Internally generated intangibles, excluding development costs, are not capitalized and the related expenditure is reflected in profit or loss in the period in which the expenditure is incurred.

The useful lives of intangible assets are assessed as either finite or indefinite, based on the contractual terms established at acquisition. Trademarks are considered to have indefinite useful lives when ownership is acquired and otherwise are amortized.

Intangible assets with finite lives are amortized over the useful economic life and assessed for impairment whenever there is an indicator that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed and adjusted at least at the end of each reporting period. The amortization expense on intangible assets with finite lives is recognized in the statement of profit or loss under general expenses.

Intangible assets with indefinite useful lives are not amortized but are tested for impairment at least annually. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

o) Impairment of tangible and intangible assets, other than goodwill

At the end of each reporting period, the Company assesses whether there is any indicator that its tangible and intangible assets, including right-of-use assets, may be impaired. If any such indication exists, the Company estimates the asset's recoverable amount. If it is not possible to estimate the recoverable amount of the individual asset, the Company determines the recoverable amount of the cash-generating unit to which the asset belongs. When a reasonable

and consistent basis can be identified, corporate assets are also allocated to the cash-generating unit, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified. Intangible assets with indefinite useful lives or not yet available for use, are tested for impairment on an annual basis (for trademarks with indefinite useful lives the recoverable value assessment is estimated by adding it to the CGU of the corresponding group, given that the trademarks do not generate independent cash flows) or more often if there is any indication that the intangible asset may be impaired.

The recoverable amount is the higher of the asset's fair value less costs to sell and its value-in-use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. Impairment losses are recognized immediately in profit or loss. Annually, when there are indicators that the carrying amount of the Company's assets with finite useful lives has significantly increased, due to changes in the legal, economic, technological or market environment in which the asset is operated or to changes in interest rates that will affect the discount rate used in prior periods to determine the value in use of the asset, the Company estimates the new recoverable amount of the asset on an annual basis in order to determine the amount of accumulated impairment losses to be reversed.

Where an impairment loss is subsequently reversed, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognized for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognized immediately in the statement of profit or loss.

p) Goodwill

Goodwill arising from business combinations is recognized at the cost determined on the acquisition date of the business, as described in the business acquisitions policy note, net of any accumulated impairment losses (see Note 12).

Goodwill is allocated to each cash-generating unit (or group of cash-generating units) that is expected to benefit from the synergies achieved from the combination.

The cash-generating units to which goodwill has been allocated are tested for impairment on an annual basis, or more frequently if there are any indicators of impairment. If the recoverable amount of a cash-generating unit is lower than its carrying amount, the impairment losses recognized in respect of the cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to reduce the carrying amount of the other assets in the unit on a pro rata basis. Impairment in goodwill is recognized directly in profit or loss. Any loss from impairment in the value of goodwill cannot be reversed in future years.

When the relevant cash-generating unit is disposed of, the remaining amount of goodwill is included in the calculation of gains or losses at the time of the disposal.

The Company's policy for goodwill arising on the acquisition of an associate is described in Note 3m.

q) Financial liabilities

Financial liabilities are initially recognized at fair value, net of transaction costs, except for financial liabilities designated at fair value through profit or loss, which are initially recognized at fair value. Subsequent measurement depends on the designation of the financial liability.

Financial liabilities are classified as either financial liabilities at fair value through profit or loss (FVTPL) or other financial liabilities. Note 17 describes the category of each financial liability of the Company.

Subsequent measurement depends on the category of the financial liability. Loans and borrowings are subsequently measured using effective interest method. Gains and losses are recognized in the consolidated statements of profit or loss when the liabilities are amortized. Amortized cost is calculated considering any discount or premium on acquisition and fees or costs that are an integral part of the effective interest method. The effective interest method amortization is included in interest expense caption. For subsequent measurement of derivatives see Note 3 r).

Derecognition of financial liabilities

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the statement of profit or loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statement of financial position if there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realize the assets and settle the liabilities simultaneously.

r) Derivative financial instruments and hedge accounting

Derivatives are initially recognized at fair value on the date on which a derivative contract is entered into and are subsequently remeasured at fair value. Presentation of the related gain or loss from changes in fair value of the derivative financial instrument depends on whether they are designated as hedging instruments, and if so, the nature of the hedging relationship. The Company only holds derivative financial instruments classified as cash flow hedges and hedges of net investment in foreign operations.

At the inception of a hedge relationship, the Company formally documents the hedge relationship between the hedging instrument and the hedged items, including the risk management objective and strategy for undertaking the hedge. Periodically, the Company documents whether the derivative financial instrument is highly effective in offsetting changes in fair values or cash flows of the hedged item attributable to the hedged risk.

The hedge ineffectiveness can arise from:

- Differences in the timing of the cash flows of the hedged items and the hedging instruments
- Different indexes (and accordingly different curves) linked to the hedged risk of the hedged items and hedging instruments
- The counterparties' credit risk differently impacting the fair value movements of the hedging instruments and hedged items
- Changes to the forecasted amount of cash flows of hedged items and hedging instruments

Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative. Derivatives are not offset in the consolidated financial statements unless the Company has both a legally enforceable right and intention to offset. Derivatives are accounted for as non-current assets or liabilities if the remaining maturity of the instrument is more than 12 months and the instrument is not expected to be realized or settled within 12 months. All other derivatives are accounted for as current assets or liabilities.

Cash flow hedges

The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges is recognized in OCI under Valuation effects of cash flow hedges. The gain or loss relating to the ineffective portion is immediately recognized in profit or loss. Amounts previously recognized in other comprehensive income and accumulated in equity are reclassified to profit or loss as a reclassification adjustment in the same period or periods during which the hedged cash flows affect profit or loss.

Any gain or loss recognized in other comprehensive income and accumulated in equity at that time remains in equity and is recognized in profit or loss when the forecast transaction occurs, and its effects are ultimately recognized in profit or loss.

Hedge accounting is discontinued when the Company revokes the hedging relationship, when the hedging instrument expires or is sold, terminated, or exercised, when the hedge effectiveness requirements are not met or when the Company decides to cancel the hedge designation. To give continuity to the hedging strategy, the Company may extend the hedging terms of the hedged item, by contracting new derivative instruments respecting the main characteristics of the derivative and the original hedging strategy without altering the objective of the administration of Company risk.

Hedges of net investment in foreign operations

Hedges of net investments in foreign operations are accounted for similarly to cash flow hedges. Any gain or loss on the hedging instrument relating to the effective portion of the hedge is recognized in other comprehensive income and accumulated under the heading of Translation effects of foreign subsidiaries. The gain or loss relating to the ineffective portion is immediately recognized in profit or loss under Foreign Exchange gain/(loss), net. Amounts previously recognized in other comprehensive income and accumulated in equity are reclassified to profit or loss on the disposal of the foreign operation.

s) Lease liabilities

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the incremental borrowing rate (IBR) applicable in the countries where the Company operates. The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect the lease payments made and is adjusted for certain remeasurements or amendments made to the lease contracts.

The estimated IBR is the interest rate that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right of use asset in a similar economic environment. The Company estimates the IBR using observable inputs, such as market interest rates, when available, and its credit rating.

Leases for which the lease term ends within 12 months after the date of initial application irrespective of when the lease term commenced are accounted for as short-term (current) leases in the consolidated statement of financial position; otherwise, they are accounted for as long-term (non-current) leases.

t) Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligations and a reliable estimate can be made of the amount of the obligations.

The amount recognized as a provision is the best estimate of the expenditure required to settle the present obligation at the balance sheet date, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured based on the estimated cash flows required to settle the present obligation, it is carrying amount represents the present value of these cash flows when the effect of the time value of money is material.

All contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. At the end of subsequent reporting periods, such contingent liabilities are measured at the higher of the amount that would be recognized in accordance with IAS 37 and the amount initially recognized, less cumulative amount of income recognized in accordance with IFRS 15.

Uncertain tax treatments

The Company constantly evaluates the tax treatments of all its consolidated entities and identifies the tax treatments for which there is uncertainty as to their acceptance by the tax authorities. In view of the current circumstances of the reviews underway, as well as the tax treatments applied by the entities, the tax treatments are quantified considering the conditions of each tax jurisdiction and the approach that better predicts the resolution of the uncertainty, using the most likely amount or the expected value method, as applicable. The related effects are recognized in the statement of profit or loss.

The Company determines whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and uses the approach that better predicts the resolution of the uncertainty.

u) Income tax

Income tax expense consists of current and deferred tax. Current and deferred taxes are recognized as either income or an expense in profit or loss, except for tax items that must be recognized as other comprehensive income items or in equity. For business combinations, the tax effect is included in the recognition of the business combination.

1. Current income tax

Current income tax is calculated based on the tax rates and tax laws enacted or substantively enacted at the reporting date in the countries where the Company operates and generates taxable income. The related income tax expense is recorded in profit or loss as incurred.

2. Deferred taxes

Deferred taxes are recognized on all temporary differences between financial reporting and tax values of assets and liabilities based on tax rates that have been enacted at the reporting date and where applicable, they include unused tax losses and certain tax credits. Deferred tax assets or liabilities are recognized for all temporary differences, with certain exceptions. The Company recognizes a deferred tax asset for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be utilized.

Deferred tax assets and liabilities are measured at the tax rates and regulations that that have been enacted or substantively enacted at the reporting date and tax rates that are expected to apply in the year when the temporary differences are reversed.

Deferred taxes are recognized for all taxable temporary differences, except:

i) when the deferred tax arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.
ii) in respect of temporary differences associated with investments in subsidiaries and associates, when it is probable that the temporary differences will not reverse in the foreseeable future.
iii) taxable temporary differences arising on the initial recognition of goodwill. Deferred tax assets are recognized to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilized.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that taxable profit will be available against which the deductible temporary difference can be utilized. Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the liability is settled or the asset is realized, based on tax rates (and tax laws) that have been enacted or substantively enacted, for future tax periods, at the end of the reporting date.

The Company offsets deferred tax assets and deferred tax liabilities only if it has a legally enforceable right to set off current tax assets and current tax liabilities and relate to income taxes levied by the same taxation authority or if they are different taxable entities, which intend either to settle current tax liabilities and assets on a net basis, or to realize the assets and settle the liabilities simultaneously.

v) Employee benefits

i. Pensions and seniority premiums

Defined contribution plans are post-employment benefit plans under which an entity pays fixed contributions into a separate entity or a fund and will have no legal or constructive obligation to pay further contributions. The obligation is recognized as an expense when the employees have rendered the service entitling them to the contributions.

A defined benefit plan is a post-employment plan under which the Company has the obligation to provide the agreed benefits to current and former employees. The cost of providing benefits under a defined benefit plan that includes pensions and seniority premiums is determined using the projected unit credit method, with actuarial valuations being carried out at the end of each annual reporting period. Remeasurements, comprising actuarial gains and losses, the effect of the changes to the asset ceiling (if applicable) and the return on plan assets (excluding interest), are immediately recognized in the statement of financial position with a corresponding debit or credit to retained earnings through OCI in the period in which they occur. Remeasurements are not reclassified to profit or loss in subsequent periods. Past service costs are recognized in profit or loss at the date of the plan amendment. Net interest is calculated by applying the discount rate to the net defined benefit liability or asset.

The defined benefit retirement plan obligation recognized in the consolidated statement of financial position includes changes in the present value of the defined benefit obligation. The present value of the net defined benefit obligation is determined based on the discounted value of estimated net cash flows, using interest rates tied to government bonds denominated in the same currency in which the benefits are to be paid and whose terms are similar to those of the obligation.

ii. Statutory employee profit sharing

In Mexico, Ecuador and Brazil, the Company is required to recognize a provision for employee profit sharing when it has a present legal or constructive obligation as a result of a past event and the amount can be reliably estimated. Employee profit sharing is recognized in profit or loss as incurred.

iii. Short-term employee benefits

A liability is recognized for benefits accruing to employees in respect of wages and salaries, annual leave, short-term bonus and sick leave in the period the related service is rendered.

iv. Termination benefits

A liability is recognized for termination benefits only when the Company cannot withdraw its offer to provide termination benefits to the employee and/or when it recognizes the related restructuring costs.

v. Long-term bonus

The Company grants a long-term cash bonus to certain executives, which is calculated based on performance metrics. The bonus is paid 30 months following the date on which it was granted, and it is recognized in profit or loss in the year in which it accrues and the employee is entitled to receive the bonus.

vi. Multi-employer pension plans (MEPP)

The Company classifies multi-employer plans as defined contribution plans or defined benefit plans in order to determine the accounting for such plans. If the MEPP is classified as a defined benefit plan, the Company accounts for its proportionate share of the defined benefit obligation, plan assets and costs associated with the plan in the same manner as for any other defined benefit plan. When sufficient information is not available to use defined benefit accounting for a MEPP, the Company accounts for such plan as a defined contribution plan and recognized in profit or loss the total amount of contributions paid by the employer.

Liabilities related to the payment of or withdrawal from a multi-employer plan is recognized and measured in accordance with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*.

w) Revenue recognition

The Company earns its revenue primarily from contracts with customers for the sale of products. Revenue is recognized when control of the goods is transferred to the customer, which is when the performance obligation is satisfied and the Company is entitled to collect the consideration from the customer in exchange for these products. To determine the transaction price, the Company considers the effects of variable considerations such as rights of return and rebates. Payments made to customers for commercial services are recognized as distribution and selling expenses.

Rights of return

Certain contracts provide a customer with a right to return the goods within a specified period. The Company uses the expected value method to estimate the goods that will be returned because this method best predicts the amount of variable consideration to which the Company will be entitled. For goods that are expected to be returned, the Company recognizes a refund liability and a corresponding adjustment to revenue.

Volume rebates

The Company provides retrospective volume rebates to certain customers when the conditions established in the contract are met. Rebates are offset against amounts payable by the customer and against the respective revenue. To estimate the variable consideration for the expected future rebates, the Company applies the most likely amount method for contracts with a single-volume threshold and the expected value method for contracts with more than one volume threshold.

4. Critical accounting judgments and key sources of estimation uncertainty

In the process of applying the Company's accounting policies, which are described in Note 3, management is required to make judgments, estimates and assumptions about the carrying amount of assets and liabilities. The estimates and associated assumptions are based on historical experience and other factors that are considered relevant. Actual results could differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. The effects of changes in accounting estimates are recognized in the period of the change and future periods if the change affects both.

a) *Critical judgment in applying accounting policies*

Consolidation of structured entities

As described in more detail in Note 7, BBU has entered into agreements with third party contractors (Independent Commercial Partners) in which it holds no direct or indirect interest but that qualify as structured entities (SE). The Company has concluded that some of these structured entities meet the requirements to be consolidated in accordance with IFRS 10 *Consolidated Financial Statements*.

b) *Key sources of estimation uncertainty*

i. Useful lives, residual values and depreciation methods for long-lived assets

As described in Note 3, the Company periodically reviews the estimated useful lives, residual values and depreciation methods of long-lived assets, including property, plant and equipment and intangibles. Additionally, for intangible assets, the Company determines whether their useful lives are finite or indefinite. The Company, with an effective date of January 1st, 2021, determined that the estimated useful life of the product displays ranges between 2 and 5 years; this change had an effect on the consolidated financial statements during the adoption period. In addition, as of January 1st, 2020, the Company determined that the estimated useful life of trays is 3 years, which had no significant impact on the consolidated financial statements.

ii. Incremental borrowing rate

The Company uses its IBR to measure lease liabilities. The IBR is the rate of interest that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment at contract inception date. The IBR therefore reflects what the Company 'would have to pay', which requires estimation when no observable rates are available or when they need to be adjusted to reflect the terms and conditions of the lease. The Company estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain entity-specific estimates.

iii. Impairment of goodwill and indefinite-life intangible assets

Determining whether goodwill and indefinite-life intangible assets are impaired involves calculating the recoverable value of the cash-generating unit to which these assets have been allocated. Recoverable amount is the higher of fair value less costs of disposal and value-in-use. The calculation of the value-in-use requires the Company to determine the expected future cash flows from the cash-generating units, using an appropriate discount rate to calculate the present value.

iv. Fair value measurements

Derivative financial instruments are recognized in the statement of financial position at fair value at the reporting date. In addition, the fair value of certain financial instruments, mainly with respect to long-term debt, is disclosed in the accompanying notes, though there is no risk of adjustment to the related carrying amount (see Note 17). The Company has acquired businesses for which it is required to determine the fair value of the consideration paid, the identifiable assets acquired and liabilities assumed and, if applicable, the non-controlling interest at the date of the acquisition, as described in Note 1.

The fair values described above are estimated using valuation techniques that may include inputs that are not based on observable market data. The main assumptions used by management are described in the related notes. The Company considers that the valuation techniques and assumptions selected are appropriate for the determination of the fair values.

v. Employee benefits

The cost of defined benefit plans and MEPP (considered as defined benefits) is determined using actuarial valuations that involve assumptions related to discount rates, future salary increases, employee turnover rates and mortality rates, among others. Due to the long-term nature of these plans, the assumptions used for such estimates are subject to change.

vi. Recoverability of deferred income tax

To determine whether a deferred income tax asset related to tax losses carryforwards is impaired or if it will be recovered in the future, the Company analyses financial and tax projections to determine its recoverability.

vii. Insurance and other liabilities

Insurance risks in the United States of America related to the liability for general damages to third parties, car insurance and employee benefits are self-insured by the Company with coverage that is subject to specific limitations established in an insurance program. Provisions for claims are recorded on an incurred-claim basis. Insurable risk liabilities are determined using the Company's historical data. As of December 31, 2022, 2021 and 2020, the net liabilities amounted to $4,741, $5,546 and $5,309, respectively.

5. Trade accounts receivables and other accounts receivable

	2022	2021	2020
Trade receivables	$ 22,449	$ 20,081	$ 17,946
Allowance for expected credit loss [1]	(849)	(897)	(838)
	21,600	19,184	17,108
Notes receivable	69	23	29
Income tax, value added tax and other recoverable taxes [2] and [3]	8,249	5,738	8,685
Sundry debtors [4]	2,267	2,225	1,665
	$ 32,185	$ 27,170	$ 27,487

[1] During 2022, 2021and 2020, the Company had no significant increases in its trade receivables balance nor was it necessary to implement changes in the model for estimating expected credit losses as a result of the COVID-19 pandemic.

[2] During 2021, the Company recovered value added tax corresponding to the year 2020 for $3,506, mainly in the subsidiaries of Mexico.

[3] During March 2019, the Company obtained certain favorable rulings on legal actions in Brazil related to some contributions, recognizing a right to recover. As of December 31, 2021 and 2020, the recoverable tax balance amounts to $170 and $388, respectively.

[4] As of December 31, 2022 and 2021, this balance includes an amount of $41 and $569 receivable from the insurance claim associated with the casualty in the San Fernando plant in Argentina.

Credit terms on non-cash sales of goods range from 21 to 60 days, depending on the customer and local business policies of the subsidiaries of the Company.

6. Inventories

	2022	2021	2020
Raw materials, containers and packaging	$ 7,331	$ 5,966	$ 4,490
Work in progress	171	111	108
Finished goods	6,030	4,864	4,036
Spare parts	1,832	1,400	1,143
	15,364	12,341	9,777
Raw materials in transit	1,625	1,369	1,116
	$ 16,989	$ 13,710	$ 10,893

For the years ended December 31, 2022, 2021 and 2020, the Company recognized inventory usage of $133,808, $106,199 and $97,891, respectively, in cost of sales, of which $4,355, $4,631 and $3,554 correspond to the discontinued operation respectively.

7. Structured entities

The Company, through its subsidiary BBU, enters into agreements with independent business partners for distribution rights to sell and distribute the Company's products through direct deliveries to retail stores in certain sales territories. The Company does not hold equity interests in any of the entities controlled by the independent business partners, some of which, finance the purchase of distribution rights through loans from financial institutions with the Company's support. To maintain working routes and ensure the delivery of products to customers, the Company assumes explicit and implicit commitments. The Company has concluded that all independent business partners that are legal entities qualify as Structured Entities (SE), primarily due to the financial and operative support they receive from the Company. Based on this, the SE are consolidated in the Company's financial statements.

An analysis of the assets and liabilities of independent operators before eliminations as of December 31, 2022, 2021 and 2020 is as follows:

	2022	2021	2020
Inventories	$ 295	$ -	$ -
Right of use – vehicles	3,422	3,653	3,441
Distribution rights	7,664	8,138	7,631
Total assets	$ 11,381	$ 11,791	$ 11,072
Current portion of non-current debt:			
Obligations under finance leases	$ 830	$ 807	$ 715
Accounts payables	1,167	-	-
Loans granted to independent business partners	43	45	46
Non-current debt:			
Obligations under finance leases	1,319	1,715	1,858
Loans granted to independent business partners	44	53	48
Debt with affiliates (net of accounts receivable)	6,301	6,581	5,966
Total liabilities	$ 9,704	$ 9,201	$ 8,633
Non-controlling interest	$ 1,677	$ 2,590	$ 2,439

Funding provided by BBU to independent business partners that have been classified as SE and consolidated are eliminated in the consolidated financial statements.

Non-current lease liabilities are secured by the vehicles subject to leases and do not represent additional claims on the Company's assets.

In addition, BBU has sold certain distribution rights to third-parties. These routes may be repurchased again from third-parties to operate or resell them. During 2022, 2021 and 2020, total buybacks, net of sales, were approximately $372, $519 and $351, respectively. When BBU buys a route from an unconsolidated entity, this transaction is accounted for in accordance with IFRS 3. BBU recognizes at the date of the buyback transaction, an impairment when the purchase price of the distribution rights es lower than its cost.

BBU funds up to 90% of the distribution rights sold to certain independent operators. The loans bear interest of between 6% and 11%, with a weighted monthly average of 10%, and are payable in 120 monthly installments. Independent operators make an initial payment to the Company for the remaining 10% of the purchase price. In most cases, an independent third-party finances the down payment. Both the Company and the financing of independent third parties are guaranteed by the distribution routes, equipment, customer lists, and other assets. The independent third-party has priority over the collateral.

Net gain or loss originating from the sale of routes to an entity that is consolidated under IFRS 10 is eliminated in consolidation. Net gain originating from the sale of the distribution rights to entities that are not consolidated under IFRS 10 is deferred primarily due to the financing provided by BBU and an independent third party. BBU recognizes the deferred gain on a straight-line basis over the remaining term of the note receivable after the independent operator obtains a 10% ownership level over the route and, where applicable, the one year put option has expired. BBU recognized losses of $271, $580 and $510 for the sale of routes during 2022, 2021 and 2020, respectively, which is reflected in different lines of the income statement.

8. Property, plant and equipment

A reconciliation of the carrying amount of intangible assets at the beginning and at the end of 2022, 2021 and 2020 is as follows:

	Balance as of January 1st, 2022	Additions and depreciation of the year [3]	Business combinations and PPA adjustments[1]	Discontinued operation	Transfers[2]	Translation effect	Disposals	Impairment	Inflation restatement	Balance as of December 31, 2022
Investment:										
Buildings	$ 34,256	$ -	$ 130	$ (350)	$ 907	$ (2,869)	$ (174)	$ -	$ 874	$ 32,774
Manufacturing equipment	105,750	-	532	(2,635)	11,363	(7,155)	(1,481)	-	1,088	107,462
Vehicles	14,944	-	14	(506)	2,250	(227)	(479)	-	34	16,030
Office equipment and displays	3,953	-	29	(77)	2,738	(160)	(24)	-	16	6,475
Computer equipment	7,016	-	7	(67)	826	(409)	(155)	-	39	7,257
Total investment	165,919	-	712	(3,635)	18,084	(10,820)	(2,313)	-	2,051	169,998
Depreciation and impairment:										
Buildings	(18,081)	(1,696)	(1)	185	695	1,523	164	-	(630)	(17,841)
Manufacturing equipment	(53,123)	(7,231)	-	1,336	(309)	3,961	1,006	(190)	(640)	(55,190)
Vehicles	(7,082)	(935)	-	238	3	115	382	(8)	(1)	(7,288)
Office equipment and displays	(1,130)	(770)	(18)	15	11	62	21	-	(4)	(1,813)
Computer equipment	(5,588)	(656)	(4)	32	12	349	144	(1)	(30)	(5,742)
Total accumulated depreciation	(85,004)	(11,288)	(23)	1,806	412	6,010	1,717	(199)	(1,305)	(87,874)
	80,915	(11,288)	689	(1,829)	18,496	(4,810)	(596)	(199)	746	82,124
Land	8,537	-	89	(76)	245	(736)	(20)	-	105	8,144
Construction in process and machinery in transit	14,633	28,669	10	(451)	(18,420)	(1,109)	(54)	-	97	23,375
Less: Assets held for sale	(194)	-	-	-	44	12	-	-	-	(138)
Net investment	$ 103,891	$ 17,381	$ 788	$ (2,356)	$ 365	$ (6,643)	$ (670)	$ (199)	$ 948	$ 113,505

	Balance as of January 1st, 2021	Additions and depreciation of the year [3]	Business combinations and PPA adjustments[1]	Transfers	Translation effect	Disposals	Impairment	Inflation restatement	Balance as of December 31, 2021
Investment:									
Buildings	$ 31,431	$ -	$ 629	$ 2,044	$ (24)	$ (233)	$ -	$ 409	$ 34,256
Manufacturing equipment	95,573	-	1,038	10,210	230	(1,570)	-	269	105,750
Vehicles	14,545	-	10	875	15	(515)	-	14	14,944
Office equipment and displays	1,703	-	17	2,248	1	(16)	-	-	3,953
Computer equipment	6,851	-	8	807	109	(772)	-	13	7,016
Total investment	150,103	-	1,702	16,184	331	(3,106)	-	705	165,919
Depreciation and impairment:									
Buildings	(16,511)	(1,622)	-	201	(42)	168	(1)	(274)	(18,081)
Manufacturing equipment	(47,249)	(6,272)	-	(14)	(224)	925	(282)	(7)	(53,123)
Vehicles	(6,556)	(928)	-	28	(15)	397	-	(8)	(7,082)
Office equipment and displays	(851)	(305)	-	15	(3)	14	-	-	(1,130)
Computer equipment	(5,531)	(696)	-	(2)	(91)	744	-	(12)	(5,588)
Total accumulated depreciation	(76,698)	(9,823)	-	228	(375)	2,248	(283)	(301)	(85,004)
	73,405	(9,823)	1,702	16,412	(44)	(858)	(283)	404	80,915
Land	8,261	-	464	35	(70)	(241)	(24)	112	8,537
Construction in process and machinery in transit	9,722	20,671	766	(16,563)	35	(5)	-	7	14,633
Less: Assets held for sale	(140)	-	-	(55)	1	-	-	-	(194)
Net investment	$ 91,248	$ 10,848	$ 2,932	$ (171)	$ (78)	$ (1,104)	$ (307)	$ 523	$ 103,891

	Balance as of January 1st, 2020	Additions and depreciation of the year (3)	Business combinations and PPA adjustments(1)	Transfers	Translation effect	Disposals	Impairment	Inflation restatement	Balance as of December 31, 2020
Investment:									
Buildings	$ 29,196	$ -	$ 253	$ 1,411	$ 890	$ (672)	$ -	$ 353	$ 31,431
Manufacturing equipment	85,079	-	757	9,127	2,470	(2,458)	-	598	95,573
Vehicles	14,511	-	3	640	133	(752)	-	10	14,545
Office equipment	1,564	-	9	116	44	(28)	-	(2)	1,703
Computer equipment	6,025	-	404	534	213	(333)	-	8	6,851
Total investment	136,375	-	1,426	11,828	3,750	(4,243)	-	967	150,103
Depreciation and impairment:									
Buildings	(14,475)	(2,028)	(4)	9	(273)	519	-	(259)	(16,511)
Manufacturing equipment	(41,993)	(5,990)	-	19	(938)	2,224	(191)	(380)	(47,249)
Vehicles	(6,192)	(932)	(1)	15	(73)	637	-	(10)	(6,556)
Office equipment	(739)	(131)	(5)	17	(20)	25	-	2	(851)
Computer equipment	(4,684)	(683)	(364)	18	(139)	329	-	(8)	(5,531)
Total accumulated depreciation	(68,083)	(9,764)	(374)	78	(1,443)	3,734	(191)	(655)	(76,698)
	68,292	(9,764)	1,052	11,906	2,307	(509)	(191)	312	73,405
Land	7,976	-	75	(98)	341	(116)	-	83	8,261
Construction in process and machinery in transit	8,346	13,218	-	(11,962)	143	(10)	-	(13)	9,722
Less: Assets held for sale	(273)	-	-	168	(35)	-	-	-	(140)
Net investment	$ 84,341	$ 3,454	$ 1,127	$ 14	$ 2,756	$ (635)	$ (191)	$ 382	$ 91,248

(1) This column in 2022 includes the preliminary fair value of St. Pierre acquisition and the purchase price allocation adjustments (PPA) of: Popcornopolis, Aryzta Brasil and Kitty Industries; in 2021 includes the fair value of the acquisitions of Modern Foods, Emmy's Organic and Dulces del Campo and the preliminary fair value of Popcornopolis, Aryzta Brasil y Kitty Industries acquisitions; in 2020 includes the fair value of Lender', Julitas, Bimbo QSR Kazakhstan, Siro Paterna, Bimbonet Servicios adquisitions.

(2) Corresponds mainly to transfers of buildings and equipment to right-of-use assets.

(3) Includes depreciation of assets from business acquisitions from the acquisition date.

Impairment losses recognized during the year

In 2022, 2021 and 2020, the Company carried out an analysis of impairment indicators for buildings and manufacturing equipment, resulting in recognition of an impairment loss recognized in profit or loss of $199, $307 and $191, respectively.

As of December 31, 2022, 2021 and 2020, the Company performed its impairment analysis using the value-in-use of the manufacturing equipment in Argentina and resulted in an impairment loss recognized in profit or loss of $4, $36, and $89, respectively.

9. Right-of-use assets and lease liabilities

A reconciliation of the carrying amount of right-of-use assets at the beginning and at the end of 2022, 2021 and 2020 is as follows:

	Balance as of January 1st, 2022	Discontinued operation effect	Additions and depreciation of the year	Business combinations	Disposals	Early termination	Changes and initial costs	Translation effect	Inflation restatement increment	Balance as of December 31, 2022
Right-of-use assets:										
Buildings	$ 27,701	$ (522)	$ 1,924	$ 72	$ (562)	$ (318)	$ 1,459	$ (1,212)	$ (9)	$ 28,533
Vehicles	8,309	-	1,277	(2)	(189)	(324)	15	(620)	-	8,466
Other	293	-	202	(3)	(8)	(7)	(4)	(31)	-	442
	36,303	(522)	3,403	67	(759)	(649)	1,470	(1,863)	(9)	37,441
Assets under financial lease	5,915	-	36	-	-	-	202	(396)	-	5,757
Total right-of-use assets	42,218	(522)	3,439	67	(759)	(649)	1,672	(2,259)	(9)	43,198
Depreciation:										
Buildings	(7,009)	188	(3,319)	(4)	562	108	(191)	201	6	(9,458)
Vehicles	(2,885)	-	(1,265)	1	189	248	(5)	252	-	(3,465)
Other	(110)	-	(75)	3	8	7	2	17	-	(148)
	(10,004)	188	(4,659)	-	759	363	(194)	470	6	(13,071)
Assets under financial lease	(1,460)	-	(484)	-	-	-	187	107	-	(1,650)
Total accumulated depreciation	(11,464)	188	(5,143)	-	759	363	(7)	577	6	(14,721)
Right-of-use assets, net	$ 30,754	$ (334)	$ (1,704)	$ 67	$ -	$ (286)	$ 1,665	$ (1,682)	$ (3)	$ 28,477

	Balance as of January 1st, 2021	Additions and depreciation of the year	Business combinations	Disposals	Early termination	Changes and initial costs	Translation effect	Inflation restatement increment	Balance as of December 31, 2021
Right-of-use assets:									
Buildings	$ 23,748	$ 2,658	$ 793	$ (506)	$ (540)	$ 1,040	$ 499	$ 9	$ 27,701
Vehicles	7,590	1,162	11	(67)	(508)	7	114	-	8,309
Other	286	125	8	(81)	(31)	1	(15)	-	293
	31,624	3,945	812	(654)	(1,079)	1,048	598	9	36,303
Assets under financial lease	5,483	22	-	(12)	-	321	101	-	5,915
Total right-of-use assets	37,107	3,967	812	(666)	(1,079)	1,369	699	9	42,218
Depreciation:									
Buildings	(4,681)	(3,099)	-	506	251	51	(30)	(7)	(7,009)
Vehicles	(2,023)	(1,253)	-	67	340	8	(24)	-	(2,885)
Other	(114)	(71)	-	81	9	-	(15)	-	(110)
	(6,818)	(4,423)	-	654	600	59	(69)	(7)	(10,004)
Assets under financial lease	(1,126)	(481)	-	12	-	4	131	-	(1,460)
Total accumulated depreciation	(7,944)	(4,904)	-	666	600	63	62	(7)	(11,464)
Right-of-use assets, net	$ 29,163	$ (937)	$ 812	$ -	$ (479)	$ 1,432	$ 761	$ 2	$ 30,754

	Balance as of January 1st, 2020	Additions and depreciation of the year	Business combinations	Disposals	Early termination	Changes and initial costs	Translation effect	Inflation restatement increment	Balance as of December 31, 2020
Right-of-use assets:									
Buildings	$ 18,917	$ 6,171	$ 32	$ (398)	$ (1,994)	$ 280	$ 735	$ 5	$ 23,748
Vehicles	6,277	1,620	-	(81)	(420)	(1)	195	-	7,590
Other	166	159	-	(22)	(28)	2	9	-	286
	25,360	7,950	32	(501)	(2,442)	281	939	5	31,624
Assets under financial lease	4,749	734	-	(283)	-	-	283	-	5,483
Total right-of-use assets	30,109	8,684	32	(784)	(2,442)	281	1,222	5	37,107
Depreciation:									
Buildings	(2,540)	(3,070)	-	398	450	79	4	(2)	(4,681)
Vehicles	(1,014)	(1,337)	-	81	232	-	15	-	(2,023)
Other	(61)	(75)	-	22	2	(1)	(1)	-	(114)
	(3,615)	(4,482)	-	501	684	78	18	(2)	(6,818)
Assets under financial lease	(944)	(467)	-	283	-	50	(48)	-	(1,126)
Total accumulated depreciation	(4,559)	(4,949)	-	784	684	128	(30)	(2)	(7,944)
Right-of-use assets, net	$ 25,550	$ 3,735	$ 32	$ -	$ (1,758)	$ 409	$ 1,192	$ 3	$ 29,163

An analysis of changes in lease liabilities in 2022, 2021 and 2020 is as follows:

	Capitalized operating leases	Finance leases	Total
Balance as of January 1st, 2022	$ 28,066	$ 3,083	$ 31,149
Discontinued operation effect	(372)	-	(372)
Additions	3,403	36	3,439
Business combinations	50	-	50
Interest expense	1,077	252	1,329
Payments	(5,164)	(1,221)	(6,385)
Early termination	(298)	-	(298)
Modifications	1,385	52	1,437
COVID-19 rent concessions	(4)	-	(4)
Foreign exchange effects	(26)	(7)	(33)
Translation effect	(1,552)	426	(1,126)
Balance as of December 31, 2022	26,565	2,621	29,186
Less - current portion	(5,017)	(914)	(5,931)
	$ 21,548	$ 1,707	$ 23,255

	Capitalized operating leases	Finance leases	Total
Balance as of January 1st, 2021	$ 25,865	$ 3,224	$ 29,089
Additions	3,945	22	3,967
Business combinations	753	-	753
Interest expense	974	281	1,255
Payments	(4,818)	(554)	(5,372)
Early termination	(509)	-	(509)
Modifications	1,362	-	1,362
COVID-19 rent concessions	(13)	-	(13)
Foreign exchange effects	4	2	6
Translation effect	503	108	611
Balance as of December 31, 2021	28,066	3,083	31,149
Less - current portion	(4,910)	(883)	(5,793)
	$ 23,156	$ 2,200	$ 25,356

	Capitalized operating leases	Finance leases	Total
Balance as of January 1st, 2020	$ 22,402	$ 2,938	$ 25,340
Additions	7,950	734	8,684
Business combinations	32	-	32
Interest expense	1,039	33	1,072
Payments	(4,964)	(580)	(5,544)
Early termination	(1,831)	-	(1,831)
Modifications	340	-	340
COVID-19 rent concessions	(46)	-	(46)
Foreign exchange effects	16	8	24
Translation effect	927	91	1,018
Balance as of December 31, 2020	25,865	3,224	29,089
Less - current portion	(4,356)	(797)	(5,153)
	$ 21,509	$ 2,427	$ 23,936

An analysis of the maturities of non-current lease liabilities are as follows:

	Capitalized operating leases	Finance leases	Total
2024	$ 3,425	$ 689	$ 4,114
2025	2,816	453	3,269
2026	2,278	263	2,541
2027	1,818	117	1,935
2028 and thereafter	11,211	185	11,396
	$ 21,548	$ 1,707	$ 23,255

10. Investments in Associates

An analysis of investments in associates as of December 31, 2022, 2021 and 2020 is as follows:

Associate	Activity	% equity interest	2022	2021	2020
Beta San Miguel, S.A. de C.V.	Sugar refinery	8	**$ 1,353**	$ 1,110	$ 1,044
Mundo Dulce, S.A. de C.V.	Confectionery	50	**392**	373	359
Fábrica de Galletas La Moderna, S.A. de C.V.	Cookies	50	**424**	363	345
Grupo La Moderna, S.A. de C.V.	Holding company	4	**353**	312	305
Congelación y Almacenaje del Centro, S.A. de C.V.	Warehouse	15	**256**	222	224
Fin Común Servicios Financieros, S.A. de C.V. [(1)]	Financial services	43	**281**	258	184
Fruitex de México, S.A.P.I. de C.V.	Foods	16	**343**	295	-
Productos Rich, S.A. de C.V.	Baking	18	**208**	174	170
B37 Ventures Funds	Food technology	Various	**746**	454	-
Other	Other	Various	**788**	891	512
			$ 5,144	$ 4,452	$ 3,143

[(1)] The percentage of participation in 2020 was 41%.

The associate entities are incorporated and operate primarily in Mexico and are accounted for using the equity method in the consolidated financial statements.

Beta San Miguel, S.A. de C.V., Grupo La Moderna, S.A. de C.V., Congelación y Almacenaje del Centro, S.A. de C.V., Productos Rich, S.A. de C.V. and Fruitex de México S.A.P.I de C.V. and other entities, are all considered associates, since the Company has significant influence over these companies given that it is a member of the Board of Directors of such associates.

The investment in B37 Ventures Funds is not considered a subsidiary since the Company does not have control over it according to IFRS 10 Consolidated Financial Statements.

A summary of the changes in the Company's investments in associates is as follows:

	2022	2021	2020
Balance as of January 1st	**$ 4,452**	$ 3,143	$ 2,871
Acquisitions and capital contributions	**151**	1,016	163
Dividends received	**(75)**	(59)	(93)
Share of profit	**452**	247	194
Impairment	**(73)**	-	-
Comprehensive items of associates and others	**317**	-	-
Translation effect	**(80)**	105	8
Balance as of December 31	**$ 5,144**	$ 4,452	$ 3,143

11. Intangible Assets

An analysis of intangible assets by geographical segment as of December 31, 2022, 2021 and 2020 is as follows:

	2022	2021	2020
Mexico	$ 1,377	$ 2,540	$ 2,592
North America	41,803	42,712	41,589
EAA	14,567	10,364	9,580
Latin America	1,315	1,349	1,246
	$ 59,062	$ 56,965	$ 55,007

An analysis of intangible assets by item as of December 31, 2022, 2021 and 2020 is as follows:

	Average useful life	2022	2021	2020
Trademarks	Indefinite	$ 38,248	$ 37,268	$ 35,548
Use and distribution rights	Indefinite	8,143	8,680	8,525
		46,391	45,948	44,073
Trademarks	4 to 40 years	1,338	1,445	1,393
Customer relationships	7 to 40 years	22,013	21,881	20,269
Licenses and software	2 to 8 years	4,143	3,944	2,973
Non-competition agreements	2 to 5 years	255	189	187
Other		1,426	1,314	1,508
		29,175	28,773	26,330
Accumulated amortization and impairment		(16,504)	(17,756)	(15,396)
		$ 59,062	$ 56,965	$ 55,007

The accumulated impairment in the value of trademarks with indefinite useful lives as of December 31, 2022, 2021 and 2020 is $ 3,165, $ 4,346 and $4,170, respectively.

The customer relationships that resulted from the Company's acquisitions are as follows:

	Year of acquisition	Remaining useful life (years)	Net carrying amount 2022	2021	2020
Bimbo QSR	2017	20 to 35	$ 3,475	$ 4,122	$ 4,226
Canada Bread	2014	13	1,644	2,045	2,099
Weston Foods, Inc.	2009	4	1,336	1,771	2,062
Siro Paterna	2020	22	1,121	1,321	1,449
Sara Lee Bakery Group, Inc.	2011	7	690	841	921

A reconciliation of the carrying amount of intangible assets at the beginning and at the end of 2022, 2021 and 2020 is as follows:

Cost

	Trademarks	Use and distribution rights	Customer relationships	Licenses and software	Non-competition agreements	Other	Total
Balance as of December 31, 2019	$ 34,721	$ 7,734	$ 17,526	$ 2,441	$ 158	$ 1,464	$ 64,044
Structured entities	-	351	-	-	-	-	351
Additions	156	-	30	342	-	-	528
Business combinations and PPA adjustments	10	-	1,477	37	15	7	1,546
Transfers	-	-	(9)	-	-	16	7
Translation effect	2,054	440	1,245	153	14	21	3,927
Balance as of December 31, 2020	36,941	8,525	20,269	2,973	187	1,508	70,403
Structured entities	-	77	-	-	-	-	77
Additions	-	-	-	882	-	-	882
Disposals	-	(260)	-	-	-	-	(260)
Business combinations and PPA adjustments [(1)]	1,251	88	1,105	7	5	-	2,456
Transfers	-	-	-	-	-	(201)	(201)
Translation effect	521	250	507	82	(3)	7	1,364
Balance as of December 31, 2021	38,713	8,680	21,881	3,944	189	1,314	74,721
Structured entities	-	(3)	-	-	-	-	(3)
Additions	8	-	42	590	-	158	798
Discontinued operation decrease	(1,058)	-	(83)	(72)	-	-	(1,213)
Business combinations	3,895	-	1,421	15	-	-	5,331
PPA adjustments	746	-	735	-	93	-	1,574
Translation effect	(2,718)	(534)	(1,983)	(334)	(27)	(46)	(5,642)
Balance as of December 31, 2022	$ 39,586	$ 8,143	$ 22,013	$ 4,143	$ 255	$ 1,426	$ 75,566

[(1)] Includes $166 corresponding to the difference between the exchange rate of the business acquisition and the year-end exchange rate.

Accumulated amortization and impairment

	Trademarks	Use and distribution rights	Customer relationships	Licenses and software	Non-competition agreements	Other	Total
Balance as of December 31, 2019	$ (3,605)	$ (565)	$ (5,973)	$ (1,976)	$ (123)	$ (484)	$ (12,726)
Reversal of impairment in structured entities	-	103	-	-	-	-	103
Amortization expense	(34)	-	(944)	(283)	(8)	(269)	(1,538)
Impairment	(204)	-	-	(4)	-	-	(208)
Translation effect	(421)	(30)	(439)	(117)	(14)	(6)	(1,027)
Balance as of December 31, 2020	(4,264)	(492)	(7,356)	(2,380)	(145)	(759)	(15,396)
Reversal of impairment in structured entities	-	72	-	-	-	-	72
Amortization expense	(35)	(3)	(960)	(293)	(8)	(241)	(1,540)
Impairment	(135)	-	-	-	-	-	(135)
Transfers	-	(483)	-	-	-	-	(483)
Translation effect	12	(14)	(203)	(72)	3	-	(274)
Balance as of December 31, 2021	(4,422)	(920)	(8,519)	(2,745)	(150)	(1,000)	(17,756)
Amortization expense	**(60)**	**-**	**(1,087)**	**(473)**	**(26)**	**(10)**	**(1,656)**
Impairment	**-**	**9**	**(140)**	**-**	**-**	**-**	**(131)**
Reversal of impairment in trademarks	**861**	**-**	**-**	**-**	**-**	**-**	**861**
Discontinued operation decrease	**-**	**-**	**83**	**-**	**-**	**-**	**83**
Transfers	**-**	**483**	**-**	**-**	**-**	**-**	**483**
Translation effect	**484**	**74**	**790**	**241**	**15**	**8**	**1,612**
Balance as of December 31, 2022	**$ (3,137)**	**$ (354)**	**$ (8,873)**	**$ (2,977)**	**$ (161)**	**$ (1,002)**	**$ (16,504)**
Net balance as of December 31, 2020	$ 32,677	$ 8,033	$ 12,913	$ 593	$ 42	$ 749	$ 55,007
Net balance as of December 31, 2021	$ 34,291	$ 7,660	$ 13,362	$ 1,199	$ 39	$ 314	$ 56,965
Net balance as of December 31, 2022	**$ 36,449**	**$ 7,789**	**$ 13,140**	**$ 1,166**	**$ 94**	**$ 424**	**$ 59,062**

Amortization of intangible assets is recognized under administrative expenses.

In 2022, 2021 and 2020 an impairment of intangible assets was recognized, mainly in customer relations, in other expenses for $131, $135 and $204, respectively.

As of January 1st, 2022, the indefinite-lived trademarks are evaluated jointly in the impairment tests at the level of each corresponding CGU of the Group; this change originated a reversal of trademark impairments, mainly in the US CGU for an amount of $861, which was recorded under other income (see Note 22).

Impairment tests of distribution rights are performed by determining a fair value, which is estimated based on a multiple applied to the average weekly sales of the last twelve months of operation. The multiple used is in a range that varies depending on the region in which the market is located.

12. Goodwill

An analysis of goodwill by geographical area is as follows:

	2022	2021	2020
Goodwill:			
Mexico	**$ 1,674**	$ 2,306	$ 2,084
North America	**63,381**	69,339	63,665
EAA	**13,894**	12,772	11,720
Latin America	**3,635**	4,154	3,125
	$ 82,584	$ 88,571	$ 80,594
Accumulated impairment:			
Mexico	**$ (1,121)**	$ (1,204)	$ (1,194)
North America	**(6,285)**	(6,690)	(6,482)
EAA	**(5,388)**	(4,299)	(4,122)
Latin America	**(1,705)**	(1,813)	(1,892)
	(14,499)	(14,006)	(13,690)
	$ 68,085	$ 74,565	$ 66,904

The movements in goodwill for the years ended December 31, 2022, 2021 and 2020 are as follows:

	2022	2021	2020
Balance as of January 1st	**$ 74,565**	$ 66,904	$ 62,794
Acquisitions in business combinations (Note 1) [1]	**3,021**	6,983	2,086
Impairment	**(1,597)**	(324)	(779)
Transfers	**-**	201	18
Discontinued operation decrease	**(549)**	-	-
Reclassifications due to adjustments to the values of business combinations [2]	**(1,804)**	(1,125)	(1,398)
Translation effect	**(5,551)**	1,926	4,183
Balance as of December 31	**$ 68,085**	$ 74,565	$ 66,904

(1) In 2021, includes $118 corresponding to the difference between the exchange rate of the business acquisition and the year-end exchange rate.

(2) In 2021, includes $19 corresponding to the difference between the exchange rate of the business acquisition and the year-end exchange rate.

(3) During 2022 impairments were recognized in China, India, Russia, Ukraine and South Africa for $878, $275, $393, $12 and $39, respectively. During 2021 impairments of $315 were recognized in China and during 2020 impairments of $250 were recognized in China.

An analysis of movements in cumulative impairment losses as of December 31 is as follows:

	2022	2021	2020
Balance as of January 1st	**$ 14,006**	$ 13,690	$ 12,090
Impairment for the year	**1,597**	324	779
Translation effect	**(1,104)**	(8)	821
Balance as of December 31	**$ 14,499**	$ 14,006	$ 13,690

Key assumptions used in the value-in-use calculations

An analysis of the key assumptions of the primary cash-generating units used in impairment tests is as follows:

	Discount rate (1)			**Average growth**			**Capex over net sales**		
	2022	2021	2020	**2022**	2021	2020	**2022**	2021	2020
Mexico	**10.75%**	8.45%	9.66%	**9.58%**	6.96%	7.17%	**5.78%**	2.41%	5.45%
USA	**7.25%**	6.95%	6.95%	**9.36%**	5.12%	3.92%	**5.84%**	2.69%	2.95%
Canada	**6.50%**	5.75%	6.50%	**2.99%**	1.99%	1.97%	**5.19%**	3.19%	3.74%
Spain	**7.50%**	6.00%	6.50%	**4.32%**	3.38%	2.10%	**6.24%**	5.97%	3.70%
Brazil	**11.06%**	9.75%	10.25%	**8.60%**	8.28%	7.04%	**3.78%**	5.72%	7.51%

(1) Discount rate after income tax

The projections developed by the Company in the impairment models consider assumptions based on the current macroeconomic conditions of each CGU.

As of December 31, 2022, the Company performed a sensitivity analysis on its main cash-generating units, considering an of 50 basis-point increase in the discount rate or a 50 basis-point decrease in the average growth rate, without giving rise to additional impairment.

Allocation of goodwill to cash-generating units

For impairment testing purposes, goodwill is allocated to cash-generating units, which are mainly the USA, Canada, Spain and others.

The carrying amount of goodwill assigned to each cash-generating unit, after impairment losses, is as follows:

	2022	2021	2020
USA	**$ 41,681**	$ 47,549	$ 42,724
Canada	**13,207**	15,003	14,362
Spain	**1,338**	1,520	1,522
Other CGUs	**11,859**	10,493	8,296
	$ 68,085	$ 74,565	$ 66,904

USA

The recoverable amount of the CGU is the higher of the asset's value in use and its fair value less costs of disposal. As of December 31, 2022, the value in use was higher and in order to calculate this amount, the Company applied the discounted cash flow method, which consists of applying a discount rate to the projected cash flows of the CGU. The discount rate used is the weighted average cost of capital (WACC), which considers the cost of capital contributed by the shareholder (CAPEM) and the cost of financial debt. The planning horizon was 5 years plus a perpetuity that considers the normalized cash flow with projected country's inflation rate.

After applying the aforementioned methodology, the Company concluded that there is no impairment in the value of the goodwill of this CGU.

China

The Company used the discounted cash flow method, which considers a discount rate applied to projected cash flows provided by the CGU. The discount rate used is the weighted average cost of capital (WACC), which considers the cost of capital contributed by the shareholder (CAPEM) and the cost of bond debt. The planning horizon was 7 years plus a perpetuity that considers the normalized cash flow with projected country's inflation rate.

Based on the application of this methodology, the Company identified impairment in the China CGU's goodwill of $878, $315 and $250 in 2022, 2021 and 2020, respectively which was recognized as other expenses in profit or loss.

India, Russia, Ukraine and South Africa

The recoverable amount of this CGU was determined considering the Value in Use (VU), using the discounted cash flow methodology. The discount rate used is the Weighted Average Cost of Capital, which considers the cost of Capital contributed by the shareholder (CAPEM) and the cost of financial debt. The planning horizon considered was 5 years for India and 7 years for Russia, Ukraine and South Africa, plus perpetuity that contemplates the normalized flow with growth in line with the country's inflation.

Applying the methodology described, the Company concluded that there is goodwill impairment of India, Russia, Ukraine and South Africa in the amount of $275, $393, $12 and $39 in 2022, respectively, recognized other expenses in profit or loss.

Rest of CGUs

For the rest of the CGUs, the value in use was higher than the carrying amount and no impairment losses were recognized during 2022.

13. Debt

	Fair value	Book value 2022	Book value 2021	Book value 2020
International bonds:				
On May 17, 2021 the Company, through its subsidiary Bimbo Bakeries USA, Inc., issued a bond under Rule 144 A and Regulation S of the Securities and Exchange Commission (SEC) for USD600 million, maturing on May 17, 2051. Such bond pays a fixed interest rate of 4.000% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. Given the guaranteed structure, this instrument has the same ranking (pari passu) as the rest of Grupo Bimbo's issues. See Note 17.2.3 (g).				
During 2022, the company made repurchases of this bond for 14.733 million US dollars.	**$ 8,665**	**$ 11,332**	$ 12,350	$ -
On September 6, 2029 the Company issued a bond under Rule 144 A and Regulation S of the Securities and Exchange Commission (SEC) for USD600 million, maturing on September 6, 2049. Such bond pays a fixed interest rate of 4.000% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. See Note 17.2.3 (e).				
During 2022, the company made repurchases of this bond for 34.885 million US dollars.	**8,338**	**10,842**	12,245	11,898
On November 10, 2017 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD650 million, maturing on November 10, 2047. Such bond pays a fixed interest rate of 4.70% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. See Note 17.2.3 (d).	**10,832**	**12,585**	13,379	12,967
On June 27, 2014 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD800 million, maturing on June 27, 2024. Such bond pays a fixed interest rate of 3.875% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. See Note 17.2.3 (a) and (b).	**15,187**	**15,489**	16,467	15,959

	Fair value	Book value 2022	Book value 2021	Book value 2020
On June 27, 2014 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD500 million, maturing on June 27, 2044. Such bond pays a fixed interest rate of 4.875% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. See Note 17.2.3 (c) and (f). During 2022, the company made repurchases of this bond for 2.5 million US dollars.	**$ 8,406**	**$ 9,632**	$ 10,292	$ 9,974
On January 25, 2012 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD800 million, maturing on January 25, 2022. Such bond pays a fixed interest rate of 4.50% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. On January 25, 2022, the Company paid the remainder of said issuance, which was financed through the multicurrency revolving line.	-	-	4,072	15,915
Structured notes:				
As of December 31, 2022, the Company has issued the following structured notes, payable upon maturity:				
Bimbo 17- Issued on October 6, 2017. This structured note matures on September 24, 2027 and pays a fixed interest rate of 8.18%. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity, as well as the partial payment of the Bimbo QSR acquisition.	**8,786**	**9,633**	9,633	9,633
Bimbo 16- Issued on September 14, 2016. This structured note matures on September 2, 2026 and pays a fixed interest rate of 7.56%. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity.	**7,093**	**7,706**	7,706	7,706
Revolving committed line of credit (multicurrency)				
On September 14, 2021 the Company renewed and amended the terms and conditions of the committed multicurrency line of credit, which is linked to sustainability. The financial institutions engaged in this line of credit are BBVA Bancomer S.A., Citibank N.A., HSBC México S.A., Banco Santander, S.A., JPMorgan Chase Bank N.A., Bank of America N.A., ING Bank N.V., MUFG Bank, Ltd. and Mizuho Bank,				

	Fair value	Book value 2022	Book value 2021	Book value 2020
Ltd. The total amount is up to USD1,750 million, with USD875 million maturing on September 14, 2023 and USD875 million on September 14, 2026. As of July 1, 2022, a reduction in the applicable rates was obtained as a result of the achievement of the sustainable goals corresponding to this line for 2021. Considering this reduction, the drawdowns against this line of credit bear interest at the London Interbank Offered Rate (LIBOR) plus 0.90% for drawdowns made in USD, at the Canadian Dollar Offered Rate (CDOR) plus 0.90% for drawdowns made in Canadian dollars, at the Interbank Equilibrium Interest Rate (TIIE) plus 0.675% for drawdowns made in Mexican pesos, and at the Euro Interbank Offered Rate (EURIBOR) plus 0.90% for drawdowns made in euros. As of December 31, 2022, there is no outstanding balance on this line of credit.				
During 2022 and 2021, the drawdowns and payments totaled $13,085 and $15,291, respectively.				
	-	-	-	-
Unsecured working capital loans -				
The Company occasionally enters into short-term unsecured loans to meet its working capital needs. During 2022 and 2021, the drawdowns and payments totaled $30,655 and $430.	-	-	-	-
Other: Certain subsidiaries have entered into other direct loan contracts to meet their working capital needs. The maturity dates for such loans range from 2023 to 2030. During 2022 and 2021, the drawdowns and payments totaled $7,930 and $6,710, $11,413 and $5,905, respectively.	**7,522**	**7,522**	7,483	1,708
Debt issuance expenses	**(687)**	**(687)**	(772)	(531)
	74,142	**84,054**	92,855	85,229
Less:				
Current portion of non-current debt	**(6,435)**	**(6,435)**	(10,625)	(600)
Non-current debt	**$ 67,707**	**$ 77,619**	$ 82,230	$ 84,629

An analysis of maturities of non-current debt as of December 31, 2022 is as follows:

Year	Amount
2024	$ 16,120
2025	115
2026	7,742
2027 and thereafter	53,642
	$ 77,619

During 2022, the Company has made repurchases of several of its International Bond issues for an approximate amount of $1,044 (52.1 million US dollars).

A reconciliation of the Company's debt at the beginning and at the end of the year is as follows:

Debt	2022	2021	2020
Beginning balance	$ 92,855	$ 85,229	$ 86,672
Proceeds from loans, net of debt issuance expenses	51,670	38,924	34,818
Repayments of loans	(55,542)	(33,535)	(40,745)
Debt issuance expenses amortization	70	60	55
Effects of remeasurements	(4,999)	2,177	4,429
Ending balance	$ 84,054	$ 92,855	$ 85,229

All international bonds and revolving committed credit lines are guaranteed by the primary subsidiaries of Grupo Bimbo. As of December 31, 2022 and 2021, the Company has complied with all of its obligations established in the loan agreements, including certain required financial ratios: leverage ratio and interest coverage ratio. As of December 31, 2020, the Company has complied with the established obligations that include the financial ratio of interest coverage and leverage while it was in force. Such ratios are calculated considering a Conformed EBITDA according to the provisions established in the applicable loan agreements. These ratios may differ to similar calculations used by others.

14. Other accounts payable and accrued liabilities

	2022	2021	2020
Other accounts payable:			
Other taxes payable	$ 3,839	$ 3,378	$ 4,357
Other creditors	1,248	2,133	1,806
	5,087	5,511	6,163
Accrued liabilities:			
Employee compensation and bonuses	$ 9,240	$ 10,152	$ 11,473
Advertising and promotion	1,495	2,026	1,682
Fees and consultations	2,188	1,734	1,193
Insurance and guaranty bonds	1,498	1,566	594
Taxes and contributions	1,239	842	559
Interest payable and bank fees	774	817	999
Supplies and fuel	672	777	1,263
Other	2,005	677	975
	19,111	18,591	18,738
	$ 24,198	$ 24,102	$ 24,901

15. Related party balances and transactions

Balances and transactions between Grupo Bimbo and its subsidiaries, which are related parties, have been eliminated in preparing the consolidated financial statements and are not disclosed in this note. Information on the Company's transactions with related parties is provided below.

a) Business transactions

An analysis of transactions carried out with related parties in the normal course of the Company's operations is as follows:

	2022	2021	2020
Purchase of raw materials			
Associates:			
Beta San Miguel, S.A. de C.V.	**$ 2,335**	$ 2,584	$ 2,390
Other associates	**3**	7	9
Related parties:			
Frexport, S.A. de C.V.	**959**	871	749
Other related parties	**80**	61	59
Finished product purchases			
Associates:			
Fábrica de Galletas La Moderna, S.A. de C.V.	**$ 1,203**	$ 1,083	$ 1,149
Mundo Dulce, S.A. de C.V.	**5**	914	803
Pan-Glo de México, S. de R.L. de C.V.	**273**	200	239
Other associates	**3**	2	3
Stationary, uniforms and other			
Associates:			
Efform, S.A. de C.V.	**$ 379**	$ 365	$ 344
Uniformes y Equipo Industrial, S.A. de C.V.	**191**	202	186
Sociedad Industrial de Equipos y Servicios, S.A. de C.V.	**362**	234	112
Other associates	**23**	29	42
Related parties:			
Automotriz Coacalco-Vallejo, S.A.P.I de C.V.	**$ 40**	$ 33	$ 50
Autotab, S.A. de C.V.	**7**	3	3
Other related parties	**301**	257	204
Financial services:			
Associates:			
Fin Común Servicios Financieros, S.A. de C.V.	**$ 1,367**	$ 1,094	$ 893

Balances receivable due from related parties consist of unsecured accounts and are payable in cash. No guarantees have been given or received with related parties.

b) Accounts payable to related parties

Net balances payable due to related parties are as follows:

	2022	2021	2020
Associates:			
Beta San Miguel, S.A. de C.V.	**$ 577**	$ 801	$ 747
Fábrica de Galletas La Moderna, S.A. de C.V.	**164**	144	132
Mundo Dulce, S.A. de C.V.	**-**	107	81
Efform, S.A. de C.V.	**96**	83	77
Uniformes y Equipo Industrial, S.A. de C.V.	**35**	80	48
Sociedad Industrial de Equipos y Servicios, S.A. de C.V.	**45**	58	40
Pan-Glo de México, S. de R. L. de C.V.	**47**	34	17
Related parties:			
Frexport, S.A. de C.V.	**206**	119	112
Proarce, S.A. de C.V.	**18**	33	37
Makymat, S.A. de C.V.	**36**	26	20
Automotriz Coacalco-Vallejo, S.A.P.I de C.V.	**-**	8	10
Other associates and related parties	**16**	34	13
	$ 1,240	$ 1,527	$ 1,334

c) Compensation of key management personnel

Compensation for the Company's Board of Directors and other key management personnel for the years ended December 31, 2022, 2021 and 2020 totaled $596, $658 and $486, respectively. This compensation is determined based on the employee's performance and market trends and is approved by the Board of Directors.

16. Income Tax

Income tax in Mexico

The income tax rate enacted for 2022, 2021 and 2020 was 30% and it is expected that it will remain the same in subsequent years.

Tax reforms

Mexico

On October 26, 2021, a series of tax modifications were approved in Mexico that are effective as of January 1st, 2022, these reforms did not generate a financial impact for the Company, but it did generate a series of compliance obligations.

To date, the Company has complied with its obligation to disclose tax schemes subject to reporting corresponding to fiscal years 2022 and 2021.

In terms of specialized services, the Company continued to comply with the general measures that include: identification of suppliers, documentation and presentation of contracts, as well as safeguarding of the corresponding documents:

- Identification of specialized service providers complying with the criteria of the Ministry of Labor and Social Welfare (STPS).
- Compliance with state obligations: presentation of contracts for specialized services.
- Fulfillment of obligations in terms of receiving, safeguarding and validating documents of specialized service providers.

For 2023, some requirements for tax documents that have been applied opportunely are modified.

United States of America

In August 2022, the CHIPS & Science Act (HR 4346) was enacted, introducing a 25% tax credit for investments in the manufacturing sector. This measure is not expected to have a significant impact on GB's operations in the United States.

In August 2022, the Reduction Act 2022 was enacted, which includes a new minimum tax for certain large taxpayers starting in 2023. The new law gives rise to a minimum tax equal to the difference between such tax and income tax and Base Erosion and Anti-Abuse Tax (BEAT).

The Company is assessing the impact of this measure. However, no material effects on the financial statements are expected.

Spain

On 29 December 2022, Law 38/2022 was enacted, which imposes a temporary limitation in 2023 on the recognition of tax loss carryforwards generated individually by the different entities of a corporate group.

In addition, the remaining individual tax loss carryforwards shall be included in taxable profit in equal parts in each of the first ten fiscal periods beginning on or after 1 January 2024.

On 1 January 2023, a new environmental tax on imported non-reusable plastic packaging became effective which is not expected to have a material effect on the consolidated financial statements.

Income tax in other countries

Subsidiaries established abroad calculate income tax based on the individual performance of each subsidiary and in accordance with the regulations of each country. U.S. regulations allow the filing of a consolidated income tax return. As of 2013, Spanish regulations allow the filing of a consolidated tax return. As of 2019, French regulations allow the filing of a consolidated tax return.

Except for the subsidiaries mentioned above, each subsidiary calculates and pays income tax as an individual legal entity. The annual tax returns are filed within the six months following the end of the fiscal year. Additionally, the subsidiaries must make provisional payments during each fiscal year.

The tax rates applicable in other countries where the Company operates and the period in which tax losses may be applied, are as follows:

	Statutory income tax rate					Expiration of tax loss carryforwards	
	2022		2021		2020		
Argentina	**35**	(a)	35	(a)	25	5	(b)
Brazil	**34**		34		34		(c)
Canada	**15**	(d)	15	(d)	15	20	(e)
Spain	**25**		25		25		(f)
USA	**21**	(g)	21	(g)	21		(h)
Mexico	**30**		30		30	10	

The tax losses generated by the Company are mainly in Mexico, Brazil, Argentina and Spain.

(a) From 2021 and in the coming years, the corporate rate is 35%. Such rate will depend on the range of the accumulated taxable profit generated.

(b) Losses on the sale of shares or other equity investments may only be offset against income of the same nature. Tax losses from foreign sources may only be carried forward against income from foreign sources.

(c) Tax losses may be applied indefinitely but may only be offset each year up to an amount equivalent to 30% of the net taxable profit for each year.

(d) The corporate income tax rate is a combination of the federal corporate tax rate 15%, and relevant state (provincial) corporate income tax rates where the Company has a permanent establishment. State tax rates range from 10% to 16%; therefore, the combined tax rate may range from 25% to 31%.

(e) The Company's tax losses may be carried back against the three prior years.

(f) Tax loss carryforwards have no expiration date; however, their application is limited to 25% of the net taxable profit for the year.

(g) The corporate income tax rate is a combination of the federal rate, which is 21%, and the state rates where the Company has a permanent establishment. State rates range from 0% to 12%, therefore, the combined tax rate may range from 21% to 33%.

(h) As a result of the tax reform, tax loss carryforwards have no expiration date; however, their amortization is limited to 80% of the taxable profit generated for the year.

At the date of issue of these consolidated financial statements, no changes have been disclosed for the corporate tax rates in subsequent years, the applicable changes for the years presented are the following:

- France, where the tax rate was changed from 28% in 2020 to 26.5% in 2021, and as of 2022 it will be 25%.
- Turkey, where the tax rate was changed from 22% in 2020 to 25% in 2021 and as of 2022 it will be 23%.
- Colombia, where the tax rate was changed from 31% in 2021 to 35% in 2022.
- United Kingdom where the tax rate will change from 19% to 25% in 2023.

Operations in the USA, Canada, Uruguay, Colombia, Guatemala, Panama, Honduras, Nicaragua and Ecuador are subject to minimum income tax payments or substitutive tax.

Analysis of provisions, effective tax rate and deferred effects

a) The Company's consolidated income tax is as follows:

	2022	2021	2020
Income tax:			
Current income tax	**$ 9,929**	$ 7,846	$ 4,904
Deferred income tax	**3,891**	593	843
	13,820	8,439	5,747
Reversal tax withheld abroad booked in previous year	**$ (906)**	$ -	$ -
Income tax – uncertain tax positions	**1,467**	287	196
	$ 14,381	$ 8,726	$ 5,943

b) A reconciliation of the statutory income tax rate to the effective income tax rate in Mexico expressed as a percentage of the profit before income tax for the years ended December 31, 2022, 2021 and 2020 is as follows:

	2022	2021	2020
Profit before income tax and discontinued operations	**$ 45,878**	$ 24,854	$ 15,406
Profit before income tax from discontinued operations	**23,516**	1,498	1,337
Profit before income tax	**69,394**	$ 26,352	$ 16,743
Statutory income tax rate	**30%**	30%	30%
Income tax at statutory tax rate	**20,818**	7,906	5,023
Plus/(less) the tax effects of the following items:			
Inflationary effects of monetary accounts in the statement of financial position and statement of profit or loss	**1,051**	1,025	584
Non-deductible expenses and other	**1,508**	973	851
Non-taxable profit and tax incentives	**(356)**	(322)	(420)
Difference in tax rates and currency of subsidiaries in different tax jurisdictions	**(1,243)**	(421)	(148)
Effects on tax values of property, plant and equipment	**(807)**	(561)	(324)
Share of loss of associates	**(136)**	(74)	(58)
Permanent effects of discontinued operation	**(528)**	(205)	(152)
Unrecognized available tax loss carryforwards	**602**	650	836
Income tax recognized in profit or loss	**$ 20,909**	$ 8,971	$ 6,192
Effective income tax rate	**30.1%**	34.0%	37.0%

	2022	2021	2020
Income tax continuous operation	**$ 14,381**	$ 8,726	$ 5,943
Income tax discontinued operation (Note 24)	**6,528**	245	249
Income tax	**$ 20,909**	$ 8,971	$ 6,192
Effective income tax rate continuous operation	**31.3%**	35.1%	38.5%
Effective income tax rate discontinued operation	**27.7%**	16.4%	18.6%

To determine their deferred income tax as of December 31, 2022, 2021 and 2020, the Company's subsidiaries applied the income tax rate that will be in effect when the temporary differences giving rise to deferred taxes are expected to reverse.

c) The primary items that generate deferred income tax as of December 31, are as follows:

	Balance as of January 1st, 2022	Effects through profit or loss	Effects through comprehensive income	Translation effect	Discontinued operation	Business combinations	Balance as of December 31, 2022
Allowance for expected credit loss	$ (301)	$ (148)	$ -	$ -	$ 11	$ -	$ (438)
Inventories and advances	16	46	-	-	-	-	62
Property, plant and equipment	4,501	299	-	-	(49)	14	4,765
Intangible assets and other assets	7,869	134	-	(2,098)	(112)	1,481	7,274
Other reserves and provisions	(12,501)	5,030	207	(47)	157	-	(7,154)
Current employee profit sharing	(500)	(48)	-	-	13	-	(535)
Available tax loss carryforwards	(303)	(40)	-	-	-	-	(343)
Net economic hedge	-	(432)	432	-	-	-	-
Lease assets and liabilities, net	(469)	(70)	-	-	10	-	(529)
Derivative financial instruments	914	182	(574)	(11)	-	-	511
Total deferred income tax (asset), net	$ (774)	$ 4,953	$ 65	$ (2,156)	$ 30	$ 1,495	$ 3,613

	Balance as of January 1st, 2021	Effects through profit or loss	Effects through comprehensive income	Translation effect	Business combinations	Balance as of December 31, 2021
Allowance for expected credit loss	$ (283)	$ (18)	$ -	$ -	$ -	$ (301)
Inventories and advances	(59)	75	-	-	-	16
Property, plant and equipment	5,026	(525)	-	-	-	4,501
Intangible assets and other assets	8,068	565	-	(641)	(123)	7,869
Other reserves and provisions	(13,922)	989	432	-	-	(12,501)
Current employee profit sharing	(299)	(201)	-	-	-	(500)
Available tax loss carryforwards	(568)	265	-	-	-	(303)
Net economic hedge	-	(77)	77	-	-	-
Lease assets and liabilities, net	(329)	(140)	-	-	-	(469)
Derivative financial instruments	399	(345)	860	-	-	914
Total deferred income tax (asset), net	$ (1,967)	$ 588	$ 1,369	$ (641)	$ (123)	$ (774)

(1) During 2020, the Company recognized a deferred tax asset on intangible assets of $4,270.

	Balance as of January 1st, 2020	Effects through profit or loss	Effects through comprehensive income	Translation effect	Business combinations	Balance as of December 31, 2020
Allowance for expected credit loss	$ (288)	$ 5	$ -	$ -	$ -	$ (283)
Inventories and advances	(31)	(28)	-	-	-	(59)
Property, plant and equipment	3,606	1,420	-	-	-	5,026
Intangible assets and other assets [1]	10,709	(3,059)	-	(21)	439	8,068
Other reserves and provisions	(11,430)	(2,347)	(145)	-	-	(13,922)
Current employee profit sharing	(352)	53	-	-	-	(299)
Available tax loss carryforwards	(1,381)	3,722	(2,909)	-	-	(568)
Net economic hedge	-	645	(645)	-	-	-
Lease assets and liabilities, net	(173)	(156)	-	-	-	(329)
Derivative financial instruments	(9)	526	(118)	-	-	399
Total deferred income tax liability/(asset), net	$ 651	$ 781	$ (3,817)	$ (21)	$ 439	$ (1,967)

The deferred income tax assets and liabilities are presented separately in the consolidated statement of financial position, since they correspond to different taxable entities and tax authorities. An analysis is as follows:

	2022	2021	2020
Deferred income tax asset	**$ (3,962)**	$ (7,861)	$ (8,733)
Deferred income tax liability	**7,575**	7,087	6,766
Total deferred income tax (asset)/liability, net	**$ 3,613**	$ (774)	$ (1,967)

The Company has determined that the undistributed earnings of its foreign subsidiaries will not be distributed in the foreseeable future. As of December 31, 2022, there are undistributed earnings for temporary differences related to investments in subsidiaries and associates for which no deferred tax liabilities have been recognized. In the same date, the amount of undistributed earnings for temporary differences related to subsidiaries is immaterial.

As of December 31, 2022, the Company's unused tax losses have the following expiration dates:

Year	Amount
2023	**$ 953**
2024	**1,236**
2025	**1,008**
2026	**1,310**
2027	**742**
2028	**67**
2029	**39**
2030 and thereafter	**22,752**
	28,107
Unrecognized available tax loss carryforwards	**(26,727)**
Total	**$ 1,380**

Certain subsidiaries that have tax losses have not recognized the deferred tax asset, since they do not have sufficient taxable income or projected earnings to estimate the time for recovery of such tax losses. Unrecognized accumulated benefits of such tax losses were $7,902 in 2022, $8,644 in 2021 and $7,637 in 2020.

Some subsidiaries have unused tax losses. The unused tax losses for which a deferred tax asset has been recognized can be recovered, provided that they meet certain requirements. As of December 31, 2022, the Company expects to recover such tax losses through the reversal of temporary differences and future taxable profits.

17. Financial instruments

1. Financial instruments by category as of December 31 is as follows:

	2022	2021	2020	Category / Hierarchy
Assets				
Financial assets:				
Cash and cash equivalents	**$ 12,313**	$ 8,748	$ 9,268	Fair value – Level 1
Trade accounts receivables and other accounts receivable, net	**23,936**	21,432	18,802	Amortized cost
Derivative financial instruments	**38**	1,293	871	Fair value - Level 1 and 2
Guarantee deposits for derivative financial instruments	**879**	-	-	Fair value - Level 1
Total current assets	**37,166**	31,473	28,941	
Other non-current assets	**675**	273	85	Amortized cost
Other non-current assets – plan asset surpluses and other assets	**1,752**	1,657	913	Fair value - Level 1, 2 and 3
Derivative financial instruments	**2,005**	1,962	267	Fair value - Level 1 and 2
Total assets	**$ 41,598**	$ 35,365	$ 30,206	
Liabilities				
Financial liabilities:				
Current portion of non-current debt	**$ 6,435**	$ 10,625	$ 600	Amortized cost
Trade accounts payable	**44,058**	35,752	26,679	Amortized cost
Other accounts payable	**1,154**	1,998	1,790	Amortized cost
Accounts payable to related parties	**1,240**	1,527	1,334	Amortized cost
Guarantee withdrawals for derivative financial instruments	**-**	392	398	Fair value - Level 1
Derivative financial instruments	**1,458**	169	1,183	Fair value - Level 1 and 2
Total current liabilities	**54,345**	50,463	31,984	
Non-current debt	**77,619**	82,230	84,629	Amortized cost
Derivative financial instruments	**590**	67	214	Fair value - Level 1 and 2
Total liabilities	**$ 132,554**	$ 132,760	$ 116,827	

2. Risk management

During the normal course of its operations, the Company is exposed to risks inherent to financial variables, as well as changes in the prices of some of its raw materials that are traded in international markets. The Company has established an orderly risk management process that assesses the nature and extent of those risks.

The primary financial risks to which the Company is exposed are as follows:

- Market risk
- Interest rate risk
- Foreign currency risk
- Commodity price risk
- Liquidity risk
- Credit risk
- Equity risk

The risk management process includes the following activities:

- Identify, evaluate and monitor external and internal risks that could have a significant impact on the Company
- Prioritize risks
- Ensure risk assignment and monitoring
- Validate bodies and/or those responsible for risk management
- Validate the progress made in the management of each prioritized risk
- Review the consistency of open positions in respect of the corporate strategy
- Make recommendations

Since the variables to which the Company is exposed are dynamic, hedging strategies are evaluated and monitored periodically. Such strategies are reported to the relevant governing body within the Company. The primary purpose of hedging strategies is to achieve a neutral and balanced position in relation to the risk exposure caused by certain financial variables.

2.1 Market risk

The Company is exposed to interest rate and foreign currency exchange risks, as well as commodity price risks. The Company occasionally uses derivative financial instruments to mitigate the potential impact of fluctuations in these variables and prices on its financial performance. The Company considers that the derivative financial instruments it enters into provide flexibility that allows for greater financial stability and better visibility and certainty regarding future costs and expenses.

The Company determines the target amounts and parameters of the primary positions for which the derivative financial instruments are contracted in order to minimize one or more of the risks generated by a transaction or group of transactions associated with the primary position.

The Company only enters into derivative financial instruments with financial institutions of well-known solvency and within the limits set for each institution.

The main types of derivative financial instruments used by the Company are as follows:

a) Contracts that establish a mutual obligation to exchange cash flows on preestablished future dates, at the nominal or reference value (swaps):

1. Interest rate swaps to balance the mix of fixed and variable interest rates used for financial liabilities
2. Cross currency swaps, to change the currency in which both the principal and interest of a financial liability are expressed

b) Foreign currency forwards
c) Foreign currency call options
d) Foreign currency denominated zero-cost call and put options (zero-cost collars)
e) Raw materials futures
f) Options on raw material futures
g) Commodity swaps

Market risk exposure is monitored and reported on an ongoing basis.

The Company's policy is to contract derivative financial instruments for the sole purpose of hedging its foreign currency risk. Accordingly, in order to contract a derivative financial instrument, it must necessarily be associated with a primary position that exposes the Company to a specific risk. Consequently, the notional amounts of the Company's derivative financial instruments must be consistent with the amounts of the primary positions that are being hedged. The Company does not contract derivative financial instruments to obtain earnings from premiums.

An analysis of the Company's derivative financial instruments is as follows:

	2022		2021		2020	
	Book value	**Changes in OCI**	Book value	Changes in OCI	Book value	Changes in OCI
Assets						
Current assets:						
Forwards on raw materials	**$ -**	**$ (92)**	$ 92	$ 92	$ -	$ -
Futures of raw materials	**25**	**(922)**	953	152	684	595
Swaps of raw materials and energetics	**13**	**(237)**	248	174	187	132
Total current derivative financial instruments	**$ 38**	**$ (1,251)**	$ 1,293	$ 418	$ 871	$ 727
Non-current assets:						
Cross currency swap	**$ 1,430**	**$ 249**	$ 1,951	$ 427	$ 267	$ 27
Interest Rate swaps	**575**	**575**				
Swaps of raw materials and energetics	**-**	**(9)**	9	9	-	-
Forwards on raw materials	**-**	**(2)**	2	2	-	-
Total non-current derivative financial instruments	**$ 2,005**	**$ 813**	$ 1,962	$ 438	$ 267	$ 27
Liabilities						
Current liabilities:						
Foreign currency forwards	**$ 10**	**$ 76**	$ 169	$ 175	$ 399	$ (170)
Forwards on raw materials	**512**	**(512)**	-	784	784	(456)
Futures of raw materials	**234**	**(237)**	-	-	-	-
Cross currency swap	**-**	**-**	-	-	-	(26)
Swaps of raw materials and energetics	**702**	**(702)**	-	-	-	107
Total current derivative financial instruments	**$ 1,458**	**$ (1,375)**	$ 169	$ 959	$ 1,183	$ (545)
Total non-current derivative financial instruments	**$ 590**	**$ (54)**	$ 67	$ 1,203	$ 214	$ (636)
Equity:						
Total valuation of cash flow hedges, net of accrued interest	**$ (1,100)**	**$ (1,867)**	$ 767	$ 3,018	$ (2,251)	$ (427)
Closed contracts for unused futures	**(352)**	**(346)**	(6)	(30)	24	41
	(1,452)	**(2,213)**	761	2,988	(2,227)	(386)
Deferred income tax, net	**401**	**585**	(184)	(860)	676	116
Other comprehensive (loss)/income	**$ (1,051)**	**$ (1,628)**	$ 577	$ 2,128	$ (1,551)	$ (270)

As of December 31, 2022, 2021 and 2020, derivative financial instruments did not generate significant ineffectiveness in the hedging strategies executed.

2.2 Management of interest rate risk

The Company is exposed to interest rate risk, mainly with respect to its financial liabilities. The risk is managed through an adequate mix of fixed and variable rates, which on occasion, is achieved by contracting derivative financial instruments, such as interest rate swaps, which are accounted for as hedging instruments when they meet with the corresponding criteria.

As a result of the COVID-19 pandemic, volatility in financial markets led to fluctuations in interest rates, particularly in short-term rates. Since most of the Company's financial liabilities bear interest at long-term fixed rates, these fluctuations did not have a material effect on the consolidated financial statements during 2022, 2021and 2020.

Company management considers that the interest rate risk related to its financial assets is limited, since they are generally current assets.

As of December 31, 2022, 2021 and 2020, the Company had no non-current debt bearing interest at variable rates.

2.3 Management of foreign currency risk

The Company carries out transactions in different foreign currencies and presents its consolidated financial statements in Mexican pesos. Accordingly, it is exposed to foreign currency risk (i.e. due to forecasted purchases of raw materials, contracts and monetary assets and liabilities) and foreign currency translation risk (i.e. due to net investments in foreign subsidiaries). The Company is mainly exposed to foreign currency risk associated with the performance of the Mexican peso against the American dollar and the Canadian dollar, and the Canadian dollar against the USD.

As a result of the COVID-19 pandemic, during 2022, there was no volatility in financial markets nor did led to fluctuations in exchange rates. However, the Company did not modify its foreign currency risk management strategy. In 2021, volatility in financial markets led to fluctuations in exchange rates. However, the Company did not modify its foreign currency risk management strategy.

- Management of foreign currency translation risk

The Company has investments in foreign subsidiaries whose functional currency is not the Mexican peso, which exposes it to foreign currency translation risk. The Company has contracted intercompany financial assets and liabilities with those foreign subsidiaries in various currencies, which also generates foreign currency translation risks.

Foreign currency translation risk is mitigated mostly through the issuance of one or more loans denominated in currencies other than the functional currency to naturally hedge exposure to foreign currency and presented as a net investment in foreign subsidiaries.

As of December 31, 2022, 2021 and 2020, the loans in USD (described in Note 13) that have been designated as hedges on the net investment in foreign subsidiaries amount to USD1,058 million, USD1,295 million and USD1,521 million, respectively. On December 28, 2020, the company discontinued the hedge accounting of the international bond due on January 25, 2022, for a notional amount of USD797 million.

As of December 31, 2022, 2021 and 2020, the loans that have been designated as hedges on the net investment in foreign subsidiaries amount to CAD354 million for the three periods (see Note 17, 2.3 (a)).

As of December 31, 2022 and 2021, the loans that have been designated as hedges on the net investment in foreign subsidiaries in Spain amount to EUR318 million and EUR126 million, respectively.

As of December 31, 2022, 2021 and 2020, the amount designated as a hedge for non-current intercompany asset positions is CAD630 million for the three periods.

As of December 31, 2022, and 2021, the amount loans for non-current intercompany that have been designated as the investment in USA subsidiaries is USD756 million and USD748 million, respectively.

As of December 31, 2022, the amount designated as a hedge for non-current intercompany asset positions is GBP18 million.

To test hedge effectiveness, the Company compares the changes in the fair value of the hedging instrument against the changes in fair value of the hedged item attributable to the net investment.

Management of transactional foreign currency risk

The Company's risk management policy on transactional foreign currency risk consists of hedging expected cash flows, mainly with regard to expected obligations that qualify as hedged items, represented by "highly probable" forecasted transactions for purposes of hedge accounting. When the future purchase is made, the Company adjusts the non-financial asset hedged for the gain or loss previously recognized in OCI.

Foreign currency sensitivity

The sensitivity analyses below have been determined based on balances exposed to foreign currency risk, considering both derivative and non-derivative financial instruments at the reporting date; therefore, the analyses may not be representative of the foreign currency risk for the period due to changes in the balances exposed to such risk.

A depreciation/appreciation of one Mexican peso per USD that represents management's estimate of a reasonable potential change in the parity of both currencies would result in an increase/decrease of approximately $80 in profit or loss for the year ended December 31, 2022.

A depreciation/appreciation of one Mexican peso per Canadian dollar that represents management's estimate of a reasonable potential change in the parity of both currencies would result in an increase/decrease of approximately $3 in profit or loss for the year ended December 31, 2022.

A depreciation/appreciation of one Mexican peso per euro that represents management's estimate of a reasonable potential change in the parity of both currencies would result in an increase/decrease of approximately $0 in profit or loss for the year ended December 31, 2022.

Analysis of derivative financial instruments for hedging interest rate and foreign currency risk

An analysis of the derivatives used to hedge interest rate and foreign currency risks and their fair value as of December 31, 2021, 2020 and 2019 is as follows:

a) Swaps that translate the 144A bond of USD800 million, which matures on June 27, 2024, to Canadian dollars and change the fixed interest rate in UDS to a fixed interest rate in Canadian dollars, as well as notional coverage at maturity.

							Market value		
Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	2022	2021	2020
270	USD	354	CAD	27-jun-2024	3.875%	3.9700%	$ 133	$ (171)	$ (176)

b) Swaps that translate the 144A bond of USD800 million, which matures on June 27, 2024, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate in Mexican pesos, as well as notional coverage at maturity.

							Market value		
Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	2022	2021	2020
100	USD	1,827	MXN	27-jun-2024	3.875%	8.410%	$ 162	$ 339	$ 189
150	USD	3,225	MXN	27-jun-2024	3.875%	7.160%	-	103	(130)
76	USD	1,392	MXN	27-jun-2024	3.875%	8.387%	123	257	143
204	USD	4,376	MXN	27-jun-2024	3.875%	7.330%	-	123	(201)
							$ 285	$ 822	$ 1

c) Swaps that translate the 144A bond of USD500 million, which matures on June 27, 2044, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate in Mexican pesos, as well as notional coverage at maturity.

							Market value		
Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	2022	2021	2020
100	USD	1,829	MXN	27-jun-2028	4.875%	9.8385%	$ 183	$ 423	$ 247
100	USD	1,829	MXN	27-jun-2044	-	1.1900%	131	245	298
							$ 314	$ 668	$ 545

d) Swaps that translate a portion of 144A bond of USD650 million, maturing on November 10, 2047, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate in Mexican pesos, as well as notional coverage at maturity.

							Market value		
Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	2022	2021	2020
100	USD	2,150	MXN	10-nov-2047	-	3.415%	$ 92	$ -	$ -
50	USD	1,075	MXN	10-nov-2047	-	3.120%	71	-	-
							$ 163	$ -	$ -

e) Swaps that translate a portion of 144A bond of USD595 million, maturing on September 6, 2049, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate in Mexican pesos, as well as notional coverage at maturity.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2022	2021	2020
50	USD	1,075	MXN	06-mar-2030	4.00%	8.08%	$ -	$ 72	$ (20)
50	USD	1,033	MXN	06-sep-2030	4.00%	9.81%	-	5	(89)
50	USD	1,018	MXN	06-sep-2030	4.00%	9.67%	-	30	(58)
25	USD	495	MXN	06-sep-2030	4.00%	9.37%	-	44	2
25	USD	494	MXN	06-sep-2030	4.00%	9.34%	-	44	2
200	USD	3,733	MXP	06-sep-2049	-	2.98%	5	185	-
							$ 5	$ 380	$ (163)

f) Swaps that translate a portion of 144A bond of USD500 million, maturing on June 27, 2044, to euros and change the fixed interest rate in USD to a fixed interest rate in euros, as well as notional coverage at maturity.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2022	2021	2020
100	USD	93	EUR	28-jun-2032	4.87%	3.61%	$ 41	$ -	$ -

g) Swaps that translate a portion of 144A bond of USD595 million, maturing on September 6, 2049, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate in euros.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2022	2021	2020
150	USD	126	EUR	6-mar-2031	4.00%	2.11%	$ 488	$ 252	$ -

h) Interest rate swap that hedges the floating rate in USD of coupon payments related to forecast transactions:

Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2022	2021	2020
200	USD	24-may-2034	SOFR 3M	1.69%	$ 513	$ -	$ -
75	USD	30-jun-2033	SOFR 3M	3.32%	21	-	-
75	USD	30-jun-2033	SOFR 3M	3.32%	22	-	-
					$ 556	$ -	$ -

i) Interest rate swap that hedges the variable rate in USD (LIBOR):

Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2022	2021	2020
160	USD	30-jun-2031	3-month LIBOR	3.29%	$ -	$ -	$ 60

j) Long-term swaps to cover the price risk associated with raw materials and others:

	December 2022		December 2021		December 2020		Market value		
Unit	Quantity	Average price	Quantity	Average price	Quantity	Average price	2022	2021	2020
Barrels	$ -	$ -	21,450	49.66	14,950	48.32	$ -	$ 9	$ -

k) Long-term forwards to cover the exchange risk associated with raw materials and others:

		December 2022		December 2021		December 2020		Market value		
Country	Currency	Notional amount	Average exchange rate	Notional amount	Average exchange rate	Notional amount	Average exchange rate	2022	2021	2020
Canada	USD/CAD	-	-	10	1.25	-	-	$ -	$ 3	$ -
Mexico	USD/MXN	-	-	3	22.52	-	-	-	(1)	-
								$ -	$ 2	$ -

l) Interest rate swap that hedges forecast flows related to the finance lease of Italy operation:

					Market value		
Notional amount	Currency	Maturity	Rate received	Rate paid	2022	2021	2020
8	EUR	03-feb-2031	Euribor 3M	1.28%	$ 11	$ -	$ -
7	EUR	03-mar-2031	Euribor 3M	1.25%	9	-	-
					$ 20	$ -	$ -
Total activo instrumentos financieros a largo plazo					$ 2,005	$ 1,962	$ 267

During 2022, the Company restructured the notional amounts (for USD150 million) and interest rates of some derivative financial instruments, as indicated in paragraph h), resulting in the collection of $419 corresponding to the fair value of these instruments at the time of the restructuring. The Company's risk management objectives were not modified as a result of this restructuring.

During 2020, the Company restructured the notional amounts and interest rates of some derivative financial instruments, as indicated in paragraphs a), b) and e), resulting in the collection of $2,096 corresponding to the fair value of these instruments at the time of the restructuring. The Company's risk management objectives were not modified as a result of this restructuring.

m) Swaps that translate the 144A bond of USD800 million, which matures on June 27, 2024, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate in Mexican pesos, as well as notional coverage at maturity.

							Market value		
Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	2022	2021	2020
150	USD	3,225	MXP	27-jun-2024	3.875%	7.160%	$ 163	$ -	$ -
204	USD	4,376	MXP	27-jun-2024	3.875%	7.330%	234	-	-
							$ 397	$ -	$ -

n) Swaps that translate a portion of 144A bond of USD595 million, maturing on September 6, 2049, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate Mexican peso, as well as notional coverage at maturity.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2022	2021	2020
50	USD	1,075	MXP	06-mar-2030	4.00%	8.08%	$ 27	$ -	$ -
50	USD	1,033	MXP	06-sep-2030	4.00%	9.81%	80	-	-
50	USD	1,018	MXP	06-sep-2030	4.00%	9.67%	57	-	-
25	USD	495	MXP	06-sep-2030	4.00%	9.37%	5	-	-
25	USD	494	MXP	06-sep-2030	4.00%	9.34%	4	-	-
							$ 173	$ -	$ -

o) Swaps that translate a portion of 144A bond of USD650 million, maturing on November 10, 2047, to Euros, where the notional to maturity is hedged by changing the debt denominated in USD to Euros.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2022	2021	2020
100	USD	99	MXP	10-nov-2032	1.02%	-	$ 20	$ -	$ -

p) Non-current forwards to hedge foreign currency risk related to raw materials and other:

		December 2022		December 2021		December 2020		Market value		
Country	Currency	Notional amount	Average exchange rate	Notional amount	Average exchange rate	Notional amount	Average exchange rate	2022	2021	2020
Mexico	USD/MXN	-	-	2	20.78	12	20.15	$ -	$ -	$ 1
Canada	USD/CAD	-	-	14	1.31	8	1.32	-	-	5
								$ -	$ -	$ 6

q) Non-current forwards to hedge forecast transactions:

		December 2022		December 2021		December 2020		Market value		
Country	Currency	Notional amount	Average exchange rate	Notional amount	Average exchange rate	Notional amount	Average exchange rate	2022	2021	2020
Mexico	USD/MXN	-	-	-	-	58	20.85	$ -	$ -	$ 185

r) Interest rate swap that hedges the variable rate in USD:

Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2022	2021	2020
200	USD	24-may-2034	SOFR3M	1.69%	$ -	$ 54	$ -

On June 24, 2020, the Company extended the maturity date of its interest rate swap for a notional of USD160 million and settled the fair value at that date of $935 (see paragraph k). The characteristics of this instrument, valid until May 2021, are described in paragraph f); generating on that date the final settlement of the instrument in favor of the Company for $263; the Company's risk management objectives and strategy were not revised as a result of this restructuring.

s) Interest rate swap hedging forecasted flows related to financial leases of Italy operation:

Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2022	2021	2020
8	EUR	03-feb-2031	3-month Euribor	1.28%	$ -	$ 7	$ 13
7	EUR	03-mar-2031	3-month Euribor	1.25%	-	6	10
					$ -	$ 13	$ 23
Total non-current financial liabilities					$ 590	$ 67	$ 214

Foreign currency hedges

There is an economic relationship between the hedged items and the hedging instruments as the terms of the foreign exchange and commodity forward contracts match the terms of the expected highly probable forecast transactions (i.e. notional amount and expected payment date). The Company has established a hedge ratio of 1:1 for the hedging relationships as the underlying risk of the foreign exchange and commodity forward contracts are identical to the hedged risk components.

As of December 31, 2022, 2021 and 2020, the Company had the following forwards to hedge forecast transactions:

		December 2022		December 2021		December 2020		Market value		
Country	Currency	Notional amount	Average exchange rate	Notional amount	Average exchange rate	Notional amount	Average exchange rate	2022	2021	2020
Mexico	MXN/CLP	1,388	43.23	894	40.24	1,022	35.19	$ 3	$ 20	$ 6
Mexico	USD/MXN	190	19.63	252	21.39	273	21.72	19	(189)	(404)
Mexico	MXN/USD	607	19.91	51	20.48	799	19.97	5	-	2
Mexico	USD/GBP	31	1.13	-	-	-	-	(41)	-	-
Mexico	EUR/MXP	100	21.01	-	-	-	-	(12)	-	-
Spain	EUR/RUB	-	-	-	-	10	92.20	-	-	(3)
United Kingdom	EUR/GBP	30	1.15	-	-	-	-	17	-	-
United Kingdom	USD/EUR	53	1.08	-	-	-	-	(1)	-	-
			Total non-current liabilities financial instruments					$ (10)	$ (169)	$ (399)

An analysis of the maturities of these forwards as of December 31, 2022 is as follows:

	< 1 Month	> 1 month < 3 months	> 3 months < 6 months	> 6 months < 9 months	> 9 months < 12 months	Total
Mexico						
Notional amount in MXP	-	-	1,388	-	-	1,388
Average exchange rate CLP	-	-	43.23	-	-	43.23
Mexico						
Notional amount in USD	78	49	63	-	-	190
Average exchange rate	19.40	19.63	19.90	-	-	19.63
Mexico						
Notional amount in MXP	-	607	-	-	-	607
Average exchange rate USD	-	19.91	-	-	-	13.91

	< 1 Month	> 1 month < 3 months	> 3 months < 6 months	> 6 months < 9 months	> 9 months < 12 months	Total
Mexico						
Notional amount in EUR	100	-	-	-	-	100
Average exchange rate	21.01	-	-	-	-	21.01
Mexico						
Notional amount in USD	-	31	-	-	-	31
Average exchange rate	-	1.13	-	-	-	1.13
United Kingdom						
Nocional amount in EUR	3	6	8	6	7	30
Average exchange rate	1.16	1.16	1.16	1.16	1.16	1.16
United Kingdom						
Nocional amount in USD	4	7	12	14	16	53
Average exchange rate	1.16	1.13	1.09	1.06	1.05	1.06

As of December 31, the Company had contracted the following forwards to hedge its foreign currency risk related to raw materials and other:

		December 2022		December 2021		December 2020		Market value		
Country	Currency	Notional amount	Average exchange rate	Notional amount	Average exchange rate	Notional amount	Average exchange rate	2022	2021	2020
Argentina	USD/ARS	-	-	-	-	5	94.68	$ -	$ -	$ (5)
Canada	USD/CAD	140	1.30	125	1.26	98	1.33	116	17	(74)
Canada	CAD/USD	47	1.36	28	1.28	19	1.29	1	7	2
Chile	USD/CLP	67	936.37	37	795.93	31	779.59	(104)	65	(68)
Colombia	USD/COP	18	4,665.24	16	3,894.38	14	3,747.20	22	19	(23)
Mexico	USD/MXP	613	20.90	320	21.12	323	21.95	(525)	(43)	(586)
Mexico	MXP/USD	1,745	20.06	545	21.43	342	20.05	26	20	6
Mexico	EUR/MXP	2	22.67	1	25.29	3	25.34	(2)	(1)	(2)
Peru	USD/PEN	28	3.95	25	4.03	14	3.57	(14)	-	4
Uruguay	USD/UYU	11	43.01	9	46.09	10	44.47	(11)	(2)	(5)
France	USD/EUR	6	1.06	6	1.16	6	1.17	(2)	2	(6)
Russia	EUR/RUB	-	-	1	73.76	-	-	-	1	-
Russia	USD/RUB	-	-	1	85.18	1	74.03	-	-	-
Brazil	USD/BRL	14	5.43	15	5.62	37	5.44	(4)	3	(29)
Brazil	BRL/USD	22	5.44	53	5.79	8	5.58	2	4	2
Costa Rica	USD/CRC	12	648.50	-	-	-	-	(17)	-	-
				Total current assets (liabilities) financial instruments				$ (512)	$ 92	$ (784)

The maturities of these forwards as of December 31, 2022 are as follows:

	< 1 Month	> 1 month < 3 months	> 3 months < 6 months	> 6 months < 9 months	> 9 months < 12 months	Total
Canada						
Notional amount in USD	16	30	35	34	25	140
Average exchange rate	1.29	1.28	1.28	1.29	1.35	1.30
Canada						
Notional amount in CAD	17	30	-	-	-	47
Average exchange rate USD	1.36	1.36	-	-	-	1.36
Chile						
Notional amount in USD	8	15	17	16	11	67
Average exchange rate	908.27	906.23	940.27	966.42	949.07	936.37

	< 1 Month	> 1 month < 3 months	> 3 months < 6 months	> 6 months < 9 months	> 9 months < 12 months	Total
Colombia						
Notional amount in USD	2	4	5	4	3	18
Average exchange rate	4,479.03	4,393.53	4,500.94	4,857.92	5,188.81	4,665.24
Mexico						
Notional amount in USD	80	136	199	116	82	613
Average exchange rate	20.88	20.82	20.80	21.16	20.94	20.90
Mexico						
Notional amount in MXP	434	834	276	201	-	1,745
Average exchange rate USD	19.83	19.98	20.26	20.58	-	20.06
Mexico						
Notional amount in EUR	-	1	1	-	-	2
Average exchange rate	-	22.63	22.94	-	-	22.67
Peru						
Notional amount in USD	4	6	7	7	4	28
Average exchange rate	3.94	3.94	3.95	3.96	3.98	3.95
Uruguay						
Notional amount in USD	1	3	4	2	1	11
Average exchange rate	43.52	43.03	42.88	43.34	42.03	43.01
France						
Notional amount in USD	1	1	2	1	1	6
Average exchange rate	1.05	1.06	1.06	1.07	1.07	1.06
Brazil						
Notional amount in USD	3	6	4	1	-	14
Average exchange rate	5.46	5.42	5.41	5.50	-	5.43
Brazil						
Notional amount in BRL	9	11	2	-	-	22
Average exchange rate USD	5.42	5.46	5.49	-	-	5.44
Costa Rica						
Notional amount in USD	3	5	3	1	-	12
Average exchange rate	654.12	649.67	643.50	640.16	-	648.50

As of December 31, 2022, 2021 and 2020, the Company reclassified $394, $549 and $(302), respectively, to cost of sales.

2.4 Management of commodity price risk

There is an economic relationship between the hedged items and the hedging instruments as the terms of purchases of raw materials match the terms of the expected highly probable forecast transactions (i.e. notional amount and expected payment date). The Company has established a hedge ratio of 1:1 for the hedging relationships as the underlying risk of the purchases of raw materials are identical to the hedged risk components.

In accordance with the Company's risk management policies, it enters into wheat, natural gas, and other commodity futures contracts to minimize the risk of variation in international prices of such commodities.

Wheat, the main commodity used by the Company, together with natural gas, are some of the commodities hedged. The transactions are carried out in well-known commodity markets and through their formal documentation, are designated as cash flow hedges of forecasted transactions. The Company performs prospective and retrospective effectiveness tests of the instruments to ensure that they mitigate the variability of cash flows from fluctuations in the price of such commodities.

As of December 31, 2022, 2021 and 2020, the Company has recognized, in other comprehensive income, closed wheat derivative contracts that have not yet been reclassified to cost of sales, since the wheat under these contracts has not been used for flour consumption.

Analysis of derivative transactions to hedge commodity price risk

As of December 31, the principal characteristics of the Company's futures contracts are as follows:

	2022			2021			2020		
	Contracts			Contracts			Contracts		
	Number	Maturity	Fair value	Number	Maturity	Fair value	Number	Maturity	Fair value
Diesel	-	-	$ -	1,841	Jan-22 a Dec-22	$ 245	3,471	Jan-21 to Jul-22	$ 7
Gasoline	-	-	-	764	Jan -22 a Dec-22	130	1,714	Jan-21 to Jul-22	54
Natural gas	-	-	-	628	Jan -22 a Dec-22	(12)	533	Jan-21 to Dec-21	14
Polyethylene	-	-	-	84,269	Jan -22 a Dec-22	(124)	45,561	Jan-21 to Oct-21	112
Wheat	-	-	-	13,202	Jan -22 a Dec-22	936	8,334	Jan-21 to Dec-21	601
Soybean oil	798	Jan-23 a Dec-23	25	818	Jan -22 a Dec-22	14	678	Jan-21 to Dec-21	82
Crude Oil	21,450	Jan-23 a Nov-23	13	23,400	Jan -22 a Dec-22	12	13,650	Jan-21 to Dec-21	1
Total current assets			$ 38			$ 1,201			$ 871
Polyethylene	109,571	Jan-23 a Mar-24	$ 482			$ -			$ -
Natural gas	623	Jan-23 a Jan-24	194			-			-
Wheat	11,375	Feb-23 a Dec-23	234			-			-
Diesel	1,982	Jan-23 a Jan-24	12			-			-
Gasoline	1,239	Jan-23 a Dec-23	14			-			-
Total current liabilities			$ 936			$ -			$ -

As of December 31, 2022, 2021 and 2020, the Company reclassified $(1,749), $(1,351) and $525, respectively, to cost of sales.

The fair values of these financial instruments used to hedge the raw material price risk are considered within Level 1 of the fair value hierarchy.

As of December 31, 2022, 2021 and 2020, the Company has not identified any embedded derivatives that require bifurcation.

Valuation techniques and assumptions applied to measure fair value

The fair value of the Company's financial assets and liabilities is calculated as follows:

The fair values of financial assets and financial liabilities with standard terms and conditions which are traded on active, liquid markets are determined based on their quoted market prices. Derivative financial instruments fall under this category; therefore, these instruments are classified within Level 1 of the fair value hierarchy described below.

The fair value of other financial assets and liabilities carried at fair value is determined in accordance with accepted pricing models, generally based on an analysis of the discounted cash flows.

As of December 31, 2022, 2021 and 2020, the carrying value of financial assets and liabilities does not vary significantly from their fair value.

These derivative financial instruments are considered within level 1 and 2 of the fair value hierarchy.

The valuation of the Company's structured notes was determined based on the market value with prices provided by Valuación Operativa y Referencias de Mercado S.A. de C.V. ("VALMER"), which is an entity supervised by the *Mexican National Banking and Securities Commission* (CNBV, Spanish acronym) that provides updated prices for financial instruments. This valuation is considered Level 1 in accordance with the hierarchy described below.

Fair value hierarchy

All assets and liabilities for which fair value is measured or disclosed in the consolidated statement of financial position are categorized within one of the following three hierarchy levels based on the data used in the valuation. Categorization within the fair value hierarchy is based on the lowest level of input that is significant to the fair value measurement.

- Level 1: Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2: Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3: Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

2.5 Management of liquidity risk

Liquidity risk management allows the Company to determine its short-term, medium-term and long-term cash flow needs, while seeking financial flexibility. The Company maintains sufficient liquidity through an orderly management of its resources and constant monitoring of cash flows, as well as through a variety of credit lines (some of them committed) with banking institutions and proper management of working capital. These actions ensure the payment of future obligations. Due to the nature of its business, the Company considers its liquidity risk to be low.

Obligations arising from accounts payables, derivative financial instruments and debt amortization are as follows:

	< 1 year	>1 year < 3 years	>3 years < 5 years	> 5 years	Total
Debt and interest	$ 10,538	$ 24,218	$ 23,759	$ 88,207	$ 146,722
Lease liabilities	5,930	9,231	5,641	15,688	36,490
Derivative financial instruments	2,125	1,629	899	5,463	10,116
Trade payables and accounts payable to related parties	45,298	-	-	-	45,298
Total	$ 63,891	$ 35,078	$ 30,299	$ 109,358	$ 238,626

2.6 Management of credit risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss.

The Company recognizes a provision for expected credit losses for trade receivables. The Company uses a provision matrix to calculate expected credit losses for trade receivables. The provision matrix is initially based on the Company's historical credit loss experience and is subsequently adjusted for factors that are specific to the debtors, general economic conditions and an assessment of the current direction and forecast of future conditions at the reporting date, including the time value of money, when applicable.

With respect to transactions with derivative financial instruments related to interest rate and exchange rate hedges, and some commodities such as natural gas, these instruments are entered into bilaterally with counterparties of high repute that meet certain criteria mentioned below, and who maintain a significant and ongoing business relationship with the Company.

These counterparties are deemed of high repute, as they are sufficiently solvent, based on their "counterparty risk" rating from a rating agency, for current and non-current obligations in local and foreign currency.

The Company's transactions with derivative financial instruments related to raw materials are carried out in the following renowned markets:

a) Minneapolis Grain Exchange (MGE)
b) Kansas City Board of Trade (KCBOT)
c) Chicago Board of Trade (CBOT)
d) New York Mercantile Exchange (NYMEX)

The Company monitors counterparty credit risks on a monthly basis and performs the related measurements.

All derivative financial instrument transactions are performed under standardized derivatives contracts that are duly executed by the legal representatives of the Company and those of the counterparties.

The appendices and annexes to these derivative contracts establish the settlement and other relevant terms in accordance with the uses and practices of the Mexican market and the markets in which the Company operates.

Some derivative financial instrument contracts, appendices and annexes, through which bilateral derivative financial transactions are carried out, consider the establishment of a cash deposit or other securities to guarantee payment of obligations arising from such contracts. The credit limits established by the Company with its counterparties are large enough to support its current operations; however, the Company maintains cash deposits as collateral for payment of certain derivative financial instruments.

For commodities future contracts executed in well-known international markets, the Company is subject to the regulations of such markets. These regulations include, among others, establishing an initial margin call for futures contracts and subsequent margin calls required of the Company.

2.7 Management of equity structure

The Company maintains a balance between debt and equity in order to maximize the shareholders' return.

As of December 31, the equity structure and leverage ratio are as follows:

	2022	2021	2020
Debt (i)	**$ 84,054**	$ 92,855	$ 85,229
Cash and cash equivalents	**(12,313)**	(8,748)	(9,268)
Net debt	**71,741**	84,107	75,961
Equity	**127,602**	101,606	88,011
Net debt to equity	0.56 times	0.83 veces	0.86 veces

(i) Debt is comprised of bank loans and current and non-current structured notes, net of amortizable transaction costs.

18. Employee benefits and welfare plans

An analysis of the net liability generated by employee benefits and long-term social welfare by geographical segment as of December 31, is as follows:

	2022	2021 Reformulated	2020 Reformulated
Retirement and post-retirement benefits			
Mexico	**$ 2,283**	$ 3,618	$ 5,204
USA	**724**	786	1,233
Canada	**-**	18	995
EAA and Latin America	**479**	545	479
Total liabilities from retirement and post-retirement benefits	**3,486**	4,967	7,911
Multi-employer pension plans – USA	**31**	19,227	20,343
Social welfare USA	**3,873**	4,012	3,754
Net plan assets presented in other assets	**708**	1,245	821
Long-term bonuses payable to employees	**1,284**	1,261	1,003
Total net liability	**$ 9,382**	$ 30,712	$ 33,832

a) Mexico

The Company has a defined benefit pension and seniority premium plan. The Company's funding policy is to make discretionary contributions. During 2022, 2021 and 2020, the Company contributed $781, $1,150 and $1,150, respectively, to the plan assets.

As of December 31, 2022, due to the labor reform in Mexico regarding vacations, which increases the number of vacation days for workers, the Company estimated the amount of the increase in the net liability for post-employment benefits, the which turned out to be not significant.

Seniority premiums consist of a one-time payment equal to 12-days' salary for each year worked based on the employee's final monthly salary (capped at twice the legal minimum daily wage) as stipulated in the employment contracts. Such benefits are granted to employees with 15 or more years of service.

The most recent actuarial valuations of the plan assets and present value of the defined benefit obligation were performed as of December 31, 2022, 2021 and 2020 based on independent actuarial calculations.

b) USA

The Company has a defined benefit pension plan that covers eligible employees. Some of the benefits of the plan for non-unionized workers were frozen. The Company's funding policy is to make discretionary contributions. As of December 31, 2022, 2021 and 2020, the contributions made to the plan total $101, $203 and $161, respectively.

The Company has also established post-retirement social welfare plans, which cover the medical expenses of certain eligible employees. The Company has insurance and pays these expenses as incurred.

The most recent actuarial valuations of the plan assets and present value of the defined benefit obligation were performed as of December 31, 2022, 2021 and 2020 based on independent actuarial calculations.

c) Canada

The Company has a defined benefit pension plan that covers all eligible employees. Some of the benefits of the plan for non-unionized workers were frozen. The Company's funding policy is to make discretionary contributions. The contributions made to the plan in 2022, 2021 and 2020 total $118, $711 and $172, respectively.

The most recent actuarial valuations of the plan assets and present value of the defined benefit obligation were performed as of December 31, 2022, 2021 and 2020 based on independent actuarial calculations.

The Company has also established a defined contribution plan through which contributions are paid as incurred. For the years ended December 31, 2022, 2021 and 2020, the contributions made to the plans total $67, $74 and $57, respectively.

The principal assumptions used in the actuarial valuations are as follows:

	2022	2021	2020
Mexico:			
Discount rate	**9.59%**	8.30%	7.68%
Salary increase rate	**4.75%**	4.50%	4.50%
Inflation rate	**3.75%**	3.50%	4.00%
Expected average weighted return	**8.30%**	7.68%	7.57%
USA:			
Discount rate	**5.22%**	2.73%	2.30%
Salary increase rate	**3.50%**	3.25%	3.25%
Inflation rate	**2.50%**	2.25%	2.25%
Expected average weighted return	**2.73%**	2.30%	3.15%
Canada:			
Discount rate	**5.10%**	2.90%	2.50%
Salary increase rate	**4.00%**	3.00%	3.00%
Inflation rate	**2.00%**	2.00%	2.00%
Expected average weighted return	**2.90%**	2.50%	3.10%

The assumptions related to the mortality rates used in the actuarial valuations are as follows:

	2022	2021	2020
Mexico:			
Mortality table	**EMSSA 2009**	EMSSA 2009	EMSSA 2009
USA:			
Mortality table	**MP-2022**	MP-2022	MP-2022
Canada:			
Mortality table	**CPM2014Priv**	CPM2014Priv	CPM2014Priv

Based on the aforementioned assumptions, the retirement and post-retirement benefits to be paid in the following years are as follows:

	Mexico	USA	Canada
2023	$ 432	$ 656	$ 195
2024	465	686	196
2025	543	735	196
2026	607	770	198
2027	651	758	203
2028 to 2032	3,061	3,626	1,045
	$ 5,759	$ 7,231	$ 2,033

An analysis of the amounts recognized in profit or loss and other comprehensive income with respect to defined benefit plans is as follows:

	2022	2021 Reformulated	2020 Reformulated
Amounts recognized in profit or loss:			
Current year service cost	**$ 1,013**	$ 1,128	$ 991
Gain on plan settlements	-	-	(631)
Interest cost	1,867	1,745	1,851
Return on plan assets	(1,567)	(1,324)	(1,316)
	1,313	1,549	895
Actuarial (loss)/gain on defined benefits recognized in other comprehensive income:			
Mexico, USA and Canada:			
Experience adjustments to plan obligations	(671) [3]	911	1,252
Effect of changes in demographic assumptions	-	87	(442)
Effect of changes in financial assumptions	(7,711) [1]	(3,534) [1]	2,705 [2]
Actuarial (gain)/loss on estimate of plan assets [3]	7,793	810	(2,926)
EAA and Latin America	(211)	183	(227)
	(800)	(1,543)	362
	$ 513	$ 6	$ 1,257

(1) Effects of an increase in the discount rate in Mexico, the United States of America and Canada in 2022 and 2021.

(2) Effects of the decrease in the real rate of return, mainly in Mexico and the United States of America, in 2022 and 2021.

(3) Effect due to the increase in employee turnover rate, mainly in Mexico.

Of the current year service cost, $931, $957 and $808 were included in 2022, 2021 and 2020, respectively, in the consolidated statement of profit or loss as part of cost of sales and the remainder as part of general expenses. Interest costs and the expected return on plan assets are recognized as part of comprehensive finance cost.

An analysis of the amount recognized in the consolidated statement of financial position in respect of the Company's obligation regarding its defined benefits plans as of December 31, is as follows:

	2022	2021	2020
Present value of defined benefit obligation	**$ 27,465**	$ 41,401	$ 42,386
Less - fair value of plan assets	**24,413**	36,823	34,790
	3,052	4,578	7,596
Plus - Retirement benefits for Latin America and EAA	**479**	545	479
Plus – Pensions net assets	**79**	-	-
Less - Current portion of retirement benefits recognized in accrued liabilities	**(124)**	(156)	(164)
Present value of unfunded defined benefits	**$ 3,486**	$ 4,967	$ 7,911

An analysis of changes in the present value of the defined benefit obligation is as follows:

	2022	2021	2020
Present value of defined benefit obligation as of January 1st	$ 41,401	$ 42,386	$ 37,839
Current year service cost	1,013	1,128	991
Interest cost	1,867	1,745	1,851
Gains on plan settlements	-	-	(631)
Experience adjustments to plan obligations	(671)	911	1,252
Effect of changes in demographic assumptions	-	87	(442)
Effect of changes in financial assumptions	(7,711)	(3,534)	2,705
Liabilities assumed in business combinations	-	-	1
Translation effect	(1,500)	963	1,372
Discontinued operation	(309)		
Benefits paid	(6,625)	(2,285)	(2,552)
Present value of defined benefit obligation as of December 31	$ 27,465	$ 41,401	$ 42,386

An analysis of changes in the fair value of plan assets is as follows:

	2022	2021	2020
Fair value of plan assets as of January 1st	$ 36,823	$ 34,790	$ 29,253
Return on plan assets	1,567	1,324	1,316
Actuarial (gain)/loss on estimate of plan assets	(7,793)	(810)	2,926
Employer contributions	1,000	2,064	1,483
Translation effect	(1,452)	882	1,194
Benefits paid	(5,732)	(1,427)	(1,382)
Fair value of plan assets as of December 31	$ 24,413	$ 36,823	$ 34,790

Categories of plan assets:

	Fair value of plan assets		
	2022	2021	2020
Equity instruments	$ 6,260	$ 7,247	$ 8,976
Debt instruments	16,288	25,471	23,136
Other	1,865	4,105	2,678
	$ 24,413	$ 36,823	$ 34,790

The fair value of the equity and debt instruments shown above is measured based on market prices quoted in active markets.

The Company's technical committee, as well as the trust committees, are responsible for defining and monitoring the Company's investment strategy and policies on a quarterly basis in order to optimize the risk/return in the long-term.

Sensitivity analysis:

The significant actuarial assumptions for the determination of the defined benefit obligation are the discount rate and the expected salary increase rate. The sensitivity analyses described below consider reasonable potential changes in the respective assumptions at the end of the reporting period, with all other assumptions remaining constant.

A sensitivity analysis considering a variance of 50 basis points in the assumptions as of December 31, 2022 is as follows:

	Mexico	USA	Canada
Discount rate increase	$ (1,113)	$ (551)	$ (175)
Discount rate decrease	1,179	551	200
Salary rate increase	(575)	(3)	(10)
Salary rate decrease	534	3	12

In the sensitivity analysis described above, the present value of the defined benefit obligation is calculated using the projected unit credit method at the end of the reporting period, which is the same method applied to calculate the liability for the defined benefit obligation recognized in the consolidated statement of financial position.

There were no changes in the methods or assumptions considered in the sensitivity analyses of prior years.

Duration of the defined benefit obligation

An analysis is as follows:

	Duration in years		
	2022	2021	2020
Mexico:			
Average duration	**16.95**	20.20	20.20
Active members	**25.49**	26.50	26.34
Retired members	**8.41**	8.30	9.42
USA:			
Average duration	**10.41**	12.16	12.83
Active members	**11.12**	13.83	14.48
Retired members	**7.53**	9.46	9.92
Deferred members	**10.16**	12.94	13.69
Canada:			
Average duration	**10.20**	12.80	13.40
Active members	**13.20**	16.80	17.30
Retired members	**8.50**	9.30	9.60
Deferred members	**16.10**	18.40	19.00

An analysis of the experience adjustments and other items is as follows:

	2022	2021	2020
Present value of defined benefit obligation	$ 27,465	$ 41,401	$ 42,386
Less - Fair value of plan assets	24,413	36,823	34,790
Unfunded defined benefit obligation	$ 3,052	$ 4,578	$ 7,596
Experience adjustments to plan obligations and actuarial loss	$ (671)	$ 911	$ 1,252
Experience adjustments to plan assets	$ (7,793)	$ (810)	$ 2,926

The Company expects to make a contribution of $952 to the retirement and post-retirement benefit plans in 2023.

Multi-Employer Pension Plans (MEPP)

The Company participates in defined benefit MEPPs through its subsidiary BBU, that are administered and controlled by an independent board of trustees that generally consists of an equal number of union and employer representatives. BBU's responsibility to contribute to these plans is established pursuant to its collective agreements that cover its union-represented employees. These plans generally provide for retirement benefits for eligible employees with the applicable bargaining units, based on specific eligibility and participation requirements, vesting periods and benefit formulas.

Assets contributed to a MEPP by one employer may be used to provide benefits to employees of other participating employers. In the event other employers withdraw from a MEPP in which BBU participates, without satisfying their entire withdrawal liability, the amount of the unsatisfied withdrawal liability would be allocated to the remaining active employers.

Generally, allocation of withdrawal liability is related to BBU's contributions to the plan in relation to other employers' contributions to the plan and is subject to the collective bargaining process as well as approval from the Pension Benefit Guarantee Corporation.

If any of the MEPPs in which BBU participates enters critical status and its contributions are not sufficient to satisfy any rehabilitation plan funding schedule, the BBU could be required to make additional surcharge contributions to the MEPP based on a percentage of existing contributions required under the Company's labor agreement.

Unless the Company determines that it is probable that it will exit the MEPP, this type of plan is measured as a defined contribution plan, since the Company does not have sufficient information to perform the related calculations due to the collective nature of the plans and the Company's limited participation in the management of the plans. For the years ended December 31, 2022, 2021 and 2020, the contributions made to the MEPPs total $2,655, $2,556 and $2,592, respectively. The Company expects to contribute of $2,365 to the plan in 2023.

Liabilities recognized related to MEPPs are updated annually due to changes in wages, seniority and the combination of employees within the plan and are recorded in profit or loss for the year, in addition to amounts that are contributed regularly to different MEPPs.

If other employers exit the MEPP without satisfying the related obligations, the unpaid amount is distributed to the other active employers. Generally, the distribution of the liability resulting from the exit of the plan is based on the proportion of the Company's contributions to the plan compared to the contributions made by the other employers in the plan.

When it is probable that the Company will exit a MEPP, a provision is recognized for the present value of the estimated future cash outflows, discounted at the current rate (Note 19).

The movements of the MEPPs liability during the years ended December 31 were as follows:

	2022	2021	2020
Balance as of January 1st	**$ 19,227**	$ 20,343	$ 17,319
Remeasurement – (Note 22)	**(18,697)**	(2,005)	1,639
Financial cost – (Not3 23)	**303**	230	390
Effect of foreign exchange differences	**(802)**	659	995
Balance as of December 31	**$ 31**	$ 19,227	$ 20,343

In March 2021, the American Rescue Plan Act of 2022 ("ARPA)" was approved and signed into law by the United States federal government including a provision for special financial assistance for certain underfunded MEPPs. Based upon regulations issued in July 2022, it is expected that the underfunded MEPPs will be eligible to apply for financial assistance in 2022 and 2023.

In December 2022, the largest critical and declining pension fund in the United States, Central States Teamsters, received approval for Special Financial Assistance (SFA). The Company believes that this approval significantly reduces the level of uncertainty with respect to other qualified pension funds and provides assurance that the SFA application process is progressing as planned. Accordingly, the Company believes that the previously expected contributions that were recognized on a provisional basis will no longer be required, so this provision has been reversed. The amount of this reversal is $19,010, which was recognized in other expenses in the statement of profit or loss.

Social welfare benefit plan in USA

The Company has a social welfare post-retirement benefit plan that qualifies as a defined contribution plan. The amounts corresponding to this obligation are recognized in profit or loss as incurred. These obligations are classified as current or long-term welfare benefit plans and the amounts are recognized in the consolidated statement of financial position. These liabilities are classified as short-term and long-term and their amounts included in the statement of financial position are:

	2022	2021	2020
Social welfare:			
Short-term [(a)]	**$ 1,462**	$ 1,511	$ 448
Long-term	**3,873**	4,012	3,754
	$ 5,335	$ 5,523	$ 4,202

[(a)] Included in other accounts payable and accrued liabilities.

19. Other non-current liabilities

The other non-current liabilities as of December 31, are as follows:

	2022	2021	2020
Provisions	$ 8,663	$ 5,793	$ 4,919
Liabilities for exits from multi-employer plans	2,075	2,370	2,575
Deferred compensation	1,022	1,206	629
Virtual power purchase agreement	-	-	213
Other	247	453	662
	$ 12,007	$ 9,822	$ 8,998

In the other non-current liabilities caption, the Company has recognized provisions for lawsuits of different nature that arise in the normal course of its operations. The liabilities related to tax uncertainties were also recognized under the same caption. Based on this assessment, the Company has recognized the following amounts:

Type	2022	2021	2020
Tax	$ 1,146	$ 1,191	$ 1,040
Labor	649	711	873
Civil	120	110	111
Other	79	1	1
Uncertain tax positions	6,669	3,780	2,894
Total	$ 8,663	$ 5,793	$ 4,919

The movements in the Company's provisions and liabilities related to uncertain tax positions as of December 31, are as follows:

	2022	2021	2020
Balance as of January 1st	$ 5,793	$ 4,919	$ 4,386
Net increases	3,033	1,107	1,086
Payments	(113)	(177)	(337)
Effect of foreign exchange differences	(50)	(56)	(216)
Balance as of December 31	$ 8,663	$ 5,793	$ 4,919

As of December 31, 2022, the cumulative amount corresponding to tax, civil and labor lawsuits deemed as less than probable, but more than remote by the Company's internal attorneys is $405. However, the Company considers that such lawsuits will not have a material effect on its consolidated financial position or operating results.

Brazil:

As a result of the purchase of property, plant and equipment and intangible assets in Brazil in connection with the Firenze brand in 2008, the Company was subject to tax liens as the presumed successor to companies that participate in these actions. On January 7, 2022, the Company signed an agreement with the corresponding authorities related to the above process, which implies payments during 7 years following the signing of said agreement with the option to settle in advance at any time. As a consequence of the above, as of April 29, 2022, in advance the Company paid the total debit $310.

In addition, the Company has secured its labor and civil lawsuits with security deposits totaling $256, which are presented as part of other non-current assets.

Canada:

The Competition Bureau of Canada in 2017 started an investigation into alleged collusion between various participants of the baked goods industry, including Canada Bread, although to date no formal accusations have been charged against the Company. The Company is cooperating with the Canadian authorities in this process.

In addition, Grupo Bimbo and Canada Bread have been required in twelve class actions in connection with such investigation. Given the status of this legal process as of December 31, 2022, the Company has not recognized a provision related to this matter.

20. Equity

An analysis of the Company's equity as of December 31, 2022, 2021 and 2020 is as follows:

	2022		2021		2020	
	No. of shares	**Amount**	No. of shares	Amount	No. of shares	Amount
Fixed share capital:						
Series A	**4,475,068,991**	**$ 4,021**	4,516,329,661	$ 4,059	4,533,758,587	$ 4,074
Treasury shares	**(41,401,350)**	**(37)**	(41,260,670)	(38)	(13,419,417)	(13)
Total	**4,433,667,641**	**$ 3,984**	4,475,068,991	$ 4,021	4,520,339,170	$ 4,061

The Company's share capital has been fully subscribed and paid in. The Company's fixed share capital is represented by series "A" shares. The variable portion of the Company's share capital cannot exceed ten times the amount of minimum fixed share capital without right of withdrawal and must be represented by common registered series "B" shares with no par value and/or shares with limited voting rights and no par value of the series to be named when they are issued. Shares with limited voting rights cannot represent more than 25% of the Company's share capital.

i) At a regular shareholders' meeting held on November 17, 2022, the shareholders declared dividends of $2,882 ($0.65 per share), which were paid out of the Net taxed profits account (CUFIN, by its acronym in Spanish) in cash on November 28, 2022.

ii) At a regular shareholders' meeting held on April 27, 2022, the shareholders declared dividends of $2,909 ($0.65 per share), which were paid out of the Net taxed profits account (CUFIN, by its acronym in Spanish) in cash on May 19, 2022.

iii) At a regular shareholders' meeting held on April 27, 2022, the shareholders approved the cancellation of 41,260,670 Series "A" shares held in Treasury, resulting in a share capital and treasury shares reduction of $38.

iv) At a regular shareholders' meeting held on April 30, 2021, the shareholders declared dividends of $4,502 ($1 per share), which were paid out of the Net taxed profits account (CUFIN, by its acronym in Spanish) in cash on May 07, 2021.

v) At a regular shareholders' meeting held on April 30, 2021, the shareholders approved the cancellation of 17,428,926 Series "A" shares held in Treasury, resulting in a share capital and treasury shares reduction of $15.

vi) At an extraordinary shareholders' meeting held on October 19, 2020, the shareholders approved the cancellation of 169,441,413 Series "A" shares held in Treasury, resulting in a share capital and treasury shares reduction of $153.

vii) At a regular shareholders' meeting held on April 29, 2020, the shareholders declared dividends of $2,286 ($0.50 per share), which were paid out of the Net taxed profits account (CUFIN, by its acronym in Spanish) in cash on May 12, 2020.

viii) Dividends paid to foreign individuals and corporations are subject to an additional 10% withholding tax. These tax withholdings are considered final income tax payments. Treaties to avoid double taxation may apply. The additional withholding tax is applicable to earnings generated since 2014.

ix) The Company's legal reserve is included in its retained earnings. In accordance with the Mexican Corporations Act, the Company is required to appropriate at least 5% of the net profit of each year to increase the legal reserve. This practice must be continued each year until the legal reserve reaches 20% of the value of the Company's share capital. The legal reserve may be capitalized but may not be distributed to the shareholders unless the Company is dissolved. Also, the legal reserve must be replenished if it is reduced for any reason. As of December 31, 2022, 2021 and 2020, the legal reserve is $500 (nominal amount).

x) At regular shareholders' meetings held on April 29, 2020, the shareholders agreed to increase the provision for repurchase of shares by $10,000(nominal amount). The Company's provision for repurchase of shares is included in its retained earnings. The approved (nominal) amount of the provision is $15,200 as of December 31, 2022 and 2021 and $5,200 as of December 31, 2020, respectively. An analysis of movements in the provision is as follows:

	2022	2021	2020
Balance as of January 1st	**$ 6,977**	$ 8,838	$ 2,483
Increases	**-**	-	10,000
Repurchase of shares	**(2,531)**	(1,861)	(3,645)
Balance as of December 31,	**$ 4,446**	$ 6,977	$ 8,838

xi) Except for earnings distributed from the Restated contributed capital account (CUCA, by its acronym in Spanish) and the CUFIN account, dividends will be subject to the payment of corporate income tax at the statutory rate at that time. Income tax paid on dividends may be credited against income tax payable (annual or in prepayments) in the year of payment or either of the two immediately subsequent years.

xii) As of December 31, the Company has the following tax balances:

	2022	2021	2020
Restated contributed capital account (CUCA)	**$ 33,924**	$ 31,760	$ 30,834
Net taxed profits account (CUFIN)	**110,344**	87,424	81,722

Other equity financial instrument

On April 17, 2018, Grupo Bimbo, S.A.B. de C.V. issued a perpetual subordinated bond of USD500 million with no maturity date. The issuer has the option to redeem the bond in full, but not partially, five years after the date of issuance. The bond bears annual interest of 5.95%, which is payable semi-annually in arrears on January 17 and July 17. Such coupons are deferrable at the Company's discretion.

This bond is subordinated to the existing and future liabilities of the Company and its subsidiaries and the coupons for the periods accrued by this instrument must be paid prior to any distribution of dividends.

The amount of this equity instrument is recognized in equity.

The value of the equity instrument as of December 31, is as follows:

	2022	2021	2020
Perpetual subordinated bond - principal	**$ 8,699**	$ 9,044	$ 9,044
Issuance expenses	**(58)**	(58)	(58)
	8,641	8,986	8,986
Current income tax	**(544)**	(124)	1
Deferred income tax	**1**	5	9
Perpetual subordinated bond – principal	**$ 8,098**	$ 8,867	$ 8,996

As of December 31, 2022, 2021 and 2020, the Company made semi-annual coupon payments of $649, $621 and $648, respectively, and recognized an income tax effect of $(195), $(187) and $(194), respectively. Therefore, retained earnings decreased by $844, $434 and $454, respectively.

During 2022, the Company repurchased perpetual bond securities in the secondary market for a nominal value of $344, recognizing a decrease of $32 for exchange rate fluctuations in retained earnings.

21. Costs and expenses based on their nature

An analysis of cost of sales and distribution, administrative, selling and other general expenses recognized in the consolidated statement of profit or loss for the years ended December 31 is as follows:

	2022	2021 Reformulated	2020 Reformulated
Cost of sales:			
Raw materials	**$ 129,454**	$ 101,568	$ 94,336
Salaries and benefits	**33,342**	31,438	30,587
Freight, fuel and maintenance	**17,008**	12,212	10,775
Depreciation	**7,750**	6,975	6,892
Professional and consulting services and c	**1,665**	1,711	1,682
Short-term and low value lease expense	**1,125**	1,002	985
Indirect taxes	**988**	933	946
Travel expenses	**171**	86	62
Other production expenses	**1,822**	1,778	1,739
	$ 193,325	$ 157,703	$ 148,004
Distribution, selling, administrative and other expenses:			
Salaries and benefits	**$ 74,128**	$ 68,820	$ 68,825
Freight, fuel and maintenance	**43,729**	35,251	34,187
Advertising and promotional expenses	**14,218**	12,907	11,806
Professional and consulting services	**14,048**	13,609	13,355
Depreciation and amortization	**10,288**	9,151	9,147
Logistics expenses	**4,649**	3,994	4,119
Remeasurement of multi-employer pension plans (MEPP)	**(19,010)**	(2,247)	2,494
Integration expenses	**367**	724	1,968
Indirect taxes	**1,882**	1,553	1,513
Restructuring expenses	**1,657**	2,059	1,170
Short-term and low value lease expense	**1,394**	1,151	986
Travel expenses	**1,537**	1,159	956
Other	**2,798**	378	348
	$ 151,685	$ 148,509	$ 150,874

22. Other expenses, net

An analysis of other expenses is as follows:

	2022	2021 Reformulated	2020 Reformulated
(Gain) on sale of property, plant and equipment	**$ 33**	$ (187)	$ (118)
Impairment of goodwill	**1,597**	315	770
Impairment of trademarks and distribution rights	**131**	63	105
Impairment trademarks reversal	**(861)**	-	-
Restructuring expenses	**1,657**	2,059	1,170
Labor obligations	**22**	19	52
Usufruct amortization	**-**	201	220
Other non-current assets amortization	**196**	106	-
Remeasurement of multi-employer pension plans (MEPP) (Note 18)	**(18,697)**	(2,005)	1,639
Provision for updating other non-current liabilities	**(313)**	(242)	855
Other	**926**	(138)	497
	$ (15,309)	$ 216	$ 5,196

23. Interest expense

	2022	2021 Reformulated	2020 Reformulated
Interest on debt	$ 5,006	$ 5,550	$ 6,995
Interest on lease liabilities	1,328	1,238	1,053
Net interest on pension plans	627	394	514
Interest for updating MEPPs	303	230	390
Other finance costs	785	411	405
	$ 8,049	$ 7,823	$ 9,357

24. Discontinued Operation

As of November 1st, 2022 and December 31, 2021 and 2020, the breakdown of the result from discontinued operations, which belonged to the geographic segment of Mexico, is as follows:

	2022	2021	2020
Net sales	$ 10,115	$ 10,075	$ 8,085
Costs, general expenses and interest [(1)]	8,637	8,576	6,748
Profit before income tax	1,478	1,499	1,337
Profit on disposal of discontinued operation	22,038	-	-
Profit before income taxes for discontinued operation	23,516	1,499	1,337
Income tax for discontinued operation	346	245	249
Income tax for profit on disposal for discontinued operation	6,182	-	-
	6,528	245	249
Net profit later income tax for discontinued operation.	$ 16,988	$ 1,254	$ 1,088

(1) Includes $164 of depreciation of property, plant and equipment and $80 of depreciation of rights of use.

As of November 1st, 2022, the assets and liabilities attributable to the confectionery business are as follows:

	2022
Cash and equivalents	$ 442
Other current assets	3,137
Property, plant and equipment, net (Note 8)	2,356
Right-of-use assets, net (Note 9)	334
Intangible assets, net (Note 11)	1,130
Goodwill (Note 12)	549
Other non-current assets, net	126
Total assets	$ 8,074

	2022
Trade accounts payable	$ 1,447
Other accounts payable and accrued liabilities	1,610
Current lease liabilities (Note 9)	372
Employee benefits [(1)]	315
Other non-current liabilities	571
Total liabilities	$ 4,315
Assets disposal, net	$ 3,759
Price charged in cash (Note 1)	$ 25,797
Profit on disposal of discontinued operation	$ 22,038

(1) Includes $309 of pension plans and $6 of long-term bonds.

	2022	2021	2020
Operating activities flows	$ 1,601	$ 652	$ 84
Investing activities flows	$ (328)	$ (495)	$ (203)
Financing activities flows	$ (846)	$ (152)	$ (124)

25. Commitments

Guarantees and/or guarantors

1. Grupo Bimbo, S.A.B. de C.V. and some of its subsidiaries have issued letters of credit to guarantee certain ordinary obligations and contingent risks related to the labor obligations of some of its subsidiaries. As of December 31, 2022, 2021 and 2020, the value of such letters of credit is $4,515, $5,020 and $4,947, respectively.

2. As of September 2019, the Company acts as guarantor in voluntary payment program in North America between the suppliers and Bank of America, under which the suppliers discount their invoices. As of December 31, 2022, 2021 and 2020, the balance of $2,813, $2,237 and $1,521, respectively, under this program is presented as part of trade payables.

3. The Company has created a trust that allows suppliers of its subsidiaries in Mexico to obtain financing through a factoring program operated by Nacional Financiera, S.N.C. (Nafinsa). As of December 31, 2022, 2021 and 2020, the liability payable to Nafinsa under this program totals $3,233, $1,734 and $1,152, respectively.

4. Additionally, it has a factoring contract with Banco Santander México, S.A., for the discount of invoices of the suppliers of its subsidiaries in Mexico, whose liability in favor of said financial institution amounts to $552 as of December 31, 2022.

5. The Company entered into an energy self-supply contract which requires it to acquire certain amounts of renewable energy at a fixed price that will be updated based the National Consumer Price Index (NCPI). Although the contracts have the characteristics of a derivative financial instrument, they fall within the exception of "own-use"; therefore, they are recognized in the consolidated financial statements as the consumption of energy occurs. An analysis of the main characteristics of these contracts is as follows:

Country	Contracting date	Start date	Term	Energy commitments 2023	
Mexico	02/12/2008	01/11/2012	18 años	MXP	293.35
Peru	05/08/2019	01/09/2019	3 años	USD	0.20
Argentina	05/09/2019	01/01/2020	15 años	USD	1.33
Chile	22/02/2020	01/04/2021	8 años	USD	1.12
Panama	22/12/2020	01/07/2021	5 años	USD	0.32
Colombia	22/12/2021	01/01/2022	8 años	USD	1.11
Brazil	03/12/2021	01/01/2022	3 años	USD	2.32
Ecuador	13/04/2022	01/06/2022	10 años	USD	0.70

6. On March 30, 2018, the Company, through BBU, entered into a virtual wind energy supply agreement in the United States for a term of 12 years, which is recognized as a financial asset measured at fair value through profit or loss, net of the related deferred gain, which will accrue over the term of the agreement.

   As of December 31, 2022, 2021 and 2020, the net financial asset/(liability) of $789, $336 and $(213), respectively, is recognized as part of other non-current assets/(liabilities). In 2022, 2021 and 2020, the Company recognized $67, $68 and $71, respectively, under comprehensive financing cost corresponding to the amortization of the liability, and $(587), $(512) and $345, respectively, for changes in the fair value of assets/(liabilities).

7. On February 1st, 2021, the Company, through Canada Bread, entered into a virtual wind and solar energy supply agreement in Canada for a term of 15 years, which will be recognized as financial asset measured at fair value through profit and loss net of the effects of the associated deferred income and that will be accrued during the term of the contract. The start date of operation of this contract will be on January 1st, 2023.

26. Segment information

The information used by Company management for purposes of resource allocation and assessment of segment performance is focused on four geographical areas: Mexico, North America, Latin America and EAA.

The Company considers that the qualitative and quantitative aspects considered for grouping of operating segments described above have a similar nature for all of the periods presented and show a similar performance in the long-term. The key factors evaluated for the appropriate aggregation of the operating segments include but are not limited to: (i) similar customer base, (ii) |similar product nature, (iii) production and distribution process characteristics, (iv) similar governments, (v) inflation trends and (vi) monetary trends.

An analysis of the primary data by geographical area in which the Company operates for the years ended December 31 is as follows:

	2022					
	Mexico	North America	Latin America	EAA	Eliminated on consolidation	Total
Net sales	$ 130,401	$ 205,674	$ 38,411	$ 37,536	$ (13,316)	$ 398,706
Sales between segments	(12,873)	(391)	(12)	(40)	13,316	-
Consolidated net sales	$ 117,528	$ 205,283	$ 38,399	$ 37,496	$ -	$ 398,706
Operating profit [1]	$ 18,824	$ 33,263	$ 1,087	$ (486)	$ 1,008	$ 53,696
Depreciation and amortization [5]	$ 4,424	$ 9,248	$ 2,278	$ 2,088	$ -	$ 18,038
Impairment of non-current assets	$ 72	$ (890)	$ 46	$ 1,818	$ -	$ 1,046
Other items not affecting cash flows	$ -	$ (19,010)	$ 22	$ (794)	$ 448	$ (19,334))
Adjusted EBITDA [1] [2]	$ 23,320	$ 22,611	$ 3,433	$ 2,626	$ 1,456	$ 53,446
Net profit - Equity holders of the parent	$ 46,221	$ 21,579	$ (349)	$ (658)	$ (19,883)	$ 46,910
Income tax	$ 7,001	$ 6,834	$ 253	$ 99	$ 194	$ 14,381
Interest income	$ 2,750	$ 570	$ 33	$ 38	$ (2,651)	$ 740
Interest expense [3]	$ 7,107	$ 2,905	$ 685	$ 3	$ (2,652)	$ 8,048
Total assets	$ 89,070	$ 191,504	$ 31,557	$ 49,033	$ (13,400)	$ 347,764
Total liabilities	$ 117,136	$ 78,602	$ 13,729	$ 13,909	$ (3,214)	$ 220,162
Purchase of property, plant and equipment	$ 13,853	$ 8,291	$ 4,553	$ 1,972	$ -	$ 28,669

	2021 Reformulated					
	Mexico	North America	Latin America	EAA	Eliminated on consolidation	Total
Net sales	$ 118,661	$ 176,275	$ 31,376	$ 34,195	$ (11,620)	$ 348,887
Sales between segments	$ (11,156)	$ (336)	$ (25)	$ (103)	$ 11,620	$ -
Consolidated net sales	$ 107,505	$ 175,939	$ 31,351	$ 34,092	$ -	$ 348,887
Operating profit [1]	$ 18,373	$ 16,076	$ 345	$ 292	$ (960)	$ 34,126
Depreciation and amortization	$ 4,156	$ 8,472	$ 1,687	$ 2,060	$ -	$ 16,375
Impairment of non-current assets	$ 144	$ 57	$ 142	$ 351	$ -	$ 694
Other items not affecting cash flows	$ -	$ (2,247)	$ 19	$ 1	$ 210	$ (2,017)
Adjusted EBITDA [1] [2]	$ 22,673	$ 22,358	$ 2,193	$ 2,704	$ (750)	$ 49,178
Net profit - Equity holders of the parent	$ 16,546	$ 8,864	$ (1,227)	$ (729)	$ (7,538)	$ 15,916
Income tax	$ 5,641	$ 2,804	$ 377	$ 149	$ -	$ 8,971
Interest income	$ 836	$ 99	$ 56	$ 29	$ (647)	$ 373
Interest expense [3]	$ 6,313	$ 1,685	$ 436	$ 97	$ (647)	$ 7,884
Total assets [4]	$ 78,386	$ 202,347	$ 30,121	$ 45,860	$ (19,074)	$ 337,640
Total liabilities [4]	$ 111,439	$ 100,225	$ 13,191	$ 12,499	$ (1,320)	$ 236,034
Purchase of property, plant and equipment	$ 6,913	$ 8,550	$ 3,065	$ 2,143	$ -	$ 20,671

	2020 Reformulated					
	Mexico	North America	Latin America	EAA	Eliminated on consolidation	Total
Net sales	$ 104,593	$ 176,395	$ 29,081	$ 30,029	$ (9,047)	$ 331,051
Sales between segments	$ (8,711)	$ (247)	$ (24)	$ (65)	$ 9,047	$ -
Consolidated net sales	$ 95,882	$ 176,148	$ 29,057	$ 29,964	$ -	$ 331,051
Operating profit [1]	$ 14,976	$ 11,195	$ (402)	$ 168	$ (529)	$ 25,408
Depreciation and amortization	$ 3,819	$ 9,006	$ 1,554	$ 1,872	$ -	$ 16,251
Impairment of non-current assets	$ 598	$ (1)	$ 223	$ 255	$ -	$ 1,075
Other items not affecting cash flows	$ (228)	$ 2,494	$ 53	$ -	$ 140	$ 2,459
Adjusted EBITDA [1] [2]	$ 19,165	$ 22,694	$ 1,428	$ 2,295	$ (389)	$ 45,193
Net profit - Equity holders of the parent	$ 9,211	$ 4,039	$ (2,132)	$ (498)	$ (1,509)	$ 9,111
Income tax	$ 4,874	$ 974	$ 237	$ 107	$ -	$ 6,192
Interest income	$ 652	$ 83	$ 59	$ 76	$ (483)	$ 387
Interest expense [3]	$ 6,838	$ 2,268	$ 715	$ 86	$ (483)	$ 9,424
Total assets [4]	$ 72,528	$ 186,298	$ 24,586	$ 42,089	$ (17,850)	$ 307,651
Total liabilities [4]	$ 115,668	$ 81,790	$ 11,764	$ 11,447	$ (1,029)	$ 219,640
Purchase of property, plant and equipment	$ 3,738	$ 5,416	$ 1,448	$ 2,616	$ -	$ 13,218

(1) Does not include intercompany royalties.

(2) The Company determines the Adjusted EBITDA as operating profit plus depreciation, amortization, impairment and other non-cash items, mainly the adjustments for valuation of MEPPs. Adjusted EBITDA differs from Conformed EBITDA mentioned in Note 13.

(3) Includes monetary position gains and losses.

(4) Until October 31, 2022, the Mexico segment included the assets and liabilities attributable to the assets and liabilities of the confectionery business.

(5) Depreciation and amortization in the consolidated statement of cash flows includes $244 corresponding to the discontinued operation.

For the years ended December 31, 2022, 2021 and 2020, sales to the Company's largest customer represent 15.20%, 15.30% and 15.08%, respectively, of the consolidated net sales of the Company, which correspond mainly to the Mexico, USA and Canada regions. There are no other customers whose sales exceed 10% of the Company's total consolidated sales.

27. Subsequent Events

Acquisition Vel Pitar

On January 9, 2023, through two of its subsidiaries, the Company acquired a 100%-stake in Val Pitar, S.A., a company operating in Romania, with a diversified portfolio with more than 12 trademarks in the categories of bread and sweet bread.

For this acquistion, the purchase price allocation will be perfomed in the following months and the valuation of the assets acquired and liabilities assumed (including income taxes), intangible assets and goodwill. At the date of issuance of these consolidated financial statements, the Company is in the process of determining the final purchase price allocation and will recognize the fair value adjustments during the measurement period of twelve months following the closing date of each acquisition. It is expected that a portion of the goodwill presented in the netx table will be reallocated to property, plant and equipment and intangible assets, such as brands and customer relationships, mainly.

The segment that will group this business will be EAA.

	Initial balance
Amounts recognized for identifiable assets and liabilities assumed:	
Cash and cash equivalents	$ 211
Other current assets	288
Property, plant and equipment	725
Identified intangible assets	2
Goodwill	2,708
Total identifiable assets	$ 3,934
Total liabilities assumed	$ 389

Revolving committed line of credit renewal

On March 15, 2023, the Company renewed the revolving committed credit line extending the committed amount to USD1,931 million, maturing USD875 million in 2026 and USD1,056 million in 2028.

Adjustment to the sale price of the confectionery business

On March 21, 2023, the Company signed the final price agreement for the sale of the confectionery business executed on November 1st, 2022, with a price adjustment of $20.

Redemption of perpetual subordinated bond

On March 24, 2023, the Company announced the redemption of the perpetual subordinated bond in its first repurchase call, which is scheduled for April 17, 2023, for which it will disposal the revolving committed credit line.

28. Authorization of the Consolidated Financial Statements

On April 05, 2023, the accompanying consolidated financial statements were authorized by the Company's Chief Executive Officer, Daniel Servitje Montull, and the Board of Directors. Consequently, these consolidated financial statements do not reflect the facts and circumstances that occurred after that date and are subject to the approval of the shareholders, who have the authority to modify these consolidated financial statements in accordance with the Mexican Corporations Act.

Mexico City, April 4th, 2023

To the Board of Directors of
Grupo Bimbo, S.A.B. de C.V.

Dear members of the Board of Directors.

To comply with the “Ley del Mercado de Valores”, the charters of the Company and the Regulations of the Audit and Corporate Practices Committee of Grupo Bimbo, S.A.B. de C.V. ("the Group", "the Company", "the Society"), I submit to you the report of the activities carried out by the Audit and Corporate Practices Committee ("the Committee") during the year ended on December 31, 2022. During the development of our work, we kept in mind the recommendations established in the Code of Best Corporate Practices.

Based on the previously approved work program, the Committee met seven times in the year, and we vented the issues that we are legally bound by law and conduct the activities that I describe below:

INTERNAL CONTROL

We ensure that management has established the general guidelines on internal control as well as the necessary processes for its application and compliance, with the help of both Internal and External Auditors. Additionally, we followed up on the observations developed in this regard by both audit bodies in the performance of their work.

Those responsible for the Administration presented us with the action plans corresponding to the observations derived from the internal audits, in such a way that the contact with them was frequent and their responses satisfactory.

The Committee learned about the functions of the Global Internal Control and Risk Management Department during the year, who presented the consulting work conducted by the firm Deloitte on the evaluation of the activities of that department in terms of governance structure, control self-assessment process, risk assessment, global policies and regulations. He also reported on the progress of the implementation of the Control Self-Assessment model, as well as the progress of the regulatory compliance project related to properties at risk of closure due to lack of regulatory permits. Finally, he was informed about the progress of the Identity and Access (IAM) project that is already functional and is implemented in the operations of Mexico, BBU and Bimbo Canada.

CODE OF ETHICS

With the support of both Internal Audit and other instances of the company, we ensure the degree of compliance, by its staff, with the Code of Ethics in force in the Group.

We learned about the results and outstanding topics in the contact line for the Group's employees. The Administration let us know of the actions they took in such cases.

EXTERNAL AUDIT

We were in constant contact with the representative of the firm EY to follow up on the relevant matters and learn about the activities conducted during the year, in conjunction with the Company's

Management. The audit of the consolidated financial statements as of December 31, 2022, was completed and the opinion was clean.

We approved the contract and fees for these services for the years 2022 and 2023, including those related to the additional fees for the growth of the Group and other permitted services. We ensured that such payments did not interfere with their independence.

The external auditors presented us, and the Committee approved, their approach and work program and the areas of interaction with the Group's Internal Audit Department.

The external auditors asked this committee about the knowledge of relevant fraud, complaints about financial information, concerns about transactions of related parties and/or knowledge of possible violations of laws or regulations, to which the Committee gave a negative answer to these questions.

We maintained direct and close communication with the external auditors, and they informed us quarterly of the progress of their work, the observations they had and we took note of their comments on the quarterly and annual financial statements. We learned in a timely manner its conclusions and reports on the annual financial statements.

We review the contents in a timely manner of the Communication prior to the issuance of the External Audit Report (or Report of the Independent Auditors) made in accordance with International Standards on Auditing on the Company's consolidated financial statements as of December 31, 2022 and for the year ended then, which have been prepared in accordance with International Financial Reporting Standard (hereinafter IFRS), issued by the Company's Independent External Auditor and legal representative of Mancera, S.C. (or EY Mexico), in order to comply with the provisions of Article 35 of the General Provisions Applicable to Entities and Issuers Supervised by the National Banking and Securities Commission that Contract External Audit Services of Basic Financial Statements (hereinafter Provisions, Single Circular of External Auditors or CUAE).

We evaluated the services provided by the firm of external auditors, corresponding to the year 2022 and we knew the preliminary financial statements in a timely manner.

Finally, it was reported that EY in conjunction with the management, reached an agreement to renew for five more years the external audit services for Grupo Bimbo. Based on this agreement, the board was asked to approve the renewal of EY as an external auditor.

EY also introduced Enrique García C., partner of the EY audit area to the Audit Committee, who will be the partner responsible for Bimbo's account from 2023 until 2027.

INTERNAL AUDIT

The audit plan for 2023 was approved, corresponding to a total of 468 projects in 31 countries, which represents a 5% increase compared to the number of projects in 2022 and covers 11% of the auditable universe of Grupo Bimbo, which consists of 45% of the total bakeries and snacks, 42% of all distribution centers; 31% of all legal entities and 3% of all sales centers. To comply with the Audit Plan, the Management has 119 auditors and 5 trainees and the collaboration with PwC for a co-sourcing in India with 10 auditors.

At each session of this Committee, we receive and adopt periodic progress reports on the approved program of work. We followed up on the observations and suggestions made by Internal Audit and made sure that the administration solved the internal control deviations indicated, so we consider that the state of said system is reasonably correct.

We authorize the annual training plan for area personnel and ensure its effectiveness. Several firms of specialized professionals actively participate in this plan, in such a way that the topics covered keep the members of this function updated.

In accordance with compliance with the Standards for the Professional Practice of Internal Auditing, this Committee approved the update to the Internal Audit Charter of Grupo Bimbo, the Audit VP confirmed to the Committee the independence of the internal audit activity, there were no relevant risks assumed by the operation that this Committee had to know and the conflicts that currently occur with the auditors of the department and the Plan for its mitigation.

SECURITY

The Global Head of Security and Assets reported on major security developments during the year across organizations. Special attention is given in the countries of Mexico and the Central Latin American region.

INFORMATION TECHNOLOGIES

The Global Business Technology Department presented the company's cybersecurity strategy, as well as the actions that have been taken to improve the group's security systems which generated favorable comments from the committee.

FINANCIAL INFORMATION AND ACCOUNTING POLICIES

Together with the persons responsible for the preparation of the quarterly and annual financial statements of the company, we knew about them, reviewed them, and recommended their approval to the Board of Directors and granted the authorization to be published. To carry out this process, we considered the opinion and observations issued by the external auditors.

The Committee approved, at the request of the Global Comptroller's Office, the company's accounting policies for 2022, which have not undergone significant changes compared to 2021. The only changes correspond to the change of the estimate of the useful life of wood displays in BBU from 2 to 5 years and the incorporation of Turkey into the accounting model for hyperinflationary economies.

With the support of the internal and external auditors and in commenting on the financial statements, we ensure that the criteria, accounting policies and information used by Management to prepare financial information are adequate and sufficient and have been applied in a manner consistent with the prior period, taking into account the changes applicable both in the year and for the previous year, related to IFRS. Accordingly, the information presented by Management reasonably reflects the Company's financial position, results of operations, changes in stockholders' equity and cash flows.

COMPLIANCE WITH REGULATIONS AND LAWS THAT CAN BE MET WITH CONTINGENCIES

We ensure the existence and reliability of the internal controls established by the company to fully comply with the different legal provisions to which it is subject, making sure that they were adequately disclosed in the financial information. All the above with the support of internal and external auditors.

At the end of each quarter we reviewed the various fiscal, legal and labor contingencies existing in the company and we made sure that the procedure established to identify them was comprehensive and followed consistently, so that the Administration had the elements for its timely and adequate follow-up. The status and progress of activities related to cases that continue to be faced in various countries were reviewed.

The firm PwC presented the annual evaluation to its work in transfer pricing. It was commented on the activities that have generated a positive evaluation, as well as the areas for improvement, related to information flows and delivery times. The Committee was aware and satisfied with the evaluation and progress in the relationship.

The Global Procurement Department presented its report of related suppliers that offer their services to Grupo Bimbo. In this report, the amounts, categories and percentages of participation of each one with the company were presented.

The Global Chief Compliance Officer presented his annual report on progress and plans on training and compliance with the code of ethics, anti-corruption policy, and regulatory compliance.

The Global Insurance Department reported on the behavior of the cost in global insurance, in particular property insurance, cybersecurity, crime. Likewise, the global policy administration model was commented on in terms of the sufficiency of limits, definition of appetite, declaration of risk values and loss prevention actions.

The Global Institutional Relations Department reported the progress of the 'Comenta' complaint line in terms of the number of cases per Organization, the levels of complaint attention in Grupo Bimbo, the types of incidents and the average days of response also by Organization. Fraud risk processes were included in the case catalog and training in the processes of investigation and response of labor cases was reinforced.

The Global Procurement commented on the conditions of the markets for raw materials throughout the year, the hedging conditions and the future strategy due to the volatility of the markets, especially the prices of wheat and corn.

The Global Quality and Food Safety Department commented on the evolution of the global strategy on this issue and its incorporation into the entire supply chain, as well as the formation of the new technical audit task force required to support the reviews between this new technical audit team and the work carried out by the internal audit department, with the purpose of increasing the frequency of visits and coverage of food safety risks in bakery factories and snacks.

The Global Corporate Affairs' VP presented the new structure of the Business Continuity and Crisis Management model that now depends on this direction. It was commented on the new strategy aligned with the maturity models of the best practices in Business Continuity and Crisis Management

such as ISO22301, which includes the design of new policies, governance model, risk analysis, strategy design, as well as its implementation and validation.

COMPLIANCE WITH OTHER OBLIGATIONS

We hold meetings with the VPs and officials of the Administration that we consider necessary to keep us informed of the progress of the Company and relevant and unusual activities and events.

We were aware of the significant issues that could involve possible breaches of the operating policies, internal control system and accounting record policies, likewise, we were informed about the corrective measures taken in each of them, finding them satisfactory.

We do not consider it necessary to request the support and opinion of independent experts because the issues discussed in each session were duly supported by the relative information and therefore the conclusions reached were satisfactory for the members of the Committee.

OPERATIONS WITH STAKEHOLDERS

We review and recommend to the Board for approval, each and every one of the transactions with stakeholders that require approval by the Board of Directors for the year 2022, as well as the recurring transactions that are planned to be held during the year 2023 and that require approval by the Board of Directors.

MANAGEMENT EVALUATION

We review and recommend to the Board for approval, the evaluation of the management and remuneration of the CEO, as well as the VPs that make up the Executive Committee for the year 2022, previously reviewed and recommended by the Evaluation and Results Committee.

In my capacity as Chairman of the Audit and Corporate Practices Committee, I reported to the Board of Directors the activities that we carry out collegially within that body.

The work we carried out was duly documented in the prepared minutes of each meeting, which were reviewed and approved in a timely manner by the members of the Committee.

Kind regards,

Edmundo Vallejo

President

Chairman of the Audit and Corporate Practices Committee of Grupo Bimbo, S.A.B. de C.V.

Mexico City, April 4th, 2022

To the Board of Directors of
Grupo bimbo, S.A.B. de C.V.

Dear members of the Board of Directors,

In conformity with the provisions of the Stock Market Act, the Company's bylaws and the Regulations of the Audit and Corporate Practices Committee of Grupo Bimbo, S. A. B. de C. V. ("The Group", "The Company", "The society"), I hereby submit to you the report of the activities carried out by the Audit and Corporate Practices Committee ("the Committee") for the year ending December 31, 2021. During the course of our workings we were mindful of the recommendations set forth in the Code of Best Corporate Practices.

Based on the previously approved work program, the Committee met seven times during the year, and we discussed the topics we are legally required to address, and carried out the activities described below:

INTERNAL CONTROL

With the assistance of both Internal and External Auditors, we verified that management had established general guidelines for internal control, as well as the necessary procedures for their application and enforcement. In addition, we followed up on the observations made by both auditing bodies in the performance of their duties.

The members of Management responsible for such matters presented the action plans corresponding to the observations resulting from the internal audit, so our contact with them was frequent and their responses satisfactory.

The Committee learned about the functions of the Global Internal Control and Risk Management Department during the year, specifically the Control Self-Assessment (CSA) within the organizations, and in most of the operational processes, the results of such self-assessments, reliability levels, as well as the follow-up of action plans.

The project for monitoring regulatory compliance at plants and work centers and the implementation of the Microfocus system for identity and access management were presented, and it was recommended that the internal control structures of the organizations be strengthened.

CODE OF ETHICS

With the support of the Internal Audit Department and other areas of the Company, we verified compliance by the associates of the Company with the Group's current Code of Ethics.

We learned of the results and central issues identified in maintaining a hotline for The Group associates, and management informed us of the actions taken in those cases.

EXTERNAL AUDIT

We were in constant contact with the representative of the EY firm to follow up on the relevant issues and know the activities carried out during the year, along with the Company's management. The audit of the consolidated financial statements as of December 31, 2021 has been completed and the result was satisfactory.

We approved the contract and fees for these auditing services for the years 2021 and 2022, including additional fees for the growth of the Group and other permitted services. We ensured that these payments did not compromise the independence of that firm.

The external auditors presented their approach, work program and areas of interaction with Grupo Bimbo's Internal Audit department; the Committee approved this presentation.

An inquiry was made by the external auditors, to this Committee, about the knowledge of relevant fraud, complaints to financial information, concerns about related party transactions and/or knowledge of possible violations of laws or regulations, to which, the Committee responded to the external auditors that they had no knowledge of the above stated.

We maintained direct and close communication with the external auditors, and they informed us on a quarterly basis of the progress of their work and any observations they had; we took note of their comments on the quarterly and annual financial statements. We were promptly informed of their conclusions and reports on the annual financial statements.

We reviewed the content in a timely manner of the Prior Notice to the issuance of the External Audit Report (or Independent Auditor's Report) made in accordance with the International Auditing Standards on the consolidated financial statements of the Company as of December 31, 2021 and for the year ended on that date, which have been prepared in accordance with International Financial Reporting Standards (hereinafter IFRS), issued by the Independent External Auditor of the Company and legal representative of Mancera, S.C. (or EY Mexico), in order to comply with the provisions of Article 35 of the General Provisions Applicable to Supervised Entities and Issuers by the National Banking and Stock Commission that Contract External Audit Services of Basic Financial Statements (hereinafter Provisions, Sole Circular of External Auditors or CUAE).

In addition, we conducted an evaluation of the services of the external auditing firm for the year 2021 and were promptly informed of the preliminary financial statements.

INTERNAL AUDIT

The audit plan for the year 2022 was approved, consisting of a total of 444 audits in 29 different countries. The auditable universe was reviewed in detail, including legal entities, factories, sales centers, systems, and projects, among others, and the analysis of business risks that will be covered by the audits. In addition, the annual budget of the internal audit department was approved, as well as the agenda and schedule of meetings of this Committee for 2022.

At each of the meetings of this Committee, we received and approved the periodical reports on the progress of the approved work program. We followed up on the observations and suggestions made by Internal Audit and ensured that management resolved the internal control deviations indicated; therefore, we consider that the status of this system is reasonably correct.

We authorized an annual training plan for personnel of the area and verified its effectiveness. A number of specialized professional firms participated actively in that plan to maintain the members with updated information on the appropriate topics.

The Committee authorized the Internal Audit Department to renew the services of the firm Baker Tilly for internal audit work in finance and information technology for the operations of Bimbo QSR and the firm PwC for co-sourcing in India. The use of external audit firms was also authorized for general information technology controls assurance projects.

In compliance with the International Professional Practices Framework (IPPF) of the Institute of Internal Auditors, The Committee approved the update of Grupo Bimbo's Internal Audit Charter, the Internal Audit VP confirmed to the Committee the independence of the internal audit activity, the risks assumed by the operation, the conflicts that currently occur with the auditors and the mitigation plan for these conflicts were presented.

SECURITY

The Global VP of Security and Assets reported on the main security events during the year. Special attention was given to the increase in criminal events, as well as assaults on delivery vehicles. There has been an increase in the number of working groups with the authorities in the area of transportation theft, training for associates, and the penalization of omissions and investigations with the prosecutor's offices.

INFORMATION TECHNOLOGY

The Global CIO presented the progress of the company's cybersecurity strategy, as well as the identification of relevant risks, in addition to access and identity management and personal data security, third party risks, data structure, and especially the privacy and data protection awareness campaign for all Grupo Bimbo associates and followed up on the implementation of Oracle in the cloud in the different organizations of the group.

FINANCIAL INFORMATION AND ACCOUNTING POLICIES

In collaboration with the parties responsible for the preparation of the company's quarterly and annual financial statements, we reviewed them, recommended their approval to the Board of Directors, and granted the authorization to publish them. To carry out this process we considered the opinion and observations issued by the external auditors.

The Committee approved, at the request of the Global Controller's Office, the company's accounting policies for the year 2021, which are unchanged with respect to 2020.

With the support of the internal and external auditors and in order to express an opinion on the financial statements, we ensured that the criteria, accounting policies and information used by Management to prepare the financial information were appropriate and sufficient and had been applied consistently with the previous year, considering the changes applicable both in the year and for the previous year, related to IFRS. Consequently, the information presented by Management fairly reflects the Company's financial position, results of operations, changes in stockholders' equity and cash flows.

COMPLIANCE WITH REGULATORY STANDARDS AND APPLICABLE LAW CONTINGENCIES

We ensured the existence and reliability of the internal controls established by the company to fully comply with the different legal provisions to which it is subject, making sure that they were adequately disclosed in the financial information. All of the above with the support of the internal and external auditors.

At the end of each quarter, we reviewed the different tax, legal and labor contingencies existing in the company and we made sure that the procedure established to identify them was integral and consistently followed, so that Management had the elements for their timely and adequate follow-up. We reviewed the status and progress of the activities related to the cases that continue to be faced in Canada, Brazil and Portugal based on the information generated, the opinion of the law firms handling the cases in those countries and the progress of the investigations carried out by the local authorities.

The PwC firm presented the annual evaluation of its transfer pricing work. They commented on the activities that have generated a positive evaluation, as well as the areas for improvement, related to

information flows and delivery times. The Committee acknowledged and was satisfied with the evaluation and progress in the relationship.

The Global Insurance Department presented the progress of the relevant topics such as Natural Risks Insurance, Fire Risk, Personal Insurance, COVID Protection Insurance, an overview of recent claims in Argentina and follow-up to the 2019 Vachon incident, as well as a current outlook of the global insurance market. Additionally, the finalization of the GB Insurance Captive project was discussed. Finally, the review of limits to cybersecurity, Crime, D&O, and property insurance was mentioned.

The Corporate Management Department presented the progress of acquired businesses in the process of integration, as well as the identified risks associated with these acquisitions. The Committee acknowledged the work that has been done in recent years to strengthen and professionalize these processes.

The Global Department of Institutional Relations informed the Committee about the new transformation strategy from Línea Comenta to 'COMENTA', which includes a change of image, digital iconography, new communication channels and new messages. The Committee was informed about the number and types of cases reported, the levels of attention and the inclusion of potential fraud cases in the category of breaches of integrity to align it with the fraud risk management model.

The Global Procurement Department presented its report on the performance of the main raw materials for the year 2021. The inflationary trend is present in almost all geographies, along with an increase in demand which has stressed the global supply chain. An acceleration of the post-COVID economy is forecasted for the coming months. The strategy has focused on adequate hedging of purchase positions, particularly for wheat positions, due to potential future price volatility.

The Global Food Safety and Quality Department commented on the integration process of the new global strategy, the overview of this new function, as well as the strategy designed for an independent Food Safety and Quality operating model. The new dynamic audit model from the new function complemented with increased plant coverage by the Global Internal Audit Department was presented. The new Global VP of Food Safety and Quality will report directly to general management and will work with the VPs of each organization.

COMPLIANCE OF OTHER OBLIGATIONS

We held the meetings with the directors and officers of the Administration that we considered necessary to keep us informed of the progress of the Society and the relevant and unusual activities and events.

We were informed of the significant matters that could imply possible non-compliance with the operating policies, internal control system and accounting record policies, and we were informed of the corrective measures taken in each of them and found them satisfactory.

We did not deem it necessary to request the support and opinion of independent experts, since the matters discussed in each session were duly supported by the related information and therefore the conclusions, we reached were satisfactory for the Board members of the Committee.

RELATED PARTY TRANSACTIONS

We reviewed and recommended to the Board for its approval, each and every one of the operations with related parties that require approval by the Board of Directors for the 2021 fiscal year, as well as the recurring operations that are projected to be carried out during the 2022 fiscal year and that require approval by the Board of Directors.

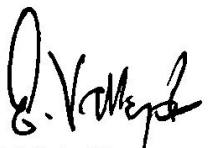
MANAGEMENT EVALUATION

We reviewed and recommended to the Board for its approval, the evaluation of the management and compensation of the Chief Executive Officer, as well as the members of the Executive Committee for the 2021 fiscal year, previously reviewed and recommended by the Evaluation and Performance Committee.

In my capacity as Chairman of the Audit and Corporate Practices Committee, I reported to the Board of Directors the activities that we developed collegially within the Committee.

The work that we conducted was duly documented in minutes prepared for each meeting, which were reviewed and approved in a timely manner by the Committee members.

Sincerely,



Edmundo Vallejo Venegas
Chairman of the Audit and Corporate Practices Committee
Grupo Bimbo, S. A. B. de C. V.

Mexico City, April 18, 2021

To the Board of Directors of
Grupo bimbo, S.A.B. de C.V.

Dear members of the Board of Directors,

In conformity with the provisions of the Securities Market Act, the corporate charter of this Company and the Regulations of the Audit and Corporate Practices Committee of Grupo Bimbo, S.A.B. de C.V. {the "Group" or the "Company"), I hereby present to you the report of the activities carried out by the Audit and Corporate Practices Committee {the "Committee") during the year ended December 31, 2020. In carrying out our work, we abided by the recommendations established in the Code of Best Corporate Practices.

Based on the previously approved work plan, the Committee met seven times during the year, in which it discussed the issues it is legally obligated to consider and carried out the activities described below:

INTERNAL CONTROLS

With the assistance of both Internal and External Auditors, we verified that management had established general guidelines for internal control, as well as the necessary procedures for their application and enforcement. In addition, we followed up on the remarks and observations made by the external and internal auditors in performance of their duties.

The members of Management responsible for such matters presented the plans of action corresponding to the observations resulting from the internal audit, so our contact with them was frequent and their responses satisfactory.

The Committee learned about the functions of the Global Internal Control and Risk Management Department during the year, specifically the Control Self-Assessment (CSA) activities, with positive progress and results in terms of the coverage achieved, the progress of the projects at global level, and its coverage of different areas and organizations.

The Committee learned about the global analysis of Cybersecurity risk under the remote work modality. A tool for the Identity Access Management (IAM) project and the consultants for its implementation for 2021 were selected. Also, the issued corporate policies, the company's segregation of duties conflict resolution, and the external auditor's recommendations to compliance for the improvement of the control environment were followed.

Also, we learned through the Global Controllership Department of the project that is being carried out, jointly with Deloitte, to establish a financial information control model according to the Sarbanes-Oxley Act (SOX), a model that is voluntarily implemented by Management, for the comprehensive improvement of the company's controls.

CODE OF ETHICS

With the support of the Internal Audit Department and other areas of the Company, we verified compliance by the associates of the Company with the Group's current Code of Ethics.

We learned of the results and central issues identified in maintaining a hotline for Group associates, and management informed us of the actions taken in those cases.

EXTERNAL AUDIT

We were in constant contact with the representative of the EY firm to follow up on the relevant issues and know the activities carried out during the year, along with the Company's management. The audit of the consolidated financial statements as of December 31, 2020 has been completed and the opinion was clean.

We approved the fee for these auditing services for 2020 and 2021, including additional fees to account for the growth of the Group and other permitted services. We ensured that these payments did not compromise the independence of that firm.

The external auditors presented their approach and work program and areas of interaction with Grupo Bimbo's Internal Audit department; the Committee approved this presentation.

EVL

An inquiry was made by the external auditors, to this Committee, about the knowledge of relevant fraud, complaints to financial information, concern about related party transactions and/or knowledge of possible violations of laws or regulations, to which, the Committee gave a negative answer to these questions.

We maintained direct and close communication with the external auditors, and they informed us on a quarterly basis of the progress of their work and any observations they had; we took note of their comments on the quarterly and annual financial statements. We were promptly informed of their conclusions and reports on the annual financial statements.

We reviewed the content in a timely manner of the Prior Notice to the issuance of the External Audit Report (or Independent Auditor's Report) made in accordance with the International Auditing Standards on the consolidated financial statements of the Company as of December 31, 2020 and for the year ended on that date, which have been prepared in accordance with International Financial Reporting Standards (hereinafter IFRS), issued by the Independent External Auditor of the Company and legal representative of Mancera, SC (or EY Mexico), in order to comply with the provisions of Article 35 of the General Provisions Applicable to Supervised Entities and Issuers by the National Banking and Securities Commission that Contract External Audit Services of Basic Financial Statements (hereinafter Provisions, Sole Circular of External Auditors or CUAE).

In addition, we conducted an evaluation of the services of the external auditing firm for the year 2020 and were promptly informed of the preliminary financial statements.

INTERNAL AUDIT

We reviewed and approved the department's budget, as well as the audit plan for 2021, corresponding to a total of 428 audits in 28 different countries. The auditable universe between legal entities, bakeries, sales centers, systems and projects, among others, was reviewed in detail. Likewise, the annual budget for internal audit department and the agenda and schedule of sessions of this Committee for 2021 were approved.

In each of this Committee's meetings, we received and approved regular reports on the progress of the approved work plan. Specifically, Audit plan changes related to the execution as a result of the pandemic, to virtual, remote models, and with the intensive use of technology, the data analysis through the execution of Audits under the Agile framework. The changes to the plan included the analysis of the Business Continuity Plans of all Bimbo organizations, as a result of the Pandemic.

We followed up on the comments and suggestions made by the Internal Audit Department and verified that Management resolved any deviations from the established internal controls, and we therefore consider the status of that system to be reasonably correct.

We authorized an annual training plan for personnel of the area and verified its effectiveness. A number of specialized professional firms participated actively in that plan to maintain the members with updated information on the appropriate topics.

EVS

The Committee authorized the Internal Audit Department to use the services of the firm Baker Tilly for internal audit work on Finance and Information Technologies, for the operations of Bimbo QSR in South Africa and China, and of PwC for a Co-sourcing in India with a maximum of 5 auditors.

The project to develop a Fraud Risk Management scheme for Grupo Bimbo was submitted to this committee for consideration and approval. The governance model was proposed, with oversight by the Audit Committee, the execution by the Internal Audit VP, and the Governance through a Committee composed of Internal Control Security, Compliance, People, Controllership, and Internal Audit Department. The model is comprised of 5 elements according to the 'COSO Fraud' regulations: Government Structure, Fraud Risk Assessment, Prevention and Detection, Investigation models, and corrective actions.

In compliance with the International Professional Practices Framework (IPPF) of the Institute of Internal Auditors, The Committee approved the update of Grupo Bimbo´s Internal Audit Charter, the Internal Audit VP confirmed to the Committee the independence of the internal audit activity, the risks assumed by the operation, the conflicts that currently occur with the auditors and the mitigation plan for these conflicts were presented.

SECURITY

The report of the Global VP of Security and Protection was received, where he disclosed the relevant corporate risks and the actions taken, in the Group's companies' operations due to the security situation in various regions, highlighting organized crime, transport and cargo robberies, product theft and gender violence.

INFORMATION TECHNOLOGY

The Global VP of Infrastructure and Applications presented an annual report of the company's Global Cybersecurity Strategy, the identification of risks, according to ISO27000, the operation of the Security Operations Center (SOC), as well as mitigation measures, in particular, those caused by remote work due to the global situation of COVID and the company's training plans.

FINANCIAL INFORMATION AND ACCOUNTING POLICIES

We reviewed the quarterly and annual financial statements of the Company together with the parties responsible for their preparation, recommended their approval by the Board of Directors and authorized their publication. Throughout the process we took into account the opinions and remarks of the external auditors.

The Committee approved the request of the Global Controllership Department to the following changes to the Main Accounting Policies: a) Criteria for classifying Assets and Liabilities in the Short Term and Long Term, b) Simplification of the text of the Policy applicable to hyperinflationary accounting, c) Adjustment in the useful life ranges of Production Equipment and Furniture and d) Remarks around Uncertain Tax Treatments.

EVS

To arrive at an opinion on the financial statements, we verified, with the support of the internal and external auditors, that the accounting policies and standards and the information used by management in the preparation of the financial statements was appropriate and sufficient and had been applied in a consistent manner with the prior year, taking into account the changes in IFRS effective both in that year and the preceding year. As a result, the information presented by Management reasonably reflects the financial position, results of operations and cash flows of the Company.

COMPLIANCE WITH REGULATORY STANDARDS AND APPLICABLE LAW CONTINGENCIES

With the support of the internal and external auditors, we confirmed the existence and reliability of the controls established by the Company to assure compliance with the various legal provisions to which it is subject, and it was assured that these were appropriately disclosed in the financial information.

At the close of each quarter, we reviewed the Company's various financial, legal and labor contingencies and confirmed that appropriate procedures were in place and consistently followed, so that Management could identify and address them in an appropriate manner. The situation and progress of the activities related to the cases facing the group in Canada Brazil and Portugal were reviewed based on the information generated, the opinion of the law firms handling the cases in both countries and the progress of the investigations carried out by local authorities.

The PwC firm presented the annual evaluation of its work on transfer pricing. They commented on the activities that have generated a positive evaluation, as well as the improvement areas related to information flows and delivery times. The Committee took notice and was satisfied with the evaluation and progress in the relationship.

The Global Insurance Department commented on global insurance management, highlighting the need to strengthen prevention for cybersecurity risks, where new opportunities are identified in the recording of security incidents to evaluate their root cause, increase the frequency vulnerability analysis and the implementation of tools for monitoring and active protection of databases, and also insurance coverage against the implications of the Pandemic.

COMPLIANCE WITH OTHER OBLIGATIONS

We met with Management executives and officers as we considered necessary to remain apprised of the progress of the Company and any material or unusual activities and events. Special attention was given to the company's global strategy regarding to the effects of the pandemic, the functioning of the global crisis and business continuity committees, the performance of the raw material markets and the different hedging strategies, and finally the possible risks associated with the integration of new businesses.

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We obtained information about significant matters that could involve a possible breach of operating policies, the internal control system and policies on accounting records; and we were also informed of corrective measures taken in each case, finding them satisfactory.

We did not find it necessary to request the support or opinion of independent experts, because the issues raised in each meeting were duly supported by the information on hand, and the conclusions reached were satisfactory to Committee members.

TRANSACTIONS WITH RELATED PARTIES

We reviewed and recommended for approval by the Board, each and every related party transaction requiring approval by the Board of Directors for fiscal year 2020, as well as for recurring transactions that are expected to be conducted in fiscal year 2021 that require Board approval.

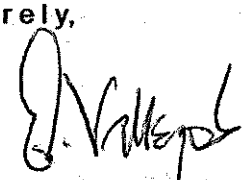
EVALUATION OF MANAGEMENT

We reviewed and recommended for approval by the Board, the evaluation of management and compensation of the Chief Executive Officer as well as the members Bimbo's Executive Committee for fiscal year 2020, previously reviewed and recommended by the Evaluation and Results Committee.

In my capacity as Chairman of the Audit and Corporate Practices Committee, I reported regularly to the Board of Directors on the activities conducted within the Committee.

The work that we conducted was duly documented in minutes of each meeting, which were reviewed and approved in a timely manner by the Committee members.

Sincerely,



Edmundo Vallejo Venegas
Chairman of the Audit and Corporate Practices Committee
Grupo Bimbo, S. A. B. de C. V.